

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds (defined herein) is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel observes that interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual, or receipt of interest on, the Bonds. See “TAX MATTERS” herein.



\$105,515,000
CALIFORNIA HEALTH FACILITIES FINANCING AUTHORITY
Revenue Bonds
(Episcopal Communities & Services)

\$30,000,000
Series 2024A
(Initial Entrance Fees)

\$75,515,000
Series 2024B

Dated: Date of Delivery

Due: As shown on the maturity schedule included herein

The Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees) (the “Series 2024A Bonds”) and the Revenue Bonds (Episcopal Communities & Services), Series 2024B (the “Series 2024B Bonds”) and, collectively with the Series 2024A Bonds, the “Bonds” and individually, each a “Series” of Bonds) of the California Health Facilities Financing Authority (the “Authority”) will be issued pursuant to a Bond Indenture. The Bonds of each Series are being issued in the Fixed Mode for the Initial Fixed Period, bearing interest at the respective Fixed Rates set forth on the inside cover page hereof. Capitalized terms used on this cover page and not defined are defined elsewhere in this Official Statement.

The Bonds are issuable only as fully-registered bonds, without coupons, in book-entry form, initially in denominations of \$5,000 and any integral multiple thereof, and when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository for the Bonds. Purchases will be made only in book-entry form through the participants in DTC, and no physical delivery of the Bonds will be made to Beneficial Owners (as herein defined) except as described herein.

Principal of and interest on the Bonds will be paid from Revenues pledged under the Bond Indenture, which include payments made by Episcopal Communities & Services for Seniors doing business as Episcopal Communities & Services (the “Corporation”), under the Loan Agreement. The obligation of the Corporation to make such payments under the Loan Agreement is further evidenced and secured by the Series 2024 Obligation issued pursuant to the Master Indenture, including Supplement No. 3 (each as herein defined), whereunder the Corporation and any future members of the Obligated Group are jointly and severally obligated to make payments on the Series 2024 Obligation in an amount sufficient to pay principal (or Redemption Price or Purchase Price) of, and interest on the Bonds when due. Currently, the Corporation is the sole member of the Obligated Group. Interest on the Bonds is payable on each May 15 and November 15, commencing May 15, 2024.

The Series 2024A Bonds are subject to optional, extraordinary optional and mandatory extraordinary redemption and purchase in lieu of optional redemption prior to maturity, as applicable and as set forth herein. The Series 2024B Bonds are subject to optional, extraordinary optional and mandatory sinking fund redemption and purchase in lieu of optional redemption prior to their respective maturities, as applicable and as set forth herein. The purchase of the Bonds involves certain investment risks. See “BONDHOLDERS’ RISKS” herein.

This Official Statement summarizes certain terms of the Bonds only while the Bonds bear interest at Fixed Rates during the Initial Fixed Period. On any date on which the Series 2024B Bonds are subject to optional redemption, the Corporation may elect to convert the Series 2024B Bonds to a different Interest Rate Mode or to a new Fixed Period. The Series 2024A Bonds are not subject to conversion. Should the Series 2024B Bonds be converted to a different Interest Rate Mode or to a new Fixed Period, the Series 2024B Bonds to be converted would be subject to mandatory tender for purchase, and it is expected that a reoffering circular or a supplement to this Official Statement or other disclosure document would be prepared at that time for remarketing such Series 2024B Bonds.

THE BONDS SHALL NOT BE DEEMED TO CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF OTHER THAN THE AUTHORITY OR A PLEDGE OF THE FAITH AND CREDIT OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS THEREFOR PROVIDED. NEITHER THE STATE OF CALIFORNIA NOR THE AUTHORITY SHALL BE OBLIGATED TO PAY THE PRINCIPAL OR REDEMPTION PRICE OR PURCHASE PRICE OF THE BONDS, OR THE INTEREST THEREON EXCEPT FROM THE FUNDS PROVIDED UNDER THE LOAN AGREEMENT AND THE OTHER ASSETS PLEDGED UNDER THE BOND INDENTURE, AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OR REDEMPTION PRICE OR PURCHASE PRICE OF, OR THE INTEREST ON, THE BONDS. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for immediate reference only. It is not intended to be a complete summary of the terms of or security for the Bonds. Investors are advised to read this entire Official Statement, including the Appendices, to obtain information essential to the making of an informed investment decision.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, withdrawal, or modification of the offer, without any notice, and to the approval of the validity of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, and the approval of certain matters for the Authority by its counsel, the Honorable Rob Bonta, Attorney General of the State of California. Certain legal matters will be passed upon for the Obligated Group by its special counsel, Hooper, Lundy & Bookman, P.C., Los Angeles, California, and for the Underwriter by its counsel, Norton Rose Fulbright US LLP, San Francisco, California. It is expected that the Bonds in definitive form will be available for delivery through the facilities of DTC on or about January 24, 2024.

HONORABLE FIONA MA
Treasurer of the State of California
As Agent for Sale



Date: January 17, 2024

† For an explanation of the ratings on the Bonds, see “RATINGS” herein.

\$30,000,000
CALIFORNIA HEALTH FACILITIES FINANCING AUTHORITY
Revenue Bonds
(Episcopal Communities & Services)
Series 2024A (Initial Entrance Fees)

\$30,000,000 3.85% due November 15, 2027 Yield 3.85% Price 100.000 CUSIP[†]: 13032UJ82

\$75,515,000
CALIFORNIA HEALTH FACILITIES FINANCING AUTHORITY
Revenue Bonds
(Episcopal Communities & Services)
Series 2024B

Maturity (November 15)	Principal Amount	Interest Rate	Yield	Price	CUSIP [†]
2028	\$1,030,000	5.00%	3.43%	106.900	13032UJ90
2029	1,080,000	5.00	3.35	108.638	13032UK23
2030	1,135,000	5.00	3.39	109.710	13032UK31
2031	1,195,000	5.00	3.42	110.742	13032UK49
2032	1,255,000	5.00	3.44	111.763	13032UK56
2033	1,320,000	5.00	3.45	112.800	13032UK64

\$7,695,000 5.00% Term Bonds due November 15, 2038 Yield 4.01% Price 107.957^C CUSIP[†]: 13032UK72

\$9,875,000 5.00% Term Bonds due November 15, 2043 Yield 4.30% Price 105.547^C CUSIP[†]: 13032UK80

\$12,755,000 5.25% Term Bonds due November 15, 2048 Yield 4.49% Price 105.969^C CUSIP[†]: 13032UK98

\$16,595,000 5.25% Term Bonds due November 15, 2053 Yield 4.58% Price 105.239^C CUSIP[†]: 13032UL22

\$21,580,000 5.25% Term Bonds due November 15, 2058 Yield 4.68% Price 104.435^C CUSIP[†]: 13032UL30

[†] CUSIP is a registered trademark of The American Bankers Association (the “ABA”). CUSIP data is provided by CUSIP Global Services (“CGS”), which is managed on behalf of the ABA by FactSet Research Systems Inc. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. The CUSIP numbers listed above are being provided solely for the convenience of the holders of the Bonds only at the time of issuance of the Bonds, and none of the Authority, the Corporation or the Underwriter makes any representation with respect to such CUSIP numbers or undertakes any responsibility for the accuracy now or at any time in the future. Upon a remarketing of Bonds to a new Interest Rate Period, it is expected that a separate CUSIP number will be assigned to all Bonds remarketed to such Interest Rate Period. Subsequent CUSIP numbers will be available from the Bond Trustee.

^C Priced to call at par on the optional redemption date of November 15, 2033.

MonteCedro – Altadena, California
203-unit Life Plan Community Campus



40-unit Campus Expansion



The Canterbury – Rancho Palos Verdes, California
140-unit Life Plan Community



The Covington – Aliso Viejo, California
208-unit Life Plan Community



This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon. The Underwriter has provided the following sentence for inclusion in this Official Statement. *The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.*

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Corporation nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Corporation, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained therein except for the information under the sections entitled “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority.”

The information relating to DTC and the book-entry system set forth herein under the caption “THE BONDS—General” and in APPENDIX H hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Authority, the Corporation or the Underwriter. All other information set forth herein has been obtained from the Corporation and other sources (other than the Authority) that are believed to be reliable, but such information is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Authority or the Underwriter. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement, nor any sale of the Bonds made hereunder, shall create under any circumstances any indication that there has been no change in the affairs of the Authority, DTC or the Corporation since the date hereof. This Official Statement is being provided to prospective investors in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVER ALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS IN THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCE” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and certain statements contained in APPENDIX A and APPENDIX C to this Official Statement. *The achievement of certain results or other expectations contained in such forward-looking statements involves known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to*

be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to these forward-looking statements if or when changes to its expectations, or events, conditions or circumstances on which such statements are based, occur.

References to web site addresses herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not a part of, this Official Statement.

The CUSIP numbers are included in this Official Statement for the convenience of the holders and potential holders of the Bonds. No assurance can be given that the CUSIP numbers for the Bonds will remain the same after the date of issuance and delivery of such Bonds.

Neither the Bonds nor the Series 2024 Obligation have been registered under the Securities Act of 1933 or the securities laws of any state, nor have the Bond Indenture or the Master Indenture and Supplement No. 3 thereto been qualified under the Trust Indenture Act of 1939 in reliance upon exemptions contained in such acts. The Bonds have not been registered or qualified under the securities laws of any state in reliance upon the state securities law preemption provisions under the Securities Act of 1933. In certain states, however, the filing of a notice with the state securities commission is required for the public sale of the Bonds in such states. The fact that a notice may have been filed in certain states cannot be regarded as a recommendation. Neither such states nor any of their respective agencies have passed upon the merits of the Bonds or the accuracy or completeness of this Official Statement. Any representation to the contrary may be a criminal offense.

A wide variety of information, including financial information concerning the Corporation, is available from publications and websites of the Corporation and others. Any such information that is inconsistent with the information set forth in this Official Statement should be disregarded. No such information is a part of or incorporated into this Official Statement, except as expressly noted herein.

In making an investment decision, investors must rely on their own examination of the issue and the terms of the offering, including the merits and risks involved.

THE UNDERWRITER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS AT PRICES LOWER THAN THE OFFERING PRICES STATED ON THE INSIDE COVER PAGE, AND SAID OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER WITHOUT NOTICE.

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OFFICIAL STATEMENT

\$105,515,000

CALIFORNIA HEALTH FACILITIES FINANCING AUTHORITY

Revenue Bonds

(Episcopal Communities & Services)

\$30,000,000

Series 2024A

(Initial Entrance Fees)

\$75,515,000

Series 2024B

INTRODUCTION

This Introduction is intended only to serve as a brief description of this Official Statement and is expressly qualified by reference to the Official Statement as a whole, as well as the documents summarized or described herein. All capitalized terms used in this Official Statement and not otherwise defined herein are defined in APPENDIX D and APPENDIX E. The Official Statement speaks only as of its date, and the information contained herein is subject to change. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive, and reference is made to each document for the complete details of all terms and conditions. All statements herein regarding any such documents are qualified in their entirety by reference to such documents.

The Bonds

The California Health Facilities Financing Authority (the “Authority”) is issuing its \$30,000,000 aggregate principal amount of Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees) (the “Series 2024A Bonds”) and \$75,515,000 aggregate principal amount of Revenue Bonds (Episcopal Communities & Services), Series 2024B (the “Series 2024B Bonds”). The Series 2024A Bonds and the Series 2024B Bonds are referred to herein collectively as the “Bonds” and individually as a “Series” of Bonds. The Bonds will be issued pursuant to a Bond Indenture, dated as of January 1, 2024 (the “Bond Indenture”), between the Authority and U.S. Bank Trust Company, National Association, as bond trustee (the “Bond Trustee”). The Authority will loan the proceeds of the Bonds to Episcopal Communities & Services for Seniors doing business as Episcopal Communities & Services (the “Corporation”) pursuant to a Loan Agreement, dated as of January 1, 2024 (the “Loan Agreement”), between the Authority and the Corporation. A description of the Bonds is contained in this Official Statement under the caption “THE BONDS.”

The Corporation and the Obligated Group

The Corporation is a California nonprofit public benefit corporation and an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “Code”). The Corporation owns and operates three continuing care retirement communities providing independent living, assisted living and memory care in communities known as The Canterbury, located in Rancho Palos Verdes, California, The Covington, located in Aliso Viejo, California, and MonteCedro, located in Altadena, California. All three communities are licensed as Residential Care Facilities for the Elderly (“RCFE”) by the California Department of Social Services. The Corporation is the parent organization for other wholly owned affiliates that, together with the Corporation, offer a broad spectrum of care and services to foster good health, fulfillment, and spiritual well-being in the lives of older adults.

Prior to August 1, 2023, MonteCedro was owned by a separate legal entity known as MonteCedro, Inc. and structured as a California nonprofit public benefit corporation and a tax-exempt charitable organization under Section 501(c)(3) of the Code, the sole corporate member of which was the Corporation. MonteCedro joined the Obligated Group effective November 15, 2022. As of August 1, 2023, the MonteCedro entity was merged into the Corporation and is no longer a separate legal entity.

The Corporation is currently the only member of an Obligated Group (the “Member” of the “Obligated Group”) established under the Master Indenture (as described herein). Only the Members of the Obligated Group are subject to the requirements and financial obligations under the Master Indenture, including obligations relating to the payment for the Bonds.

The audited consolidated financial statements of the Corporation and its consolidated subsidiaries (the “Corporation and Subsidiaries”), including affiliated and controlled entities that are not Obligated Group Members, for the fiscal years ended June 30, 2023, 2022 and 2021, are set forth in APPENDIX B. The Corporation and Obligated Group (which reflects the historic Obligated Group (the Corporation), and MonteCedro, Inc., on a historic basis), constitutes (i) 88% and 88%, respectively, of the consolidated assets of the Corporation and Subsidiaries, and (ii) 97% and 96%, respectively, of the consolidated operating revenue and other support of the Corporation and Subsidiaries as of and for the fiscal year ended June 30, 2023 and as of and the four months ended October 31, 2023, respectively.

For more information concerning the history, governance, organization, affiliates, facilities, operations and financial performance of the Corporation, see APPENDIX A.

Plan of Finance

The proceeds of the Bonds will be loaned to the Corporation and, with other available moneys, used to: (1) finance (or reimburse for) the costs of the acquisition, construction, expansion, remodeling, renovation, furnishing, and/or equipping of senior living and related facilities owned and operated by the Corporation (the “Project”), (2) fund capitalized interest on the Bonds for 28 months, and (3) pay certain costs of issuance related to the Bonds.

See “PLAN OF FINANCE” for a discussion of the Project.

The Master Indenture

The Corporation is party to a Master Trust Indenture (Amended and Restated), dated as of December 1, 2012, and effective on May 16, 2022, as supplemented and amended to date (as so supplemented and amended, the “Master Indenture”), among the Corporation, the other Members named therein, and U.S. Bank Trust Company, National Association, as successor master trustee (the “Master Trustee”). The Corporation is the sole Member of the Obligated Group and the Obligated Group Representative. The form of the Master Indenture is included in APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3.”

Security for the Bonds

The Bonds are limited obligations of the Authority payable solely from Revenues received by the Bond Trustee under the Bond Indenture. Revenues generally consist of Loan Repayments to be made by the Corporation under the Loan Agreement. The Corporation’s obligations under the Loan Agreement will be secured by the Episcopal Communities & Services for Seniors Series 2024 Obligation (the “Series 2024 Obligation”) in the original principal amount of \$105,515,000, issued pursuant to the Third Supplemental Master Trust Indenture, dated as of January 1, 2024 (“Supplement No. 3”), between the Master Trustee and

the Corporation, as Obligated Group Representative. A form of Supplement No. 3 is included in APPENDIX D to this Official Statement. The Authority will pledge and assign certain of its rights under the Loan Agreement and the Series 2024 Obligation to the Bond Trustee as security for the Bonds.

Pursuant to the Master Indenture, each Member of the Obligated Group agrees that, so long as any of the Obligations remain outstanding, all of the Gross Revenues of the Obligated Group will be deposited as soon as practicable upon receipt in one or more deposit accounts that will be designated as the “Gross Revenue Fund,” established with one or more designated banking institutions (each a “Depository Bank”). In addition, each Member of the Obligated Group agrees to enter into one or more deposit account control agreements (“Account Control Agreements”) with each Depository Bank and the Master Trustee. Subject to the provisions of the Master Indenture permitting application of the Gross Revenues for the purposes and upon the terms and conditions set forth therein, each Member of the Obligated Group pledges to the Master Trustee, and to the extent permitted by law, grants to the Master Trustee, a security interest in the Gross Revenue Fund and all of the Gross Revenues of the Obligated Group, as security for the performance by each of the Members of its obligations under the Master Indenture. See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.2. Pledge of Gross Revenues.”

In the Loan Agreement, the Corporation agrees to make the Loan Repayments to the Bond Trustee, which payments, in the aggregate, are required to be in an amount sufficient for the payment in full of all amounts payable with respect to the Bonds, including the total interest payable on the Bonds to the respective dates of maturity of the Bonds or earlier redemption, the principal (or Redemption Price or Purchase Price) of the Bonds, less any amounts available for such payment as provided in the Bond Indenture. In the Loan Agreement, the Corporation also covenants, absent the occurrence and continuance of any event of default under the Master Indenture, for so long as the Series 2024A Bonds remain Outstanding, to transfer the initial entrance fees received upon the initial occupancy of the newly-constructed independent living units at the property commonly known as MonteCedro (the “MonteCedro Initial Entrance Fees”) to an Initial Entrance Fee Redemption Account held in trust by the Bond Trustee after the date the cancellation or rescission period as required by Health & Safety Code Section 1788.2(a) ends (which, as of the date hereof, is 90 days from the date of initial occupancy). Amounts in the Initial Entrance Fee Redemption Account may be used only to redeem or pay at maturity the Series 2024A Bonds. The Bonds are otherwise payable from investment earnings and proceeds of insurance or condemnation awards, each in the manner and to the extent set forth in the Bond Indenture. See “THE BONDS” and “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

Neither the Bonds nor the Series 2024 Obligation is currently secured by a mortgage, deed of trust or any other pledge of real property, and the Master Indenture does not contain any covenant or requirement that the Corporation provide any such security for the holders of Obligations. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—The Master Indenture—Pledge of Gross Revenues and the Gross Revenue Fund” for a description of the Obligated Group’s pledge of Gross Revenues and the Gross Revenue Fund.

Subject to the conditions contained therein, the Master Indenture also permits the Members of the Obligated Group to incur additional indebtedness in addition to the Obligations and to enter into Guaranties. See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.6. Limitation on Additional Indebtedness” and “—Section 3.5. Limitations on Encumbrances.”

Consultant Report

Moss Adams LLP has prepared a Consultant's Report, dated December 19, 2023 (the "Consultant Report"), which is attached hereto as APPENDIX C – "CONSULTANT REPORT." The Consultant Report is not an attestation of any kind. It includes management's financial forecast of the Corporation for the fiscal years ending June 30, 2024 to June 30, 2028 and describes key assumptions used by management to develop it. **THE CONSULTANT REPORT SHOULD BE READ IN ITS ENTIRETY, INCLUDING THE FINANCIAL INFORMATION ASSUMPTIONS SET FORTH THEREIN.**

Bondholders' Risks

There are risks associated with the purchase of the Bonds. See the information under "BONDHOLDERS' RISKS" herein for a discussion of certain of these risks.

Continuing Disclosure

Pursuant to the terms of the Continuing Disclosure Agreement the Corporation, as Obligated Group Representative, has agreed to provide certain quarterly and annual financial and operating information regarding the Obligated Group as described under "CONTINUING DISCLOSURE." The form of the Continuing Disclosure Agreement is attached as APPENDIX G.

THE AUTHORITY

General

The Authority is a public instrumentality of the State of California (the "State") organized and existing under and by virtue of the California Health Facilities Financing Authority Act, constituting Part 7.2 of Division 3 of Title 2 of the California Government Code (the "Act"). The intent of the State Legislature in enacting the Act was to provide financing to health facilities and to pass along to the consuming public all or part of any savings realized by a participating health institution (as defined in the Act) as a result of tax-exempt financing. Pursuant to the Act, the Authority is authorized to issue its revenue bonds for the purpose of financing (including reimbursing expenditures made or refinancing indebtedness incurred for such purpose) the construction, expansion, remodeling, renovation, furnishing, equipping or acquisition of health facilities operated by participating health institutions. The State Treasurer is authorized under the Act to sell such revenue bonds on behalf of the Authority.

Organization and Membership

The Act provides that the Authority shall consist of nine members, including the State Treasurer, who shall serve as Chairperson, the State Controller, the Director of Finance and two members appointed by each of the State Senate Rules Committee, the Speaker of the State Assembly and the Governor of the State. The Chairperson of the Authority appoints the Executive Director.

Outstanding Indebtedness of the Authority

As of September 30, 2023, the Authority had issued obligations aggregating \$47,792,785,017 in original principal amount and had outstanding obligations in the aggregate principal amount of \$16,633,712,891.

PLAN OF FINANCE

General

The Authority will loan the proceeds of the Bonds to the Corporation pursuant to the Loan Agreement, which proceeds, together with other available moneys, will be used to (1) pay a portion of the costs of the Project, (2) fund capitalized interest on the Bonds for 28 months, and (3) pay certain costs of issuance related to the Bonds.

Project

The Corporation is embarking on redevelopment projects at each of its three campuses: The Canterbury, The Covington and MonteCedro (collectively, the “Project”).

MonteCedro. The MonteCedro expansion will consist of the construction of four separate villa buildings with a total of 40 new independent living residences (the “MonteCedro Project”). This phase will also include the construction of a new dining venue and 38 underground parking spaces.

The Canterbury. The Canterbury redevelopment plan will include extensive renovation and revitalization that includes relicensing the former skilled nursing rooms to high acuity assisted living accommodations. The project also includes expanding dining options and repositioning outdoor spaces. Overall, no new units will be added.

The Covington. The Covington project will include the renovation of interior spaces including common spaces, the expansion of the casual dining area, the repositioning of the entrance area and the reconfiguring and upgrading of some amenity spaces as well as extensive renovation of assisted living and memory care facilities. The redesign will include converting skilled nursing beds to memory care units. No new units will be added as part of this project.

For more information about the Project, including the total Project budget and the allocation of Series 2024 Bonds proceeds and Corporation equity to pay for the Project costs, see APPENDIX A – “INFORMATION CONCERNING EPISCOPAL COMMUNITIES & SERVICES—Campus Expansion and Redevelopment Project.”

CONSULTANT REPORT

Moss Adams LLP completed a Consultant Report of the Corporation’s proposed financing plan and issued its Consultant’s Report, dated December 19, 2023. See APPENDIX C – “CONSULTANT REPORT.” The Consultant Report is not an attestation of any kind. It contains a review and analysis of the Project, financial information of the Corporation and related matters. Management’s forecasted financial results for the Corporation for the five-year period ending June 30, 2028 also are included in the Consultant Report. Certain information concerning the Project and the Corporation contained in this Official Statement has been excerpted from the Consultant Report. The estimates in the Consultant Report are based upon certain assumptions, calculations and qualifications set forth therein, and the Consultant Report should be read in its entirety. Among those assumptions were: with respect to the Bonds, (1) a total issue size of approximately \$115,700,000 in principal amount, an equity contribution from the Corporation of approximately \$51,150,000, and a net original issue discount of \$5,852,000, (2) an assumed coupon of 4.00% for the Series 2024A Bonds paid over three years and 5.00% for the Series 2024B Bonds paid over 35 years, and (3) a final maturity date on the Series 2024B Bonds of November 15, 2058. Other assumptions contained in the Consultant Report may vary significantly from actual future conditions due to unanticipated events and circumstances, and there can be no

assurance that the assumed conditions will, in fact, occur. To the extent that actual future conditions vary from those assumed in the Consultant Report, the actual results will vary from those contained in the Consultant Report. The forecasted results cannot be assured.

The prospective financial information included in the Consultant Report was not prepared for the purpose of compliance with published guidelines of the United States Securities and Exchange Commission or the guidelines established by the American Institute of Certified Public Accountants for preparation and presentation of prospective financial information. The prospective financial information is the responsibility of the Corporation's management. The Authority has not reviewed the Consultant Report or financial information provided by the Corporation. There can be no assurance that as a result of the Consultant Report, the Corporation will be able to meet its obligation to make Loan Repayments.

THE CONSULTANT REPORT IS CONTAINED IN APPENDIX C HERETO AND SHOULD BE READ IN ITS ENTIRETY FOR A FULL UNDERSTANDING OF THE ASSUMPTIONS AND RATIONALE UNDERLYING THE FORECASTS CONTAINED THEREIN.

ESTIMATED SOURCES AND USES OF FUNDS

Proceeds to be received from the sale of the Bonds, together with other funds (including the equity contribution of the Corporation), are estimated to be applied as set forth in the following table to the Project and other uses, with all amounts rounded to the nearest whole dollar.

	Bond Proceeds	Investment Earnings ⁽¹⁾	Equity	Aggregate
Sources of Funds:				
Par Amount	\$105,515,000	\$ -	\$ -	\$105,515,000
Original Issue Premium	4,467,410	-	-	4,467,410
Investment Earnings	-	3,519,554	-	3,519,554
Equity Contribution	-	-	51,150,000	51,150,000
Total Sources of Funds	\$109,982,410	\$3,519,554	\$51,150,000	\$164,651,964
Uses of Funds:				
Project Costs	\$ 97,166,020	\$2,835,330	\$51,150,000	\$151,151,350
Capitalized Interest	11,216,302	684,224	-	11,900,526
Cost of Issuance ⁽²⁾	1,600,088	-	-	1,600,088
Total Uses of Funds	\$109,982,410	\$3,519,554	\$51,150,000	\$164,651,964

(1) Assumed earnings rate of 4.25%. Actual investment earnings received may differ from those shown.

(2) Includes Underwriter's discount, the Underwriter's reimbursable expenses, legal and accounting fees, trustees' fees, financial printing costs, rating agency charges and other expenses associated with the issuance of the Bonds.

ESTIMATED ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each year ending June 30, the amount estimated to be required for payment of principal of, whether by payment at maturity or upon mandatory sinking fund redemption (for the Series 2024B Bonds), and interest on, the Bonds. The following table also includes the debt service due on all outstanding indebtedness that is secured under the Master Indenture. Amounts shown are rounded to the nearest dollar.

Year Ending June 30,	Series 2024A Bonds ⁽¹⁾		Series 2024B Bonds		Total Debt Service on Other Outstanding Bonds ⁽²⁾	Total
	Principal	Interest	Principal	Interest		
2024	-	\$ 356,125	-	\$ 1,203,448	\$ 5,326,973	\$ 6,886,546
2025	-	1,155,000	-	3,903,075	5,326,255	10,384,330
2026	-	1,155,000	-	3,903,075	5,328,157	10,386,232
2027	-	1,155,000	-	3,903,075	5,332,455	10,390,530
2028	\$30,000,000	577,500	-	3,903,075	5,329,078	39,809,653
2029	-	-	\$1,030,000	3,877,325	5,338,104	10,245,429
2030	-	-	1,080,000	3,824,575	5,339,158	10,243,733
2031	-	-	1,135,000	3,769,200	5,342,463	10,246,663
2032	-	-	1,195,000	3,710,950	5,347,717	10,253,667
2033	-	-	1,255,000	3,649,700	5,349,773	10,254,473
2034	-	-	1,320,000	3,585,325	5,353,785	10,259,110
2035	-	-	1,390,000	3,517,575	5,349,448	10,257,023
2036	-	-	1,460,000	3,446,325	5,352,066	10,258,391
2037	-	-	1,535,000	3,371,450	5,356,111	10,262,561
2038	-	-	1,615,000	3,292,700	5,361,591	10,269,291
2039	-	-	1,695,000	3,209,950	5,363,353	10,268,303
2040	-	-	1,785,000	3,122,950	5,366,326	10,274,276
2041	-	-	1,875,000	3,031,450	5,365,509	10,271,959
2042	-	-	1,970,000	2,935,325	5,370,750	10,276,075
2043	-	-	2,070,000	2,834,325	5,376,752	10,281,077
2044	-	-	2,175,000	2,728,200	5,373,517	10,276,717
2045	-	-	2,290,000	2,613,713	5,380,971	10,284,683
2046	-	-	2,415,000	2,490,206	3,062,992	7,968,198
2047	-	-	2,545,000	2,360,006	3,060,288	7,965,294
2048	-	-	2,680,000	2,222,850	-	4,902,850
2049	-	-	2,825,000	2,078,344	-	4,903,344
2050	-	-	2,980,000	1,925,963	-	4,905,963
2051	-	-	3,140,000	1,765,313	-	4,905,313
2052	-	-	3,310,000	1,596,000	-	4,906,000
2053	-	-	3,490,000	1,417,500	-	4,907,500
2054	-	-	3,675,000	1,229,419	-	4,904,419
2055	-	-	3,875,000	1,031,231	-	4,906,231
2056	-	-	4,085,000	822,281	-	4,907,281
2057	-	-	4,305,000	602,044	-	4,907,044
2058	-	-	4,535,000	369,994	-	4,904,994
2059	-	-	4,780,000	125,475	-	4,905,475
Total	\$30,000,000	\$4,398,625	\$75,515,000	\$93,373,411	\$123,853,589	\$327,140,625

(1) The Series 2024A Bonds are subject to mandatory extraordinary redemption prior to maturity, on each February 15, May 15, August 15 and November 15, commencing February 15, 2026, as described under “THE BONDS – Redemption - *Mandatory Extraordinary Redemption from Initial Entrance Fees – Series 2024A Bonds.*”

(2) Comprises the Series 2022 Bonds. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—The Master Indenture—Other Indebtedness.”

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof, to the Bond Indenture for all of the provisions relating to the Bonds and to the summary of certain provisions of the Bond Indenture included in APPENDIX E hereto for a more complete description. The discussion herein is qualified by such reference.

This Official Statement summarizes certain terms of the Bonds only while the Bonds bear interest in the Fixed Period that begins on the original issue date of the Bonds (the “Initial Fixed Period”). On any date on which the Series 2024B Bonds are subject to optional redemption, the Corporation may elect to convert the Series 2024B Bonds to a different Interest Rate Mode or to a new Fixed Period. The Series 2024A Bonds are not subject to conversion. There are significant differences in the terms of the Series 2024B Bonds if they operate in any other Interest Rate Mode or a new Fixed Period. Should the Series 2024B Bonds or portion thereof be converted to bear interest in a different Interest Rate Period or a new Fixed Period, the Series 2024B Bonds to be converted will be subject to mandatory tender for purchase, and it is expected that a reoffering circular or a supplement to this Official Statement or other disclosure document would be prepared at that time for remarketing such Series 2024B Bonds.

Whenever used herein with respect to a Bond, “Holder” or “Bondholder” means the person in whose name such bond is registered; provided, however, that any time the Bonds are held in a book-entry system, “Holder” or “Bondholder” means Beneficial Owner of such Bonds.

General

The Bonds will be issued in the aggregate principal amount and will bear interest at the interest rates set forth on the inside cover page of this Official Statement. The Bonds will be initially issued as fully registered bonds without coupons in the denomination of \$5,000 and any integral multiple thereof. The initial Interest Rate Period for the Bonds will be a Fixed Period that extends to the respective maturity dates of the Bonds, subject to, with respect to the Series 2024B Bonds only, conversion to a different Interest Rate Mode or a new Fixed Period. Interest will be payable semiannually on each May 15 and November 15 (each, an “Interest Payment Date”), commencing May 15, 2024. Any Conversion Date is also an Interest Payment Date for the Bonds. Interest will be calculated on the basis of a 360-day year consisting of twelve 30-day months. Interest shall be payable on each Interest Payment Date for the period commencing on (and including) the immediately preceding Interest Accrual Date and ending on the day immediately preceding such Interest Payment Date. “Interest Accrual Date” means the first day of the Fixed Period and, thereafter, each Interest Payment Date during such period, other than the last such Interest Payment Date.

Subject to the limitations and conditions of the Bond Indenture, on any date that the Series 2024B Bonds are subject to optional redemption during the Initial Fixed Period, the Series 2024B Bonds may be converted, in whole or in part, to a different Interest Rate Mode or to a new Fixed Period at the direction of the Corporation. The Series 2024A Bonds are not subject to conversion.

So long as Cede & Co. is the registered owner of the Bonds, the principal, Redemption Price and Purchase Price of and interest on the Bonds will be payable by wire transfer by the Bond Trustee to DTC, which, in turn, will be required to remit such amounts to DTC Direct and Indirect Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX H – “BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, the principal or Redemption Price of the Bonds shall be payable in lawful money of the United States of America. Such principal or Redemption Price shall be payable at the designated corporate trust office of the Bond Trustee upon surrender of the

Bonds to the Bond Trustee for cancellation. Interest on the Bonds shall be payable on each Interest Payment Date by the Bond Trustee by check mailed on the date on which due to the Holders of Bonds at the close of business on the first day of the month in which such Interest Payment Date occurs, whether or not such day is a Business Day (each, a “Record Date”) in respect of such Interest Payment Date at the registered addresses of Holders as shall appear on the registration books of the Bond Trustee as of the close of business as of such Record Date. In the case of any Holder of Bonds in an aggregate principal amount in excess of \$1,000,000 as shown on the Registration Books of the Bond Trustee who, prior to the Record Date next preceding any Interest Payment Date, shall have provided the Bond Trustee with written wire transfer instructions containing the wire transfer address within the continental United States, interest payable on such Bonds shall be paid in accordance with the wire transfer instructions provided by the Holder of such Bond.

If available funds are insufficient on any Interest Payment Date to pay the interest then due on the Bonds, interest shall continue to accrue thereon but shall cease to be payable to the Holder on such Record Date. If sufficient funds for the payment of such overdue interest thereafter become available, the Bond Trustee shall establish a “special interest payment date” for the payment of the overdue interest and a Special Record Date (which shall be a Business Day) for determining the Bondholders entitled to such payment as further described in the Bond Indenture. Notwithstanding the foregoing, the failure to pay interest due on the Bonds on any Interest Payment Date will constitute an Event of Default under the Bond Indenture.

The Bonds will be transferable and exchangeable as set forth in the Bond Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of DTC. DTC will act as securities depository for the Bonds. One fully-registered bond will be issued for each maturity of the Bonds bearing interest at a particular interest rate in the total aggregate principal amount of such maturity of the Bonds and will be deposited with DTC or its agent. Ownership interests in the Bonds may be purchased in book-entry form only, in the denominations set forth above. See APPENDIX H – “BOOK-ENTRY SYSTEM.”

Redemption

Optional Redemption.

Series 2024A Bonds. The Series 2024A Bonds are subject to optional redemption prior to their maturity, on any date on or after February 15, 2026, at the option of the Corporation, in whole or in part, in such amounts as may be designated by the Corporation, at a Redemption Price equal to the principal amount thereof, plus interest accrued thereon, if any, to the date fixed for redemption, without premium.

Series 2024B Bonds. The Series 2024B Bonds maturing on and after November 15, 2038, are subject to optional redemption prior to their respective maturities, on any date on or after November 15, 2033, at the option of the Corporation, in whole or in part, in such amounts as may be designated by the Corporation, at a Redemption Price equal to the principal amount thereof, plus interest accrued thereon, if any, to the date fixed for redemption, without premium.

Mandatory Extraordinary Redemption from Initial Entrance Fees – Series 2024A Bonds.

The Series 2024A Bonds are subject to mandatory extraordinary redemption prior to maturity, on each February 15, May 15, August 15 and November 15, commencing February 15, 2026 (each, an “Initial Entrance Fee Redemption Date”), in whole or in part, from all amounts in the Initial Entrance Fee Redemption Account determined by the Bond Trustee 25 days prior to each Initial Entrance Fee Redemption Date, as more particularly described below in “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—MonteCedro Initial Entrance Fees—Initial Entrance Fee Redemption Account

Established Under the Bond Indenture” (rounded down to the nearest \$5,000 increment), at a Redemption Price equal to the principal amount thereof, plus interest accrued thereon, if any, to the date fixed for redemption, without premium.

See also APPENDIX A – “INFORMATION CONCERNING EPISCOPAL COMMUNITIES & SERVICES—LEVELS OF CARE PROVIDED AND SOURCES OF REVENUE,” and APPENDIX C – “CONSULTANT REPORT” for a description of the Initial Entrance Fees. See also “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—MonteCedro Initial Entrance Fees.”

Extraordinary Optional Redemption.

The Bonds are subject to redemption prior to their respective maturities, at the option of the Corporation, in whole or in part on any Business Day, in such amounts and of such Series and maturities as are designated by the Corporation, from hazard insurance or condemnation proceeds received with respect to the facilities of any Member of the Obligated Group and deposited in the Optional Redemption Fund, at a Redemption Price equal to the principal amount thereof, plus accrued interest thereon (if any) to the date fixed for redemption, without premium.

Mandatory Sinking Fund Redemption.

Series 2024A Bonds. The Series 2024A Bonds are not subject to redemption from Sinking Fund Installments.

Series 2024B Bonds. The Series 2024B Bonds maturing on November 15, 2038 are subject to redemption (or payment at maturity, as the case may be) by application of Sinking Fund Installments on November 15 in the years and in the principal amounts as set forth below, plus interest accrued thereon, if any, to the date fixed for redemption (or payment), without premium:

Sinking Fund Installment/Maturity Date (November 15)	Sinking Fund Installment
2034	\$1,390,000
2035	1,460,000
2036	1,535,000
2037	1,615,000
2038 [†]	1,695,000

[†] Final Maturity.

The Series 2024B Bonds maturing on November 15, 2043 are subject to redemption (or payment at maturity, as the case may be) by application of Sinking Fund Installments on November 15 in the years and in the principal amounts as set forth below, plus interest accrued thereon, if any, to the date fixed for redemption (or payment), without premium:

Sinking Fund Installment/Maturity Date (November 15)	Sinking Fund Installment
2039	\$1,785,000
2040	1,875,000
2041	1,970,000
2042	2,070,000
2043 [†]	2,175,000

[†] Final Maturity.

The Series 2024B Bonds maturing on November 15, 2048 are subject to redemption (or payment at maturity, as the case may be) by application of Sinking Fund Installments on November 15 in the years and in the principal amounts as set forth below, plus interest accrued thereon, if any, to the date fixed for redemption (or payment), without premium:

Sinking Fund Installment/Maturity Date (November 15)	Sinking Fund Installment
2044	\$2,290,000
2045	2,415,000
2046	2,545,000
2047	2,680,000
2048 [†]	2,825,000

[†] Final Maturity.

The Series 2024B Bonds maturing on November 15, 2053 are subject to redemption (or payment at maturity, as the case may be) by application of Sinking Fund Installments on November 15 in the years and in the principal amounts as set forth below, plus interest accrued thereon, if any, to the date fixed for redemption (or payment), without premium:

Sinking Fund Installment/Maturity Date (November 15)	Sinking Fund Installment
2049	\$2,980,000
2050	3,140,000
2051	3,310,000
2052	3,490,000
2053 [†]	3,675,000

[†] Final Maturity.

The Series 2024B Bonds maturing on November 15, 2058 are subject to redemption (or payment at maturity, as the case may be) by application of Sinking Fund Installments on November 15 in the years and in the principal amounts as set forth below, plus interest accrued thereon, if any, to the date fixed for redemption (or payment), without premium:

Sinking Fund Installment/Maturity Date (November 15)	Sinking Fund Installment
2054	\$3,875,000
2055	4,085,000
2056	4,305,000
2057	4,535,000
2058 [†]	4,780,000

[†] Final Maturity.

Selection of Bonds for Redemption

Whenever provision is made in the Bond Indenture for the redemption of less than all of the Bonds of any maturity of a Series or any given portion thereof, the Bond Trustee shall select the Bonds to be redeemed, from all Bonds of such maturity subject to redemption or such given portion thereof not previously called for redemption, as directed in writing by the Corporation or, in the absence of direction, by lot.

Notice of Redemption

Notice of redemption shall be mailed by the Bond Trustee, not less than 20 days nor more than 60 days prior to the redemption date to the Authority and the respective Holders of Bonds called for redemption at their addresses appearing on the registration books of the Bond Trustee as of the date of the giving of such notice. Each notice of redemption shall state the date of such notice, the date of issuance of the Bonds, the redemption date, the Redemption Price, the place or places of redemption (including the name and appropriate address or addresses of the Bond Trustee), the maturity date, the CUSIP numbers, if any, and, in the case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice of redemption shall also state that, subject to the deposit of sufficient funds with the Bond Trustee on or prior to the redemption date to effect the redemption and to prior rescission as described in "Conditional Notice and Rescission of Notice" below, on that date there will become due and payable on each of the Bonds, the Redemption Price thereof or of the specified portion of the principal amount thereof in the case of a Bond to be redeemed in part only, together with interest accrued thereon to the redemption date, and that from and after such redemption date interest thereon shall cease to accrue, and shall require that such Bonds be then surrendered.

Conditional Notice and Rescission of Notice. Any notice of optional redemption or extraordinary optional redemption shall state (i) that it is conditioned upon the deposit with the Bond Trustee on or prior to the redemption date of moneys in an amount equal to the amount necessary to effect the redemption and may also be conditioned on any other conditions as may be set forth in the notice of redemption, and (ii) that the notice may be rescinded by written notice given to the Bond Trustee by the Corporation on or prior to the date specified for redemption, and in either of such cases such notice and redemption shall be of no effect if such moneys are not so deposited or if the notice is rescinded as described in the Bond Indenture. Any Bond for which a notice of redemption has been rescinded or for which sufficient funds to pay the Redemption Price thereof have not been deposited with the Bond Trustee on or prior to the redemption date shall remain outstanding and neither the rescission of the notice nor the failure to fund the Redemption

Price shall constitute an Event of Default under the Bond Indenture. The Bond Trustee shall give notice of such rescission or failure to fund the Redemption Price as soon thereafter as practicable in the same manner, and to the same Persons, as notice of such optional redemption was given.

Failure by the Bond Trustee to mail notice of redemption to any one or more of the respective Holders of any Bonds designated for redemption (or failure by any such Holder or Holders to receive the notice) shall not affect the sufficiency of the proceedings for redemption with respect to the Holders of Bonds to whom such notice was mailed.

Effect of Redemption

Notice of redemption having been given, and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Bond Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption shall become due and payable at the Redemption Price specified in such notice together with interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue from and after the redemption date, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Bond Indenture, and the Holders of said Bonds shall have no rights in respect of such Bonds except to receive payment of said Redemption Price and accrued interest to the date fixed for redemption from funds held by the Bond Trustee for such payment. All Bonds redeemed shall be canceled upon surrender thereof (and if applicable credited against Sinking Fund Installments), unless resold at the direction of the Corporation as described under “Purchase In Lieu of Optional Redemption.”

Purchase in Lieu of Optional Redemption

Notwithstanding the redemption provisions of the Bond Indenture, any Bonds subject to optional redemption as described under “Redemption—Optional Redemption” above shall also be subject to optional call for purchase by the Corporation and, at the option of the Corporation, holding, resale or cancellation by the Corporation (*i.e.*, a so-called purchase in lieu of redemption), at any of the same times as they would be subject to optional redemption and at the same purchase price equal to the Redemption Prices as are applicable to the optional redemption of such Bonds, in whole or in part. To exercise such option, the Corporation shall give the Bond Trustee a Written Request exercising such option as though such Written Request were a written request for redemption, and the Bond Trustee shall thereupon give the holders of the Bonds to be purchased notice of such purchase in the manner specified, and within the time period specified, under the heading “Notice of Redemption” as though such purchase by the Corporation were a redemption and the purchase of such Bonds shall be mandatory and enforceable against the holders. On the date fixed for purchase pursuant to any exercise of such option, the Corporation or its assignee shall pay the purchase price of the Bonds then being purchased to the Bond Trustee in immediately available funds, and the Bond Trustee shall pay the same to the sellers of such Bonds against delivery thereof. Following such purchase, the Bond Trustee shall cause such Bonds to be registered in the name of the Corporation or its assignee and shall deliver them to the Corporation or its assignee. In the case of the purchase of less than all of the Bonds, the particular Bonds to be purchased shall be selected in accordance with the provisions summarized under the heading “Selection of Bonds for Redemption” above. No purchase of the Bonds as described in this paragraph shall operate to extinguish the indebtedness of the Authority evidenced thereby (subject to all the terms and limitations contained in the Bond Indenture). Notwithstanding the foregoing, no purchase shall be made as described in this paragraph unless a Favorable Opinion of Bond Counsel has been delivered.

Conversion and Mandatory Tender of Bonds

At the option of the Corporation, all or a portion of the Series 2024B Bonds may be converted (a “Conversion”) to a different Interest Rate Mode, or to a new Fixed Period on any date on which the Series 2024B Bonds are subject to optional redemption as described in “Redemption—Optional Redemption” above. The Series 2024A Bonds are not subject to Conversion. “Bonds” in reference to Conversion shall mean only the Series 2024B Bonds. Any Conversion of the Bonds shall be in whole or in part in Authorized Denominations. All Bonds of a Series are required to bear interest in the same Interest Rate Period, subject to future designations as separate sub-series. The Bond Trustee shall give Electronic Notice of the Conversion and mandatory tender to the Holders of the Bonds subject to the Conversion, not less than 20 days prior to the Conversion Date. The Purchase Price of any Bonds so subject to mandatory tender will be equal to the optional Redemption Price of such Bonds, plus accrued interest, if any on such Bonds to the Conversion Date.

Such Conversion and mandatory tender will not take effect if (i) in the case of any Conversion of Bonds to any Interest Rate Mode (except a Direct Purchase Mode), prior to the Conversion Date the Corporation fails to appoint a Remarketing Agent and enter into a Remarketing Agreement, (ii) the Remarketing Agent fails to determine, when required, the interest rate or rates for the new Interest Rate Mode or Fixed Period, as applicable, (iii) the notice to Holders of Bonds of the Conversion is not given when required; (iv) sufficient funds are not available on the Conversion Date to purchase all of the Bonds required to be purchased on such Conversion Date, (v) not all of the Bonds are remarketed in the new Interest Rate Mode or new Fixed Period, as applicable, on the Conversion Date, or (vi) a Favorable Opinion of Bond Counsel is not delivered. Certain additional conditions apply to Conversions to certain Interest Rate Periods.

In connection with any proposed Conversion of the Bonds from the Initial Fixed Period to another Interest Rate Mode or to a new Fixed Period, the Corporation has the right to deliver to the Trustee and the Authority on or prior to 10:00 a.m., New York City time, on the second Business Day preceding the effective date of any such Conversion, a notice to the effect that the Corporation elects to rescind its election to make such Conversion. If the Corporation rescinds its election to make such Conversion, then the Interest Rate Period will not be converted, there will be no mandatory tender and the Bonds will continue to bear interest at the Fixed Rate or Fixed Rates as in effect immediately prior to such proposed Conversion.

If any condition precedent to the Conversion required under the Bond Indenture is not satisfied, there will be no mandatory tender and the Bonds will continue to bear interest at the Fixed Rate or Fixed Rates as in effect immediately prior to such proposed Conversion.

Book-Entry System

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully registered securities registered in the name of Cede & Co. (DTC’s partnership nominee). One fully registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX H – “BOOK-ENTRY SYSTEM.”

The Authority, the Bond Trustee and the Corporation cannot and do not give any assurances that DTC will distribute to DTC Direct and Indirect Participants or that DTC Direct and Indirect Participants, or others will distribute to the Beneficial Owners, payments of principal and Redemption Price of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. None of the Authority, the Bond Trustee or the Members of the Obligated Group is responsible or liable for the failure of DTC or any DTC Direct

Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or for any error or delay relating thereto.

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

General

The Bonds will be limited obligations of the Authority, payable solely from Revenues pledged under the Bond Indenture for such payment. Revenues consist primarily of Loan Repayments made pursuant to the Loan Agreement, payments made by the Obligated Group pursuant to the Series 2024 Obligation, and other funds held under the Bond Indenture (other than the Rebate Fund and the Bond Purchase Fund). In the Loan Agreement, the Corporation will agree to make Loan Repayments to the Bond Trustee, in an amount sufficient to pay the principal (or Redemption Price or Purchase Price) of, and interest on the Bonds, on the dates and at the places and in the manner specified in the Bond Indenture, including payments at the times and in the amounts equal to the amounts to be paid as principal of or interest on the Bonds, whether at maturity, upon redemption, by declaration of acceleration or otherwise. The Corporation also will agree to make additional payments, consisting generally of fees and expenses of the Authority and the Bond Trustee and professional fees associated with the Bonds. Payment of the principal of and interest on the Bonds will also be secured by any money and securities in the funds and accounts held by the Bond Trustee under the Bond Indenture, except for moneys and securities held in the Rebate Fund and the Bond Purchase Fund. See APPENDIX E – “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT—THE LOAN AGREEMENT.”

The Authority, pursuant to the Bond Indenture, will pledge to the Bond Trustee, and grant to the Bond Trustee, a security interest in and lien on, all of its right, title and interest in, to and under (i) all of the Revenues, (ii) each fund and each account established under the Bond Indenture (except the Rebate Fund and the Bond Purchase Fund) and all money, instruments, securities, investment property, and other property (including proceeds of the sale of the Bonds) on deposit in or credited to any fund or account established under the Bond Indenture (except the Rebate Fund and the Bond Purchase Fund), (iii) the Loan Agreement (except for certain rights of the Authority expressly granted to the Authority in the Bond Indenture or in the Loan Agreement, which include the rights to inspect books and records, to give or receive notices, approvals, consents, requests, and other communications, to receive payment or reimbursement for its fees and expenses, and to receive immunity from and limitation of liability, and indemnification), (iv) the Series 2024 Obligation and (v) all proceeds of the foregoing.

In the Loan Agreement, the Corporation also covenants, absent the occurrence and continuance of any event of default under the Master Indenture, to prepay the Loan Repayments relating to the Series 2024A Bonds, for so long as the Series 2024A Bonds remain Outstanding, by transferring the MonteCedro Initial Entrance Fees to the Initial Entrance Fee Redemption Account for the redemption or payment at maturity of the Series 2024A Bonds. See “MonteCedro Initial Entrance Fees—Covenant in Loan Agreement – Initial Entrance Fees.”

As security for its obligation to make the Loan Repayments, the Corporation, concurrently with the issuance with the Bonds, will issue the Series 2024 Obligation to the Bond Trustee in accordance with the Master Indenture and pursuant to which the Corporation and any future Members of the Obligated Group, jointly and severally, agree to make payments to the Bond Trustee in amounts sufficient to pay, when due, the principal, Redemption Price and Purchase Price of and interest on the Bonds.

The Master Indenture

General. The Master Indenture imposes certain limited covenants upon the Members of the Obligated Group for the benefit of the holders of Obligations (including the Series 2024 Obligation), including covenants, among others, relating to (i) the admission of a Member into and the withdrawal of a Member from the Obligated Group, (ii) limitations on mergers involving a Member, (iii) limitations on the creation of Liens by a Member, (iv) limitations upon the sale, lease or other disposition of Property of a Member, (v) limitations on Members' incurrence of Indebtedness, (vi) maintenance of a specified minimum debt service coverage ratio, and (vii) compliance with a liquidity covenant. See below for further summary of certain of these covenants and also see "FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3" in APPENDIX D.

Obligations. Under the Master Indenture, the Obligated Group Representative is authorized by the Members to incur, pursuant to a supplement to the Master Indenture, on behalf of the Members, Obligations to evidence or secure Indebtedness (or certain other obligations of a Member not constituting Indebtedness). The Members are jointly and severally liable with respect to the payment of each Obligation, including the Series 2024 Obligation, incurred under the Master Indenture. The Corporation has issued the Series 2024 Obligation under the Master Indenture to evidence its obligation to make Loan Repayments under the Loan Agreement. Payments of the principal of, premium, if any, and interest on the Series 2024 Obligation are required to be sufficient to pay the principal (or Redemption Price or Purchase Price) of and interest on the Bonds, when due.

Pledge of Gross Revenues and the Gross Revenue Fund. Pursuant to the Master Indenture, each Member of the Obligated Group pledges to the Master Trustee, and grants to the Master Trustee a security interest in, all its right, title and interest, to, and under the Gross Revenues and the Gross Revenue Fund and the proceeds thereof (collectively, the "Collateral") as security for the performance by each of the Members of its obligations under the Master Indenture. "Gross Revenues" means any and all revenues, rents, profits, earnings, interest, receipts, benefits, grants, donations, bequests, contributions, reimbursements, royalties, money, funds, cash proceeds, income, and other payments received by, on behalf of, or for the benefit of any Obligated Group Member from any source and regardless of form, in each case whether now owned or hereafter acquired, but excluding Restricted Moneys. Gross Revenues include, without limitation: (i) all entrance fees (earned and unearned), monthly service fees and all other operating and nonoperating revenues, (ii) proceeds derived from the Obligated Group Members' rights under agreements with insurance companies, Medicare, Medi-Cal, governmental units and prepaid health organizations, including rights to Medicare and Medi-Cal loss recapture under applicable regulations, (iii) gifts, grants, bequests, donations, contributions and pledges to any Obligated Group Member, (iv) insurance proceeds or any award, or payment in lieu of an award, resulting from condemnation proceedings, (v) all proceeds of the sale, condemnation, or other disposition of goods, inventory and other tangible and intangible property, and (vi) all proceeds from the rights to receive the foregoing.

Each Member of the Obligated Group agrees pursuant to the Master Indenture that, so long as any of the Obligations remain outstanding under the Master Indenture, all of the Gross Revenues of the Obligated Group will be deposited as soon as practicable upon receipt in one or more deposit accounts designated as the "Gross Revenue Fund," established with one or more designated banking institutions (each, a "Depository Bank"). In addition, each Member of the Obligated Group will agree to enter into one or more deposit account control agreements ("Account Control Agreements") with each Depository Bank and the Master Trustee. Gross Revenues and amounts in the Gross Revenue Fund will be permitted to be used and withdrawn by any Member at any time for any lawful purpose, except as provided in the Master Indenture. All Gross Revenues withdrawn by a Member from the Gross Revenue Fund as permitted by the Master Indenture will no longer be subject to the lien of the Master Indenture, nor will any bank account of the Members be subject to such lien other than the Gross Revenue Fund. Gross Revenues may be deposited

into other bank accounts of the Members before they are deposited into the Gross Revenue Fund or after they are withdrawn from the Gross Revenue Fund, and such other bank accounts are not subject to the lien of the Master Indenture.

The security interest in the Gross Revenues and the Gross Revenue Fund will be perfected to the extent, and only to the extent, that the security interest may be perfected by the filing of a UCC financing statement under the Uniform Commercial Code of the State of California and the entry into the Account Control Agreements. There may not be a perfected security interest in some or all of the Gross Revenues prior to the deposit of such Gross Revenues into the Gross Revenue Fund, nor will there be a perfected security interest in any Gross Revenues after they are withdrawn from the Gross Revenue Fund.

Even if the lien of the Master Indenture is perfected, the lien may not be of first priority. The security interest in Gross Revenues may be subordinated to the interests and claims of others in several circumstances (for instance liens on Gross Revenue Funds in favor of Depository Banks; statutory liens; liens in favor of the United States or an agency thereof; where assignment violates existing or future prohibitions on assignment under statute; and liens imposed through the exercise by courts of equitable powers). See also “Security and Enforceability—Certain Matters Relating to the Security Interest in Gross Revenues” below.

See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.2. Pledge of Gross Revenues.”

Membership and Withdrawal from the Obligated Group. Under certain conditions described in the Master Indenture, Members may be added to the Obligated Group from time to time and made jointly and severally liable with respect to the Series 2024 Obligation, and all other Obligations outstanding under the Master Indenture. Additionally, in accordance with the Master Indenture, Members may withdraw from the Obligated Group from time to time. See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.14. Membership in the Obligated Group” and “—Section 3.15. Withdrawal from the Obligated Group.”

Covenant Against Liens. Pursuant to the Master Indenture, each Member agrees that it will not create, assume or suffer to exist any Lien upon the Gross Revenues or its Property other than Permitted Encumbrances. See the definition of “Permitted Encumbrances” in APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 1.1. Definitions” and “—Section 3.5. Limitations on Encumbrances.”

Additional Indebtedness. Indebtedness in addition to the Bonds may be incurred by Members and secured on a parity with Obligations for the purposes, upon the terms and subject to the conditions provided in the Master Indenture. Each Member will be jointly and severally obligated for the payment of any and all amounts payable under each Obligation. Subject to the conditions therein, the Master Indenture also permits Members to incur secured and unsecured indebtedness in addition to Obligations and to enter into Guarantees. See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.6. Limitations on Additional Indebtedness.”

Debt Service Coverage. The Master Indenture requires that the Obligated Group maintain a Debt Service Coverage Ratio for each Fiscal Year of not less than 1.20:1. An event of default arising from the Debt Service Coverage Ratio under the Master Indenture will be triggered if one or more of the following conditions apply: (1) the Obligated Group: (i) fails to achieve a Debt Service Coverage Ratio of at least 1.20:1, and (ii) fails to take all necessary action to comply with the procedures set forth in the Master Indenture for preparing a report, adopting a plan, and following all recommendations contained in such report or plan to the extent feasible (as determined by the Governing Body of the Obligated Group

Representative) and permitted by law; (2) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for any Fiscal Year and the Days' Cash on Hand of the Obligated Group as of the last day of such Fiscal Year is less than 120 days; or (3) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for two consecutive Fiscal Years. See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.8. Rates and Charges; Debt Coverage.”

Liquidity Covenant. Pursuant to the Master Indenture, each Obligated Group Member is required to conduct its business so that on each June 30 and December 31 of each Fiscal Year (each such date being a “Testing Date”) the Obligated Group shall have not less than 120 Days Cash on Hand. Failure of the Obligated Group to achieve the required liquidity covenant for any Fiscal Year shall not constitute an event of default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth in the Master Indenture for preparing a report and adopting a plan and follows each recommendation contained in such report to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law. See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.10. Liquidity Covenant.”

Excluded Property. Pursuant to the Master Indenture, certain property defined as “Excluded Property” is excluded from the covenants under the Master Indenture, including the covenants relating to insurance, liens and dispositions. See APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 1.1 Definitions—Excluded Property.” Excluded Property also includes the property described in an Exhibit to the Master Indenture, which Exhibit can be amended if certain conditions described in the Master Indenture are satisfied. Currently, Excluded Property includes a single-family residence located near the MonteCedro, which the Corporation utilizes for its purposes that are not related to its primary operations. See also APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3—MASTER TRUST INDENTURE—Section 3.17. Additions to Excluded Property” and “—Exhibit C.”

Other Indebtedness. After giving effect to the issuance of the Bonds, the Obligated Group would have Outstanding Obligations in the aggregate principal amount of \$193,140,000, and the Series 2024 Obligation will represent 55% of such Outstanding Obligations. As of the date of this Official Statement, the currently Outstanding Obligations consist of two series of privately placed taxable bonds directly issued by the Corporation in 2022, subject to the terms of a bond purchase agreement (the “Series 2022 Bonds”). See APPENDIX A – “INFORMATION CONCERNING EPISCOPAL COMMUNITIES & SERVICES—HISTORICAL FINANCIAL INFORMATION—Summary of Outstanding ECS/Obligated Group Long-Term Debt as of October 31, 2023.”

Covenants Related to Other Indebtedness

The Corporation entered into a bond purchase agreement with certain financial institutions (collectively, the “Financial Institutions”) in connection with the issuance of the Series 2022 Bonds, which agreement (the “2022 Agreement”) contains certain covenants and restrictions (collectively, the “Covenants”) solely for the benefit of such Financial Institutions, which covenants are in addition to, and in certain cases more restrictive than, the covenants in the Master Indenture. These Covenants may be waived, modified or amended by the related Financial Institution in their sole discretion and without notice to or consent by the bond trustee of any outstanding bonds, the Bond Trustee, the Master Trustee, the holders of outstanding bonds, including the Bonds, the holders of any Obligations, including the Series 2024 Obligation, or any other Person. Violation of any of such Covenants may result in an event of default under the 2022 Agreement, which may result in an Event of Default under the Master Indenture, which could result in acceleration of all of the Obligations, including the Series 2024 Obligation.

Security and Enforceability

Security for Obligations. All Obligations issued and Outstanding under the Master Indenture are equally and ratably secured by the Master Indenture except to the extent specifically provided otherwise in the Master Indenture. Any one or more series of Obligations may, so long as any Liens created in connection therewith constitute Permitted Encumbrances, be secured by security (including, without limitation, letters of credit, lines of credit, insurance, Liens on Property of the Members, or security interests in a depreciation reserve, debt service or interest reserve or debt service or similar funds). Such security need not extend to any other Indebtedness (including any other Obligations or series of Obligations). Consequently, the Related Supplement pursuant to which any one or more series of Obligations is issued may provide for such supplements or amendments to the provisions of the Master Indenture, as are necessary to provide for such security and to permit realization upon such security solely for the benefit of the Obligations entitled thereto.

Certain Matters Relating to the Security Interest in Gross Revenues. The effectiveness of the security interest in Gross Revenues granted under the Master Indenture may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of interests in receivables due under the contracts with third-party payors (including proceeds thereof), and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of Gross Revenues with other moneys of the Members of the Obligated Group not so pledged under the Master Indenture; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed, conferred or otherwise imposed by a federal or state court in the exercise of equitable jurisdiction; (vi) federal bankruptcy laws which may affect the enforceability of the security interest in the Gross Revenues of the Members of the Obligated Group which are earned by the Members of the Obligated Group within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the any Member of the Obligated Group; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Master Trustee; (viii) claims that might arise if appropriate financing or continuation statements are not filed in accordance with the California Uniform Commercial Code as from time to time in effect; (ix) possible limitations upon the right of the Master Trustee, in the event of the bankruptcy of a Member of the Obligated Group, to collect and retain proceeds of accounts receivable from Medicare, Medicaid and other governmental programs; and (x) the rights of the residents and prospective residents in entrance fees paid to a Member of the Obligated Group. See also “The Master Indenture—Pledge of Gross Revenues and the Gross Revenue Fund.”

In addition to the limitations in connection with enforcing the above-described security interest in Gross Revenues, or possible impairment of priority of such security interest described above, it is possible that a court administering the insolvency or bankruptcy of a Member could determine that a Member's agreements with residents of continuing care retirement communities providing for the resident's payment of an entrance fee, with the Member agreeing to repay all or a portion of such residence fee in certain circumstances, should be characterized as, in effect, residential leases with the Member obligation to repay as substantially equivalent to a residential lessor's obligation to repay or refund a security deposit. This characterization could occur notwithstanding whether any residency agreements themselves generally contain provisions to the effect that they do not evidence a lease or other interest in real property, and that the resident does not have any security interest securing the Member repayment obligation. In such an event, a court might determine that one or more residents had a property or security interest in a portion of such Member's Gross Revenues that were derived from such residence fees and as a result, impose either temporary restrictions on the application of such Gross Revenues pending resolution on the merits of competing claims to such funds, or actually restrict in whole or in part the Master Trustee's right to exercise remedies and obtain control of such Gross Revenues on a permanent basis. In either case, delay or loss of

access to such funds could result in the Master Trustee realizing less from the Collateral than would otherwise be the case.

Limitations on Enforceability

The obligations of the Members of the Obligated Group under the Series 2024 Obligation and the Master Indenture will be limited to the same extent as the obligations of debtors are typically affected by bankruptcy, insolvency and the application of general principles of creditors' rights and as additionally described below. Although upon the issuance of the Bonds, the Corporation is the only Member of the Obligated Group, the Master Indenture permits the addition of other Members, as well as the withdrawal of Members, if certain conditions are met. The joint and several obligations described herein of the Members of the Obligated Group to make Required Payments on the Obligations issued pursuant to and under the Master Indenture may not be enforceable. See "Enforceability of the Series 2024 Obligation" below.

A Member of the Obligated Group may not be required to make any payment of any Obligation, or portion thereof, or the recipient of such payment may be compelled to return such payment, the proceeds of which were not lent or otherwise disbursed to such Member to the extent that such payment would conflict with, or would not be enforceable, prohibited or avoidable under applicable laws.

The legal right and practical ability of the Authority and the Bond Trustee to enforce their rights and remedies against the Corporation under the Bond Indenture and the Loan Agreement, and against the Corporation, the other Members of the Obligated Group or any future Member of the Obligated Group under the Series 2024 Obligation, and of the Master Trustee to enforce its rights and remedies against the Corporation, the other Members of the Obligated Group or any future Member of the Obligated Group under the Master Indenture, will depend upon the exercise of various remedies specified by such documents, which may in many instances require judicial actions that are often subject to discretion and delay or that otherwise may not be readily available or may be limited, or that may require direction of a percentage of holders of Obligations outstanding or provision of indemnification satisfactory to the Master Trustee as a condition to the Master Trustee taking remedial action.

Insufficiency of Assets. There exists common law authority and authority under various state statutes pursuant to which courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that the corporation has insufficient assets to carry out its stated charitable purposes or has taken some action that renders it unable to carry out its purposes. Such court action may arise on the court's own motion or pursuant to a petition of the attorney general of a particular state or other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

Amendments to Master Indenture, Bond Indenture and Loan Agreement. Certain amendments to the Master Indenture may be made with the consent of the holders of not less than a majority of the principal amount of outstanding Obligations. These amendments may adversely affect the security of the Holders of the Bonds, and a majority may be composed wholly or partially of the holders of Obligations other than the Series 2024 Obligation. Certain amendments to the Bond Indenture and the Loan Agreement may be made with the consent of the Holders of not less than a majority of the outstanding principal amount of the Bonds outstanding under the Bond Indenture. Such amendments may adversely affect the security of the Holders of the Bonds.

Bankruptcy. Should the Corporation, a Member or a future Member of the Obligated Group become the subject of a bankruptcy case, there could be adverse effects on the holders of the Bonds that could result in delays or reductions in payments on, or other losses with respect to, the Bonds.

If a Member of the Obligated Group is in bankruptcy, the parties (including the Bond Trustee, the Master Trustee, and the holders of the Bonds) may be prohibited from taking any action to collect any amount from such Member or to enforce any obligation of such Member, unless the permission of the bankruptcy court is obtained. These restrictions may also prevent the Bond Trustee and the Master Trustee from making payments to the holders of the Bonds from funds in the possession of the Bond Trustee or the Master Trustee. A rate covenant, or the covenant under the Master Indenture to maintain the Debt Service Coverage Ratio at a required level, may not be enforceable in bankruptcy by any party (including the Bond Trustee, the Master Trustee, and the holders of the Bonds).

If a Member of the Obligated Group goes into bankruptcy, such Member may not be required to turn over to the Bond Trustee or the Master Trustee any Gross Revenues that have not already been deposited in the Gross Revenue Fund. Any Gross Revenues collected after the commencement of the bankruptcy case will likely not be subject to the lien of the Master Indenture, and such Member may not be required to deliver such Gross Revenues to the Master Trustee, regardless of the provisions of the Master Indenture.

The Bond Trustee and the Master Trustee may be required to return to any Member of the Obligated Group that is in bankruptcy any Gross Revenues that became subject to the lien of the Master Indenture within the 90 days (or possibly one year) immediately preceding the filing of the bankruptcy petition. Payments previously made to the holders of the Bonds during the 90 days (or possibly one year) immediately preceding the filing of the bankruptcy petition may be avoided as preferential payments, so that the holders would be required to return such payments to the Member of the Obligated Group in bankruptcy.

If a Member of the Obligated Group is in bankruptcy, the obligation of such Member to make Required Payments on behalf of another Member of the Obligated Group may be unenforceable if a court determines that the Member in bankruptcy did not receive reasonably equivalent value in return for assuming the obligation to make Required Payments on behalf of the other Member and the Member in bankruptcy was insolvent at the time the Bonds were issued, at the time such Member became a Member, or at the time such Member made Required Payments on behalf of another Member. If such obligation of the Member in bankruptcy is unenforceable, then Required Payments previously made to the holders of the Bonds by such Member on behalf of another Member may be avoided as fraudulent or voidable transfers, so that the holders would be required to return such payments to the Member of the Obligated Group in bankruptcy.

A Member of the Obligated Group that is in bankruptcy may be able to borrow additional money that is secured by a lien on any of its property (including the Gross Revenues, or assets the cash proceeds of which would constitute Gross Revenues), which lien could have priority over the lien of the Master Indenture, as long as the bankruptcy court determines that the rights of the Bond Trustee, the Master Trustee, and the holders of the Bonds will be adequately protected. Such Member may be able to cause some of the Gross Revenues to be released to it, free and clear of the lien of the Master Indenture, as long as the bankruptcy court determines that the rights of the Bond Trustee, the Master Trustee, and the holders of the Bonds will be adequately protected.

If a Member of the Obligated Group is in bankruptcy it may be able, without the consent and over the objection of the Bond Trustee, the Master Trustee, and the holders of the Bonds, to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants

(including tax-related covenants), and other terms or provisions of the Bonds, as long as the bankruptcy court determines that the alterations are fair and equitable.

Actions also could be taken in a bankruptcy of a Member of the Obligated Group that could adversely affect the exclusion of interest on the Bonds from gross income for federal income tax purposes.

There may be delays in payments on the Bonds while the court considers any of these issues. There may be other possible effects of a bankruptcy of a Member of the Obligated Group that could result in delays or reductions in payments on the Bonds, or result in losses to the holders of the Bonds. Regardless of any specific adverse determinations in a bankruptcy of a Member of the Obligated Group, the fact of a bankruptcy of a Member of the Obligated Group could have an adverse effect on the liquidity and value of the Bonds.

Enforceability of the Series 2024 Obligation. The joint and several obligations described herein of each Member of the Obligated Group to make Required Payments on the Series 2024 Obligation may not be enforceable under any of the following circumstances:

(i) to the extent payments on the Series 2024 Obligation are requested to be made from assets of a Member which are donor-restricted, or which are subject to a direct, express or charitable trust that does not permit the use of such assets for such payments;

(ii) if the purpose of the debt created and evidenced by the Series 2024 Obligation is determined to be not consistent with the charitable purposes of the Member from which such payment is requested or required, or if the debt was incurred or issued for the benefit of an entity other than a nonprofit corporation that is exempt from federal income taxes under Section 501(a) of the Code as a 501(c)(3) organization and is not a “private foundation” as defined in Section 509(a) of the Code;

(iii) to the extent payments on the Series 2024 Obligation would result in the cessation or discontinuation of any material portion of the health care or related services previously provided by such Member; or

(iv) if and to the extent payments are requested to be made pursuant to any loan violating applicable usury laws.

These limitations on the enforceability of the joint and several obligations of the Members of the Obligated Group on the Series 2024 Obligation also apply to their obligations on all Obligations. If the obligation of a particular Member of the Obligated Group to make payment on a Obligation is not enforceable and payment is not made on such Obligation when due in full, then Events of Default will arise under the Master Indenture.

The various legal opinions delivered concurrently with the issuance of the Bonds are qualified as to the enforceability of the various legal instruments by bankruptcy, insolvency, reorganization, receivership, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors’ rights, to the application of equitable principles, and to the exercise of judicial discretion in appropriate cases.

MonteCedro Initial Entrance Fees

Covenant in Loan Agreement – Initial Entrance Fees

In the Loan Agreement, absent the occurrence and continuance of any event of default under the Master Indenture, for so long as the Series 2024A Bonds remain Outstanding, the Corporation covenants to prepay the Loan Repayments relating to the Series 2024A Bonds as follows: For each newly-constructed independent living unit at the property commonly known as MonteCedro, no later than five (5) Business Days after the date the cancellation or rescission period as required by Health & Safety Code Section 1788.2(a) ends (which, as of the date hereof, is 90 days from the date of initial occupancy), the Corporation will transfer all MonteCedro Initial Entrance Fees received by the Corporation related to such unit to the Bond Trustee for deposit in the Initial Entrance Fee Redemption Account; provided that no transfer is required if amounts on deposit in the Initial Entrance Fee Redemption Account are sufficient to redeem the Series 2024A Bonds in whole. The Corporation agrees that amounts on deposit in the Initial Entrance Fee Redemption Account are irrevocably dedicated in escrow to the redemption or payment at maturity of the Series 2024A Bonds. The obligations of the Corporation under Loan Agreement are secured solely by the Series 2024 Obligation under the Master Indenture, which obligation is on a parity with the other Obligations issued under the Master Indenture, and the agreements set forth in the preceding sentences of this paragraph do not result in the creation or existence of any other lien. Upon the occurrence and continuance of any event of default under the Master Indenture, the Corporation will not be obligated to make such prepayments or transfer any MonteCedro Initial Entrance Fees to the Bond Trustee.

“Initial Entrance Fees” means fees received upon the initial occupancy of any newly-constructed independent living units that are part of a project (including any such fees collected for the purpose of obtaining a parking space) not previously occupied, other than security deposits, monthly rentals or monthly service charges, paid to a Member by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, residency agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, residency agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“MonteCedro Initial Entrance Fees” are Initial Entrance Fees for the newly constructed independent living units at the property commonly known as MonteCedro.

Initial Entrance Fee Redemption Account Established under the Bond Indenture

Pursuant to the Bond Indenture, the Bond Trustee shall establish and maintain with the Bond Trustee in trust a separate account to be known as the Initial Entrance Fee Redemption Account.

Twenty-five days prior to each Initial Entrance Fee Redemption Date (which is each February 15, May 15, August 15 and November 15, commencing February 15, 2026), the Bond Trustee shall determine the maximum amount of Series 2024A Bonds that may be redeemed in accordance with the provisions of the Bond Indenture described herein under “THE BONDS—Redemption—Mandatory Extraordinary Redemption from Initial Entrance Fees—Series 2024A Bonds” from amounts then on deposit in the Initial Entrance Fee Redemption Account (with interest accrued on such Series 2024A Bonds to the date of redemption being paid from the Capitalized Interest Fund to the extent amounts are available therefor), and the Bond Trustee shall redeem the Series 2024A Bonds called for redemption on each Initial Entrance Fee Redemption Date, pursuant to the provisions of the Bond Indenture described above under “THE

BONDS—Redemption—Optional Redemption” or “—Mandatory Extraordinary Redemption from Initial Entrance Fees—Series 2024A Bonds” (or paying such Series 2024A Bonds at its Maturity Date).

Any amounts remaining on deposit in the Initial Entrance Fee Redemption Account when all of the Series 2024A Bonds are no longer Outstanding shall be withdrawn by the Bond Trustee and transferred to the Corporation, so long as the Corporation is not in default of any of its obligations under the Loan Agreement, after which the Initial Entrance Fee Redemption Account shall be closed.

Certain Investment Considerations

The following are certain investment considerations associated with the mandatory extraordinary redemption of the Series 2024A Bonds pursuant to the provisions of the Bond Indenture described under “THE BONDS—Redemption—Mandatory Extraordinary Redemption from Initial Entrance Fees—Series 2024A Bonds” and “Initial Entrance Fee Redemption Account Established under the Bond Indenture” above, and the provisions of the Loan Agreement described under “Covenant in Loan Agreement – Initial Entrance Fees” above.

(a) Any mandatory extraordinary redemption of the Series 2024A Bonds is dependent on the timing and amount of MonteCedro Initial Entrance Fees transferred to the Bond Trustee, which is dependent on the receipt of the MonteCedro Initial Entrance Fees from residents of the independent living units as they occupy such units. See APPENDIX C – “CONSULTANT REPORT” for a projection of the timing of receipt of entrance fees. If such assumptions are achieved, the final mandatory extraordinary redemption of the Series 2024A Bonds would occur on or around May 15, 2026. The assumptions included within the Consultant Report, while believed by the Corporation to be reasonable, may differ from actual experience, and the pace of entrance fee payments and resulting mandatory extraordinary redemption of the Series 2024A Bonds may be faster or slower than assumed. There is no obligation to redeem or pay the Series 2024A Bonds prior to their maturity except from entrance fee payments received, when, as, and if the same are transferred to the Bond Trustee by the Corporation.

(b) The obligations of the Corporation described under “Covenant in Loan Agreement – Initial Entrance Fees” are secured solely by the Series 2024 Obligation, which obligation is on a parity with the other Obligations issued under the Master Indenture. The payment of Loan Repayments with respect to the Series 2024A Bonds and the Series 2024B Bonds are secured on the same basis by the Series 2024 Obligation. The Holders of the Series 2024A Bonds do not receive the benefit of any lien on the MonteCedro Initial Entrance Fees that is superior to the other Obligation holders under the Master Indenture.

(c) Upon the occurrence and continuance of any event of default under the Master Indenture, the Corporation is under no obligation to transfer any MonteCedro Initial Entrance Fees to the Bond Trustee. See also “Limitations on Enforceability” above and “BONDHOLDERS’ RISKS—Limitations under Bankruptcy and Fraudulent Conveyances Statutes” below.

Limited Liability of the Authority

THE BONDS SHALL NOT BE DEEMED TO CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, OR A PLEDGE OF THE FAITH AND CREDIT OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS THEREFOR PROVIDED. NEITHER THE STATE OF CALIFORNIA NOR THE AUTHORITY SHALL BE OBLIGATED TO PAY THE PRINCIPAL, OR REDEMPTION PRICE OR PURCHASE PRICE OF THE BONDS, OR THE INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED

UNDER THE LOAN AGREEMENT, THE SERIES 2024 OBLIGATION AND THE OTHER ASSETS PLEDGED UNDER THE BOND INDENTURE, AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OR REDEMPTION PRICE OR PURCHASE PRICE OF THE BONDS, OR THE INTEREST ON THE BONDS. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE AUTHORITY HAS NO TAXING POWER.

BONDHOLDERS' RISKS

The purchase and ownership of the Bonds involves investment risks that are discussed throughout this Official Statement. Prospective purchasers of the Bonds should evaluate all of the information presented in this Official Statement. This section on Bondholders' Risks focuses primarily on the general risks associated with the operations of continuing care retirement communities, whereas APPENDIX A describes the Corporation and the Obligated Group specifically. These should be read together.

General; Uncertainty of Revenues

As set forth above under "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS," the Bonds will be payable solely from the Loan Repayments required to be made by the Corporation under the Loan Agreement, Required Payments by the Obligated Group on the Series 2024 Obligation and the money and investments in the various funds and accounts held by the Bond Trustee under the Bond Indenture. The Bonds do not constitute a debt, liability or obligation of the Authority, the State or any political subdivision thereof, and are not payable in any manner from taxation. The Authority has no taxing power. The ability of the Obligated Group to realize revenues in amounts sufficient to pay principal (including Redemption Price or Purchase Price) of and interest on the Bonds when due is affected by and subject to conditions which may change in the future to an extent and with effects that cannot be determined at this time. No representation or assurance can be made that revenues will be realized by the Obligated Group in amounts sufficient to provide funds for payments of the principal (including Redemption Price or Purchase Price) of and interest on the Bonds when due and to make all other payments necessary to meet the obligations of the Obligated Group. None of the provisions of the Master Indenture provide any assurance that the obligations of the Obligated Group will be paid as and when due if any Member of the Obligated Group becomes unable to pay its debts as they come due or otherwise becomes insolvent.

The receipt of future revenues by the Corporation will be subject to, among other factors, federal and state policies affecting the senior housing and health care industries (including changes in reimbursement rates and policies), increased competition from other senior housing and health care providers, the capability of the management of the Corporation and future economic and other conditions that are impossible to predict. The extent of the ability of the Corporation to generate future revenues has a direct effect upon the payment of principal (or Redemption Price or Purchase Price) of, and interest on, the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

This discussion of risk factors is not, and is not intended to be, exhaustive. See also "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—Security and Enforceability" and "—Limitations on Enforceability."

Forecast

Management's financial forecast contained in the Financial Consultant Report (the "Consultant Report") attached as APPENDIX C – "CONSULTANT REPORT" hereto is based upon assumptions made by the management of the Corporation. As stated in such financial forecast, there will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the fiscal years ending June 30, 2024 to 2028 and consequently does not cover the whole period during which the Bonds may be outstanding. **The Consultant Report should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C – "CONSULTANT REPORT."

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT THE FINANCIAL FORECAST IN THE CONSULTANT REPORT WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE RETIREMENT LIVING AND HEALTH CARE INDUSTRIES, AND GENERAL ECONOMIC CONDITIONS.

COVID-19 Pandemic or Other Pandemics or Public Health Emergency Could Adversely Impact Operations and Financial Condition

The business and financial results of the Corporation, the current sole member of the Obligated Group, may be harmed by an international, national or localized outbreak of a highly contagious or epidemic disease. The novel coronavirus ("COVID-19"), including its variants, may put stress on the Corporation and have numerous and varied medical, economic, and social impacts, any and all of which may adversely affect the Corporation's business and financial results.

The federal Coronavirus Aid, Relief, and Economic Security Act ("CARES Act") created a "Public Health and Social Services Emergency Fund" to reimburse eligible health care providers for "health care related expenses or lost revenues that are attributable to coronavirus" ("Provider Relief Fund"). Payments in excess of health care-related expenses or lost revenue attributable to coronavirus were required to be repaid. The retention of funds from the Provider Relief Fund is conditioned on eligibility and the acceptance of terms and conditions, and other guidelines or requirements that may change from time to time, including with respect to recordkeeping and repayment requirements. The U.S. Department of Health and Human Services ("HHS") is actively auditing Provider Relief Fund recipients to ensure compliance with the terms and conditions thereof. Failure to comply with such terms and conditions could result in recoupment, False Claims Act liability, or other penalty.

The public health emergency associated with coronavirus ended on May 11, 2023, resulting in the conclusion of many of the regulatory flexibilities and waivers granted by the federal government under public health emergency authority. Many of the federal and state legislative and regulatory measures allowing for flexibility in delivery of care and financial support for healthcare providers were available only for the duration of the COVID-19 public health emergency. Most states, including California, have ended their state-level emergency declarations. Although the federal government may consider future COVID-19 emergency response and relief legislation, the content and passage of any such legislation is uncertain. It is not yet clear what impact the withdrawal of any regulatory flexibilities will have, and there can be no assurance that it will not have a material negative financial impact on the Corporation.

Economic Downturn or Other Unfavorable Economic Conditions

The United States economy is unpredictable. Economic downturns and other unfavorable economic conditions have previously impacted the health care industry's business and financial condition, and as described above, the COVID-19 pandemic has and may continue to adversely impact the United States economy. If general economic conditions worsen the Corporation may not be able to sustain future profitability, and its liquidity and ability to repay outstanding debt, including debt service on the Bonds, may be adversely affected. Broad economic factors—such as inflation, unemployment rates or instabilities in consumer demand and consumer spending—could affect the Corporation's volumes and its ability to collect outstanding receivables.

Failure to Achieve Sufficient Occupancy and to Maintain Turnover or Occupancy

The ability of the Corporation to generate sufficient revenues is dependent, among other things, upon the ability of the Corporation to attract sufficient numbers of residents to its Communities and turnover of occupancy throughout the term of the Bonds. The ability of the Corporation to achieve and then to maintain substantial occupancy depends to some extent on factors outside its control. The success of the Communities is dependent on numerous factors including (but not limited to): the maintenance of high future occupancy levels at the Communities by eligible residents who will be able to pay the fees charged, the capabilities of the management of the Communities, the availability of alternative housing opportunities in the general area and future economic and other conditions which are unpredictable. See "BONDHOLDERS' RISKS—General Risks of the Communities" and "—Nature of the Income of the Elderly." Any of these factors may affect revenues and payments on the Bonds. No representation or assurance can be made that revenues will be realized by the Obligated Group in amounts sufficient to make the required payments on the Bonds. See APPENDIX C – "CONSULTANT REPORT."

Regulatory Matters

General. Health and senior care communities and facilities are subject to regulation by state, local and other regulatory or accrediting agencies created to oversee planning and development of health care resources and services, and other federal, state and local governmental agencies. Renewal and continuance of certain licenses, certifications and accreditations issued by these agencies are based on inspections, surveys, audits, investigations or other reviews, some of which may require or include affirmative action or response by the management of the Corporation. These activities generally are conducted in the normal course of business. Nevertheless, an adverse result could be the cause of loss or reduction in a Community's scope of licensure, certification or accreditation or could reduce payments received. In certain instances, failure to comply with the guidelines promulgated by such agencies can result in penalties to a Community (including fines or loss of licensure, certification, accreditation or eligibility for certain reimbursement programs).

Compliance. State licensing requirements are subject to change, and there can be no assurance that the Corporation will be able to maintain all licenses needed to operate its Communities as planned or that it will not incur substantial costs in doing so. Failure to comply with state licensing or certification requirements could result in the loss by the Corporation of the right to conduct all or a portion of its business. Further, the Communities are subject to periodic inspection by governmental and other regulatory authorities to assure continued compliance with various standards and to provide for continued licensing under state law.

From time to time, the Corporation may receive notices from state regulatory agencies relating to alleged deficiencies for failure to comply with components of the licensure regulations. While the Corporation will endeavor to comply with all applicable regulatory requirements, it may become subject

from time to time to various sanctions and penalties resulting from deficiencies alleged by state survey agencies or even threats to revoke licensure in certain instances. There can be no assurance that the Obligated Group will not be subject to sanctions and penalties in the future as a result of such actions.

Other Government Regulation. The Communities are and will continue to be subject to rules and regulations promulgated by various agencies and bodies of federal, State and local governments which have jurisdiction over such matters as health care, employment, safety, traffic and health. State and local regulators can impact the operations of the Communities in a variety of ways, including by shutting down the Communities due to an outbreak relating to an epidemic, including, but not limited to, COVID-19. The impact of such rules and regulations on the Communities is unknown and cannot be predicted. Future orders, pursuant to existing or subsequently enacted rules or regulations, may require the expenditure by the Corporation of substantial sums to effect compliance.

State Regulation of the Senior Care and Housing Sector

All three of the Communities are continuing care retirement communities (“CCRCs”). CCRCs generally provide housing, meals, residential services, other amenities and certain healthcare services to individuals of retirement age who, initially, live independently in their own apartments. The operation of CCRCs usually involves (i) a written contract under which the provider of continuing care services agrees to provide the resident of the community with accommodations, meals, laundry services, housekeeping, social and recreational activities, assisted living services and certain health-related care; (ii) the payment of an entrance fee and monthly service fees (often varying in amount according to the size of a resident’s residential living apartment and to the level of care a resident requires) by each resident designed to meet all general costs of the community’s operation; (iii) the existence on the premises of specialized units for assisted living and sometimes a skilled nursing facility; and (iv) the provision of facilities and services generally designed to meet the social, physical and psychological needs of residents.

The Corporation’s CCRCs consist of licensed Residential Care Facilities for the Elderly (“RCFEs”). RCFEs are facilities for residents requiring nonmedical care and supervision such as assistance with bathing, dressing and reminders to take medication. RCFEs must make available to residents three meals a day and round-the-clock supervision by at least one staff member. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to revocation due to, among other things, failure to satisfactorily pass annual inspections conducted to ensure safety and preservation of regulations for the operation of the facilities. The Corporation has obtained licenses from the California Department of Social Services (“DSS”) for its facilities as RCFEs and, in the opinion of management of the Corporation, operates its facilities in a manner consistent with all applicable federal, state and local laws, regulations, rules and ordinances. For more detailed information regarding the Communities as to such operational matters, see APPENDIX A.

Certain of the Corporation’s CCRCs previously included skilled nursing facilities that were separately licensed by the California Department of Public Health. Effective June 30, 2023, none of the Communities are licensed as skilled nursing facilities (“SNF”).

Generally, an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the transfer of consideration for the purpose of assuring care or related services is regarded as a continuing care contract and is subject to regulation under the California Health and Safety Code. Any person or organization agreeing to provide such care must first obtain: (i) one or more written licenses to operate a RCFE from DSS pursuant to Division 2, Chapter 3.2 of the Health and Safety Code; (ii) where there is a SNF on the premises, one or more written licenses to operate such facility from the California Department of Public Health (“DPH”) pursuant to Division 2, Chapter 2 of the Health and Safety Code; and (iii) a certificate of authority

(“Certificate of Authority”) from DSS pursuant to Chapter 10 of Division 2 of the Health and Safety Code, to enter into continuing care contracts with residents.

A provider under a continuing care contract (a “Continuing Care Provider”) must maintain at all times qualifying assets (“Qualifying Assets”) as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code (the “Debt Service Reserve Amount”) and (b) the amount the Continuing Care Provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code (the “Operating Expense Reserve Amount”). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the provider during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the provider; (ii) facility rental or leasehold payments, and any related payments, paid by the provider during the immediately preceding fiscal year; and (iii) all payments paid by the Continuing Care Provider during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days’ net operating expenses, which includes all expenses of the Continuing Care Provider except (w) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (x) depreciation or amortization expenses, (y) an amount equal to the reimbursement paid to the Continuing Care Provider during the past 12 months for services to residents other than residents holding continuing care contracts, and (z) extraordinary expenses that DSS determines may be excluded by the Continuing Care Provider. A Continuing Care Provider that has been in operation for less than 12 months calculates its net operating expenses by using its actual expenses for the months it has operated and, for the remaining months, the projected net operating expense amounts it submitted to DSS as part of its application for a Certificate of Authority. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. A Continuing Care Provider is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Continuing Care Provider is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts.

Any provider offering refundable contracts is required to maintain a refund reserve in trust for each resident holding a refundable contract. The amount of the reserve for each resident is calculated by multiplying the refundable portion of the resident’s entrance fee by a factor, using an interest rate of six percent or less from compound interest tables, that will grow at the assumed compound interest rate to one dollar at the end of the resident’s life expectancy. A contract is not deemed refundable and a provider does not need to establish a refund reserve where the provider’s obligation to repay all or part of the resident’s entrance fee is conditioned upon re-occupancy of the apartment and where the conditional repayment promise is not referred to as a “refund.”

A California law applicable to entrance fee agreements entered into on or after January 1, 2017, requires payment of interest on amounts not repaid within specified periods after termination of the agreement. See “Legislation Affecting Repayable Entrance Fee Contracts” below.

A Continuing Care Provider must also file an annual audit and report with DSS within four months after the end of such Continuing Care Provider’s fiscal year. In addition, a Continuing Care Provider must file, on an annual basis, a report disclosing operational data, margin ratios, liquidity indicators and capital structure indicators and ratios. Any forms, including the form of any exhibit, attachment or addendum

referred to or incorporated by reference in a continuing care contract, must be filed with and approved by DSS prior to its implementation.

A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the Continuing Care Provider has done any of the following: (i) violated the statutes, or the rules and regulations governing continuing care (the “Continuing Care Law”); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificates of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificates of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of such a Certificate by a Continuing Care Provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

There is no guarantee that the Corporation’s Certificates of Authority and licenses to operate the applicable Communities will not be suspended, conditioned or revoked. Further, there is no assurance that future legislation in California will not have an adverse impact on the ability of the Corporation to operate the Communities as now operated. To date, the Corporation’s existing Certificates of Authority have never been suspended, conditioned or revoked.

In addition to suspending, limiting or revoking a Certificate of Authority, if a Continuing Care Provider fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS’s approval of a plan submitted, is unable fully to perform its obligations under continuing care contracts or residents are otherwise placed in serious jeopardy, DSS may petition the superior court in the county in which such community is located for an order appointing a qualified administrator to operate the community and its assets.

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the Continuing Care Provider is located. If at any time DSS determines that further efforts to rehabilitate the Continuing Care Provider would not be in the best interest of the residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS is required to revoke the Continuing Care Provider’s Certificate of Authority.

Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership (including the granting of any interest in the community, such as a mortgage or deed of trust) of a continuing care retirement community without the approval of DSS. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a license to operate as a continuing care retirement community, a provider must also record a Notice of Statutory Limitation on Transfer with respect to the real property on which the community is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the continuing care retirement community property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the transfer or sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents and depositors. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and Certificate of Authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts. The Corporation has recorded the foregoing statutory limitation on transfer with respect to the Communities listed in the following paragraph.

All three of the Communities hold an active Certificate of Authority. See "THE COMMUNITIES" in APPENDIX A.

From time to time, the Corporation may receive notices from federal and state regulatory agencies relating to alleged deficiencies for failure to comply with any components of licensing or other applicable regulations. There can be no assurance that the Corporation will not be subject to sanctions and penalties in the future as a result of such actions.

For information regarding risk of suspension or revocation of any of the Corporation's licenses, see "BONDHOLDERS' RISKS—Regulatory Matters" and "—State Regulation of the Senior Care and Housing Sector."

General Risks of the Communities

There are many diverse factors not within the Corporation's control that have a substantial bearing on the risks generally incident to the operation of its Communities. These factors include generally imposed fiscal policies, adverse use of adjacent or neighboring real estate, the ability to maintain the Communities, community acceptance of the Communities, changes in demand for the Communities, changes in the number and type of competing communities and facilities, changes in the costs of operation of the Communities, changes in the laws of the State affecting assisted living programs, the limited income of the elderly, changes in the assisted living and health care industries, difficulties in or restrictions on the Corporation's ability to raise rates charged, general economic conditions and the availability of working capital. In recent years, a significant number of retirement communities and facilities throughout the United States have defaulted on various financing obligations or otherwise have failed to perform as originally expected. There can be no assurance the Communities will not experience one or more of the adverse factors that caused other communities to fail. Many other factors may adversely affect the operation of communities like the Communities and cannot be determined at this time.

Sale of Personal Residences

Prospective residents of the Corporation's communities may be required to sell their current homes to pay the entrance fee prior to occupancy or to meet other financial obligations under their residency

agreements. If prospective residents encounter difficulties in selling their current homes or can only sell at reduced prices due to local or national conditions affecting the sale or purchase of residential real estate, or if the net sale proceeds are lower than expected because of liens and encumbrances that must be paid to close the sale, such prospective residents may not have sufficient funds to pay the entrance fee or to meet other financial obligations under their residency agreements, thereby causing a delay in scheduled occupancy of the Corporation's communities or requiring the remarketing of vacated units, either of which would have an adverse impact on the revenues of the Corporation.

Nature of the Income of the Elderly

A large percentage of the monthly income of the residents of the Communities is fixed income derived from pensions, investments and Social Security. In addition, some future residents will be liquidating assets in order to pay the monthly and other fees. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, some residents may have difficulty paying or may be unable to pay such increased fees. Due to the delicensing of skilled nursing services at the Communities as of June 30, 2023, the source of future operating revenue derived from the Communities will be 100% private pay. The Corporation's inability to collect from residents the full amount of their payment obligations may jeopardize the ability of the Obligated Group to pay amounts due under the Loan Agreement.

Completion of the Construction Projects

See "PLAN OF FINANCE" and APPENDIX A – "INFORMATION CONCERNING EPISCOPAL COMMUNITIES & SERVICES—CAMPUS EXPANSION AND REDEVELOPMENT PROJECT" for a discussion of the Project. There are no assurances that the Corporation's ongoing and future construction projects will be completed, or that such construction projects can be completed for the cost and within the time projected by the Corporation. It is possible that failure to complete the construction projects, or to complete them in a timely fashion at the estimated cost, or the failure to enroll residents at the affected communities once the construction projects are completed, could adversely affect the ability of the Obligated Group to generate sufficient revenues to conduct its planned operations and to make payments with respect to the Bonds.

While the Corporation has entered into a Guaranteed Maximum Price construction contract (the "Construction Contract"), dated as of September 19, 2023, with C.W. Driver, LLC, as general contractor for the MonteCedro Project for a guaranteed maximum price, the guaranteed maximum price will be subject to modification as change orders to the Construction Contract are approved and executed. Whether or not the construction projects, including the MonteCedro Project, will be completed on schedule and within the projected cost depends upon a large number of factors, many of which are beyond the control of the Corporation or the Obligated Group. These include, but are not limited to, design, engineering or construction problems, including design defects or omissions, and resulting change orders, utility relocation problems, inclement or severe weather conditions, earthquakes, adverse weather conditions including flooding, high winds or fires, power or water outages, strikes, delays in the delivery of or shortages of materials, unexpected increases to the cost of labor, materials or insurance coverage, bankruptcy of the primary contractor or their respective subcontractor, delays in the issuance of required building permits, environmental restrictions or compliance with hazardous material laws or similar unknown or unforeseeable contingencies and other force majeure events. Further, there can be no assurance that the construction projects will conform to construction specifications or state or local regulations. The occurrence of any of the foregoing could result in increases in construction costs or considerable delays in, or complete impossibility of, completion of any of the construction projects, resulting in a failure to achieve anticipated operating results. Construction costs could exceed the amounts originally forecast due to a number of factors.

Rate Setting

Future legislation granting full or partial rate fixing authority to a State or federal agency could prevent the Corporation from increasing rates adequately to cover potential increases in its operating costs or other expenses.

Future Federal and State Actions

New federal and State legislative proposals are likely to be considered in the future to regulate or alter the methods of financing and delivery of health care services, to further reduce payments and change payment methodology under the Medicare or Medicaid programs, to enhance competition in the health care industry and health care cost containment, to curtail the installation of new health care facilities, and to mandate minimum levels of charity or free care required to be provided by tax-exempt health care providers. Any new legislation or government policies, if enacted into law, could adversely affect the revenues and operations of the Obligated Group. The Communities currently do not provide services under the Medicare or Medicaid programs.

It is impossible to predict the impact of future financial challenges to the federal or State economy, including threat of future recessions, changes in federal spending policy and other events that could result in budget deficits, federal or State legislative actions, or ballot initiatives that might affect the Obligated Group.

Government Health Program Regulations Governing Fraud and Abuse and Certain Referrals

Federal and state health care fraud and abuse laws generally regulate services furnished to beneficiaries of federal and state and private health insurance plans, and they impose penalties for improper billing and other abuses. Under these laws, health care providers may be punished for billing for services that were not provided, not medically necessary, provided by an improper person, accompanied by an illegal inducement to use or not use another service or product, or billed in a manner that does not comply with applicable government requirements. Violations of these laws are punishable by a range of criminal, civil and administrative sanctions. If the Communities violate any one of the fraud and abuse laws, among other possible sanctions, federal or state authorities could recover amounts paid, exclude the Communities from participation in the Medicare or Medicaid programs, impose civil money penalties, and suspend Medicare payments. The federal government (and individuals acting on its behalf) have brought many investigations, prosecutions and civil enforcement actions under the fraud and abuse laws in recent years. In some cases, the scope of the fraud and abuse laws are so broad that they may result in liability for business transactions that are traditional or commonplace in the health care industry.

Following is a list of certain fraud and abuse laws and regulations. Since the Communities currently do not provide services under the Medicare or Medicaid programs, only Medicare or Medicaid payments for past services provided by the Obligated Group are affected by such laws and regulations as they relate to payments under the Medicare and Medicaid programs.

Federal Anti-Kickback Law. The federal “Anti-Kickback Law” is a statute with both criminal and civil liability that prohibits anyone from knowingly or willfully soliciting, receiving, offering or paying any remuneration, directly or indirectly, overtly or covertly, in cash or in kind, in return for a referral (or to induce a referral) for any item or service that is paid by any federal or state health care program. The ACA amended the Anti-Kickback Law to clarify that a party need not have knowledge of the Anti-Kickback Law or a specific intent to violate the Anti-Kickback Law to nevertheless violate the Anti-Kickback Law. Violations or alleged violations of the Anti-Kickback Law may result in settlements that require multi-million-dollar payments and costly corporate integrity agreements. The Anti-Kickback Law can be

prosecuted either criminally or civilly. Because the law is broadly applied and safe harbors are narrowly drawn, there can be no assurance that a Member of the Obligated Group will not be found in violation of the Anti-Kickback Law in the future.

False Claims Act. The federal False Claims Act (“FCA”) makes it illegal to submit or present a false or fraudulent claim for which the federal government provides or reimburses at least some portion of the requested money or property and may, under certain circumstances, include claims that are simply erroneous. Violation of the FCA can result in civil money penalties and fines, including treble damages. FCA investigations and cases have become common in the health care field and may cover a range of activity from intentionally inflated billings, to highly technical billing infractions, to allegations of inadequate care. Private individuals may initiate actions on behalf of the federal government in lawsuits called qui tam actions. The plaintiffs, or “whistleblowers,” can recover significant amounts from the damages awarded to the government. FCA penalties apply to any person, including an organization that does not contract directly with the federal government, who knowingly makes, uses or causes to be made or used, a false record or statement material to a false or fraudulent claim paid in part by the federal government. Violation or alleged violation of the FCA often results in settlements that require multi-million dollar payments and compliance agreements.

Civil Monetary Penalties Law. The Civil Monetary Penalties Law (“CMPL”) in part authorizes the government to impose money penalties against individuals and entities committing a variety of acts. For example, penalties may be imposed for the knowing presentation of claims that are (i) incorrectly coded for payment, (ii) for services that are known to be medically unnecessary, (iii) for services furnished by an excluded party, or (iv) otherwise false. An entity that offers remuneration to an individual that the entity knows is likely to induce the individual to receive care from a particular provider may also be fined. Moreover, a provider may not knowingly make a payment, directly or indirectly, to a physician as an inducement to reduce or limit services to Medicare patients under the physician’s direct care. The ACA amended the CMPL to authorize civil money penalties for a number of additional activities, including (i) knowingly making or using a false record or statement material to a false or fraudulent claim for payment; (ii) failing to grant the Office of Inspector General timely access for audits, investigations or evaluations; and (iii) failing to report and return a known overpayment within statutory time limits. Violations of the CMPL can result in substantial civil money penalties.

State “Fraud,” “False Claims,” Anti-Kickback and Anti-Referral Laws. Health care providers in California are subject to a variety of State of California laws related to false claims (similar to the FCA or that are generally applicable false claims or anti-fraud laws) and anti-kickback (similar to federal Anti-Kickback Law or that are generally applicable anti-kickback or fraud laws). These prohibitions are often similar in public policy and scope to the federal laws and could result in material fines or penalties, or operating restrictions, if they are not strictly followed. California has a statute similar to the Anti-Kickback Statute that applies to referrals for any health care services, regardless of the source of payment. The California Attorney General and the Commissioner of Insurance have recently increased enforcement activity under these statutes, and they pose the possibility of material adverse impact for the same reasons as the federal statutes.

Claims and Insurance Coverage

Past increases in costs of insurance coverage for retirement communities and health care facilities have been attributed to a number of factors, including, most notably, an epidemic increase in litigation against retirement communities and health care facilities. In many instances, plaintiffs in elder abuse actions have access to various enhanced remedies, such as attorneys’ fees, post-death pain and suffering, and punitive damages in certain circumstances. As a result, simple negligence cases are increasingly re-characterized as abuse cases. Congressional reports on abuse and increased enforcement activities by State

regulatory agencies have also contributed to this phenomenon. Liability insurance does not provide coverage for judgments for punitive damages where prohibited by law, or for the payment of claims of intentional acts. See “INSURANCE” in APPENDIX A for a discussion of the Corporation’s insurance coverage.

Litigation may also arise from the corporate and business activities of the Members of the Obligated Group including from their status as employers. Many of these risks would be covered by insurance, but some might not be. For example, certain antitrust claims, claims arising from alleged violations of the California Labor Code and applicable regulations, claims arising from physical harm or assault, including sexual molestation, business disputes and workers’ compensation claims may not be covered by insurance or other sources and may, in whole or in part, be a liability of the Obligated Group if determined or settled adversely.

Litigation may also arise from the corporate and business activities of the Corporation, including as a result of its status as an employer. Many of these risks would be covered by insurance, but some might not be. For example, certain antitrust claims, claims arising from alleged violations of the California Labor Code and applicable regulations, claims arising from physical harm or assault, including sexual molestation, business disputes and workers’ compensation claims may not be covered by insurance or other sources and may, in whole or in part, be a liability of the Corporation if determined or settled adversely.

Seismic Risk

According to the Seismic Safety Commission of the State of California, the State is mapped into seismic hazard zones 3 and 4. Seismic hazard zones account for geographic variation in the expected levels of earthquake ground shaking and are based on the historical records of earthquakes and the location of known earthquake faults. Several earthquake faults run through California, including in the location of some/all of the Communities. Local building codes take into account the likelihood of ground shaking and are intended to provide safety to the building occupants. See “INSURANCE” in APPENDIX A for a discussion of the Corporation’s insurance coverage.

The Corporation’s Communities are situated in an active earthquake zone. The Corporation currently maintains two (2) earthquake policies. The primary coverage aggregate limit of liability is \$5,000,000 and the excess coverage aggregate limit is \$15,000,000. The Corporation’s deductible is 5% per unit with a minimum of \$50,000. There is no assurance that the Corporation will maintain the above-described earthquake policies and insurance coverage levels in the future as the Corporation is not required to maintain specific insurance coverage levels with respect to earthquakes.

A significant earthquake in the region could have a material adverse effect on the Corporation and could result in material damage and temporary or permanent cessation of operations at one or more of the Corporation’s Communities. Under the Master Indenture, the Corporation has agreed to keep its Property and all of its operations adequately insured at all times and carry and maintain such insurance in amounts which are commercially feasible, customarily carried, subject to customary deductibles, and against such risks as are customarily insured against by other corporations in connection with the ownership and operation of facilities of similar character and size.

There can be no assurance that the occurrence of a significant seismic event in any area in which the Corporation operates would not have a material adverse effect on the Communities, the operations of the Corporation or the ability of the Obligated Group to make the Loan Repayments.

Privacy and Cybersecurity Risks

The Health Insurance Portability and Accountability Act of 1996 (“HIPAA”), along with other federal and various state statutes, addresses the confidentiality of individuals’ health information. HIPAA’s detailed privacy standards extend not only to patient medical records, but also to individually identifiable demographic, clinical and financial information held by “covered entities,” *i.e.*, hospitals, health plans and other entities governed by HIPAA. HIPAA’s privacy standards prohibit the use and disclosure of, and access to, “Protected Health Information” (“PHI”), a broadly defined term, unless expressly permitted under the provisions of the HIPAA statute and regulations or authorized by the patient. The HIPAA privacy standards also give individuals the rights to know how their PHI is being used or disclosed, to access and amend their PHI, and to obtain information about certain disclosures of their PHI. They also obligate covered entities to provide Notices of Privacy Practices to individuals, which detail how the entities use and disclose PHI and how individuals can exercise their rights in respect of their PHI. These requirements often impose communication, operational, and accounting obligations that add costs and create potentially unanticipated sources of liability.

HIPAA also contains security standards that require covered entities to implement certain administrative, physical, and technical security standards to protect the integrity, confidentiality and availability of electronic PHI. HIPAA also implemented transaction standards that dictate the use of standard transaction formats, code sets and standard identifiers in connection with certain electronic health care transactions between health plans and health care providers, including activities associated with the billing and collection of health care claims.

Regulations designed to protect health information impose very complex procedures and operational requirements with which the Corporation is obligated to comply. Violations of the HIPAA privacy and security standards can result in significant civil or criminal penalties. The Office for Civil Rights of the Department of Health and Human Services, which enforces HIPAA, has exacted substantial civil settlements from health care providers and health plans for asserted breaches of the HIPAA privacy and security rule, running sometimes into the millions of dollars. Any breach of HIPAA, regardless of intent or scope, may result in penalties or settlement amounts that are material to a covered health care provider or health plan. Violations can also result in burdensome resolution agreements. In addition to the costs associated with any such penalties and settlements, covered entities may incur significant costs associated with investigating and handling potential privacy and security breaches.

The Corporation relies on its information systems to provide security for processing, transmission and storage of confidential resident and other information, including PHI protected by HIPAA, the Health Information Technology for Economic and Clinical Health Act (“HITECH”), and their implementing regulations. Although the Corporation has taken steps to protect the security of its information systems and the data maintained in those systems, it is possible that these security measures will not prevent improper access or disclosure of PHI, as in the event of cyber-attacks. Security breaches, including electronic break-ins, computer viruses, attacks by hackers and similar breaches can create system disruptions or shutdowns or the unauthorized disclosure of confidential information. If personal or otherwise protected information of residents or others is improperly accessed, tampered with or distributed, the Corporation may incur significant costs to remediate possible injury to the affected residents or other persons, and the Corporation may be subject to sanctions and civil penalties if found to be in violation of the privacy or security rules under HIPAA or other similar federal or state laws protecting confidential patient health information. Any failure to maintain proper functionality and security of information systems could interrupt the Corporation’s operations, damage its reputation, subject it to liability claims or regulatory penalties and could have a material adverse effect on its operations, financial condition and results of operations.

HITECH (i) granted enforcement authority of HIPAA to state attorneys general, (ii) extended the reach of HIPAA beyond “covered entities,” to their contractors, or “business associates,” (iii) imposed a breach notification requirement on HIPAA covered entities, (iv) limited certain uses and disclosures of HIPAA protected health information, and (v) restricted covered entities’ permissible marketing communications. The breach notification obligation, in particular, may expose covered entities to heightened liability. Under HITECH, in the event of a privacy breach, covered entities are required to notify affected individuals and the federal government. If more than 500 individuals are affected by the breach, the covered entity must also notify the media and the federal government posts a description of such breach on its website. These reporting obligations may increase the risk of government enforcement, as well as class action lawsuits. Failure to make a timely report can result in substantial civil penalties.

In addition to HIPAA and HITECH, a number of other laws address the confidentiality of individual health information. These other laws may impose more stringent privacy and security requirements than HIPAA does. For example, California’s Confidentiality of Medical Information Act requires health care providers and others to keep medical information private and secure and subject to certain exceptions, prohibits disclosure of such medical information without a patient’s consent. Pursuant to that statute, violation may result in significant fines and penalties including punitive damages, and an individual whose medical information is disclosed in violation of the statute can seek “nominal” damages of \$1,000 even in the absence of actual damages. Other federal laws place additional confidentiality requirements on records pertaining to alcohol and substance abuse treatment at certain facilities. California and other states have also adopted laws that afford greater protection to certain types of particularly sensitive health information, such as behavioral health records, HIV/AIDS test results, and certain communicable diseases. California and many other states have also adopted broad data breach notification laws that extend to compromised medical and health insurance information, and requires businesses to notify any California resident whose unencrypted personal information has been acquired, or reasonably believed to have been acquired, by an unauthorized person. In some states, notification requirements may be triggered even where information has not been used or disclosed, but rather has been inappropriately accessed.

Together, all of these laws and regulations add compliance costs and create potentially unanticipated sources of legal liability for the Corporation. The public nature of security incidents exposes health organizations to increased risk of individual or class action lawsuits from patients or other affected persons, in addition to government enforcement and negative media attention. Failure to comply with restrictions on patient privacy or to maintain robust information security safeguards, including taking steps to ensure that contractors who have access to sensitive patient information maintain the confidentiality of such information, could consequently damage the Corporation’s reputation and materially adversely affect business operations. Even in the absence of patient claims, the cost of identifying and notifying affected patients of a breach can be material.

In 2018, California passed the California Consumer Privacy Act (“CCPA”), which became effective on January 1, 2020. The law provides new rights regarding the collection and use of personal information and implements significant requirements, including additional notice requirements, increased disclosure to consumers, the right for consumers to opt-out of data sharing, the right to be forgotten, and provides for damages in data breach cases up to \$750 per consumer per incident. The CCPA does not apply to not-for-profit entities and therefore does not apply directly to the Corporation.

Fires

Wildfires in California have become increasingly common and destructive. According to the California Department of Forestry and Fire Protection and the U.S. Forest Service, in 2022, there were approximately 7,477 wildfires that destroyed approximately 331,360 acres, and in 2021, there were

approximately 7,396 wildfires that destroyed approximately 2.5 million acres. Some of the Corporation's facilities are located in proximity to areas susceptible to wildfires.

Although the Corporation's facilities are covered by insurance, a future significant wildfire affecting one or more of those facilities could result in material damage and temporary or permanent cessation of operations at such facilities, resulting in a material adverse effect on the Corporation's financial position or results of operations. For more information about the Corporation's insurance coverage in respect of wildfires, see APPENDIX A – "INFORMATION CONCERNING EPISCOPAL COMMUNITIES & SERVICES—Insurance."

Drought and Other Climatological Occurrences

California has regularly experienced drought conditions in recent years and has had other historical droughts. Between 2012 and 2016, California experienced a 5-year drought event and, in 2021, all 58 counties in California experienced a drought emergency proclamation. Any resumption of widespread drought conditions could have a significant negative impact on the economy of the State, which could have an adverse effect on the revenues and operations of the Members or either of them.

Climate change may increase the frequency or severity of wildfires, significant weather events or other natural disasters. In May 2009, the California Climate Change Center released a final paper, titled "The Impacts of Sea-Level Rise on the California Coast," which posited that increases in sea level will be a significant consequence of climate change in the 21st century. A substantial sea-level rise would increase the likelihood and intensity of floods in areas that are already at risk of flooding, as well as increase the overall area at risk of flooding. Sea-level rise would also likely accelerate shoreline recession in areas where the coast erodes easily, which may include the complete erosion of barrier dunes currently protecting certain areas from floods. Climate-related occurrences, including flooding and erosion resulting from sea-level rise, may have an adverse effect on the revenues and operations of the Corporation.

Competition and Changing Technology

The Communities are located in areas where CCRCs and other competitive facilities, including acute-care hospitals and other facilities with substantial capacity that accept a wider range of acuity, exist, and may in the future be developed. The Communities may also face additional competition in the future as a result of changing demographic conditions and the construction of new, or the renovation or expansion of existing continuing care communities in the geographic areas served by the Communities. The Corporation presently faces and will continue to face competition from other forms of retirement living, including condominiums, apartment buildings and communities or facilities not specifically designed for the elderly, some of which may be designed to offer similar facilities but not necessarily similar services, at lower prices. In addition, there are few entry barriers to future competitors because competing communities and facilities generally do not require a certificate of need approval for independent living communities, although other continuing care communities would be required to obtain a Certificate of Authority from DSS.

The proliferation of technological advancements such as web-based home monitoring, telemedicine, and smart phones are rapidly changing the delivery of care to the elderly and may result in seniors remaining in their homes longer than historically feasible, which could reduce the demand for senior living communities.

All of these factors combine to make the elderly housing industry volatile and subject to material change that cannot be currently predicted. See "COMPETITION AND SERVICE AREA" in APPENDIX A.

Personnel and Nursing Shortage

The health care industry has at times experienced a shortage of qualified health care personnel, such as physician specialists and sub-specialists, nursing personnel, respiratory therapists, pharmacists and other trained health care technicians. A significant factor underlying this trend includes a decrease in the number of persons entering such professions. This is expected to intensify in the future. Competition for employees, coupled with increased recruiting and retention costs will increase operating costs, possibly significantly, and growth may therefore be constrained.

The Corporation competes with other health care providers and with non-health care providers for both professional and nonprofessional employees. While the Corporation believes that the Corporation will be able to retain the services of an adequate number of qualified personnel (including nursing personnel) to staff the Corporation appropriately and maintain its standard of quality care, there can be no assurance that continued shortages will not in the future affect the Corporation's ability to attract and maintain an adequate staff of qualified health care personnel. A lack of qualified personnel could result in significant increases in labor costs or otherwise adversely affect the Corporation's operating results.

Legislation Affecting Repayable Entrance Fee Contracts

On July 25, 2016, Governor Brown signed a bill which aimed to protect continuing care residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the reletting of continuing care units (the "Monning Bill"). The Monning Bill provides that any unpaid entrance fee repayments shall accrue interest at the following rates: 4% simple interest on entrance fee repayments unpaid after 180 days after termination of the contract, 6% simple interest on repayments unpaid after 240 days after contract termination, and annually compounded interest of 6% on repayments unpaid after one year and 240 days after contract termination. It also requires Continuing Care Providers to disclose the average and longest length of time for entrance fee repayment. The requirements of the Monning Bill amendments are effective for repayable contracts entered into on or after January 1, 2017. Such legislation could adversely affect the Corporation if it is unable to relet units previously occupied by repayable contract holders within the prescribed times. In such event, the Corporation would need to make the prescribed interest payments to the former residents or their estates. If the Corporation were unable to pass on the cost of any interest payments or foregone interest income in the form of increased monthly fees, the Corporation's cost of operations would increase, reducing the Corporation's net earnings and liquidity.

Energy Costs

Deregulation of the electrical and natural gas industry in California, together with changes in the supply and sale patterns of electricity and natural gas, has resulted in increased costs of energy to businesses located in California and possible disruption in supply. Significant increases in the cost of energy could materially adversely affect the financial condition of the Corporation.

Environmental Laws and Regulations

There are potential risks relating to liabilities for environmental hazards with respect to the ownership or long-term leasing of any real property. If hazardous substances are found to be located on property, owners of such property may be held liable for costs and other liabilities related to the removal of such substances, which costs and liabilities could exceed the value of a facility.

At the present time, management of the Corporation is not aware of any pending or threatened claim, investigation or enforcement action regarding such environmental issues which, if determined

adversely to the Members of the Obligated Group, would have material adverse consequences. In the event such enforcement actions were initiated, the Members of the Obligated Group could be liable for the costs of removing or otherwise treating pollutants or contaminants located at the Corporation's Communities. In addition, under certain environmental statutes, in the event an enforcement action was initiated, a lien could attach to one or more of the Communities, which would adversely affect the Obligated Group's ability to generate revenues from the operation of the Communities sufficient to meet the debt service requirements with respect to the Bonds and their obligations under the Series 2024 Obligation.

Taxation of Interest on the Bonds

Because the exclusion for federal income tax purposes of the interest on the Bonds from the gross income of the owners thereof depends upon events occurring after the date of execution and delivery of the Bonds, the opinion of Bond Counsel described under "TAX MATTERS" herein assumes the compliance by the Corporation and each future Member of the Obligated Group with the provisions of the Code and the regulations relating thereto. No opinion is expressed by Bond Counsel with respect to the exclusion from gross income of the interest on the Bonds in the event of noncompliance with such provisions. The failure of the Members of the Obligated Group to comply with the provisions of the Code and the regulations thereunder may cause the interest on the Bonds to become includable in the gross income of the owners thereof as of the date of execution and delivery of the Bonds.

The Inflation Reduction Act of 2022 imposes a 15% alternative tax on the adjusted financial income of certain corporations. Interest on the Bonds is includable in calculating a corporation's adjusted financial statement income, and the imposition of this tax may potentially reduce the market of purchasers of the Bonds.

The Corporation has not sought to obtain a private letter ruling from the Internal Revenue Service (the "IRS") with respect to the Bonds, and the opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination of the Bonds will not adversely affect the market value of the Bonds. See "TAX MATTERS."

Possible Future Federal Tax Legislation

It is possible that future tax legislation could require that the interest on the Bonds be included in the gross income of the owners for federal income tax purposes, and the value or marketability of the Bonds could be adversely affected by any such legislation. See "TAX MATTERS."

Tax-Exempt Status of the Corporation and any Future Member of the Obligated Group

The IRS has determined that the Corporation should be recognized as a tax-exempt organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the "Code"), and is exempt from taxation under Section 501(a) of the Code. As a tax-exempt, charitable organization, the Corporation and its operations are subject to various requirements specified by the Code and the regulations promulgated thereunder. Compliance with those requirements is necessary to maintain the tax-exempt status of the Corporation. If the Corporation or any future Member of the Obligated Group should fail to meet any of the requirements specified by the Code and regulations thereunder as necessary to maintain its tax-exempt status, action could be initiated by federal or state tax authorities to attempt to subject such Member of the Obligated Group, its property, and its revenues to taxation. If successful, such action could cause interest on the Bonds to be taxable to the owners thereof. Under the Code as amended to the date of this Official Statement, the failure of the Members of the Obligated Group to maintain their tax-exempt status could constitute a default under the Loan Agreement. The Corporation has covenanted in the Loan Agreement that it will not take or omit to take any action, if such act or omission would cause the interest

on the Bonds to be includable in the gross income of any owner for federal income tax purposes. Loss of tax-exempt status by the Members of the Obligated Group could result in loss of tax-exemption of the Bonds and any other tax-exempt debt issued for the Members of the Obligated Group, and defaults in covenants regarding the Bonds would likely be triggered. Such an event would have material adverse consequences on the financial condition of the Members of the Obligated Group and could affect the ability of a Member of the Obligated Group to satisfy its obligations under the Bonds.

The maintenance by the Members of the Obligated Group of tax-exempt status depends, in part, upon the maintenance of their status as organizations described in Section 501(c)(3) of the Code. The maintenance of such status is contingent upon compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation primarily for charitable purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals, such as the private benefit and inurement rules. The IRS has announced that it intends to closely scrutinize transactions between nonprofit corporations and for-profit entities, including transactions relating to the Anti-Kickback Law, and has issued revised audit guidelines for tax-exempt health care entities. Although specific activities of health care entities have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities have not been addressed in any official opinion, interpretation or policy of the IRS. Because the Members of the Obligated Group conduct operations involving private parties, there can be no assurance that certain of the Members' transactions would not be challenged by the IRS.

With increasing frequency, the IRS has imposed substantial monetary penalties and public benefit obligations on tax-exempt organizations in lieu of revoking tax-exempt status, as well as requiring that certain transactions be altered, terminated or avoided in the future and/or requiring governance or management changes. These penalties and obligations typically are imposed on the tax-exempt organization pursuant to a "closing agreement," a contractual agreement pursuant to which a taxpayer and the IRS agree to settle a disputed matter. Given the exemption risks involved in certain transactions, the Members may be at risk for incurring monetary and other liabilities imposed by the IRS. These liabilities could be materially adverse.

On July 31, 1996, the Federal Taxpayers Bill of Rights 2 (the "Taxpayers Act") was signed into law. The Taxpayers Act provides the IRS with an "intermediate" tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Previous to this "intermediate sanctions" law, the IRS could punish such violations only through revocation of an organization's tax-exempt status. Intermediate sanctions may now be imposed where there is an "excess benefit transaction," generally defined to involve a disqualified person (*i.e.*, an insider) engaging in an economic transaction with a tax-exempt organization where the economic benefit provided by the organization exceeds the value of the consideration received by the organization. The value of the consideration is generally determined at its fair market value. In this context, fair market value is the price at which property, or the right to use property, would change hands between a willing buyer and a willing seller, neither being under any compulsion to buy, sell, or transfer property or the right to use property, and both having reasonable knowledge of all relevant facts. These intermediate sanctions do not replace the other remedies available to the IRS described above.

A disqualified person who benefits from an excess benefit transaction will be required to restore the excess benefit to the exempt organization and will be subject to a "first tier" penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers (*e.g.*, directors) who participate in an excess benefit transaction knowing it to be improper are subject to a "first-tier" penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$10,000. A "second tier" penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

The Tax Cuts and Jobs Act was signed into law on December 22, 2017 and contained numerous tax law changes that affected tax-exempt organizations, including changes to unrelated business income tax provisions and a new executive excise tax imposed on tax exempt organizations with respect to certain highly-compensated individuals. See “Unrelated Business Taxation” herein. All or any of such provisions affecting the Corporation contained in current or future tax reform legislation may materially impact the future cost and/or availability of borrowed funds, the market price or marketability of the Bonds in the secondary market, and the financial position and cash flows of the Corporation.

The Members of the Obligated Group may be audited by the IRS. Because of the complexity of the tax laws and the presence of issues about which reasonable persons can differ, an IRS audit could result in additional taxes, interest and penalties. An IRS audit ultimately could affect the tax exempt status of one or more of the Members of the Obligated Group, as well as the exclusion from gross income for federal income tax purposes of the interest on the Bonds and any other tax-exempt debt issued for the Members of the Obligated Group.

Property Taxes; State and Local Tax Exemption

Local property tax assessors take differing positions as to whether or not communities such as those owned by the Corporation are exempt from property taxation. The Communities located in California currently qualify for the “welfare exemption” from California property taxes, though the Corporation pays certain fees and assessments to local taxing authorities relating to the Communities. A failure to obtain or continue exemptions or to follow annual procedures in any year could subject the Obligated Group to tax in that year. In addition, budgetary pressures on local government may lead to increasing pressures for state legislation to amend the property tax statutes to subject to taxation various properties owned by currently exempt nonprofit organizations or to condition any exemption from taxation upon the performance of specific types or levels of charitable activity.

It is possible that legislation may be proposed to strengthen the role of the California Franchise Tax Board and the Attorney General in supervising nonprofit health care providers. It is likely that the loss by the Members of the Obligated Group of federal tax exemption also would trigger a challenge to the state and local tax exemption of the Members of the Obligated Group. Depending on the circumstances, such event could be adverse and material.

In recent years, state, county, and local taxing authorities have been undertaking audits and reviews of the operations of tax-exempt organizations with respect to their property tax exemption for both real and personal property. The Corporation expects the majority of its real and personal property to continue to be exempt from property taxes. However, investigations or audits could lead to challenges of the property tax exemption with respect to Communities that, if successful, could adversely and materially affect the property tax exemption with respect to certain of the Communities or property of the Corporation.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit health care providers. There can be no assurance that future changes in the laws, regulations, and interpretations of federal, state or local governments will not materially or adversely affect the operations and financial condition of the Obligated Group by requiring it to pay income or local property taxes.

Unrelated Business Taxation

Changes in tax laws regarding tax-exempt nonprofit organizations could adversely affect certain of the Corporation’s revenues. Recently Congress and the IRS have focused more closely on issues of tax-exemption, such as the scope of activities constituting unrelated business taxable income (“UBTI”).

Unrelated business income is income from a trade or business, regularly carried on, that is not substantially related to the charitable, educational, or other purpose that is the basis of the organization's exemption. The IRS and state, county and local taxing authorities may undertake audits and reviews of the operations of tax-exempt organizations with respect to the generation of UBTI. An investigation or audit could lead to a challenge that could result in taxes, interest and penalties with respect to UBTI and, in some cases, ultimately could affect the tax-exempt status of the Members, as well as the exclusion from gross income for federal income tax purposes of the interest payable on the Bonds and other tax-exempt debt issued for the Members of the Obligated Group.

Other Tax Status Issues

Certain activities of the Corporation relating to senior living communities operated by the Corporation qualify as "charitable" within the meaning of Section 501(c)(3) of the Code consistent with their adherence to the requirements of relevant IRS Revenue Rulings specifically concerning the provision of residential services to the elderly. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization must operate so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, provided that those rental charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons. Although the IRS has addressed various other activities of senior living providers in non-binding private letter rulings, many such activities have not been addressed in any binding opinion, interpretation or policy issued by the IRS. The failure of the Corporation or Members of the Obligated Group to follow these requirements could result in a material adverse effect on the Corporation and Members of the Obligated Group.

Lack of Marketability for the Bonds

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

Amendments to Documents

Certain amendments to the documents may be made without the consent of the owners of the Bonds and other amendments may be made with the consent of the owners of a majority in an aggregate principal amount of all outstanding Bonds. Such amendments could affect the security for the Bonds. Certain amendments may be made without the consent of the owners of the Bonds if the amendment does not materially adversely affect the interest of the owners of the Bonds. See APPENDIX D and APPENDIX E.

Uncertainty of Investment Income

The investment earnings of, and accumulations in, certain funds established pursuant to the Bond Indenture have been estimated and are based on assumed interest rates as indicated. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Bond Trustee is permitted to invest under the Bond Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized. Guaranteed investment contracts may be entered into with respect to certain of the funds held under the Bond Indenture.

Philanthropy

The Corporation derives income from unrestricted gifts and donations to supplement operating revenues to finance operations and capital needs. See APPENDIX A – “INFORMATION CONCERNING EPISCOPAL COMMUNITIES & SERVICES.” Although management of the Corporation expects gifts and donations to remain at least at their current level and to increase at a moderate rate, there can be no assurance that this revenue will not decrease, adversely affecting the financial condition of the Foundation and, in turn, the Corporation.

Rights of Residents

The Corporation enters into residency agreements with its residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Corporation’s facilities, in the event that either the Bond Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Bond Indenture upon the occurrence of a default, management is unable to predict the resolution that a court might make of competing claims between the Master Trustee, the Bond Trustee, the Authority or the holders of the Bonds and a resident of the Corporation’s communities who has fully complied with all the terms and conditions of his or her Residency Agreement.

Limitations under Bankruptcy and Fraudulent Conveyances Statutes

The remedies granted to the Bond Trustee for the benefit of the holders of the Bonds upon an Event of Default under the Loan Agreement and the Bond Indenture may be dependent on judicial actions, which are often subject to discretion and delay. In the event of a bankruptcy of the Corporation or a future Member of the Obligated Group, there is no assurance that certain covenants, including tax covenants in the Loan Agreement, the Bond Indenture, or the Master Indenture, would remain enforceable. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—Limitations on Enforceability” herein.

Other Considerations

Reduced Demand. The reduced need for assisted living services arising from future scientific advances, preventive medicine, home healthcare services, alternative delivery systems, changes in demographics, or a decline in the population or the economic condition of the service area of the Communities may adversely affect the revenues of the Corporation.

Changes in Tax Policy. Taxing authorities in certain jurisdictions have sought to impose or increase taxes related to the property and operations of nonprofit organizations, including nursing homes and retirement centers, particularly where such authorities are dissatisfied with the amount of service provided to indigents. The Corporation believes its planned services to indigents will be adequate, but it is possible that future administrative or judicial proceedings will have the effect of requiring the Communities

to increase their services to indigent residents to retain the tax-exempt status of the Obligated Group, which would have an adverse effect on the revenues of the Obligated Group.

Cost Increases. Cost increases without corresponding increases in revenues would result from, among other factors, increases in insurance premiums, increases in the salaries, wages and fringe benefits of employees, increases in costs associated with advances in medical technology or with inflation and future legislation which would prevent or limit the ability of the Corporation to increase revenues from operating the Communities or providing services. In addition, it is possible that the State of California will pass legislation requiring certain tax-exempt organizations, such as the Members of the Obligated Group, to pay certain fees for municipal services, which may in turn increase the Obligated Group's operating costs. At present, many charitable organizations are not required to pay fees for municipal services in respect of such real property unless the fees represent user fees of general application. Furthermore, the Code places certain limitations on the ability to finance certain projects, invest bond proceeds and advance refund prior tax-exempt bond issues. These limitations may increase the interest costs for future borrowings by the Members of the Obligated Group.

Governmental Approvals. The possible inability to obtain future governmental approvals to undertake projects necessary to remain competitive both as to rates and charges as well as quality and scope of care could adversely affect the operations of the Corporation.

Natural Disasters. The occurrence of natural disasters, including earthquakes, fires, floods, hurricanes and tornadoes, may damage the Communities or interrupt utility service to the Communities, otherwise impair the operations of the Communities, or the generation of revenues from the Communities. The Corporation may not be able to obtain insurance against all such hazards at commercially reasonable rates. See also "Fires" and "Drought and Other Climatological Occurrences" above.

Adverse Relations. Adverse community relations or publicity involving the Communities could affect the demand for the services provided by the Communities, or the generation of revenues from the Communities.

Other Legislation. Assisted living and certain retirement communities, such as the Communities, are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations that address, among other things, operations of communities and properties owned or operated by nursing facilities. Among the types of regulatory requirements faced by assisted living communities are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos; requirements related to polychlorinated biphenyls and radioactive substances; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at the nursing facility or hospital; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. The Members of the Obligated Group may be subject to liability for investigating and remedying any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Typical operations of assisted living communities include, to some extent, and in various combinations, the handling, use, storage, transportation, disposal and discharge of hazardous, infectious, toxic, radioactive, flammable and other hazardous materials, wastes, pollutants or contaminants. For this reason, operations of assisted living communities are susceptible to the practical, financial and legal risks associated with compliance with such laws and regulations. Such risks may result in damage to individuals, property or the environment; may interrupt operations or increase their cost or both; may result in legal liability, damages, injunctions or fines; or may trigger investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Members of the Obligated Group will not encounter such risks in the future, and such risks may result in material adverse consequences to the operations or financial condition of the Obligated Group.

Other Factors. The occurrence of any of the following events, or other unanticipated events, could affect adversely the operations of the Obligated Group:

- (a) shortages of personnel rendering services at assisted living communities or shortages in nursing staff;
- (b) mandated staffing level increases or mandated additional services within one or more of the Corporation's license categories;
- (c) reinstatement or establishment of mandatory wage or price controls;
- (d) increases in the cost or limitations on the availability of insurance;
- (e) expansion of programs paying or increasing payments for in-home care;
- (f) employee strikes, other adverse labor actions or disputes with members of the professional staff;
- (g) a decline in the population, a change in the age composition of the population or a decline in the economic conditions of the market area;
- (h) increases in the cost, or decreases in the reliability, of public utilities, including electricity, natural gas, water and sewer services; or
- (i) material and supply shortages (from food to construction materials).

RATINGS

Fitch Ratings, Inc. ("Fitch") has assigned a rating of "A-" (stable outlook) to the Bonds. The ratings and an explanation of their significance may be obtained from the rating agencies furnishing such ratings. Such ratings reflect only the views of the rating agencies.

The Corporation has furnished Fitch with certain information and materials relating to the Bonds, and the Corporation that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. None of the Authority, the Underwriter or the Corporation has undertaken any responsibility to bring to the attention of the holders of the Bonds any proposed revision or withdrawal of a rating of the Bonds or to oppose any such proposed revision or withdrawal. Any such change in or withdrawal of such rating could have an adverse effect on the market price and marketability of the Bonds.

INDEPENDENT AUDITORS

The consolidated financial statements of the Corporation and Subsidiaries as of and for the years ended June 30, 2023, 2022, and 2021 and accompanying supplementary information as of and for the years ended June 30, 2023, 2022, and 2021 included as APPENDIX B in this Official Statement have been audited by Moss Adams LLP, independent auditors, as stated in their reports appearing herein. **Moss Adams LLP has not been engaged to perform and has not performed, since the date of their reports**

included in APPENDIX B, any procedures on the consolidated financial statements addressed in those reports.

ABSENCE OF MATERIAL LITIGATION

The Authority

To the knowledge of the officers of the Authority, there is no litigation of any nature now pending (with service of process having been accomplished) or threatened against the Authority restraining or enjoining the issuance, sale, execution or delivery of the Bonds, or in any way contesting or affecting the validity of the Bonds, any proceedings of the Authority taken concerning the issuance or sale thereof, the pledge or application of any moneys or security provided for the payment of the Bonds, or the existence or powers of the Authority relating to the issuance of the Bonds.

The Corporation

No litigation, proceedings or investigations are pending or, to the Corporation's knowledge, threatened which in any manner questions the right of the Corporation to secure the Bonds in accordance with the provisions of the Bond Indenture, the Loan Agreement or the Master Indenture. There is no litigation, proceeding, investigation pending or, to the Corporation's knowledge, threatened against the Corporation, except litigation, proceedings or investigations in which the probable ultimate recoveries and the estimated costs and expenses of defense, in the opinion of the Corporation's management either will be entirely within the applicable insurance policy limits of the Corporation (subject to applicable deductibles) or will not have a materially adverse effect on the operations or financial condition of the Corporation, taken as a whole.

LEGAL MATTERS

The Bonds are being offered when, as and if issued and received by the Underwriter, subject to prior sale, withdrawal or modification of the offer without notice. The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority. A complete copy of the proposed form of Bond Counsel opinion is contained in APPENDIX F hereto. Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Certain legal matters will be passed upon for the Obligated Group by its special counsel, Hooper, Lundy & Bookman, P.C., Los Angeles, California, for the Authority by its counsel, the Attorney General of the State of California, and for the Underwriter by its counsel, Norton Rose Fulbright US LLP, San Francisco, California.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority ("Bond Counsel"), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel observes that, interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition

of, or the amount, accrual or receipt of interest on, the Bonds. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX F hereto.

Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“Premium Bonds”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The Authority and the Corporation have made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel’s attention after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Hooper, Lundy & Bookman, P.C., special counsel to the Corporation (“Corporation Counsel”) regarding the current qualification of the Corporation as an organization described in Section 501(c)(3) of the Code. Such opinion is subject to a number of qualifications and limitations. Bond Counsel has also relied upon representations of the Corporation concerning the Corporation’s “unrelated trade or business” activities as defined in Section 513(a) of the Code. Neither Bond Counsel nor Corporation Counsel has given any opinion or assurance concerning Section 513(a) of the Code and neither Bond Counsel nor Corporation Counsel can give or has given any opinion or assurance about the future activities of the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the Internal Revenue Service. Failure of the Corporation to be organized and operated in accordance with the IRS’s requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities financed by the Bonds in a manner that is substantially related to the Corporation’s charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Bonds being included in federal gross income, possibly from the date of the original issuance of the Bonds.

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Bonds may otherwise affect a Beneficial Owner’s federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner’s other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, in whole or in part, to federal

income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation as to which Bond Counsel expresses no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Bonds for federal income tax purposes. It is not binding on the IRS or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Corporation have covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Corporation or the Beneficial Owners regarding the tax-exempt status of the Bonds in the event of an audit examination by the IRS. Under current procedures, Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Corporation legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Bonds, and may cause the Authority, the Corporation or the Beneficial Owners to incur significant expense.

Payments on the Bonds generally will be subject to U.S. information reporting and possibly to "backup withholding." Under Section 3406 of the Code and applicable U.S. Treasury Regulations issued thereunder, a non-corporate Beneficial Owner of Bonds may be subject to backup withholding with respect to "reportable payments," which include interest paid on the Bonds and the gross proceeds of a sale, exchange, redemption, retirement or other disposition of the Bonds. The payor will be required to deduct and withhold the prescribed amounts if (i) the payee fails to furnish a U.S. taxpayer identification number ("TIN") to the payor in the manner required, (ii) the IRS notifies the payor that the TIN furnished by the payee is incorrect, (iii) there has been a "notified payee underreporting" described in Section 3406(c) of the Code or (iv) the payee fails to certify under penalty of perjury that the payee is not subject to withholding under Section 3406(a)(1)(C) of the Code. Amounts withheld under the backup withholding rules may be refunded or credited against a Beneficial Owner's federal income tax liability, if any, provided that the required information is timely furnished to the IRS. Certain Beneficial Owners (including among others, corporations and certain tax-exempt organizations) are not subject to backup withholding. The failure to comply with the backup withholding rules may result in the imposition of penalties by the IRS.

CONTINUING DISCLOSURE

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Corporation and future Members of the Obligated Group, if any, financial or operating data concerning the Authority is not material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority has not provided any such information. The Corporation, on behalf of the Obligated Group, has undertaken all responsibilities for any continuing disclosure to Holders of the Bonds, as described below, and the Authority has no liability to the Holders of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the "Rule").

The Corporation will enter into a continuing disclosure agreement (the “Continuing Disclosure Agreement”), in which it will covenant for the benefit of Holders and Beneficial Owners of the Bonds to provide BLX Group, LLC, as initial dissemination agent, or any successor dissemination agent, for dissemination (a) annual audited financial statements of the Corporation and certain operating data within 150 days after the end of the Corporation’s fiscal year (which fiscal year currently ends on June 30), commencing with the report for the fiscal year ending June 30, 2024 (the “Annual Report”); (b) quarterly unaudited interim financial statements of the Corporation within 60 days after the end of each fiscal quarter; and (c) notices of the occurrence of certain enumerated events. All items will be filed by the dissemination agent on behalf of the Corporation in readable PDF or other acceptable electronic form with the Electronic Municipal Market Access system of the Municipal Securities Rulemaking Board. The specific nature of the information to be filed is described in APPENDIX G – “FORM OF CONTINUING DISCLOSURE AGREEMENT.” These covenants have been made in order to assist the Underwriter in complying with the Rule. In addition, the Corporation will covenant to host an annual investor call within 30 days after the Corporation posts, or causes to be posted, the Annual Report for each fiscal year.

Failure by the Corporation to comply with the provisions of the Continuing Disclosure Agreement will not constitute an event of default under the Bond Indenture or the Loan Agreement and Holders and Beneficial Owners of the Bonds are limited to the remedies described in APPENDIX G – “FORM OF CONTINUING DISCLOSURE AGREEMENT.” Any failure by the Corporation to comply with the provisions of the Continuing Disclosure Agreement is required to be reported in accordance with the Rule and is required to be considered by any broker, dealer or municipal securities dealer before recommending the purchase or sale of the Bonds in the secondary market. Consequently, any such failure may adversely affect the transferability and liquidity of the Bonds and their market price. The Corporation has previously entered into or assumed responsibility for certain continuing disclosure undertakings entered into pursuant to SEC Rule 15c2-12 relating to prior debt obligations. The Corporation believes it complied in all material respects with their prior continuing disclosure undertakings over the prior five year period. The Corporation believes it has established processes designed to ensure that the Obligated Group will make its continuing disclosure filings as required.

UNDERWRITING

The Bonds are being purchased by Cain Brothers, a division of KeyBanc Capital Markets Inc. (the “Underwriter”). The Underwriter has agreed to purchase the Bonds at a purchase price of \$109,267,524.19 (which represents the par amount of the Bonds, plus original issue premium of \$4,467,409.85, less the Underwriter’s discount of \$714,885.66). The Bond Purchase Contract (the “Purchase Contract”) provides that the Underwriter will purchase all of the Bonds, if any are purchased, and contains the agreements of the Corporation to indemnify the Underwriter and the Authority against certain liabilities to the extent permitted by law. The Purchase Contract also provides that the fees of counsel for the Underwriter will be paid by the Corporation. The initial public offering prices set forth in the inside cover page of this Official Statement may be changed without notice from time to time by the Underwriter.

The Underwriter and its affiliates are full service financial institutions engaged in various activities, which may include securities trading, commercial and investment banking, financial advisory, investment management, principal investment, hedging, financing and brokerage activities. The Underwriter and its affiliates may have, from time to time, performed and may in the future perform, various investment banking services for the Authority, the Corporation and/or the Obligated Group, for which they may have received or will receive customary fees and expenses. In the ordinary course of their various business activities, the Underwriter and its affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (which may include bank loans and/or credit default swaps) for their own account and for the accounts of their customers

and may at any time hold long and short positions in such securities and instruments. Such investment and securities activities may involve securities and instruments of the Authority, the Corporation and/or the Obligated Group.

MISCELLANEOUS

The summaries or descriptions of provisions of the Continuing Disclosure Agreement, the Bonds, the Loan Agreement, the Bond Indenture, the Series 2024 Obligation and the Master Indenture, and all references to other materials not purported to be quoted in full, are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to the Continuing Disclosure Agreement, the Bonds, the Loan Agreement, the Bond Indenture, the Series 2024 Obligation and the Master Indenture, for a full and complete statement of the provisions thereof. Such documents are on file at the offices of the Underwriter and following delivery of the Bonds will be on file at the designated corporate trust office of the Bond Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement that may have been made orally or in writing shall be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices A, B, C, D, E, F, G and H are integral parts of this Official Statement and must be read together with all of the foregoing statements.

All information contained herein relating to the Corporation and the Obligated Group has been provided and approved by the Corporation for use within this Official Statement.

The Authority furnished only the information contained under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority” and, except for such information, makes no representation as to the adequacy, completeness or accuracy of this Official Statement or the information contained herein.

All projections, estimates and other statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representation of fact. This Official Statement is not to be construed as a contract or agreement between the Authority or the Corporation and the purchasers or owners of any of the Bonds.

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This Official Statement has been delivered by the Authority and approved by the Corporation. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation and the purchasers or Holders of the Bonds.

CALIFORNIA HEALTH FACILITIES FINANCING
AUTHORITY

By: /s/ Carolyn Aboubechara
Executive Director

APPROVED:

EPISCOPAL COMMUNITIES & SERVICES FOR
SENIORS

By: /s/ Charles Rahilly
Executive Vice President/Chief Financial Officer

APPENDIX A

**INFORMATION REGARDING
EPISCOPAL COMMUNITIES & SERVICES**

*The information contained herein as Appendix A
to this Official Statement has been obtained from
Episcopal Communities & Services for Seniors*

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APPENDIX A

INFORMATION REGARDING EPISCOPAL COMMUNITIES & SERVICES

This APPENDIX A is intended to provide information about the ECS (as defined below) that is not presented elsewhere in this Official Statement. For further information about ECS, particular reference should be made to the financial statements of ECS for the fiscal years ended June 30, 2021, 2022 and 2023, and the audit reports thereon of Moss Adams LLP, which are included in this Official Statement as APPENDIX B. In addition, the Consultant Report referencing forecasts for the fiscal years ending June 30, 2024 through 2028, inclusive, is included in this Official Statement as APPENDIX C. The materials included as APPENDIX B and APPENDIX C to this Official Statement should be read in their entirety.

Capitalized terms used and not otherwise defined herein have the meanings assigned to such terms in APPENDIX D – “FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3” and APPENDIX E – “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT.”

INTRODUCTION

Background and History

Episcopal Communities & Services for Seniors (“ECS”) is a California nonprofit public benefit corporation and a tax-exempt charitable organization under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “Code”) and analogous provisions of the California Revenue and Taxation Code. ECS owns and operates three continuing care retirement communities (“CCRCs”) providing independent living, assisted living and memory care in communities known as The Canterbury, located in Rancho Palos Verdes, California (Los Angeles County), which opened in 1983, The Covington, located in Aliso Viejo, California (Orange County), which opened in 2004 and MonteCedro, located in Altadena, California (Los Angeles County), which opened in 2015. All three communities are licensed as Residential Care Facilities for the Elderly (“RCFE”) by the California Department of Social Services. ECS is the parent organization for other wholly owned affiliates that together with ECS offer a broad spectrum of care and services to foster good health, fulfillment, and spiritual well-being in the lives of older adults. As of June 30, 2023, ECS and its subsidiaries had more than 500 full-time and part-time employees serving nearly 600 residents.

Prior to August 1, 2023, MonteCedro was owned by a separate legal entity known as MonteCedro, Inc. and structured as a California nonprofit public benefit corporation and a tax-exempt charitable organization under Section 501(c)(3) of the Code, the sole corporate member of which was ECS. MonteCedro joined the Obligated Group effective November 15, 2022. As of August 1, 2023, the MonteCedro entity was merged into ECS and is no longer a separate legal entity.

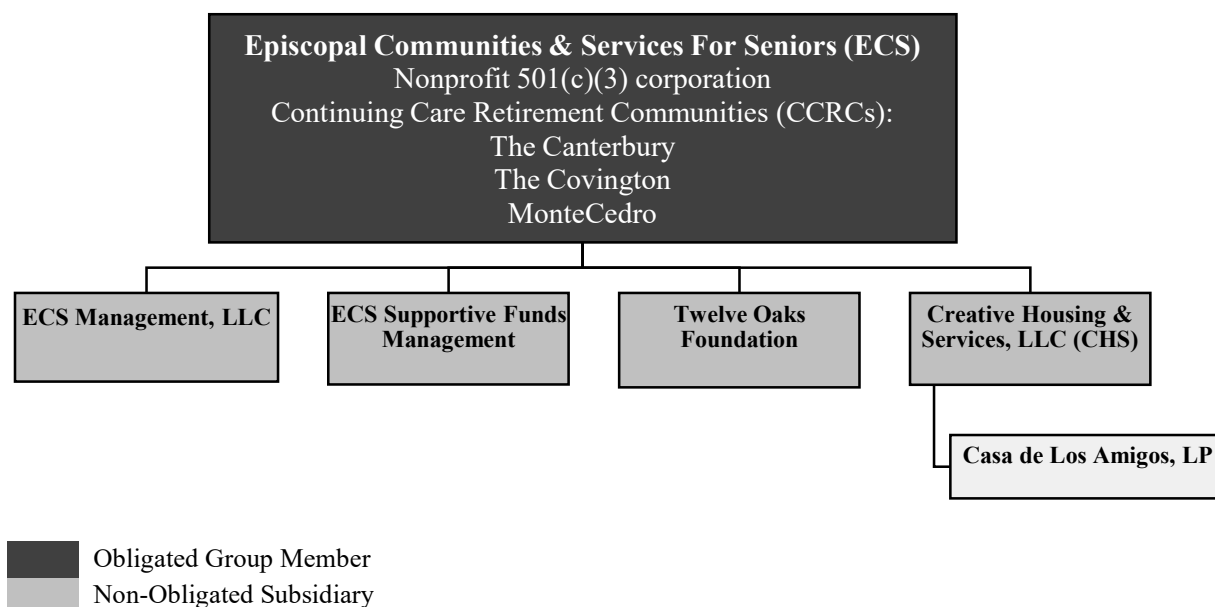
Mission Statement

Since 1923, ECS has been dedicated to delivering exceptional communities and services for seniors. This commitment has become ECS’s mission, shaping its work, so that (i) residents feel proud of where and how they live, (ii) families trust in the homes and services provided for

their loved ones, (iii) employees of ECS are inspired in their roles and (iv) the Communities are connected to the greater communities in which they reside.

Composition of the Obligated Group

The below figure outlines the organizational structure of ECS and its subsidiaries. ECS is the only Member of the Obligated Group. Only the Members of the Obligated Group are subject to the requirements and financial obligations under the Master Indenture, including obligations relating to the payment for the Bonds. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS—The Master Indenture” in this Official Statement.



Non-Obligated Subsidiaries

ECS is the parent organization of the following active entities that are not obligated with respect to the Series 2024 Obligation or under the Loan Agreement or the Master Indenture (collectively, the “Non-Obligated Subsidiaries”):

- **ECS Management, LLC**: ECS Management, LLC is a limited liability company the sole member of which is ECS. ECS Management, LLC derives its nonprofit tax status from ECS. ECS Management, LLC provides administrative, programmatic, and other forms of support to ECS and of its subsidiaries and affiliated organizations, provided they are exempt from federal income taxes under Section 501(c)(3) of the Code.
- **ECS Supportive Funds Management**: ECS Supportive Funds Management is a California nonprofit corporation and a tax-exempt organization under Section 501(c)(3) of the Code, the sole member of which is ECS. ECS Foundation was created to enhance the fundraising efforts of ECS and to oversee the investment and distribution of its restricted and unrestricted donor funds. In 2021, ECS Foundation changed its name to ECS Supportive Funds Management and curtailed fundraising activities, focusing solely on its management role overseeing the investment and distribution of

restricted and unrestricted donor funds. Simultaneously, the ECS Community Advancement Office was launched supporting fundraising at the CCRCs owned by ECS.

- **Twelve Oaks Foundation**: Twelve Oaks Foundation is a California nonprofit corporation that is a tax-exempt organization under Section 501(c)(3) of the Code. ECS became the sole corporate member of the Twelve Oaks Foundation in January 2021. Twelve Oaks Foundation owns and operates a 35-unit month-to-month rental senior living community providing independent living, assisted living and memory care located in Glendale, California (Los Angeles County). The property is permitted to house 66 residents with significant expansion potential. ECS is presently developing expansion plans.
- **Creative Housing & Services, LLC**: Creative Housing & Services, LLC is a limited liability company, the sole member of which is ECS, that provides advisory services to The Episcopal Diocese of Los Angeles and its member churches for the development of affordable housing on church properties, as well as providing management services for such affordable housing. In 2018, Creative Housing & Services (formerly Community Housing Management Services), a California nonprofit corporation, transferred substantially all of its assets relating to programs and activities that support the management of affordable housing facilities to Creative Housing & Services, LLC.
 - Creative Housing & Services, LLC is the managing general partner of Casa de los Amigos, L.P., a California Limited Partnership, formed for the purpose of developing and operating a 136-unit apartment complex for low-income senior residents located in Redondo Beach, California. The apartment complex is regulated by the United States Department of Housing and Urban Development (“HUD”) with respect to rental charges and operating methods. Under the partnership agreement for Casa de los Amigos, L.P., all profits, tax-exempt income, gains, losses, nondeductible expenditures and tax credits incurred and/or accrued by the partnership, other than arising from a capital transaction, are allocated 0.01% to Creative Housing & Services, LLC, as general partner, and the remaining 99.99% to the investor limited partners.

CORPORATE GOVERNANCE AND MANAGEMENT

Governance

ECS is governed by a 14-member Board of Directors, including two who serve *ex officio* namely the President and the Bishop of The Episcopal Diocese of Los Angeles or the Bishop’s designee.

The Directors other than the President and the Bishop or the Bishop’s designee are elected at the annual meetings of the Board for terms of four years and until their successors are elected. Elected Directors are divided into four (4) classes, each class having approximately one-fourth of the elected Directors. Each year the membership in the then senior class shall open for election, to the end that annually approximately one-fourth of the Directors shall be elected for a term of four years and provided, however, that no elected Director who has served on the Board for consecutive

terms of office aggregating eight or more years, or if such re-election would be for a term which, with prior service, would aggregate more than eight consecutive years of service on the Board, shall be re-elected to the Board unless a period of one year shall have elapsed since termination of his or her membership on the Board.

The following table summarizes ECS's current board of directors.

NAME	AREAS OF EXPERTISE	YEARS ON ECS BOARD
Catherine May (<i>Chair</i>)	Real estate development, management, association leadership	7 years
Gabriel Mendham Chuck	Legal, management, sales, education	2 years
Jonathan Cullen	Project management, accounting, finance, information technology, regulatory compliance	5 years
Gerti Garner (<i>Chair of Audit & Risk Management</i>)	Accounting, finance, insurance, health care	3 years
Tim Hartley (<i>ex-officio</i>)	Real estate	6 years
Jack Lantz	Business development, CEO, church leadership, musician	6 years
Robert A. Long	Legal, land use, real estate development	11 years
Karen Gee McAuley	Marketing, advertising and public relations	1 year
James Rothrock (<i>President/CEO of ECS</i>), <i>ex-officio</i>	CEO, senior living development/operations, finance	8 years
Mike Ryan (<i>Resident Board Member</i>)	Retired Marine General, corporate executive leadership	2 years
Jane Schlegel (<i>Resident Board Member</i>)	Social work, theatrical director	2 years
Joyce Huyett Turner	Communications, public relations, marketing	3 years
Jim White (<i>Secretary & Treasurer</i>)	Information technology, social services, board leadership, church leadership	7 years
Gwen Whitson	Legal, international business, intellectual property	6 years

Management

ECS is led by a dedicated and experienced management team committed to compassionate care and creating forward-thinking concepts that help seniors live inspired lives. The following table summarizes select members of ECS's senior management team.

NAME	OFFICE	NOTABLE ACADEMIC CREDENTIALS	YEARS OF EXPERIENCE	YEARS AT ECS
James Rothrock	<i>President and Chief Executive Officer</i>	MBA in Finance, Pepperdine University	Over 20 years	20 years
Charlie Rahilly	<i>Executive Vice President and Chief Financial Officer</i>	BBA, University of Oklahoma	5 years	5 years
Sharon Pewtress	<i>Senior Vice President of Operations and Chief Operating Officer</i>	Doctorate of Behavioral Health, Arizona State University	16 years	10 years
Stacie Ocampo	<i>Vice President of Human Resources</i>	Certificate in Human Resources Management, UCSD	Over 20 years	20 years
Maleakhi Adi	<i>Director of Information Technology</i>	MBA, Pepperdine University	Over 20 years	20 years

Set forth below are biographies for members of ECS's senior management team.

James Rothrock – Age 52

President and Chief Executive Officer

Mr. Rothrock has served as President & CEO since 2016. Mr. Rothrock served as Sr. Vice President of Finance and Chief Financial Officer from 2003 until his promotion to President and Chief Executive Officer. Prior to joining ECS in January 2003, Mr. Rothrock was a financial healthcare consultant for Trilogy Healthcare Group, Inc. He provided consulting services to chief financial officers throughout the United States, giving professional assistance with Medicare and Medicaid cost reports, as well as operational financial analysis. Prior to Trilogy, Mr. Rothrock was the Chief Financial Officer of Grace Village, a CCRC in Winona Lake, Indiana. Mr. Rothrock received his M.B.A. with a concentration in finance and B.A.S. in Organizational Management from Pepperdine University and Goshen College, respectively. He is a licensed Certified Public Accountant in the State of Indiana. He served in the U.S. Navy and received a Letter of Commendation during his service in the Navy.

Charlie Rahilly – Age 62

Executive Vice President and Chief Financial Officer

Mr. Rahilly joined ECS as Senior Vice President of Finance (retitled Executive Vice President) and Chief Financial Officer in April 2019 after serving for over three years on ECS's Board and most recently as Vice Chair of the Board and Chair of the Investment Committee. Mr. Rahilly spent over two decades in broadcast media, where until 2012 he led iHeartMedia's (formerly Clear Channel) National Platforms division with over \$4 billion in annual advertising billings. From 2007 to 2010, he was President of iHeartMedia's Premiere Networks providing

programming and production services to over 5,000 radio stations nationwide and advertising solutions to the nation's largest marketers. His earlier positions at Clear Channel included EVP/Operations, SVP/Sunbelt Region, Market President for Los Angeles and VP/Director of Sales for Los Angeles. He started his broadcast career at 102.7 KIIS-FM in Los Angeles and held various leadership roles at the station. He holds a BBA in Accounting from the University of Oklahoma.

Sharon Pewtress – Age 43

Senior Vice President of Operations and Chief Operating Officer

Ms. Pewtress joined ECS in 2013 and took over her current position as Senior Vice President of Operations and Chief Operating Officer in August 2023. She is a licensed nursing home and RCFE administrator. She holds a Bachelors of Arts degree from Utah State University, Masters degrees from Southern Oregon University and the University of Southern California, and a Doctorate of Behavioral Health from Arizona State University. Prior to this position, she was the Vice President of Strategic Growth and Development and prior to that, the Executive Director for The Canterbury. Before joining ECS, Sharon was with Pacific Retirement Services, located in Medford, Oregon, for seven years in a variety of roles. She has been the Chair of the LeadingAge NexGen Network since 2012 and is a Co-Founder and Board member for the Women in Senior Living group.

Stacie Ocampo – Age 48

Vice President of Human Resources

Ms. Ocampo joined ECS in 2003 and has held the position of Vice President of Human Resources since January 2006. She has a Bachelor of Arts in Political Science & History from the University of California, San Diego, and a Certificate in Human Resources Management from the UCSD Extension Program. She is a certified Senior Professional in Human Resources. She has over 20 years of experience in human resources for both for-profit and not-for-profit organizations.

Maleakhi Adi – Age 43

Director of Information Technology

Mr. Adi joined ECS in 2003 and has held the position of Director of Information Technology since July 2009. He holds a Bachelor of Science in Information and Computer Science from the University of California, Irvine, and an MBA from Pepperdine University. Mr. Adi is well-versed in technology trends and has over 20 years of experience in information technology within for-profit and not-for-profit organizations.

THE COMMUNITIES

ECS owns and operates retirement communities in Los Angeles County and Orange County including The Canterbury, The Covington and MonteCedro (collectively, the “Communities” and each, a “Community”).

The table below summarizes the campus size for each Community, resident population as of June 30 (ECS’s fiscal year-end (“FYE”)) for 2022 and 2023 (inclusive of skilled nursing care (“Skilled Nursing Care”)), and the number of units or beds by level of care for each Community as of FYE 2023. Effective July 1, 2023 ECS discontinued Skilled Nursing Care at both The Canterbury and The Covington campuses. Skilled Nursing Care was not provided at MonteCedro.

Community	Number of Acres	Resident Population		Number of Units (FYE 2023)			Number of Beds (FYE 2023)
		FYE 2022	FYE 2023	Independent Living	Assisted Living	Memory Care	Skilled Nursing Facility
The Canterbury	5.2	134	139	98	18	9	15
The Covington	12.0	203	192	155	19	10	24
MonteCedro	8.0	240	231	183	-	20	0
Total		577	562				

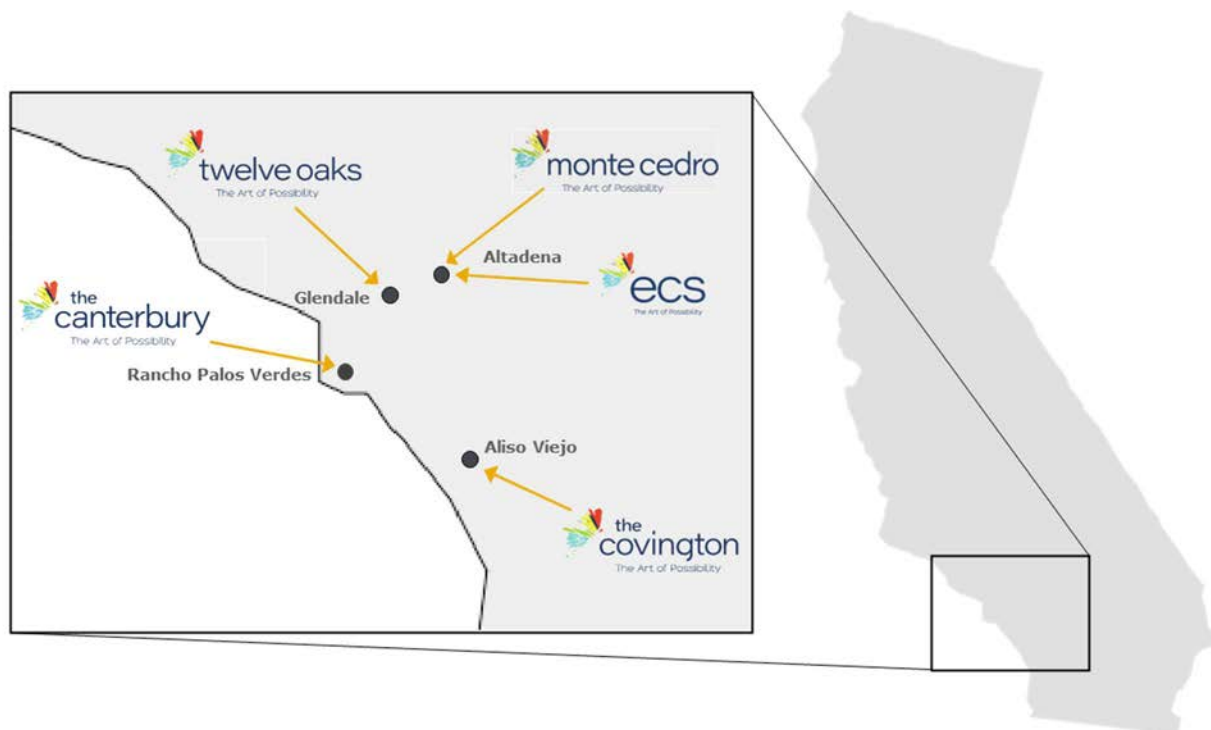
The Communities offer a continuum of health and wellness services that change as resident needs evolve. Some of the support services provided at the Communities include:

- Preventive wellness screenings, routine exams, physical therapy, and urgent health care services.
- Instructor-led fitness programs.
- The Creative Living program provides residents a robust array of social events, outings, educational and artistic pursuits.
- CareOne brings services to residents in-home.

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Communities

Shown below is a map of ECS' headquarters, along with locations for The Canterbury, The Covington and MonteCedro. The Twelve Oaks community is included on the map, but it is owned by one of the Non-Obligated Subsidiaries.



Below is additional information about the Communities.

The Canterbury

Opened in 1983, The Canterbury is located on a 5.2-acre campus in Rancho Palos Verdes. The Canterbury is the only CCRC in the South Bay in Los Angeles County. The campus includes independent living, assisted living and memory care. Based on current and prospective resident preferences for living and receiving care in a residential setting, ECS relicensed Skilled Nursing beds at The Canterbury to high-acuity assisted living under its RCFE license beginning July 1, 2023. ECS intends to significantly renovate the former Skilled Nursing spaces to deliver a more residential experience assisted living while preserving the ability to provide care for residents with advanced health needs in the same setting. See “CAMPUS EXPANSION AND REDEVELOPMENT PROJECT—The Canterbury” herein. The Canterbury offers residents refundable and non-refundable entrance fee contract options which provide continuing care, as well as month-to-month contracts which do not require payment of an entrance fee. See “LEVELS OF CARE PROVIDED AND SOURCES OF REVENUE—Entrance Fees” and “—Monthly Fees” herein.



The Covington

Opened in 2004, the Covington is a CCRC located on a 12-acre campus in Aliso Viejo in South Orange County. The campus includes independent living, assisted living and memory care. Based on very low utilization by CCRC residents and current/prospective resident preferences for living and receiving care in a residential setting, ECS delicensed and closed The Covington Skilled Nursing center beginning July 1, 2023. ECS intends to convert the Skilled Nursing beds into memory care units. See “CAMPUS EXPANSION AND REDEVELOPMENT PROJECT—The Covington” herein. The Covington offers refundable and non-refundable entrance fee contract options which provide continuing care. See “LEVELS OF CARE PROVIDED AND SOURCES OF REVENUE—Entrance Fees” and “—Monthly Fees” herein.



The Covington underwent a major renovation and remodeling in 2014, and its interior redesign and enhancements earned two national awards among age 55+ communities.

MonteCedro

Opened in 2015, MonteCedro is a CCRC that consists of four separate residential buildings located on an 8.2-acre campus in the foothills of Altadena in the Pasadena area of Los Angeles County. The campus includes independent living and memory care accommodations and provides assisted living services at home only.



ECS intends to expand the MonteCedro campus to include four new buildings with a total of 40 new residences, a new dining venue and 38 underground parking spaces under two of the buildings. See “CAMPUS EXPANSION AND REDEVELOPMENT PROJECT—MonteCedro” herein. MonteCedro offers residents refundable and non-refundable entrance fee contract options. See “LEVELS OF CARE PROVIDED AND SOURCES OF REVENUE—Entrance Fees” and “—Monthly Fees” herein.

Licenses and Memberships

The Canterbury, The Covington and MonteCedro are licensed by the State of California Department of Social Services as RCFEs and each Community has complied with specific requirements of California law related to RCFEs. ECS also has a Certificate of Authority at each Community entitling it to enter into continuing care contracts. ECS must submit audited financial statements and reports annually to the State and maintain State-mandated reserve and liquid asset requirements. For more information on Certificates of Authority, see “BONDHOLDERS’ RISKS—Regulatory Matters—CCRC Requirements of the State” in this Official Statement.

LEVELS OF CARE PROVIDED AND SOURCES OF REVENUE

Prior to July 1, 2023, four major levels of care were provided to the residents at the Communities: Independent Living, Assisted Living, Memory Care and Skilled Nursing Care. As previously discussed, effective July 1, 2023, ECS converted its Skilled Nursing beds to high-acuity Assisted Living at The Canterbury and closed its Skilled Nursing beds at The Covington.

Independent Living

Residents receive accommodations and services that include building and grounds maintenance, utilities (except telephone), meals, regularly scheduled housekeeping and linen services, recreation and social programs, and transportation services. Assistance with self-administered medications and care of minor ailments is also provided. Optional services are available.

Each of the Communities offers independent living.

Assisted Living

Residents receive all the independent living services described above with additional assistance with activities of daily living and medications. Licensed nurses and trained caregivers are available to monitor and assist residents. Personalized assisted living includes two options:

- **Stay at Home Option through the CareOne program:** Individuals can decide to stay right where they are, within their current residence, and receive coordinated in-home services through ECS's CareOne program. The CareOne program is referred to as "Home Care" in the Consultant's Report.
- **On-Site Care at Assisted Living Residences at the Communities:** ECS provides residents with the opportunity to transfer to one of the assisted living residences in The Canterbury or The Covington that is equipped and staffed to accommodate their individual needs.

Assisted living is offered in dedicated residences at The Canterbury and The Covington. MonteCedro provides stay at home assisted living services to residents in their independent living residence under the CareOne program.

Memory Care

Memory Care units at the Communities, referred to as The Courtyards, were created specifically for those needing Alzheimer's care or assistance with memory loss or cognitive decline. They provide a household setting designed to reflect the intimacy and comfort of a personal home.

Specialized programs are designed specifically to enhance residents' individual abilities and preferences. Every day, a dedicated group of trained professionals come together with residents and their families to create meaningful, joyful experiences. In consultation with families, the team develops plans of personalized care, integrating each resident's interests into daily life while respecting personal preferences for dressing, dining, and participation activities.

Admission Criteria

Admission to the Communities is open to individuals age 60 or older, without regard to race, color, religion, sexual orientation or national origin. All applicants for admission into the Communities are required to submit a completed financial disclosure form, which is reviewed and

maintained in the resident’s record. All applicants are also required to provide health information to confirm that ECS is able to meet the applicant’s care needs.

Resident Profile

The typical resident moves into an ECS community anywhere from their late-70s to mid-80s. Life experiences include a variety of professions and vocations, including doctors, attorneys, educators, entrepreneurs, finance professionals, CEOs, engineers, businesspeople, and clergy. ECS residents are typically downsizing from a home in which they spent decades raising their families and as empty nesters. Resident net worth averages \$3-4 million upon move-in with retirement income averaging \$120,000 to \$150,000 annually. There is a range of financial profiles, given the various residence types available from one-bedroom apartments on up to detached two-bedroom and den cottages. ECS qualifies prospective residents based on assets, income and expected future care costs much in the way a mortgage is qualified.

Source of Revenues

The following table provides the distribution of operating revenues for ECS for fiscal year ending June 30 (“Fiscal Year” or “FY”) for 2023. Due to the delicensing of Skilled Nursing services as of June 30, 2023, the source of future operating revenue derived from the Communities will be 100% private pay. Resident Care Fees, Service Revenue and Amortized Entrance Fees made up approximately 73%, 11% and 8%, respectively, of ECS’s operating revenue for Fiscal Year 2023. Approximately 4% of ECS’s total operating revenue and other support for Fiscal Year 2023 was funded pursuant to federal, state, and local assistance programs.

Source of Revenue Fiscal Year 2023 (in thousands)				
Net Resident Care Fees	Service Revenues ⁽¹⁾	Amortization of Entrance Fees	Ancillary Services Fees	TOTAL
\$45,818	\$7,084	\$5,105	\$4,489	\$62,496

(1) Includes CareOne (Home Care).

Entrance Fees and Monthly Fees

Entrance Fees. ECS offers resident payment plans requiring an entrance fee and monthly care fees at the Communities. ECS also offers a month-to-month non-continuing care residence and service agreement at The Canterbury which does not require payment of an entrance fee. Entrance fees are large, upfront fees collected from residents as they move into a Community. Varying portions of these entrance fees are repayable—ranging from 0% up to 80% based on the contract type a resident selects. The portion that is nonrepayable is amortized into ECS’s income, as applicable, over the life of the resident. The repayable portion of the entrance fee is paid (typically to a deceased resident’s trust or heirs) upon the reletting and re-occupancy of the former resident’s residence. At that time, ECS will collect a new entrance fee from the incoming resident and then pay the initial resident’s repayable portion known as a reoccupancy benefit. The difference in entrance fees between a new resident arriving and a departing resident represents the incremental cash flow to ECS.

The Average Reoccupancy Entrance Fee for each of the Communities listed in the tables below differs from the Consultant Report as the tables list the average while the Consultant Report utilizes a median Reoccupancy Entrance Fee.

Monthly Fees. The largest source of revenue for ECS is Resident Care Fees. Resident Care Fees are the monthly fees paid by the residents for senior living services. Other revenues include Ancillary Services—therapy, medication management, clinical services, additional dining, sundries, etc.—and Service Revenue—in-home resident care known as CareOne at the Communities.

The Canterbury. ECS provides two “Type B” continuing care contracts at The Canterbury: an amortized entrance fee plan (the “Canterbury Amortized Entrance Fee Plan Agreement”) and an 80% reoccupancy benefit plan (the “Canterbury Reoccupancy Benefit Agreement”). These contracts do not offer free days in Assisted Living but provide a discount of approximately 8% from the market rates for Assisted Living. The Canterbury also offers a month-to-month non-continuing care residence and service agreement which does not require payment of an entrance fee. 41: Currently, there are month-to-month contracts for 18 one-bedroom Independent Living, 18 Assisted Living and 5 Memory Care units.

Under the Canterbury Amortized Entrance Fee Plan Agreement, residents may pay (1) an entrance fee starting at \$170,000 for a one-bedroom unit and \$396,500 for a two-bedroom unit and (2) a monthly care fee. The entrance fee is refundable pro-rata if the Canterbury Amortized Entrance Fee Plan Agreement is terminated within three years from admission as follows:

- (i) During the first 90 days, the entrance fee is refunded in full.
- (ii) If the resident’s tenancy is longer than three months and up to three years, ECS retains 1/36th of the entrance fee for each month of residency or portion thereof.
- (iii) No refunds are issued in the case of residents who leave The Canterbury after three years.

Under the Canterbury Reoccupancy Benefit Agreement, residents may also pay (1) an entrance fee starting at \$370,000 for a one-bedroom unit and \$610,000 for a two-bedroom unit and (2) a monthly care fee. If a Canterbury Reoccupancy Benefit Agreement is terminated, the entrance fee is refundable as follows:

- (i) During the first 90 days, the entrance fee is refunded in full.
- (ii) If the resident’s tenancy terminates after the first ninety days, the resident will receive a reoccupancy benefit equal to 80% of the paid entrance fees within 14 calendar days after the resident’s unit is relet to a new resident who has executed a care and residence agreement and, if applicable, paid the then-applicable entrance fee for the same unit.

Pricing: The Canterbury						
Level of Care	# of Units (as of 6/30/23)	# of Units (as of 10/31/23)	Average Sq. Ft.	Average Reoccupancy Entrance Fee	Average Monthly Fee	Month-to- Month Rates
Independent Living	99	98	635	\$506,000	\$ 6,578	\$ 8,690
Assisted Living	32	33	395	-	\$12,996 ⁽¹⁾	\$13,545
Memory Care	9	9	355	-	\$13,291 ⁽¹⁾	\$12,090 ⁽²⁾

(1) Reflects discount.

(2) Does not include acuity charges.

The Covington. ECS provides two “Type B” continuing care contracts at The Covington: an amortized entrance fee plan (the “Covington Amortized Entrance Fee Plan Agreement”) and an 80% reoccupancy benefit plan (the “Covington Reoccupancy Benefit Agreement”). These contracts do not offer free days in Assisted Living but provide a discount of approximately 8% from the market rate for Assisted Living.

Under the Covington Amortized Entrance Fee Plan Agreement, residents may pay (1) an entrance fee starting at \$256,000 for a one-bedroom unit and \$419,000 for a two-bedroom unit and (2) a monthly care fee. The entrance fee is refundable pro-rata if the Covington Amortized Entrance Fee Plan Agreement is terminated within three years from admission as follows:

- (i) During the first 90 days, the entrance fee is refunded in full.
- (ii) If the resident’s tenancy is longer than three months and up to three years, ECS retains 1/36th of the entrance fee for each month of residency or portion thereof.
- (iii) No refunds are issued in the case of residents who leave The Covington after three years.

Under the Covington Reoccupancy Benefit Agreement, residents may also pay (1) an entrance fee starting at \$394,000 for a one-bedroom unit and \$645,000 for a two-bedroom unit and (2) monthly care fee. If a Covington Reoccupancy Benefit Agreement is terminated, the entrance fee is refundable as follows:

- (i) During the first 90 days, the entrance fee is refunded in full.
- (ii) If the resident’s tenancy terminates after the first ninety days, the resident will receive a reoccupancy benefit equal to 80% of the paid entrance fees within 14 calendar days after the resident’s unit is relet to a new resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit.

Pricing: The Covington					
Level of Care	# of Units (as of 6/30/23)	# of Units (as of 10/31/23)	Average Sq. Ft.	Average Reoccupancy Entrance Fee	Average Monthly Fee
Independent Living	155	155	1,319	\$739,000	\$ 6,955
Assisted Living	19	19	427	-	\$ 9,455 ⁽¹⁾
Memory Care	10	10	349	-	\$10,450 ⁽¹⁾

(1) Reflects discount.

MonteCedro. ECS provides two “Type B” continuing care contracts at MonteCedro: an amortized entrance fee plan (the “MonteCedro Amortized Entrance Fee Plan Agreement”) and an 80% reoccupancy benefit plan (the “MonteCedro Reoccupancy Benefit Agreement”). MonteCedro offers Assisted Living at home for an additional charge through its CareOne Team Care and Companion Care programs which bring care directly to residents in their Independent Living homes. These contracts provide priority access to Memory Care for MonteCedro residents at an approximate 8% discount to market rates.

Under the MonteCedro Amortized Entrance Fee Plan Agreement, residents may pay (1) an entrance fee starting at \$349,000 for a one-bedroom unit and \$692,000 for a two-bedroom unit and (2) a monthly care fee. The entrance fee is refundable pro-rata if the MonteCedro Amortized Entrance Fee Plan Agreement is terminated within three years from admission as follows:

- (i) During the first 90 days, the entrance fee is refunded in full.
- (ii) If the resident’s tenancy is longer than three months and up to three years, ECS retains 1/36th of the entrance fee for each month of residency or portion thereof.
- (iii) No refunds are issued in the case of residents who leave MonteCedro after three years.

Under the MonteCedro Reoccupancy Benefit Agreement, residents may also pay (1) an entrance fee starting at \$537,000 for a one-bedroom unit and \$1,064,000 for a two-bedroom unit and (2) a monthly care fee. If a MonteCedro Reoccupancy Benefit Agreement is terminated, the entrance fee is refundable as follows:

- (i) During the first 90 days, the entrance fee is refunded in full.
- (ii) If the resident’s tenancy terminates after the first ninety days, the resident will receive a reoccupancy benefit equal to 80% of the paid entrance fees within 14 calendar days after the resident’s unit is relet to a new resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit.

Pricing: MonteCedro – Existing Campus					
Level of Care	# of Units (as of 6/30/23)	# of Units (as of 10/31/23)	Average Sq. Ft.	Average Reoccupancy Entrance Fee	Average Monthly Fee
Independent Living	183	183	1,185	\$1,023,000	\$6,780
Memory Care	20	20	175	-	\$9,530 ⁽¹⁾

(1) Reflects discount.

The expansion of MonteCedro (“MonteCedro – Phase II”), consisting of four new buildings with a total of 40 new residences is expected to be completed by fall 2025. ECS has accepted 10% deposits on 38 of the 40 new units. Such deposit amounts do not constitute revenues of ECS until the deposits are released from escrow upon the execution of a MonteCedro Amortized Entrance Fee Plan Agreement or MonteCedro Reoccupancy Benefit Agreement at the time of occupancy.

Pricing: MonteCedro – Phase II					
Level of Care	# of Units (as of 6/30/23)	# of Units (as of November 20 25)	Sq. Ft. Range	Reoccupancy Entrance Fee Range	Monthly Fee Range FY 2024
Independent Living (1 BR)	-	8	1,000 – 1,165 sq. ft.	\$795,000 – \$955,000	\$6,260 – \$6,970
Independent Living (2 BR)	-	32	1,235 – 2,450 sq. ft.	\$1,095,000 – \$2,375,000	\$7,180 – \$11,040

Resident Fee Adjustments

The following table provides the range of annual rate increases by ECS at their Communities over the past three Fiscal Years:

Annual Rate Increase Matrix			
	FY 2022	FY 2023	FY 2024
Independent Living Entrance Fee	0%	8%	2%
Independent Living Monthly Service Fee	4%	5%	5%
Assisted Living Monthly Service Fee	4%	8%	5%
Memory Care Monthly Service Fee	4%	6%	4%

Occupancy Statistics

The below tables report occupancy percentages for the various levels of care for Fiscal Years 2022, 2023 and fiscal year-to-date 2024 as of October 31, 2023:

Occupancy Data: Aggregate					
Level of Care	# of Units (as of 6/30/23)	# of Units (as of 10/31/23)	2022 Average	2023 Average	As of 10/31/2023
Independent Living	437	436	87%	91%	92%
Assisted Living	51	52	88%	76%	75%
Memory Care	39	39	89%	87%	92%

Occupancy Data: The Canterbury					
Level of Care	# of Units (as of 6/30/23)	# of Units (as of 10/31/23)	2022 Average	2023 Average	As of 10/31/2023
Independent Living	99	98	86%	87%	86%
Assisted Living	32	33	82%	71%	73%
Memory Care	9	9	99%	82%	100%

Occupancy Data: The Covington					
Level of Care	# of Units (as of 6/30/23)	# of Units (as of 10/31/23)	2022 Average	2023 Average	As of 10/31/2023
Independent Living	155	155	80%	86%	88%
Assisted Living	19	19	95%	79%	79%
Memory Care	10	10	87%	70%	90%

Occupancy Data: MonteCedro					
Level of Care	# of Units (as of 6/30/23)	# of Units (as of 10/31/23)	2022 Average	2023 Average	As of 10/31/2023
Independent Living	183	183	94%	97%	97%
Memory Care	20	20	85%	98%	90%

Independent Living Unit Turnover

See below for a breakdown of the turnover and net entrances fees received from independent living units (“ILU”) for each Community for Fiscal Years 2022 and 2023:

Independent Living Unit Turnover Matrix: The Canterbury (Net Entrance Fees in 000s)		
	FY 2022	FY 2023
Beginning Number of ILUs Occupied (as of July 1)	83	87
Transfers during FY	5	9
Deaths during FY	10	9
Move Outs during FY	2	2
Move Ins during FY	21	24
Ending Number of ILUs Occupied (as of June 30)	87	91
Net Entrance Fees Received from ILU Turnover	\$4,387	\$(872)*

* Due to the letting of several units under month-to-month contracts, Reoccupancy Benefits paid modestly exceeded Entrance Fees received. When these units are relet under Entrance Fee agreements, this impact will reverse.

Independent Living Unit Turnover Matrix: The Covington (Net Entrance Fees in 000s)		
	FY 2022	FY 2023
Beginning Number of ILUs Occupied (as of July 1)	123	132
Transfers during FY	12	6
Deaths during FY	7	16
Move Outs during FY	3	8
Move Ins during FY	31	33
Ending Number of ILUs Occupied (as of June 30)	132	135
Net Entrance Fees Received from ILU Turnover	\$4,727	\$7,621

Independent Living Unit Turnover Matrix: MonteCedro (Net Entrance Fees in 000s)		
	FY 2022	FY 2023
Beginning Number of ILUs Occupied (as of July 1)	159	179
Transfers during FY	3	1
Deaths during FY	6	7
Move Outs during FY	4	6
Move Ins during FY	33	15
Ending Number of ILUs Occupied (as of June 30)	179	180
Net Entrance Fees Received from ILU Turnover	\$5,936	\$2,678

COMPETITION AND SERVICE AREA

Approximately 75% of residents move to the communities from within a 15 to 25 minute driving radius known as the Primary Market Area. The following table lists the communities with which the ECS communities primarily compete for new residents.

Competitive Communities (ECS Community)	Distance from ECS Community	Contract Type
Merrill Gardens (The Canterbury)	1 mile	Month-to-Month
Reata Glen (The Covington)	12 miles	Entrance Fee
Villa Gardens (MonteCedro)	2 miles	Entrance Fee

CAMPUS EXPANSION AND REDEVELOPMENT PROJECT

ECS is embarking on expansion or redevelopment projects at each of the three Communities (the “Project”). Bond proceeds will primarily be spent on the MonteCedro expansion, with a smaller share of Bond proceeds used on capital expenditures for The Canterbury and The Covington redevelopment as well. Bond proceeds will also be used to reimburse ECS for prior capital expenditures.

MonteCedro. The MonteCedro expansion will be located on the vacant land adjacent to the existing community and owned by ECS. The project will consist of four separate three-story villa buildings with a total of 40 new independent living residences. This phase will also include a new dining venue and 38 underground parking spaces under two of the villas. The scope of construction includes a total of 105,953 sq. ft. of new space, including 66,514 sq. ft. of rentable units, 19,646 sq. ft. for the underground garage and 19,793 sq. ft. for dining, circulation, storage and other common areas.

For the 40 new apartments included in the expansion, there are 17 different floor plans ranging in size from approximately 1,000 square feet to 2,500 square feet. There will be 8 one-bedroom apartments (1,000 to 1,165 square feet), 22 two-bedroom apartments (1,235 to 1,580 square feet) and 10 two-bedroom with den apartments (1,700 to 2,450 square feet). All apartments will feature a full kitchen and laundry room/closet with side-by-side washer and dryer. The two-bedroom apartments will also include two full bathrooms.

Perkins Eastman is the architect for the MonteCedro Project and served as the architect for the existing community as well. ECS entered into a Guaranteed Maximum Price construction contract (the “Construction Contract”), dated as of September 19, 2023, with C.W. Driver, LLC, as general contractor for the MonteCedro Project (the “Contractor”), and ECS will issue a notice to proceed following the closing of the Bonds in January 2024. The sum of the cost of the work and the Contractor’s fee is guaranteed by the Contractor not to exceed \$63,580,487, subject to additions and deductions by change order as provided in the Construction Contract. The Construction Contract requires a payment and performance bond for the subcontractors on the Project and the Contractor will provide a bond as the general contractor. Within the Construction Contract, the Contractor has a contingency of 3% of the cost of the work under the Construction Contract. The Contractor Fee is 2.75% of the cost of the work.

Monthly construction progress payments will be subject to retainage of not to exceed 10.00%. Liquidated damages for completion delays will be applied if construction is delayed beyond one month (30 days) in the amount of \$2,500 per day through the 60th day of delay and thereafter, \$10,000 per day for every additional day of delay until substantial completion, up to a maximum total liquidated damages amount not to exceed 50% of the Contractor's Fee. Construction under the Construction Contract is expected to be substantially complete 626 days from start of construction (approximately 21 months). Allied Partners is the project manager and McLemore Development is development advisor. Contracts that are described as "fixed price," "lump sum," or "guaranteed maximum price" are not guaranteed to be free from cost increases. See "BONDHOLDERS' RISKS—Completion of the Construction Projects" in this Official Statement.

Site preparation is underway. Construction is expected to begin in January 2024 and to be completed in approximately 21 months. Occupancy for the 40 units is expected to commence in November 2025 with full occupancy expected by April 2026.

As of January 12, 2024, ECS has accepted 10% deposits on 38 of the 40 new units and as of the same date, the existing community has 138 individuals on its wait list.

The Canterbury. The Canterbury redevelopment plan will include extensive renovation and revitalization that includes converting the recently closed Skilled Nursing units to more home-like high-acuity Assisted Living accommodations consistent with current and future resident preferences. The Skilled Nursing relicensing occurred effective June 30, 2023. The project also includes expanding dining options, repositioning outdoor spaces and reconfiguring/upgrading fitness and wellness centers. Overall, no new units will be added.

The Canterbury conversion of Skilled Nursing beds to Assisted Living units is underway. The renovation of all rooms and common areas in the former Skilled Nursing center is expected to be completed on the next 18 to 24 months. The construction to expand dining options, reposition outdoor spaces and reconfigure/upgrade the fitness and wellness centers is expected to commence in early FY 2025 and be completed in 18 to 24 months.

The Covington. The Covington project will include extensive renovation of interior spaces—upgrade common spaces, expand casual dining, reposition the entrance area and reconfigure/upgrade the fitness and wellness centers. A reconfiguration and extensive renovation of Assisted Living and Memory Care accommodations are also planned to meet current and future resident preferences. The redesign will include converting Skilled Nursing beds to Memory Care units. Skilled Nursing at The Covington was delicensed effective June 30, 2023. The redesign and conversion of Memory Care units will not result in an increase in the number of Assisted Living or Memory Care units.

The Covington interior renovations design is underway with construction expected to commence in FY 2025 and completed within 24 to 30 months.

The following table shows a summary of the budget (in ‘000s) for each component of the Project:

Project Location	Costs Spent thru October 2023	Project Budget FY 2024	Project Budget FY 2025	Project Budget FY 2026	Total Project Budget including Reimbursements	Equity Contribution	Portion Funded with Series 2024 Bond Proceeds
The Canterbury	\$3,750	\$8,750	\$17,500	\$9,100	\$39,100	\$23,075	\$16,025
The Covington	\$3,700	\$7,700	\$19,000	\$6,200	\$36,600	\$23,075	\$13,525
MonteCedro	\$2,350	\$27,350	\$40,000	\$5,750	\$75,450	\$5,000	\$70,450
TOTAL	\$9,800	\$43,800	\$76,500	\$21,050	\$151,150	\$51,150	\$100,000

The following table shows a summary of the unit/bed count at each Community both prior to and after the relicensing or closure of the Skilled Nursing beds on July 1, 2023 and the planned campus redevelopment and expansion projects:

Facility/Unit Type	Number of Units/Beds as of 6/30/23	Redevelopment or Expansion Number of Units/Beds	Number of Units/Beds After Project
The Canterbury			
Independent Living Units	98	0	98
Assisted Living Units	18	15	33
Memory Care Units	9	0	9
Skilled Nursing Units (Beds)	15	(15)	140
Subtotal Unit Count	140	0	140
The Covington			
Independent Living Units	155	0	155
Assisted Living Units	19	0	19
Memory Care Units	10	0	10
Skilled Nursing Units (Beds)	24	(24)	0
Subtotal Unit Count	208	(24)	184
MonteCedro			
Independent Living Units	183	40	223
Assisted Living Units	0	0	0
Memory Care Units	20	0	20
Subtotal Unit Count	203	40	243
TOTAL UNIT COUNT	551	16	567

REGULATIONS, PERMITS AND APPROVALS

The various approvals and permits necessary for ECS to begin construction of the Project are in varying stages. The California State Department of Social Services has approved the MonteCedro project and, upon completion, the additional 40 units will be included in the RCFE license for MonteCedro. In September 2009, conditional use permit (“CUP”) was issued by the County of Los Angeles which encompasses the MonteCedro project. At such time a mitigated negative declaration was adopted and certified as in compliance with CEQA. On August 18, 2022,

the County Department of Regional Planning approved minor revisions to the site plan from the CUP through a process known as a “Revised Exhibit ‘A’.” Applications have been filed with the Los Angeles County Building & Safety Department for multiple building and construction permits for the MonteCedro project. The County has completed its review of the plan set and has approved, ready-to-issue, grading, shoring, mechanical, plumbing and electrical permits. Additional permits for the expansion have been approved by Building & Safety and are waiting for clearances from other County departments.

The Canterbury and The Covington projects do not require approval of the California State Department of Social Services and are exempt from CEQA. Applications are underway for zoning permits and multiple building and construction permits with the County for these projects.

HISTORICAL FINANCIAL INFORMATION

General

The following financial information of ECS and Subsidiaries as of and for the three fiscal years ended June 30, 2021, 2022 and 2023, is from ECS’s audited consolidated financial statements. ECS and the Obligated Group (which reflects the historic Obligated Group (ECS), and MonteCedro Inc, on a historic basis), constitutes (i) 88% and 88%, respectively, of the consolidated assets of ECS and Subsidiaries, and (ii) 97% and 96%, respectively, of the consolidated operating revenue and other support of ECS and Subsidiaries as of and for the fiscal year ended June 30, 2023 and as of and the four months ended October 31, 2023, respectively.

The financial information should be read in conjunction with the audited consolidated financial statements as of June 30, 2021, 2022 and 2023 and related notes that are included in APPENDIX B to this Official Statement.

The financial information as of and for the four-month period ended October 31, 2022 and 2023 is unaudited but includes all adjustments which management of ECS considers is necessary to present such information in conformity with accounting principles generally accepted in the United States of America. The results of operations for the four-month period ended October 31, 2023 may not be indicative of the results for the entire year ending June 30, 2023.

Summary of Financial Information

Consolidated Financial Statements – ECS and Subsidiaries

Statements of Financial Position

(In Thousands)

	As of June 30,			As of October 31,	
	2021	2022	2023	Unaudited 2022	Unaudited 2023
CURRENT ASSETS					
Cash and cash equivalents	10,766	16,314	12,572	15,272	13,441
Investments, short-term	24,619	18,371	28,078	18,371	28,174
Accounts receivable, net	1,193	1,303	1,511	1,546	976
Other receivables	110	93	66	101	149
Unconditional promises to give	5	5	3	5	3
Inventories	293	267	231	273	236
Prepaid expenses and other current assets	1,517	1,424	933	1,487	1,928
Affiliate rights	146	146	-	54	-
Notes receivable, current portion	1,470	3,553	3,425	1,229	2,890
Assets limited as to use, required for current liabilities	1,383	1,145	2	2	2
Total current assets	41,502	42,621	46,821	38,337	47,801
PROPERTY AND EQUIPMENT, net	225,987	221,748	222,056	221,388	221,988
OTHER ASSETS					
Investments, long-term	147,432	122,231	121,638	122,146	110,782
Notes receivable, net of current portion	2,735	2,160	1,307	2,161	1,307
Assets limited as to use, net of current portion	8,630	3,952	4,893	5,726	5,950
Operating lease right-of-use assets	1,501	1,282	1,055	1,207	979
Other assets	394	317	184	242	250
Total other assets	160,692	129,942	129,077	131,482	119,266
Total assets	428,181	394,311	397,954	391,208	389,056
CURRENT LIABILITIES					
Accounts payable and accrued expenses	4,223	3,638	3,800	2,477	3,554
Accrued compensation, payroll taxes, and benefits	3,381	3,385	3,293	2,745	2,397
Interest payable	943	466	336	1,677	1,221
Entrance fee refunds upon reoccupancy payable	21,863	7,080	7,925	9,833	11,820
Other current liabilities	923	892	4,791	1,494	6,230
Deferred revenue	517	309	1,206	631	237
Current portion of liability for losses during phase-out period of discontinued operations	152	114	86	85	65
Operating lease liability, current portion	237	253	270	172	183
Current portion of long-term debt	2,571	2,629	2,700	2,396	2,700
Total current liabilities	34,810	18,766	24,407	21,510	28,407
OTHER LIABILITIES					
Deposits from residents	1,275	444	537	387	448
Liability for refundable and repayable entrance fees	209,337	229,144	229,284	228,081	225,121
Deferred revenue from entrance fees	17,557	23,550	26,887	23,345	27,667
Liability for losses during phase-out period of discontinued operations, net of current portion	430	316	229	281	204
Operating lease liability, net of current portion	1,530	1,271	1,001	1,271	1,001
Long-term debt, net of current maturities	101,027	91,323	85,174	91,541	85,188
Total other liabilities	331,156	346,048	343,112	344,907	339,628
Total liabilities	365,966	364,814	367,519	366,417	368,035
NET ASSETS					
Without donor restriction	58,978	27,044	28,062	22,440	18,703
With donor restriction	3,237	2,453	2,373	2,351	2,318
Total net assets	62,215	29,497	30,435	24,791	21,021
Total liabilities and net assets	428,181	394,311	397,954	391,208	389,056

Statements of Operations

(In Thousands)

	For the Fiscal Year Ended June 30,			Four-Months Ended October 31,	
	2021	2022	2023	Unaudited 2022	Unaudited 2023
OPERATING REVENUE AND OTHER SUPPORT WITHOUT DONOR RESTRICTION					
Resident care fees, net	37,856	42,294	45,818	15,482	15,863
Ancillary services	2,754	4,219	4,489	1,630	1,154
Amortization of entrance fees	4,467	4,033	5,105	1,337	2,195
Service revenue	6,899	6,794	7,084	2,069	2,784
Contributions	1,872	126	155	57	95
Other	1,797	804	484	94	146
Total operating revenue and other support	55,645	58,270	63,135	20,669	22,237
Investment returns (losses) available for current operations, net	30,800	(20,256)	15,897	112	(5,955)
Total operating revenue, other support and investment returns	86,445	38,014	79,032	20,781	16,283
OPERATING EXPENSES					
General and administrative	14,247	14,519	14,882	4,702	4,980
Dining service	8,990	9,909	10,789	3,450	3,672
Nursing service, routine	16,100	17,248	20,281	6,191	5,825
Residential services	2,578	2,964	3,171	987	1,185
Environmental services	8,419	8,971	10,000	3,377	3,540
Covid-19 direct expenses	3,184	812	625	304	-
Other expenses	1,241	1,188	1,451	508	649
Total operating expenses before depreciation	54,759	55,611	61,199	19,518	19,852
OPERATING INCOME (LOSS) BEFORE DEPRECIATION	31,686	(17,597)	17,833	1,263	(3,570)
DEPRECIATION	12,450	13,258	13,797	4,533	4,820
Total operating income (loss)	19,236	(30,855)	4,036	(3,269)	(8,390)
OTHER EXPENSE (INCOME)					
Gain on bond refinancing	-	(3,632)	(557)	-	-
PPP loan forgiveness	(4,685)	-	-	-	-
Interest expense	4,848	4,446	3,066	1,172	895
Inherent contribution from affiliation	(3,071)	-	-	-	-
Other	338	489	601	241	80
Total other expenses (income), net	(2,570)	1,303	3,110	1,414	975
Excess (deficiency) of revenue over expenses	21,806	(32,158)	926	(4,683)	(9,365)

Statements of Changes in Net Assets

(In Thousands)

	For the Fiscal Year Ended June 30,			Four-Months Ended October 31,	
	2021	2022	2023	Unaudited 2022	Unaudited 2023
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION					
Excess (deficiency) of revenue over expenses	21,806	(32,158)	926	(4,683)	(9,365)
Accretion of losses during phase-out period of discontinued operations	(238)	(286)	(312)	(77)	(66)
Net assets released from restrictions for capital expenditures	904	510	404	-	-
Total change in net assets without donor restriction	22,472	(31,934)	1,018	(4,760)	(9,431)
CHANGE IN NET ASSETS WITH DONOR RESTRICTION					
Contributions	452	-	157	52	80
Dividends and interest	39	37	58	11	15
Net realized and unrealized gains (losses)	435	(311)	109	8	78
Net assets released from restrictions for capital expenditures	(904)	(510)	(404)	-	-
Total change in net assets with donor restriction	22	(784)	(80)	55	17
CHANGE IN NET ASSETS	22,494	(32,718)	938	(4,705)	(9,414)
Net assets, beginning of year	39,721	62,215	29,497	29,496	30,434
Net assets, end of year	62,215	29,497	30,435	24,791	21,021

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Additional Consolidated Financial Information – ECS and Subsidiaries
(See APPENDIX B for complete audited financial statements)

Schedules of Cash Flows

(In Thousands)

	For the Fiscal Year Ended June 30,			Four-Months Ended October 31,	
	2021	2022	2023	Unaudited 2022	Unaudited 2023
OPERATING ACTIVITIES					
Cash received					
Resident care fees	41,689	45,701	51,381	17,251	17,301
Entrance fees	21,067	49,567	36,751	7,406	12,398
Contributions	2,326	309	304	106	103
Investment income	11,111	9,373	4,351	1,068	1,551
Management fee revenue	262	28	-	1,621	1,727
Service revenue	7,328	6,776	6,962	2,069	2,784
Other	2,055	97	340	(7)	123
Cash disbursed					
Cash paid to employees and suppliers	(61,937)	(61,447)	(57,357)	(22,487)	(23,512)
Interest	(5,014)	(5,088)	(3,170)	(20)	(9)
Net cash provided by operating activities	18,887	45,316	39,562	7,007	12,464
INVESTING ACTIVITIES					
Investment income reinvested	(4,643)	(9,259)	(4,182)	(1,036)	(1,452)
Purchase of investments	(8,035)	(202)	(1,191)	-	-
Proceeds from sale of investments	20,873	15,172	8,170	223	4,760
Purchase of property and equipment	(5,549)	(9,297)	(14,729)	(4,345)	(4,818)
Proceeds from disposals of property and equipment		-	185	-	-
Issuance of notes receivable	(1,111)	(12,219)	(11,242)	(2,870)	(3,219)
Collection of notes receivable	12	10,711	12,367	5,339	3,754
Net cash provided by (used in) investing activities	1,547	(5,094)	(10,622)	(2,690)	(975)
FINANCING ACTIVITIES					
Payment of long-term debt	(2,010)	(57,525)	(43,350)	-	-
Proceeds from issuance of long-term debt	-	56,364	37,790	-	-
Refund of entrance fees	(16,234)	(34,517)	(27,324)	(4,723)	(9,563)
Net cash provided by (used in) financing activities	(18,244)	(35,678)	(32,884)	(4,723)	(9,563)
Net increase (decrease) in cash and cash equivalents and restricted cash and cash equivalents	2,190	4,544	(3,944)	(404)	1,926
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, beginning of year	14,677	16,867	21,411	17,215	14,061
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, end of year	16,867	21,411	17,467	16,811	15,987

Historical Financial Ratios

The following tables set forth the historical Debt Service Coverage Ratios (based on annual debt service), Cash to Debt Ratios and Days Cash on Hand (Debt Service Coverage Ratios and Days Cash on Hand calculated pursuant to the Master Indenture) as of June 30 for the prior three fiscal years for the Obligated Group consisting of ECS and MonteCedro on a historical basis.

Historical Debt Service Coverage Ratios (in thousands)				
	FY 2021	FY 2022	FY 2023	TTM ⁽¹⁾ as of 10/31/23 (Unaudited)
Income Available for Debt Service				
Excess (Deficiency) of revenue over expenses	\$11,654	\$(26,596)	\$(1,806)	\$(4,683)
Add:				
Depreciation expense	12,259	12,732	13,248	13,534
Amortization expense	122	119	70	43
Interest expense, net	4,848	4,446	3,066	2,788
Loss (gain) on disposal of property and equipment	118	275	470	331
Cash entrance fees received, net	4,833	15,050	9,427	9,538
Less:				
Amortization of entrance fees	(4,467)	(4,033)	(5,105)	(5,963)
PPP loan forgiveness	(3,771)	-	-	-
Loss (gain) on bond financing	-	(3,632)	(557)	(557)
Unrealized (gains) losses	(5,075)	23,798	(7,394)	(2,613)
Net Income Available for Debt Service	\$20,521	\$22,159	\$11,419	\$12,418
Historical Debt Service Requirement	\$ 7,024	\$ 6,391	\$ 5,625	\$ 5,625
Historical Debt Service Coverage Ratio	2.92x	3.47x	2.03x	2.21x

(1) Trailing Twelve Months

Historical Cash to Debt Ratios (in thousands)				
	FYE 2021	FYE 2022	FYE 2023	10/31/23 (Unaudited)
Cash & Investments	\$140,456	\$120,247	\$121,238	\$113,627
Long Term + Short Term Debt	\$ 99,460	\$ 94,430	\$ 88,870	\$ 88,870
Cash to Debt	141%	127%	136%	128%

Historical Days Cash on Hand (in thousands)				
	FY 2021	FY 2022	FY 2023	TTM ⁽¹⁾ as of 10/31/23 (Unaudited)
Cash & Investments, end of period	\$140,456	\$120,247	\$121,238	\$113,627
Total Expenses before Depreciation, Amortization and Interest Expenses	\$51,582	\$53,595	\$58,587	\$56,549
Daily Expenses	\$141	\$147	\$161	\$155
Days Cash on Hand, end of period	996	818	755	733

(1) Trailing Twelve Months

Summary of Outstanding Long-Term Debt

Pursuant to a forward delivery bond purchase agreement, on May 16, 2022 ECS issued Senior Secured Bonds, Series 2022A, in the original aggregate principal amount of \$52,495,000 (the “Series 2022A Bonds”), and on November 15, 2022 ECS issued Senior Secured Bonds, Series 2022B, in the original aggregate principal amount of \$37,790,000 (the “Series 2022B Bonds” and, together with the Series 2022A Bonds, the “Series 2022 Bonds”). The proceeds of the Series 2022A Bonds were used to redeem all outstanding California Statewide Communities Development Authority Revenue Refunding Bonds, Series 2012 (Episcopal Communities & Services). The proceeds of the Series 2022B Bonds were used to redeem all outstanding Los Angeles County Regional Financing Authority Insured Revenue Bonds Series 2014A (MonteCedro Inc. Project). Upon issuance of the Series 2022A Bonds, the existing master trust indenture was replaced with the Master Indenture. The Series 2022A Bonds and the Series 2022B Bonds are each secured by an Obligation under the Master Indenture. The following table summarizes the Series 2022 Bonds as of October 31, 2023.

Summary of Outstanding Long-Term Debt as of October 31, 2023			
Series	Par Amount	Coupon	Final Maturity
2022A	\$51,080,000	3.04%	5/15/2047
2022B	\$37,790,000	2.89%	11/15/2044

For more information regarding the long-term debt of ECS, see Note 9 in APPENDIX B – “FINANCIAL STATEMENTS OF EPISCOPAL COMMUNITIES & SERVICES AND SUBSIDIARIES” and “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS – Covenants Related to Other Indebtedness” in this Official Statement.

MANAGEMENT DISCUSSION OF THE ECS/OBLIGATED GROUP FINANCIAL PERFORMANCE

The following discussion relates to the consolidated financial statements for ECS and Subsidiaries presented previously under HISTORICAL FINANCIAL INFORMATION, except as otherwise noted.

Four-Month Period Ended October 31, 2023 (unaudited) vs. Four-Month Period Ended October 31, 2022 (unaudited)

Total operating revenue, other support and investment returns for the four-month period ended October 31, 2023 was \$16,282,000, a decrease of \$4,499,000 or 22% compared to operating revenue, other support and investment returns of \$20,781,000 for the four-month period ended October 31, 2022.

The decrease in operating revenue, other support and investment returns for the four-month period ended October 31, 2023 was driven by investment performance accounting for approximately 135% of the overall decrease. Investment (losses) available for current operations (*i.e.*, dividends, interest and unrealized and realized gains/losses) totaled (\$5,955,000) for the four-month period ended October 31, 2023, a decrease of \$6,067,000 compared to Investment returns available for current operations for the four-month period ended October 31, 2022 of \$112,000.

Total operating revenue and other support (without investment returns) increased to \$22,237,000 for the four-month period ended October 31, 2023, an increase of \$1,568,000 or 8% compared to the four-month period ended October 31, 2022. The increase was driven by a weighted average 4.6% increase to resident fees across the Communities. Occupancy averaged 90% for the four-month period ended October 31, 2023, an approximately 2% increase compared to the four-month period ended October 31, 2022.

Total operating expenses before depreciation for the four-month period ended October 31, 2023 were \$19,852,000, an increase of \$334,000 or 2.0% compared to the four-month period ended October 31, 2022. The increase in operating expenses is attributable to wage increases of approximately 4.5%, food inflation, increased insurance costs and increased utilities costs offset by expense decreases totaling approximately \$1,000,000 in aggregate related to the relicensing and closure of Skilled Nursing at The Canterbury and The Covington, respectively.

Capital expenditures were \$4,818,000 and \$4,345,000 for the four-month periods ended October 31, 2023 and October 31, 2022, respectively. The capital expenditures involved updating residences upon turnover; renovating MonteCedro's kitchen, bistro and lounge; renovating resident activity spaces and scheduled replacement of vehicles, common area furnishings and building equipment. Depreciation and amortization expense for the four-month period ended October 31, 2023 was \$4,834,000, an increase of approximately \$234,000 or 5% compared to the four-month period ended October 31, 2022.

Interest expense totaled \$895,000 for the four-month period ended October 31, 2023 decreasing \$278,000 or 24% compared to the four month period ended October 31, 2022 due primarily to the refinancing of long-term debt in May and November of 2022.

Trailing Twelve-Month Period Ended October 31, 2023 (unaudited) vs. Fiscal Year Ended June 30, 2023

Net income available for debt service totaled \$12,418,000 for the twelve months ended October 31, 2023, a \$999,000 or 9% increase compared to Fiscal Year 2023. The increase in net income available for debt service breaks out as follows:

Component of net income available for debt service	Increase/(Decrease) TTM 10/31/23 v. FY23
Excess of increased operating revenue over increased operating expenses	\$709,000
Net increase in dividends, interest and realized gains	179,000
Increase in net entrance fee receipts	111,000
Total	\$999,000

Debt service coverage increased to 2.21x for the twelve months ended October 31, 2023 from 2.03x for Fiscal Year 2023.

Cash and unrestricted investments totaled \$113,627,000 as of October 31, 2023 or \$7,611,000 less than at the end of Fiscal Year 2023. Days Cash on Hand decreased by 22 days—755 days to 733 days—from Fiscal Year End 2023 to October 31, 2023. The decrease is due primarily to price declines in both equity and fixed income markets.

Fiscal Year Ended June 30, 2023 vs. Fiscal Year Ended June 30, 2022

Total operating revenue, other support and investment returns for Fiscal Year 2023 was \$79,032,000, an increase of \$41,018,000 or 108% compared to operating revenue, other support and investment returns of \$38,014,000 for Fiscal Year 2022.

The increase in Fiscal Year 2023 operating revenue, other support and investment returns was driven mainly by investment performance accounting for approximately 88% of the overall increase. Investment returns available for current operations (*i.e.*, dividends, interest and unrealized and realized gains/losses) increased to \$15,897,000, a \$36,153,000 or 178% increase compared to Fiscal Year 2022's Investment (losses) available for current operations of (\$20,256,000).

Total operating revenue and other support (without investment returns) increased to \$63,135,000, an increase of \$4,865,000 or approximately 8% compared to Fiscal Year 2022. The increase was driven by a weighted-average 5.5% increase to resident fees across the Communities. Occupancy averaged 87% in Fiscal Year 2023, an approximately 2% increase compared to Fiscal Year 2022.

Total operating expenses before depreciation for Fiscal Year 2023 were \$61,199,000, an increase of \$5,588,000 or 10.0% compared to Fiscal Year 2022. The increase in operating expenses was attributable mostly to nursing wage pressures and severance related to Skilled Nursing staff reductions upon closure or relicensing plus the inflation of food, maintenance, and utilities costs.

Capital expenditures were \$14,729,000 and \$9,297,000 in Fiscal Year 2023 and Fiscal Year 2022, respectively. The capital expenditures involved updating residences upon turnover; renovating MonteCedro's kitchen, bistro and lounge; improving activity spaces for both safety and attractiveness; upgrading landscaping; and scheduled replacement of roofs, vehicles and building equipment. Depreciation for Fiscal Year 2023 was \$13,797,000, an increase of approximately \$539,000 or 4.1% compared to Fiscal Year 2022.

Interest expense totaled \$3,066,000 in Fiscal Year 2023, a \$1,380,000 or 31% decrease compared to Fiscal Year 2022 due primarily to the refinancing of long-term debt in May and November of 2022.

Net income available for debt service totaled \$11,419,000 for Fiscal Year 2023, a \$10,740,000 or 46% decrease compared to Fiscal Year 2022. The decrease in net income available for debt service breaks out as follows:

Component of net income available for debt service	Increase/(Decrease) FY23 v. FY22
Excess of increased operating expenses over increased operating revenue	\$ (1,767,000)
Net decrease in dividends, interest and realized gains	(3,350,000)
Decrease in net entrance fee receipts after post-COVID surge in FY 2022	(5,623,000)
Total	<u>\$(10,740,000)</u>

The annual debt service coverage decreased to 2.03x for Fiscal Year 2023 from 3.47x for Fiscal Year 2022.

Cash and unrestricted investments totaled \$121,238,000 at the end of Fiscal Year 2023 or \$991,00,000 more than at the end of Fiscal Year 2022. Days Cash on Hand decreased by 63 days—818 days to 755 days—from FYE 2022 to FYE 2023.

Fiscal Year Ended June 30, 2022 vs. Fiscal Year Ended June 30, 2021

Total operating revenue, other support and investment returns for Fiscal Year 2022 was \$38,014,000, a decrease of \$48,431,000 or 56% compared to operating revenue, other support and investment returns of \$86,445,000 for Fiscal Year 2021.

The decrease in Fiscal Year 2022 operating revenue, other support and investment returns was driven by investment performance accounting for approximately 105% of the overall decrease. Investment (losses) available for current operations (*i.e.*, dividends, interest and unrealized and realized gains/losses) totaled (\$20,256,000) for Fiscal Year 2022, a decrease of \$51,056,000 compared to Fiscal Year 2021's Investment returns available for current operations of \$30,800,000.

Total operating revenue and other support increased to \$58,270,000, an increase of \$2,625,000 or approximately 5% compared to Fiscal Year 2021. The increase was driven by a 4% weighted average increase to resident fees across the Communities. Occupancy averaged 85% in Fiscal Year 2022, an approximately 3% increase compared to Fiscal Year 2021.

Total operating expenses before depreciation for Fiscal Year 2022 were \$55,611,000, an increase of \$852,000 or 1.6% compared to Fiscal Year 2021. The increase in operating expenses was attributable to modest inflation in wages and other expenses.

Capital expenditures were \$9,297,000 and \$5,549,000 in Fiscal Year 2022 and Fiscal Year 2021, respectively. The capital expenditures were invested in updating residences upon turnover, common area renovations and scheduled replacement of vehicles, common area furnishings and building equipment. Depreciation for Fiscal Year 2022 was \$13,258,000, an increase of approximately \$808,000 or 6.5% compared to Fiscal Year 2021.

Interest expense totaled \$4,446,000 in Fiscal Year 2022 decreasing \$402,000 or 8.3% compared to Fiscal Year 2021 due to principal payments made during the fiscal year and the refinancing of long-term debt in May of 2022.

Net income available for debt service totaled \$22,159,000 for Fiscal Year 2022, a \$1,638,000 or 3% increase compared to Fiscal Year 2021. The increase in net income available for debt service breaks out as follows:

Component of net income available for debt service	Increase/(Decrease) FY22 v. FY21
Excess of increased operating revenue over increased operating expenses	\$ 2,827,000
Net decrease in dividends, interest and realized gains	(11,406,000)
Increase in net entrance fee receipts due to post-COVID move-in surge	\$10,217,000
Total	\$ 1,638,000

The annual debt service coverage increased to 3.47x for Fiscal Year 2022 from 2.92x for Fiscal Year 2021.

Cash and unrestricted investments totaled \$120,247,000 at the end of Fiscal Year 2022 or \$20,209,000 less than at the end of Fiscal Year 2021. Days Cash on Hand decreased by 178 days—996 days to 818 days—from FYE 2021 to FYE 2022.

COVID-19

ECS has been active and effective in its response to the COVID-19 pandemic and its impact on the communities. From the very first days of the pandemic, ECS engaged resident leadership to incorporate a resident perspective in all the required dynamic adaptation.

In efforts to protect residents and staff and minimize risk of a potential outbreak, management intentionally suspended all new resident move-ins to the Communities beginning mid-March 2020 and paused all construction related to turnover. New resident move-ins were reinitiated in August 2020.

By late Fiscal Year 2021 new resident move-ins steadily improved as government and regulatory restrictions eased and resident community life began to resemble its pre-pandemic experience and rhythm. Move-ins for Fiscal Year 2022 and Fiscal Year 2023 exceeded move-ins for the last pre-pandemic fiscal year, Fiscal Year 2019, by 50% and 29% respectively. Move-ins for Fiscal Year 2024 are pacing to exceed move-ins for Fiscal Year 2019 by 18%. The bounce back in move-ins demonstrates that COVID-19 did not alter seniors' interest in life plan community living.

EMPLOYEES

As of October 31, 2023, ECS employed approximately 301 full-time equivalent employees. Management of ECS believes that the salary levels and benefit packages for its employees are competitive. None of ECS's employees is currently represented by labor unions.

INSURANCE

ECS is a member of Caring Communities, a reciprocal Risk Retention Group (“Caring Communities”). Caring Communities provides ECS with professional, general and excess liability insurance. The primary coverage aggregate limit of liability is \$3,000,000 and the excess coverage aggregate limit is \$20,000,000. ECS contributed \$273,000 into its charter capital account in joining Caring Communities and is assessed premiums on an annual basis. ECS has no liability as a result of being a member of Caring Communities beyond the amount of its charter capital account and loss reserve accounts. Caring Communities purchases reinsurance from other carriers in order to insure against catastrophic losses.

ECS carries Directors and Officers and Employment Practices coverage which insures ECS against losses related to wrongful acts of ECS’s Board of Directors, Officers and management. The policy contains an aggregate limit of \$10,000,000.

Worker’s Compensation and Employer’s Liability coverage is provided through a large deductible program. ECS is responsible for the first \$250,000 per claim up to an aggregate of \$1,000,000 per year. The policy contains statutory limits of \$1,000,000. As of June 30, 2023 and 2022, ECS maintains a letter of credit totaling \$1,350,000 in lieu of requiring cash collateral for workers’ compensation claims.

The Commercial Package Policy insures ECS against losses related to property, crime, inland marine, boiler and machinery and commercial auto. The Communities are covered by earthquake insurance policies with a primary aggregate limit of \$5 million and an excess aggregate limit of \$15 million with a 5% per unit deductible of not less than \$50,000. Unit is defined as each separate building or structure, contents in each separate building or structure, property in the yard and business income/extra expense.

In addition to the coverage described above, ECS maintains Fiduciary, Volunteer Accident, Pollution and Cyber liability coverage. The insurance coverage limits referenced above may change from time to time.

INVESTMENTS AND LIQUIDITY

ECS’s liquidity position (composed of cash equivalents, short-term investments and long-term investments) at October 31, 2023 was approximately \$113,627,000. ECS’s liquid cash and investments are managed according to an investment policy adopted by the Board of Directors.

The Investment Committee of the Board of Directors in consultation with its financial advisor Cardinal Investment Advisors establishes investment policies, including asset allocation and selection of fund managers. The committee monitors and evaluates manager performance in

part by comparing returns to established benchmarks as well as through interviews and discussion at its quarterly meetings. The table below sets forth ECS's asset allocation, as of October 31, 2023.

Asset Class	Allocation
Cash	11.8%
Alternative Investments	1.0
Domestic Equities	30.4
Foreign Equities	10.5
Fixed Income	46.3
Total	100.0%

RETIREMENT PLANS

ECS maintains a safe harbor 401(k) retirement plan for all eligible employees of ECS and Subsidiaries. The plan allows for employer non-elective contributions, including a mandatory 3% employer contribution. The plan also allows for discretionary match contributions, approved on an annual basis. Total pension plan contributions in connection with the 401(k) retirement plan for Fiscal Years 2023 and 2022, were approximately \$1,160,000 and \$1,099,000, respectively.

In addition, ECS contributed approximately \$6,000 and \$11,000 to the church pension fund for the Episcopal chaplains for Fiscal Years 2023 and 2022, respectively.

ECS also maintains a 457(b) plan established for executives who have completed six months of continuous service. The 457(b) plan allows for salary reduction contributions and employer discretionary contributions. Total contributions in connection with the 457(b) plan for Fiscal Years 2023 and 2022, were approximately \$227,000 and \$222,000, respectively.

Effective July 1, 2013, ECS created a 457(f) plan for a select group of executives. The plan allows for discretionary employer contributions. There were no contributions made to the plan during Fiscal Years 2023 and 2022.

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APPENDIX B

**FINANCIAL STATEMENTS OF EPISCOPAL COMMUNITIES & SERVICES AND
SUBSIDIARIES**

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REPORT OF INDEPENDENT AUDITORS AND
CONSOLIDATED FINANCIAL STATEMENTS
WITH SUPPLEMENTARY INFORMATION

**EPISCOPAL COMMUNITIES & SERVICES
FOR SENIORS AND SUBSIDIARIES**

June 30, 2023 and 2022

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Report of Independent Auditors

The Board of Directors
Episcopal Communities & Services for Seniors and Subsidiaries

Report on the Audit of the Financial Statements

Opinion

We have audited the consolidated financial statements of Episcopal Communities & Services for Seniors and Subsidiaries, which comprise the consolidated statements of financial position as of June 30, 2023 and 2022, and the related consolidated statements of operations, changes in net assets, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of Episcopal Communities & Services for Seniors and Subsidiaries as of June 30, 2023 and 2022, and the results of their operations and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Episcopal Communities & Services for Seniors and Subsidiaries and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Episcopal Communities & Services for Seniors and Subsidiaries' ability to continue as a going concern within one year after the date that the financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Episcopal Communities & Services for Seniors and Subsidiaries' internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Episcopal Communities & Services for Seniors and Subsidiaries' ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter

Our audits were conducted for the purpose of forming an opinion on the consolidated financial statements that comprise Episcopal Communities and Services for Seniors and Subsidiaries. The consolidating schedules on pages 42 through 53 are presented for purposes of additional analysis and are not a required part of the consolidated financial statements. The consolidating schedules are the responsibility of management and were derived from, and relate directly to, the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the consolidating schedules are fairly stated in all material respects in relation to the consolidated financial statements as a whole.

Other Information

Management is responsible for the other information included in the California Department of Social Services Annual Report. The other information comprises the Forms 1-1, 1-2, and 7-1, but does not include the consolidated financial statements and our auditor's report thereon. Our opinion on the consolidated financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the consolidated financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.



Irvine, California
October 26, 2023

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Financial Position
(Dollars in Thousands)

		June 30,	
		2023	2022
ASSETS			
CURRENT ASSETS			
Cash and cash equivalents	\$	12,572	\$ 16,314
Investments, short-term		28,078	18,371
Accounts receivable, net		1,511	1,303
Other receivables		66	93
Unconditional promises to give		3	5
Inventories		231	267
Prepaid expenses and other current assets		933	1,424
Affiliate rights		-	146
Notes receivable, current portion		3,425	3,553
Assets limited as to use, required for current liabilities		2	1,145
Total current assets		46,821	42,621
PROPERTY AND EQUIPMENT, net		222,056	221,748
OTHER ASSETS			
Investments, long-term		121,638	122,231
Notes receivable, net of current portion		1,307	2,160
Assets limited as to use, net of current portion		4,893	3,952
Operating lease right-of-use assets		1,055	1,282
Other assets		184	317
Total other assets		129,077	129,942
Total assets	\$	397,954	\$ 394,311

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Financial Position (Continued)
(Dollars in Thousands)

LIABILITIES AND NET ASSETS		
	June 30,	
	2023	2022
CURRENT LIABILITIES		
Accounts payable and accrued expenses	\$ 3,800	\$ 3,638
Accrued compensation, payroll taxes, and benefits	3,293	3,385
Interest payable	336	466
Entrance fee refunds upon reoccupancy payable	7,925	7,080
Other current liabilities	4,791	892
Deferred revenue	1,206	309
Current portion of liability for losses during phase-out period of discontinued operations	86	114
Operating lease liability, current portion	270	253
Current portion of long-term debt	2,700	2,629
Total current liabilities	24,407	18,766
OTHER LIABILITIES		
Deposits from residents	537	444
Liability for refundable and repayable entrance fees	229,284	229,144
Deferred revenue from entrance fees	26,887	23,550
Liability for losses during phase-out period of discontinued operations, net of current portion	229	316
Operating lease liability, net of current portion	1,001	1,271
Long-term debt, net of current maturities	85,174	91,323
Total other liabilities	343,112	346,048
Total liabilities	367,519	364,814
NET ASSETS		
Without donor restriction	28,062	27,044
With donor restriction	2,373	2,453
Total net assets	30,435	29,497
Total liabilities and net assets	\$ 397,954	\$ 394,311

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Operations
(Dollars in Thousands)

	Years Ended June 30,	
	2023	2022
OPERATING REVENUE AND OTHER SUPPORT WITHOUT DONOR RESTRICTION		
Resident care fees, net	\$ 45,818	\$ 42,294
Ancillary services	4,489	4,219
Amortization of entrance fees	5,105	4,033
Service revenue	7,084	6,794
Contributions	155	126
Other	484	804
Total operating revenue and other support	63,135	58,270
Investment returns (losses) available for current operations, net	15,897	(20,256)
Total operating revenue, other support, and investment returns	79,032	38,014
OPERATING EXPENSES		
General and administrative	14,882	14,519
Dining service	10,789	9,909
Nursing service, routine	20,281	17,248
Residential services	3,171	2,964
Environmental services	10,000	8,971
COVID-19 direct expenses	625	812
Other expenses	1,451	1,188
Total operating expenses before depreciation	61,199	55,611
OPERATING INCOME (LOSS) BEFORE DEPRECIATION	17,833	(17,597)
DEPRECIATION	13,797	13,258
Total operating income (loss)	4,036	(30,855)
OTHER EXPENSE (INCOME)		
Gain on bond refinancing	(557)	(3,632)
Interest expense	3,066	4,446
Other	601	489
Total other expenses, net	3,110	1,303
Excess (deficiency) of revenue over expenses	\$ 926	\$ (32,158)

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Changes in Net Assets
(Dollars in Thousands)

	Years Ended June 30,	
	2023	2022
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION		
Excess (deficiency) of revenue over expenses	\$ 926	\$ (32,158)
Accretion of losses during phase-out period of discontinued operations	(312)	(286)
Net assets released from restrictions for capital expenditures	404	510
Total change in net assets without donor restriction	1,018	(31,934)
CHANGE IN NET ASSETS WITH DONOR RESTRICTION		
Contributions	157	-
Dividends and interest	58	37
Net realized and unrealized gains (losses)	109	(311)
Net assets released from restrictions for capital expenditures	(404)	(510)
Total change in net assets with donor restriction	(80)	(784)
CHANGE IN NET ASSETS	938	(32,718)
NET ASSETS		
Net assets, beginning of year	29,497	62,215
Net assets, end of year	\$ 30,435	\$ 29,497

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Cash Flows
(Dollars in Thousands)

	Years Ended June 30,	
	2023	2022
OPERATING ACTIVITIES		
Cash received		
Resident care fees	\$ 51,381	\$ 45,701
Entrance fees	36,751	49,567
Contributions	304	309
Investment income	4,351	9,373
Management fee revenue	-	28
Service revenue	6,962	6,776
Other	340	97
Cash disbursed		
Cash paid to employees and suppliers	(57,357)	(61,447)
Interest	(3,170)	(5,088)
Net cash provided by operating activities	39,562	45,316
INVESTING ACTIVITIES		
Investment income reinvested	(4,182)	(9,259)
Purchase of investments	(1,191)	(202)
Proceeds from sale of investments	8,170	15,172
Purchase of property and equipment	(14,729)	(9,297)
Proceeds from disposals of property and equipment	185	-
Issuance of note receivable	(11,242)	(12,219)
Collection of notes receivable	12,367	10,711
Net cash used in investing activities	(10,622)	(5,094)
FINANCING ACTIVITIES		
Payment of long-term debt	(43,350)	(57,525)
Proceeds from issuance of long-term debt	37,790	56,364
Refund of entrance fees	(27,324)	(34,517)
Net cash used in financing activities	(32,884)	(35,678)
Net decrease in cash and cash equivalents	(3,944)	4,544
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, beginning of year	21,411	16,867
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, end of year	<u>\$ 17,467</u>	<u>\$ 21,411</u>
NON-CASH OPERATING ACTIVITIES		
Gain on bond refinancing	<u>\$ 557</u>	<u>\$ 3,632</u>
Right-of-use assets obtained in exchange for lease obligation	<u>\$ 295</u>	<u>\$ 287</u>

See accompanying notes.

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Cash Flows (Continued)
(Dollars in Thousands)

	Years Ended June 30,	
	2023	2022
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH PROVIDED BY OPERATING ACTIVITIES		
Change in net assets	\$ 938	\$ (32,718)
Adjustments to reconcile the change in net assets to net cash provided by operating activities		
Amortization of entrance fees	(5,105)	(4,033)
Amortization of premium	(58)	(4,978)
Amortization of financing costs	70	119
Amortization of intangible asset	80	80
Depreciation	13,797	13,258
Accretion of liability for losses during phase-out period of discontinued operations	312	286
Realized and unrealized (gains) losses on investments, net	(11,882)	29,649
Gain on bond refinancing	(557)	(3,632)
Change in the value of split-interest agreements	-	6
Loss on disposal of property and equipment	439	278
(Increase) decrease in		
Accounts receivable	(208)	(110)
Other receivables	27	17
Unconditional promises to give	2	-
Inventories	36	26
Prepaid expenses and other current assets	491	93
Other assets	53	(3)
Operating lease right of use assets	227	219
Increase (decrease) in		
Accounts payable and accrued expenses	162	(584)
Accrued compensation, payroll taxes, and benefits	(92)	4
Interest payable	(130)	(477)
Other current liabilities	3,899	(31)
Deferred revenue	918	(292)
Deferred rent	(21)	84
Operating lease liabilities	(253)	(243)
Deposits from residents	93	(831)
Deferred revenue from entrance fees and liability for refundable and repayable entrance fees	36,751	49,567
Liability for losses during phase-out period of discontinued operations	(427)	(438)
Net cash provided by operating activities	<u>\$ 39,562</u>	<u>\$ 45,316</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 1 – Organization and Nature of Activities

Episcopal Communities & Services for Seniors (“ECS”), a nonprofit corporation, operates Life Plan Communities (“LPCs”) consisting of residential, assisted living, and skilled nursing facilities known as The Canterbury in Rancho Palos Verdes, California; The Covington in Aliso Viejo, California; and MonteCedro in Altadena, California. ECS operates a rental community known as Twelve Oaks Senior Living in Glendale, California. ECS formerly operated Scripps Kensington in Alhambra, California (see Note 17).

The consolidated financial statements also include the activities of the following related entities:

- ECS Management, LLC (“ECSLLC”) – ECSLLC is a single-member limited liability company (LLC) with ECS as its sole member. ECSLLC was created to provide administrative, programmatic, and other forms of support to ECS and any of its subsidiaries and affiliated organizations, provided they are exempt from federal income taxes under Internal Revenue Code (IRC) Section 501(c)(3).
- MonteCedro, Inc. (“MCINC”) – MCINC operates an LPC in Altadena, California, consisting of residential and memory care facilities. MCINC is organized as a nonprofit corporation under the general nonprofit corporation laws of the state of California.
- ECS Supportive Funds Management (“ECSSFM”) – On July 1, 2021, the ECS Foundation curtailed fundraising efforts and transitioned to solely a funds management role overseeing the investment and distribution of restricted and unrestricted donor funds. Simultaneously, the ECS Community Advancement Office was launched supporting fundraising at ECS communities and ECSF changed its name to ECS Supportive Funds Management.

ECS also owns and operates:

- Creative Housing & Services, LLC (“CHS LLC”), a single-member LLC with ECS as its sole member. CHS LLC provides development, management, and consulting services to affordable senior, disabled, and low-income housing facilities.
- Creative Housing & Services (formerly Community Housing Management Services) (“CHS”), a California nonprofit corporation, which provides development, management, and consulting services to affordable senior, disabled, and low-income housing facilities. On October 17, 2018, CHS entered into an asset transfer agreement with CHS LLC. CHS transferred substantially all of its assets relating to programs and activities that support the management of affordable housing facilities.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

- On June 29, 2020, ECS entered into an Affiliation Agreement with Twelve Oaks Foundation ("TOF") dba Twelve Oaks Senior Living ("TOSL"). TOF owns and operates a senior living facility, TOSL, in Glendale, California, that offers independent living and assisted living options. Under the terms of its Affiliation Agreement with TOF, ECS purchased and was assigned two notes receivable on June 30, 2020, secured by the TOSL property from TOF's lender. The notes were originally entered into July 17, 2018, in the principal amount totaling approximately \$4,200,000 at an interest rate of 9.5% per annum with a maturity date of July 24, 2020. The purchase of the notes totaled approximately \$4,533,000 including accrued but unpaid interest of approximately \$333,000.

On July 24, 2020, ECS entered into a Forbearance and Loan Modification Agreement with TOF. The maturity date was modified to be July 24, 2050, or earlier, if certain accelerated repayment conditions are triggered. The interest rate was modified to be 3.5% per annum. Accrued interest is payable monthly to the extent certain liquidity measures are satisfied by TOF.

On January 12, 2021, the affiliation was finalized with ECS becoming the sole corporate member of TOF. Under the terms of the Affiliation Agreement, ECS assumed certain TOF debt and agreed to provide additional working capital support, investment and/or financing for the operation, and/or improvement of TOSL. The Company elected to apply push down accounting and the affiliation was accounted for as a business combination using the acquisition method of accounting, which requires the basis of the assets and the liabilities assumed to be recorded at their respective fair values at the date of affiliation. As part of the acquisition accounting, property, buildings, and equipment with a net carrying amount of approximately \$2,337,000 were written up to an appraised fair value of approximately \$7,720,000. The financial statements of TOF have been included in ECS's consolidated financial statements.

The population at each community as of June 30, 2023 and 2022, was as follows:

	2023	2022
The Canterbury	139	134
The Covington	192	203
MonteCedro	231	240
Twelve Oaks	33	34
	<u>595</u>	<u>611</u>

As a result of the closure of the Scripps Kensington LPC, residents were transferred to outside communities in 2010. The total number of Scripps Kensington residents located at outside facilities as of June 30, 2023 and 2022, was 5 and 7, respectively.

CHS is the Managing General Partner of Casa de los Amigos, L.P., a California Limited Partnership (the "Partnership"), formed on January 10, 2006, as a Limited Partnership under the Uniform Limited Partnership Act of the State of California for the purpose of developing and operating a 136-unit apartment complex for low-income residents located in Redondo Beach, California. The population at Casa de los Amigos as of June 30, 2023 and 2022, was 134 and 134, respectively.

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Note 2 – Summary of Significant Accounting Policies

Principles of consolidation – The consolidated financial statements include the accounts of ECS and its wholly owned subsidiaries ECSLLC, MCINC, ECSSF, CHS, TOF, and Artful LLC, hereinafter referred to collectively as the “Organization.” All inter-organization balances and transactions have been eliminated.

Basis of presentation – The accompanying consolidated financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America (GAAP). The accrual basis of accounting recognizes revenues in the accounting period in which revenues are earned regardless of when cash is received and recognizes expenses in the accounting period in which expenses are incurred regardless of when cash is disbursed. Based on the existence or absence of donor-imposed restrictions, ECS classifies resources into two categories: without donor restrictions and with donor restrictions.

Net assets without donor restrictions – Net assets that are not subject to donor-imposed restrictions and may be expended for any purpose in performing the primary objectives of ECS. These net assets may be used at the discretion of ECS’s management and board of directors.

Net assets with donor restrictions – Represent contributions that are limited in use by ECS in accordance with donor-imposed stipulations. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates those resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires; that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Expiration of donor-imposed restrictions – Net assets are released from restrictions by incurring expenses satisfying the restricted purposes and by occurrence of events specified by the donors, including the passage of time. Donor restrictions on long-lived assets or cash to construct or acquire long-lived assets are considered to have expired when the assets are placed into service or expenditures exceed the amount of the gift.

Cash and cash equivalents – For purposes of reporting cash flows, the Organization considers all highly liquid investments purchased with a maturity of three months or less to be cash equivalents. The Organization maintains its cash in bank deposit accounts, which may exceed federally insured limits. The Organization has not experienced any losses in such accounts and believes it is not exposed to any significant credit risk on cash.

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The following table provides a reconciliation of cash and cash equivalents and restricted cash and cash equivalents reported within the accompanying consolidated statements of financial position to the accompanying consolidated statements of cash flows as of June 30, 2023 and 2022 (in thousands):

	2023	2022
Cash and cash equivalents	\$ 12,572	\$ 16,314
Restricted cash and cash equivalents, included in assets limited as to use	4,895	5,097
Cash and cash equivalents and restricted cash and cash equivalents as reported in statements of cash flows	<u>\$ 17,467</u>	<u>\$ 21,411</u>

Assets limited as to use – Assets limited as to use consist of cash, cash equivalents, collateral for workers' compensation claims and insurance collateral, waitlist deposits, and investments that are limited by the 2022A and 2022B bond indenture for debt service. Amounts required for payment of current liabilities are classified as current assets.

Investments – Investments in equity securities with readily determinable fair values and all investments in debt securities are measured at fair value in the consolidated statements of financial position. Fair value is established based on quoted prices from recognized securities exchanges. Net investment return (including realized and unrealized gains and losses on investments, interest, dividends, and investment expenses) is included in changes in net assets without donor restrictions unless the income (loss) is restricted by donor or law.

Inventories – Inventories as of June 30, 2023 and 2022, primarily consist of dining supplies and are reflected in the consolidated statements of financial position at cost, which does not exceed market value.

Property and equipment – The costs of property and equipment are depreciated using the straight-line method over their estimated useful lives. Costs of additions, renewals, and betterments are capitalized, while maintenance and repairs are expensed when incurred. Acquisitions of \$1,500 or more with a useful life greater than one year are capitalized. Donated fixed assets are recorded at their fair value at the date of donation. Construction in progress consists of costs incurred on construction projects that have not been completed. Interest cost incurred during the period of construction of capital assets is capitalized as a component of the cost of constructing those assets, net of investment income on unspent proceeds of tax-exempt borrowings restricted for use in construction.

Depreciation begins when related assets are placed in service. Estimated useful lives are as follows:

Land improvements	5–25 years
Buildings and improvements	5–50 years
Furnishings and equipment (including capitalized computer hardware and software)	3–20 years

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Notes to Consolidated Financial Statements

Capitalized financing costs – Capitalized financing costs represent costs incurred in obtaining long-term financing and are amortized over the respective terms of the related obligations using the interest method. Such costs are presented as a component of long-term debt in accordance with Accounting Standards Codification (ASC) Topic 835. Amortization expense is included as a component of interest expense.

Impairment of long-lived assets – The Organization reviews long-lived assets for impairment when events or changes in business conditions indicate that their carrying value may not be recoverable. The Organization considers assets to be impaired and writes them down to fair value if expected associated cash flows are less than the carrying amounts. The Organization has determined that no long-lived assets are impaired as of June 30, 2023 and 2022.

Split-interest agreements – The Organization is a beneficiary of several irrevocable charitable gift annuities, which are held in trusts by third-party administrators. At the end of the annuity's term, the Organization will receive its beneficial interest in the trusts. The Organization's beneficial interest is measured at fair value and revalued annually using present value techniques.

Accrued workers' compensation claims – ECS's workers' compensation insurance is provided by Safety National, a commercial insurance carrier. Under the policy, ECS is responsible for the first \$250,000 of each accident claim, subject to an aggregate loss limit of \$1,350,000. Cash collateral of \$273,000, included in assets limited as to use, is required and claims payment is made monthly to The Matrix Absence Management Company.

The provision for estimated workers' compensation claims includes estimates of the ultimate costs for both reported claims and claims incurred but not reported. The Organization estimates claims liabilities without consideration of insurance recoveries in accordance with ASC 954-450, *Health Care Entities – Contingencies*, and records insurance recoveries separately on the accompanying consolidated statements of financial position.

Obligation to provide future services and the use of facilities – The Organization calculates annually the present value (using a 5% discount rate as of June 30, 2023 and 2022) of the estimated net cost of future services to be provided to current continuing care residents. The change in the obligation during a year would be reported as a change in obligation to provide future services in the consolidated statements of operations. As of June 30, 2023 and 2022, the estimated amounts received or to be received from current continuing care residents exceeded the estimated costs of providing future services and use of facilities to those residents. Accordingly, no liability was recorded in relation to future service obligations as of June 30, 2023 and 2022.

The California Health and Safety Code Section 1790 mandates a statutory reserve and a liquid asset requirement. The mandates were met for the years ended June 30, 2023 and 2022.

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Notes to Consolidated Financial Statements

Fair value of financial instruments – The Organization’s consolidated financial statements include the following financial instruments: cash and cash equivalents, accounts receivable, accounts payable, accrued liabilities, obligation to provide future services and the use of facilities, and long-term debt. The Organization believes that the carrying amounts of current assets and liabilities in the consolidated statements of financial position approximate the fair values of these financial instruments because of the relatively short period of time between origination of the instruments and their expected realization. The fair values of assets limited as to use and investments are disclosed in Note 7.

Donated material and services – Donations and bequests are recorded as made. All donations are considered to be available for unrestricted use unless specifically restricted by the donor.

A substantial number of volunteers have donated their time to the Organization’s programs and other services. However, these donated services are not reflected in the accompanying consolidated financial statements since they do not meet the criteria for recognition as contributed services.

Contributions – Unconditional promises to give cash or other assets are reported at fair value at the date the promise is received. Conditional promises to give and indications of intentions to give are reported at fair value at the date the gift is received. The gifts are reported as net assets with donor restrictions if they are received with donor stipulations that limit the use of the donated assets.

Revenue recognition

Resident care fees and ancillary services revenue – Resident care fees and ancillary services revenue are reported at the amount that reflects the consideration to which the Organization expects to be entitled in exchange for the services provided. Under the Organization’s resident service agreement, the Organization provides senior living services to residents for a stated monthly fee. The Organization recognizes revenue for senior living services under the residential services agreement for independent living and assisted living in accordance with the provision of ASC 842, *Leases (ASC 842)*.

Resident services – Resident services revenue is primarily derived from providing accommodations and services to residents under a continuing care contract for residential care, assisted living, and memory care. The Organization has determined that the services included in the monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation which is satisfied over time. The transaction price is based on standard charges for goods and services provided.

Care center revenue – Care center revenue is primarily derived from providing nursing services to patients. The Organization has determined that nursing services are considered one performance obligation, measured from the point of admission to the care center to the point of discharge. Patients and third-party payors (including government programs and health insurers) are billed monthly after the services are performed, which include variable consideration for retroactive revenue adjustments due to settlement of audits, reviews, and investigations.

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Care center revenues are recognized on a monthly basis after the services are provided. The transaction price is based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party payors. Contractual adjustments are based on agreements, discount policies, and historical experience.

Agreements with third-party payors provide payments at amounts less than established charges. Major third-party payors with payment arrangements include:

Medicare – Services rendered to Medicare program beneficiaries for skilled nursing are reimbursed under a prospective methodology, and no additional settlement will be made on the difference between the per diem rates paid and actual costs.

Other – Payment agreements with certain commercial insurance carriers provide for payment using prospectively determined rates per day.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretations. As a result of investigations by governmental agencies, various health care organizations have received requests for information and notices regarding alleged noncompliance with those laws and regulations which, in some instances, have resulted in organizations entering into significant settlement agreements. Compliance with such laws and regulations may also be subject to future government review and interpretation, as well as significant regulatory action, including fines, penalties, and potential exclusion from the related programs. There can be no assurance that regulatory authorities will not challenge the Organization's compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims or penalties would have upon the Organization. In addition, the contracts the Organization has with commercial payors also provide for retroactive audit and review of claims.

The Organization disaggregates revenue from contracts with customers by type of service and payor source as this depicts the nature, amount, timing, and uncertainty of its revenue and cash flows as affected by payors and economic factors. Resident revenues consist of the following for the fiscal year ended June 30, 2023 (in thousands):

	Residential Care	Assisted Living/ Memory Care	Care Center	Total
Private	\$ 41,893	\$ 10,994	\$ 2,058	\$ 54,945
Medicare	-	-	2,405	2,405
Other third-party payors	-	-	41	41
	<u>\$ 41,893</u>	<u>\$ 10,994</u>	<u>\$ 4,504</u>	<u>\$ 57,391</u>

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Resident revenues consist of the following for the fiscal year ended June 30, 2022:

	<u>Residential Care</u>	<u>Assisted Living/ Memory Care</u>	<u>Care Center</u>	<u>Total</u>
Private	\$ 37,135	\$ 10,710	\$ 2,764	\$ 50,609
Medicare	-	-	2,698	2,698
	<u>\$ 37,135</u>	<u>\$ 10,710</u>	<u>\$ 5,462</u>	<u>\$ 53,307</u>

Revenue from nonrefundable entrance fees received is recognized on a straight-line basis over the actuarially based estimated life of each resident, which approximates the period of time the goods and services under the agreements are expected to be transferred to residents.

Management fee revenue includes management fees and consulting fees received by CHS for the management of certain Department of Housing and Urban Development (HUD) properties and is presented as other income in the consolidated statements of operations. The payroll and related expenses paid and received for the employees of the properties managed by CHS are considered agency transactions in accordance with GAAP. Agency transactions are not to be accounted for as the revenues and expenses of the entity, but as operating activities in the consolidated statements of cash flows. The total amount of payroll and related expenses received and paid on behalf of the managed properties for the years ended June 30, 2023 and 2022, were approximately \$0 and \$185,000, respectively.

Entrance Fees and Financial Arrangements

Scripps Kensington

The former residents of Scripps Kensington have life care continuing care contracts. Life care contracts include a promise by Scripps Kensington to provide routine and certain ancillary services at all levels of care to a resident for the duration of his or her life, including acute care and services of physicians and surgeons, to the extent not covered by other public or private insurance benefits. Life care contracts include provisions to subsidize residents who become financially unable to pay their monthly care fees.

The Canterbury

The Canterbury offers payment options under (1) a fee for service continuing care agreement, and (2) a month-to-month agreement. Residents entering under the month-to-month agreement are charged a monthly care fee. The continuing care agreement applies to independent residency and The Canterbury's admission policy for new continuing care residents requires payment of (1) an entrance fee upon admission currently ranging from \$170,000 to \$725,000 depending on residence and entrance fee option selected, and (2) a monthly care fee.

The two entrance fee options offered are (1) 36-month refundable pro rata if a continuing care resident should leave within three years from admission, or (2) 80% of entrance fee reoccupancy benefit paid to the resident or their estate upon reletting of the residence.

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Notes to Consolidated Financial Statements

The 36-month option offered is refundable pro rata if a continuing care resident should leave within three years from admission as follows:

- i) During the first 90 days, the entrance fee is refunded in full.
- ii) If the resident's tenancy is longer than three months and up to three years, The Canterbury retains 1/36th of the entrance fee for each month of residency or portion thereof.
- iii) No refunds after 36 months.

The Canterbury amortizes entrance fees over the resident's expected life, and a liability is recognized (liability for refundable and repayable entrance fees) for the expected amount that will be refunded to those residents who will not remain at the facility for the stipulated time.

The 80% reoccupancy benefit option is refundable or repayable if the resident should leave The Canterbury as follows:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy terminates subsequent to the first 90 days, the resident will receive a reoccupancy benefit equal to 80% of the paid entrance fees within:
 - a) 14 calendar days after the resident's accommodation unit is re-let to a new resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit;
 - b) 180 days after the resident's accommodation unit is re-let to a new resident who enters under a month-to-month agreement.

Under the reoccupancy benefit contract agreement, The Canterbury amortizes 20% of the entrance fee over the resident's expected life. A liability is recognized (liability for refundable and repayable entrance fees) for the remaining 80%.

The Covington

Residents of The Covington pay (1) an entrance fee upon admission ranging from \$256,000 to \$1,190,000, depending on residence and entrance fee option selected, and (2) a monthly care fee. The entrance fee is refundable or repayable if a resident should leave The Covington as follows:

Reoccupancy benefit option:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.

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- ii) If the resident's tenancy terminates subsequent to the first 90 days, the resident will receive a reoccupancy benefit equal to 80% of the paid entrance fees within 14 calendar days after the resident's accommodation unit is re-let to a new continuing care resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit in full.

iii)

The Covington amortizes 20% of the paid entrance fees over the resident's expected life. A liability is recognized (liability for refundable and repayable entrance fees) for the remaining 80%.

36-month option:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy is longer than three months and up to three years, The Covington retains 1/36th of the entrance fee for each month or partial month of residency.
- iii) No refunds after 36 months.

MonteCedro

MCINC offers payment options under a care and residence agreement (reoccupancy benefit and 36-month pro rata refundable options) which requires payment of (1) an entrance fee upon admission ranging from \$332,000 to \$1,885,000 depending on residence and entrance fee option selected, and (2) a monthly care fee.

The entrance fee is refundable or repayable if the resident should leave MCINC as follows:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy terminates subsequent to the first 90 days, the resident will receive a reoccupancy benefit equal to 75% or 90% (depending on the contract) of the paid entrance fees within 14 calendar days after the resident's accommodation unit is re-let to a new continuing care resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit in full.

Under the 75% or 90% reoccupancy benefit agreement, MCINC amortizes 25% or 10% of the entrance fee over the resident's expected life, respectively. A liability is recognized ("liability for refundable and repayable entrance fees") for the remaining 75% or 90%.

36-month option:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy is longer than three months and up to three years, MCINC retains 1/36th of the entrance fee for each month or partial month of residency.
- iii) No refunds after 36 months.

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As of June 30, 2023 and 2022, approximately \$237,209,000 and \$236,224,000, respectively, was estimated to be contractually refundable or repayable. These balances represent the amounts due to residents, if all were to cancel their contracts as of June 30, 2023 and 2022, based on the Organization's refund and repayment policy.

Income taxes – ECS and its controlled subsidiaries are organized as nonprofit corporations under the general nonprofit corporation laws of the state of California and are exempt from federal income taxation under IRC Section 501(c)(3).

ECSF is organized as a nonprofit corporation under the general nonprofit corporation laws of the state of California and is exempt from federal income taxation under IRC Section 501(c)(3). ECSF is classified as a supporting organization under IRC Section 509(a)(3).

ECSLLC and Artful LLC are organized as nonprofit limited liability companies in the state of California. They have not applied for their own tax exemption for income tax purposes because they are disregarded entities. While they are disregarded for income tax purposes, they are still subject to the California annual minimum tax and the annual fee.

Nonprofit organizations are generally not liable for taxes on income. Therefore, other than the California annual minimum tax and annual fee related to ECSLLC and Artful, LLC, no provision is made for such taxes in the consolidated financial statements in accordance with GAAP.

The Organization considers many factors when evaluating and estimating their tax positions and tax benefits, which may require periodic adjustments and which may not accurately anticipate actual outcomes. The Organization evaluates their uncertain tax positions using the provisions in conformity with GAAP.

These standards require management to perform an evaluation of all income tax positions taken, or expected to be taken, in the course of preparing the Organization's tax returns. Management believes the tax positions taken more-likely-than-not will be sustained under examination by the applicable tax authorities. Examples of tax positions taken include the tax-exempt status of the Organization, and various positions related to the potential sources of unrelated business taxable income. Since matters are subject to some degree of uncertainty, there can be no assurance that the Organization's tax returns will not be challenged by the taxing authorities and that the Organization will not be subject to additional tax, penalties, and interests as a result of such challenge.

Advertising – The Organization expenses advertising costs as they are incurred. Advertising costs expensed for the years ended June 30, 2023 and 2022, were approximately \$391,000 and \$287,000, respectively.

Excess (deficiency) of revenue over expenses – Excess (deficiency) of revenue over expenses represents the performance indicator. Changes in net assets without donor restrictions that are excluded from (deficiency) excess of revenue over expenses, consistent with industry practice, include contributions of long-lived assets (including assets acquired using contributions which by donor restriction were to be used for the purposes of acquiring such assets).

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Use of estimates – The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Business combinations – Business combinations are accounted for using the acquisition method of accounting. Expenses incurred in connection with a business combination are expensed as incurred.

Recent accounting standards – In the normal course of business, the Organization evaluates all new accounting pronouncements to determine the potential impact they may have on their consolidated financial statements. Based upon this evaluation, the Organization does not expect any of the recently issued accounting pronouncements, which have not already been adopted by the Organization, to have a material impact on their consolidated financial statements.

Going concern – In connection with the preparation of the consolidated financial statements for the year ended June 30, 2023, management conducted an evaluation as to whether there were conditions and events, considered in the aggregate, which raised substantial doubt as to the Organization's ability to continue as a going concern within one year after the date the consolidated financial statements were issued.

Note 3 – Assets Limited as to Use

Assets limited as to use comprise the following as of June 30, 2023 and 2022 (in thousands):

	2023	2022
Series 2014 bonds		
Capitalized principal funds	\$ -	\$ 644
Capitalized interest funds	-	172
Debt service reserve fund	-	3,109
Series 2022A bonds		
Paying agency account funds	2	329
Insurance collateral	273	273
Wait list deposits and other	4,620	570
	4,895	5,097
Less: amounts required for payment of current liabilities	(2)	(1,145)
	<u>\$ 4,893</u>	<u>\$ 3,952</u>

As of June 30, 2023 and 2022, the Organization maintains a letter of credit totaling \$1,350,000 in lieu of requiring cash collateral for workers' compensation claims.

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Notes to Consolidated Financial Statements

Note 4 – Investments

Investments in marketable securities are stated at their fair market value. As of June 30, 2023 and 2022, investments comprise the following (in thousands):

	2023	2022
Investments	\$ 149,716	\$ 140,602
Less: investments, short-term	(28,078)	(18,371)
Total investments, long-term	<u>\$ 121,638</u>	<u>\$ 122,231</u>

The Organization's investment policy makes available only a portion of the Organization's total investment return, consisting of dividends and interest, and net realized gains and losses, and principal for the support of current operations and development; the remainder is retained to support operations of future years and to offset potential market declines.

The following schedule summarizes investment return and its classification in the consolidated statements of operations and changes in net assets for the years ended June 30, 2023 and 2022 (in thousands):

	2023		
	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 4,351	\$ 58	\$ 4,409
Realized gains (losses), net	1,865	13	1,878
Unrealized (losses) gains, net	9,895	109	10,004
	16,111	180	16,291
External investment expense	(214)	(13)	(227)
Investment losses, net	<u>\$ 15,897</u>	<u>\$ 167</u>	<u>\$ 16,064</u>
	2022		
	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 9,336	\$ 37	\$ 9,373
Realized gains, net	627	37	664
Unrealized gains, net	(29,978)	(335)	(30,313)
	(20,015)	(261)	(20,276)
External investment expense	(241)	(13)	(254)
Investment return, net	<u>\$ (20,256)</u>	<u>\$ (274)</u>	<u>\$ (20,530)</u>

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Notes to Consolidated Financial Statements

Note 5 – Property and Equipment

As of June 30, 2023 and 2022, property and equipment comprise the following (in thousands):

	2023	2022
Land	\$ 28,338	\$ 28,338
Land improvements	6,800	6,151
Buildings and improvements	294,552	289,032
Furnishings and equipment	29,646	26,880
Capitalized computer hardware and software	1,939	1,961
Project development costs and construction in progress	7,234	2,580
	368,509	354,942
Less: accumulated depreciation	(146,453)	(133,194)
Total	<u>\$ 222,056</u>	<u>\$ 221,748</u>

Note 6 – Notes Receivable

Notes receivable comprise the following as of June 30, 2023 and 2022 (in thousands):

	2023	2022
Casa de los Amigos	\$ 1,433	\$ 2,810
Other	3,299	2,903
	4,732	5,713
Less: current portion	(3,425)	(3,553)
Total	<u>\$ 1,307</u>	<u>\$ 2,160</u>

Casa de los Amigos – During fiscal year 2014, the Organization purchased a note receivable from the General Partner (Episcopal Housing Alliance) and from the Corp Sole (The Bishop of the Protestant Episcopal Church in Los Angeles). The note receivable was originally entered into September 1, 2007, in the principal amount of \$4,480,000, interest rate at 4.9% per annum, maturity date of September 28, 2062. The note is subordinated to other notes payable of Casa de los Amigos, LP, a California limited partnership. Payments of interest are due annually on April 20 if there is any surplus cash determined to be available in accordance with the Regulatory Agreement. The gross contractual amounts receivable total \$5,854,000, all of which is expected to be collected based on the best estimate at the acquisition date. The current portion of the note receivable as of June 30, 2023 and 2022, is approximately \$126,000 and \$651,000, respectively. The remaining outstanding balances as of June 30, 2023 and 2022, are approximately \$1,433,000 and \$2,810,000, respectively.

Other notes receivable consists of short-term non-interest bearing loans to incoming residents bridging deferred entrance fee payment to the sale of their home.

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Notes to Consolidated Financial Statements

Note 7 – Fair Value Measurements

GAAP provides the framework for measuring fair value. That framework provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted market prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

The asset or liability's fair value measurement level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs. The three levels of the fair value hierarchy are described as follows:

Level 1 – Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets that management has the ability to access.

Level 2 – Inputs to the valuation methodology include:

- quoted prices for similar assets or liabilities in active markets;
- quoted prices for identical or similar assets or liabilities in inactive markets;
- inputs other than quoted prices that are observable for the asset or liability; and
- inputs that are derived principally from or corroborated by observable market data by correlation or other means.

If the asset or liability has a specified (contractual) term, the Level 2 input must be observable for substantially the full term of the asset or liability.

Level 3 – Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

The following is a description of the valuation methodologies used for instruments measured at fair value on a recurring basis and recognized in the accompanying consolidated statements of financial position, as well as the general classification of such instruments pursuant to the valuation hierarchy:

Level 1 Measurements

Cash and cash equivalents – Cash and cash equivalents generally consist of actively traded money market funds that have daily quoted net asset values for identical assets that the Organization has the ability to access at the measurement date.

U.S. Treasury securities – Valuation is based on unadjusted quoted prices for identical assets in active markets that the Organization can access at the measurement date. The Organization considers all U.S. Treasury securities to be based on Level 1 fair value measurements.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Mutual funds – Mutual funds in this category are comprised primarily of underlying stocks and other ownership interests in companies. Valuation is based on unadjusted quoted prices for identical assets in active markets that the Organization can access at the measurement date.

Equities and other investments – Equities and other investments include stocks and exchange-traded funds. Exchange-traded funds in this category are comprised primarily of underlying stocks and other ownership interests in companies. Valuation is based on unadjusted quoted prices for identical assets in active markets that the Organization can access at the measurement date.

Level 2 Measurements

Money market securities – The primary inputs to the valuation include quoted prices for identical or similar assets in markets that are not active, contractual cash flows, benchmark yields, and credit spreads.

Fixed income securities – Fixed income securities include corporate bonds, U.S. government and agency bonds, and other similar debt instruments. The primary inputs to the valuation include quoted prices for identical or similar assets in markets that are not active, contractual cash flows, benchmark yields, and credit spreads.

Level 3 Measurements

Alternative investments – Investments are valued using the net asset value (NAV) as reported by its investment advisors as a practical expedient, to determine the fair value of investments in investment funds which (a) do not have a readily determinable fair value, and (b) either have the attributes of an investment fund or prepare their financial statements consistent with the measurement principles of an investment fund.

Split-interest agreements – Agreements that include charitable gift annuities, valued at fair value by estimating the present value of expected future cash inflows.

Liability for losses during phase-out period of discontinued operations – Valued at fair value by estimating the present value of expected future cash outflows. Calculated based on expected future revenues, less expected future expenses of the former Scripps Kensington residents remaining at each fiscal year end. Inflation rate used was 4% and the discount rate used was 4% for 2023 and 2022.

Considerable judgment is required to develop estimates of fair value, and the estimates presented are not necessarily indicative of the amounts the Organization would realize in a current market exchange. The use of different market assumptions and/or estimation methods could have a material effect on the estimated fair values. The estimates presented are based on pertinent information available to management as of June 30, 2023 and 2022. Current estimates of fair value may differ significantly from the amounts presented.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

The following table sets forth by level within the fair value hierarchy assets and liabilities at fair value as of June 30, 2023 (in thousands):

	Fair Value	Fair Value Measurements Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments				
Cash and cash equivalents	\$ 171	\$ 171	\$ -	\$ -
U.S. Treasury Securities	86	86	-	-
Money market securities	29,447	-	29,447	-
Mutual funds	118,143	118,143	-	-
Equities and other investments	1,087	1,087	-	-
Alternative investments	782	-	-	782
Total investments	<u>\$ 149,716</u>	<u>\$ 119,487</u>	<u>\$ 29,447</u>	<u>\$ 782</u>
Assets limited as to use				
Cash and cash equivalents	\$ 4,895	\$ 4,895	\$ -	\$ -
Total assets limited as to use	<u>\$ 4,895</u>	<u>\$ 4,895</u>	<u>\$ -</u>	<u>\$ -</u>
Split-interest agreements	<u>\$ 6</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 6</u>
Liability for losses during phase-out period of discontinued operations	<u>\$ 315</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 315</u>

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Notes to Consolidated Financial Statements

The following table sets forth by level within the fair value hierarchy assets and liabilities at fair value as of June 30, 2022 (in thousands):

	Fair Value	Fair Value Measurements Using		
		Quoted Prices In Active Markets for Identical Assets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments				
Cash and cash equivalents	\$ 27	\$ 27	\$ -	\$ -
Money market securities	2,130	-	2,130	-
Mutual funds	136,496	136,496	-	-
Equities and other investments	1,094	1,094	-	-
Alternative investments	855	-	-	855
Total investments	<u>\$ 140,602</u>	<u>\$ 137,617</u>	<u>\$ 2,130</u>	<u>\$ 855</u>
Assets limited as to use				
Cash and cash equivalents	\$ 5,097	\$ 5,097	\$ -	\$ -
U.S. Treasury securities	-	-	-	-
Fixed income securities	-	-	-	-
Total assets limited as to use	<u>\$ 5,097</u>	<u>\$ 5,097</u>	<u>\$ -</u>	<u>\$ -</u>
Split-interest agreements	<u>\$ 6</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 6</u>
Liability for losses during phase-out period of discontinued operations	<u>\$ 430</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 430</u>

The following table sets forth a summary of changes in the fair value of the Level 3 assets and liabilities for the year ended June 30, 2023 (in thousands):

	Alternative Investments	Split-Interest Agreements	Liability for Losses During Phase-Out Period of Discontinued Operations
BALANCE, July 1, 2022	\$ 855	\$ 6	\$ 430
Unrealized loss relating to instruments still held at the reporting date	(4)	-	-
Distributions	(69)	-	-
Net costs paid during the period	-	-	(427)
Accretion	-	-	312
BALANCE, June 30, 2023	<u>\$ 782</u>	<u>\$ 6</u>	<u>\$ 315</u>

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Notes to Consolidated Financial Statements

The following table sets forth a summary of changes in the fair value of the Level 3 assets and liabilities for the year ended June 30, 2022 (in thousands):

	Alternative Investments	Split-Interest Agreements	Liability for Losses During Phase-Out Period of Discontinued Operations
BALANCE, July 1, 2021	\$ 506	\$ 12	\$ 582
Unrealized gains relating to instruments still held at the reporting date	139	-	-
Purchases	210	-	-
Maturity of split-interest agreement	-	(6)	-
Net costs paid during the period	-	-	(438)
Accretion	-	-	286
BALANCE, June 30, 2022	<u>\$ 855</u>	<u>\$ 6</u>	<u>\$ 430</u>

Note 8 – Deferred Revenue from Entrance Fees and Repayable Entrance Fees Liability

A summary of the changes in deferred revenue from entrance fees for the years ended June 30 is as follows (in thousands):

	2023	2022
BALANCE, beginning of year	\$ 23,550	\$ 17,557
New fees received	8,442	10,026
Deletions (discharge)	(3,436)	(2,384)
Amortization of entrance fees	(1,669)	(1,649)
BALANCE, end of year	<u>\$ 26,887</u>	<u>\$ 23,550</u>

A summary of the changes in the repayable entrance fees liability for the years ended June 30 is as follows (in thousands):

	2023	2022
BALANCE, beginning of year	\$ 236,224	\$ 231,200
New fees received	28,309	39,541
Entrance fees refunded	(27,324)	(34,517)
BALANCE, end of year	<u>\$ 237,209</u>	<u>\$ 236,224</u>

Based on the past five years, actual refunds have averaged approximately \$16,355,000 per year for the potentially refundable declining period.

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Notes to Consolidated Financial Statements

Note 9 – Long-Term Debt

In June 2014, MCINC issued Los Angeles County Regional Financing Authority Insured Revenue Bonds, Series 2014A, Series 2014B-1, Series 2014B-2, and Series 2014B-3 in the aggregate amount of \$140,305,000.

On July 29, 2021, ECS, sole member of MCINC, entered into a Bond Purchase Agreement for the sale and issuance by ECS to certain investors of (i) the ECS 3.04% Senior Secured Bonds, Series 2022A, due May 15, 2047, in the original aggregate principal amount of \$52,495,000 (the “Series 2022A Bonds”), and (ii) the ECS 2.89% Senior Secured Bonds, Series 2022B, due November 15, 2044, in the original aggregate principal amount of \$37,790,000 (the “Series 2022B Bonds” and, together with the Series 2022A Bonds, the “Series 2022 Bonds”). The Series 2022A Bonds and the Series 2022B Bonds were issued on a forward delivery basis, with the Series 2022A Bonds issued on May 16, 2022 (the “First Delivery Date”), and the Series 2022B Bonds issued on November 15, 2022 (the “Second Delivery Date”). The proceeds of the Series 2022A Bonds were used to redeem all the California Statewide Communities Development Authority Revenue Refunding Bonds, Series 2012 (Episcopal Communities & Services) (the “ECS Series 2012 Bonds”) on the First Delivery Date. The proceeds of the Series 2022B Bonds were used to redeem all the Los Angeles County Regional Financing Authority Insured Revenue Bonds Series 2014A (MonteCedro Inc. Project) (the “MonteCedro Series 2014A Bonds”) on the Second Delivery Date. As of June 30, 2023, ECS recognized a gain on the refinancing of the bonds for a total of \$557,000 related to the bond premium and deferred financing costs that were written off during the year. This gain was recorded as other expenses on the consolidated statement of changes in operations.

Upon issuance of the Series 2022A Bonds and the redemption of the ECS Series 2012 Bonds on the First Delivery Date, the existing master trust indenture was replaced with the Master Trust Indenture (Amended and Restated), with ECS remaining as the Obligation Group Representative. The related deeds of trust under the prior master trust indenture were released. Upon the issuance of the Series 2022B Bonds and the redemption of the MonteCedro Series 2014A Bonds on the Second Delivery Date, MonteCedro joined the Obligated Group under the Master Trust Indenture (Amended and Restated). The Series 2022A Bonds and the Series 2022B Bonds are each secured by an Obligation under the Master Trust Indenture (Amended and Restated).

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Notes to Consolidated Financial Statements

The outstanding balances of these bonds are as follows as of June 30, 2023 and 2022 (in thousands):

	2023	2022
Series 2014A, interest rates from 3% to 5% per annum, with principal payments due annually from November 15, 2019 to November 15, 2044	\$ -	\$ 41,935
Series 2022A, interest rate of 3.04% per annum, with principal payments due annually from May 15, 2023 to May 15, 2047	51,080	52,495
Series 2022B, interest rate of 2.89% per annum, with principal payments due annually from November 15, 2023 to November 15, 2044	37,790	-
	88,870	94,430
Unamortized premium on Series 2014A	-	2,494
	88,870	96,924
Less: current portion (including current portion of unamortized premium of \$0 and \$174,133 at June 30, 2023 and 2022, respectively	(2,700)	(2,629)
Less: capitalized financing costs, net of accumulated amortization of \$43,841 and \$6,273,575 at June 30, 2023 and 2022, respectively	(996)	(2,972)
	<u>\$ 85,174</u>	<u>\$ 91,323</u>

Aggregate maturities of long-term debt are as follows (in thousands):

	Series 2022A	Series 2022B	Total
Years Ending June 30,			
2024	\$ 1,455	\$ 1,245	\$ 2,700
2025	1,500	1,280	2,780
2026	1,550	1,315	2,865
2027	1,600	1,355	2,955
2028	1,645	1,395	3,040
Thereafter	43,330	31,200	74,530
	<u>\$ 51,080</u>	<u>\$ 37,790</u>	<u>\$ 88,870</u>

The Series 2022 Bonds contain certain covenants related to debt service coverage ratio and days cash on hand. Management believes the Organization was in compliance with its bond covenants as of June 30, 2023.

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Notes to Consolidated Financial Statements

Note 10 – Net Assets

Net assets without donor restriction – Board designated – The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code. The Board of Directors has identified certain contingencies, listed below, to which the net assets without donor restriction of the Organization may be exposed, and therefore, directed that prudent reserves be established as a safeguard against such contingencies. Although not restricted in accordance with GAAP, the following net assets without donor restriction, excluding board designations for entities with net deficits, represent the current intentions of the Board of Directors and are comprised of the following as of June 30, 2023 and 2022 (in thousands):

	2023	2022
The Canterbury Entrance Fee Reserve Fund	\$ 32,949	\$ 33,887
Mission Expansion Fund	15,674	13,742
Strategic Fund	15,334	13,644
ECS Contingency Reserve Fund	3,950	3,523
Program Expansion Fund	1,868	1,762
Benevolence Funds	1,838	1,870
Ziegler Link Age Fund	289	288
General Fund	11	26
	<u>\$ 71,913</u>	<u>\$ 68,742</u>

Maintaining such reserves meets the needs of the life plan communities by providing a source of funds to replace property, plant, and equipment, fund benevolence programs for qualified residents, fund growth of the Organization, pay entrance fees as they become due at The Canterbury, fund administrative and general expenses associated with fundraising activities, fund the care and services for the Scripps Kensington life plan residents, and fund other planned and unplanned liabilities of the Organization.

The following is a description of Board-designated net assets:

- *The Canterbury Entrance Fee Reserve Fund* – represents funds available for entrance fee refunds for The Canterbury facility.
- *Strategic Fund* – represents funds available to support the Organization's growth initiatives and support of the Organization's affiliates.
- *Mission Expansion Fund* – represents funds available to be utilized for the costs associated with the development of new communities, redevelopment of existing communities, and expansion of programs.
- *ECS Contingency Reserve Fund* – represents funds available for expenditures not typically planned for in the normal course of operation and/or in connection with strategic opportunities.

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Notes to Consolidated Financial Statements

- *Program Expansion Fund* – represents funds available for the purpose of supporting the Organization's charitable mission.
- *Benevolence Funds* – to be used for operating and capital needs associated with facilities and to assist qualifying residents with medical care expenses.
- *Ziegler Link Age Fund* – represents investments in venture stage companies developing technology innovations to enhance senior living.
- *General Fund* – represents funds available for purposes designated by the Board of Directors, including funds available for the purpose of funding the administrative and general expense associated with ECSF's fundraising activities.

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Notes to Consolidated Financial Statements

Net assets with donor restriction – Net assets restricted by donors are available for the following time periods or purpose as of June 30, 2023 and 2022 (in thousands):

	2023	2022
Subject to the passage of time	\$ 6	\$ 6
Subject to expenditure for a specified purpose		
Program & Services	709	655
Benevolence	304	558
Staff Assistance for Emergencies	153	149
Creative Living Plus	128	126
By Your Side	64	24
Employee Education	43	41
Living & Learning	27	29
Music & Memory	17	17
Core Value	7	7
Schumacher Concert Series	2	2
Capital Projects	2	2
	<u>1,456</u>	<u>1,610</u>
Subject to spending policy and appropriation		
Investment in perpetuity (all amounts above original gift amount were appropriated during the year to support)		
David and Margaret Schumacher Concert Series		
Endowment Fund	419	379
Endowed Employee Education Fund Scholarships	259	247
John Henry Dilkes Memorial Fund	233	211
	<u>911</u>	<u>837</u>
Total net assets with donor restrictions	<u>\$ 2,373</u>	<u>\$ 2,453</u>

Net assets released from restriction through the satisfaction of donor restrictions were approximately \$404 and \$510 for the years ended June 30, 2023 and 2022, respectively, and are included in other operating revenue in the accompanying consolidated statements of operations.

The following is a description of the net assets with donor restriction:

- *Benevolence Funds* – represent funds used to care for residents who, through no fault of their own, are unable to pay the entire amount of fees associated with the provision of accommodations and services.

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Notes to Consolidated Financial Statements

- *Program & Services Funds* – represent funds used to support programs and services that enhance the lives of residents.
- *Creative Living Plus Funds* – represent funds used to support training and services that help residents maintain their independence as they age in place.
- *Staff Assistance Fund for Emergencies (S.A.F.E.)* – represents funds to provide monetary assistance to employees in times of immediate need.
- *Employee Education Funds* – represent financial assistance to staff members who pursue education outside of the workplace.
- *Living & Learning Funds* – represent funds that support the life enrichment of former Scripps Kensington residents through cultural, environmental, and recreational programs.
- *By Your Side Funds* – represent funds used to provide end-of-life training, support, and placement to equip volunteer and professional caregivers to serve as a compassionate presence for residents and the wider community.
- *Music & Memory Funds* – represent funds that support the Music & Memory program, which helps memory care residents find renewed meaning and connection in their lives through the gift of personalized music.
- *Core Value Funds* – represent funds that support annual awards to employees recognizing their superior performance in demonstrating ECS's core values.
- *Capital Project Funds* – represent funds to support capital projects that enhance the lives of residents.
- *The David and Margaret Schumacher Concert Series Endowment Fund* – represents an endowment fund created to provide and support musical performances at The Covington in perpetuity.
- *Endowed Employee Education and Scholarship Funds* – represent endowed scholarship funds that are intended for annual employee education scholarships to be awarded in perpetuity.
- *The John Henry Dilkes Memorial Fund* – represents an endowment fund created to provide and support activities programs at The Covington in perpetuity. These programs may include, but are not limited to, educational opportunities in fine arts.

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Notes to Consolidated Financial Statements

Note 11 – Endowment

The Organization's endowment consists of individual funds established for a variety of purposes. The endowment includes both donor-restricted endowment funds and funds designated by the Board of Directors to function as endowments. The Organization has interpreted relevant state law as requiring preservation of the fair value of the original gift as of the date of the gift of the donor-restricted endowment funds explicit donor stipulations to the contrary. As required by GAAP, net assets associated with endowment funds, including funds designated by the Board of Directors to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

According to the Organization's investment guidelines, the Organization's endowment assets are currently invested in the Organization's investment portfolio supervised by an independent registered investment advisor. The primary long-term investment objective is to preserve and enhance the real (inflation adjusted) purchasing power of the portfolio, net of annual withdrawals. If the fair value of the endowment assets falls below the level required by the donor or laws, the reduction is made to net assets with donor restrictions.

The goals of the funds are as follows: (a) maintain purchasing power; (b) maintain the level of programs and services currently provided; (c) maximize return within reasonable and prudent levels of risk; and (d) maintain an appropriate asset allocation based on a total return policy that is compatible with spending policy, while still having the potential to produce positive real returns.

Endowment net asset composition by type of fund as of June 30, 2023, is as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Donor-restricted endowment funds	\$ (10)	\$ 911	\$ 901
Accumulated investment losses	-	-	-
Board-designated endowment funds	19,543	-	19,543
	<u>\$ 19,533</u>	<u>\$ 911</u>	<u>\$ 20,444</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Changes in endowment net assets for the fiscal year ended June 30, 2023, are as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Endowment net assets, beginning of year	\$ 17,529	\$ 837	\$ 18,366
Investment return, net	2,088	87	2,175
Contributions	-	-	-
Appropriation of endowment assets for expenditure	(84)	(13)	(97)
Endowment net assets, end of year	<u>\$ 19,533</u>	<u>\$ 911</u>	<u>\$ 20,444</u>

Endowment net asset composition by type of fund as of June 30, 2022, is as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Donor-restricted endowment funds	\$ (10)	\$ 837	\$ 827
Accumulated investment gains	-	-	-
Board-designated endowment funds	17,539	-	17,539
	<u>\$ 17,529</u>	<u>\$ 837</u>	<u>\$ 18,366</u>

Changes in endowment net assets for the fiscal year ended June 30, 2022, are as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Endowment net assets, beginning of year	\$ 20,301	\$ 983	\$ 21,284
Investment loss, net	(2,527)	(123)	(2,650)
Contributions	84	-	84
Appropriation of endowment assets for expenditure	(329)	(23)	(352)
Endowment net assets, end of year	<u>\$ 17,529</u>	<u>\$ 837</u>	<u>\$ 18,366</u>

Note 12 – Functional Expenses

The consolidated financial statements report certain expense categories that are attributable to more than one residential, health care, or support services function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, interest, and other occupancy costs, are allocated to a function based on a square footage or units of services basis.

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Notes to Consolidated Financial Statements

Expenses related to providing these services for the fiscal year ended June 30, 2023, are as follows (in thousands):

	Program Services	Support Services		Total
		General and Administrative	Fundraising	
Salaries and wages	\$ 19,305	\$ 5,787	\$ 157	\$ 25,249
Employee benefits	7,486	1,953	48	9,487
Professional services	-	581	-	581
Supplies and other	22,689	3,625	19	26,333
Interest	3,005	61	-	3,066
Depreciation and amortization	13,483	464	-	13,947
	<u>\$ 65,968</u>	<u>\$ 12,471</u>	<u>\$ 224</u>	<u>\$ 78,663</u>

Expenses related to providing these services for the fiscal year ended June 30, 2022, are as follows (in thousands):

	Program Services	Support Services		Total
		General and Administrative	Fundraising	
Salaries and wages	\$ 17,860	\$ 5,467	\$ 231	\$ 23,558
Employee benefits	7,043	1,689	56	8,788
Professional services	-	447	-	447
Supplies and other	19,234	3,856	18	23,108
Interest	4,356	90	-	4,446
Depreciation and amortization	12,994	463	-	13,457
	<u>\$ 61,487</u>	<u>\$ 12,012</u>	<u>\$ 305</u>	<u>\$ 73,804</u>

Note 13 – Retirement Plans

The Organization maintains a safe harbor 401(k) retirement plan for all eligible employees of the Organization. The plan allows for employer non-elective contributions, including a mandatory 3% employer contribution. The plan also allows for discretionary match contributions, approved on an annual basis. Total pension plan contributions in connection with the 401(k) retirement plan for the fiscal years ended June 30, 2023 and 2022, were approximately \$1,160,000 and \$1,099,000, respectively.

In addition, the Organization contributed approximately \$6,000 and \$11,000 to the church pension fund for the Episcopal chaplains for the fiscal years ended June 30, 2023 and 2022, respectively.

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The Organization also maintains a 457(b) plan established for executives who have completed six months of continuous service. The 457(b) plan allows for salary reduction contributions and employer discretionary contributions. Total contributions in connection with the 457(b) plan for the fiscal years ended June 30, 2023 and 2022, were approximately \$227,000 and \$222,000, respectively.

Effective July 1, 2013, the Organization created a 457(f) plan for a select group of executives. The plan allows for discretionary employer contributions. There were no contributions made to the plan during the fiscal years ended June 30, 2023 and 2022.

Note 14 – Significant Concentrations

Approximately 4% and 5% of the Organization's total operating revenue and other support for both years ended June 30, 2023 and 2022, respectively, was funded pursuant to federal, state, and local assistance programs, the continuation of which is dependent upon governmental policies. Revenues received under these programs are partially based upon cost reimbursement principles that are subject to government audit.

The Organization maintains its cash in bank deposit accounts that may exceed federally insured limits. The Organization has not experienced any losses in such accounts and believes it is not exposed to any significant credit risk on cash and cash equivalents. As of June 30, 2023, cash balances held at one bank exceeded federally insured limits by approximately \$12,323,000.

Note 15 – Contingencies

The Organization is subject to legal proceedings, which arise in the ordinary course of its business. In the opinion of management and legal counsel, the outcome of such matters will not have a material effect on the financial position of the Organization.

The Organization is also subject to many complex federal, state, and local laws and regulations. Compliance with these laws and regulations is subject to government review and interpretation. Government activity, with respect to investigations and allegations regarding possible violations of these laws and regulations by health care providers, including those related to medical necessity, coding, and billing for services, has increased significantly. Violations of these laws can result in large fines and penalties, sanctions on providing future services, and repayment of past patient revenues. Management believes any actions that may result from investigations of noncompliance with laws and regulations will not have a material effect on the Organization's future financial position or results of operations.

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Notes to Consolidated Financial Statements

Note 16 – Leases

The Organization leases its administrative office in Monrovia, California, which expires on September 30, 2027. Quantitative disclosures related to the Organization's operating leases are as follows as of June 30, 2023 and 2022 (in thousands):

	2023	2022
Operating lease right-of-use assets		
Operating lease assets	\$ 2,270	\$ 2,270
Accumulated amortization	(1,215)	(988)
Total	<u>\$ 1,055</u>	<u>\$ 1,282</u>
Other information		
Cash paid for amounts included in the measurement of lease liabilities – operating cash flows from operating leases	\$ 295	\$ 287
Right-of-use assets obtained in exchange for operating lease liabilities	\$ 1,271	\$ 1,524
Weighted-average remaining lease term (in years)	4.25	5.25
Weighted-average discount rate	3.00%	3.00%

On February 16, 2022, the Organization entered into a sublease agreement to lease out their administrative office in Monrovia, California, to a sublessee, which commenced on March 15, 2022, and expires on November 20, 2024. The sublease qualifies as an operating lease and the sublease income of \$21,912 per month is recognized as other income in the consolidated statements of operations when earned. Sublease income recognized during the year ended June 30, 2023, was \$250,942 and is included in other revenue on the accompanying consolidated statements of operations.

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Notes to Consolidated Financial Statements

The following consists of the minimum lease liabilities in future fiscal years (in thousands):

Fiscal Years	
2024	\$ 304
2025	313
2026	323
2027	333
2028	84
Total	1,357
Less: amount representing interest	86
Total operating lease liabilities	1,271
Current portion of operating lease liabilities	270
Operating lease liabilities, net of current portion	\$ 1,001

Note 17 – Sale of Scripps Kensington and Liability for Losses During Phase-Out Period of Discontinued Operations

Scripps Kensington was sold on October 15, 2010, for a total price of \$21,500,000. The net gain on sale of \$11,087,000 is restricted by the Office of the Attorney General of California to provide care and services to the existing Scripps Kensington residents and for the development of the MonteCedro facility if determined feasible by the Organization (see Note 10 regarding the Scripps Kensington Proceeds Funds).

As part of the disposal, management has calculated an estimated provision and liability for losses expected to be incurred during the phase-out period of discontinued operations. The liability is calculated using present value techniques with a 5% discount rate for 2023 and 2022.

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Notes to Consolidated Financial Statements

A summary of the activities for June 30, 2023 and 2022, is as follows (in thousands):

	2023	2022
Total costs expected to be incurred as a result of the discontinued facility	\$ 13,164	\$ 12,852
Costs incurred during the period	\$ 427	\$ 437
Cumulative costs incurred	\$ 12,848	\$ 12,421
Changes in the liability for losses during phase-out period of discontinued operations are as follows:		
Liability for losses during phase-out period of discontinued operations, beginning of year	\$ 430	\$ 582
Net costs paid during the period	(427)	(438)
Accretion	312	286
Liability for losses during phase-out period of discontinued operations, end of year	\$ 315	\$ 430

The estimated future payments on the phase-out of discontinued operations are as follows (in thousands):

Years Ending June 30,	
2024	\$ 86
2025	66
2026	51
2027	40
2028	31
Thereafter	41
Total future payments	315
Less: discount	-
Present value of future payments	315
Less: current portion	(114)
	\$ 201

Note 18 – Liquidity and Availability

The Organization structures its financial assets to be available as its general expenditures, liabilities, and other obligations come due. As part of its liquidity management, the Organization invests cash in excess of its operating, capital expenditure, and debt service requirements in various investments according to its Investment Policy.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

The Organization's financial assets available to meet general expenditures within one year of the consolidated statement of financial position date are as follows (in thousands):

Cash and cash equivalents	\$ 12,572
Investments, short-term	28,078
Accounts receivable, net	<u>1,511</u>
	<u><u>\$ 42,161</u></u>

Additionally, the Organization has assets limited as to use for deposits held in trust, refundable entrance fees, donor restriction, and various required reserves. These assets limited as to use, which are more fully described in Notes 3 and 4, are not available for general expenditure within the next year.

Note 19 – Subsequent Events

Subsequent events are events or transactions that occur after the consolidated statement of financial position date but before the consolidated financial statements are issued. The Organization recognizes in the consolidated financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the consolidated statement of financial position, including the estimates inherent in the process of preparing the consolidated financial statements.

Effective July 1, 2023, the skilled nursing facility at The Canterbury was relicensed as assisted living residences under the community's Residential Care Facility for the Elderly (RCFE) license. Effective July 1, 2023, the skilled nursing facility at The Covington was delicensed and closed. Effective July 31, 2023, MCINC merged with ECS its sole corporate member.

Management evaluated subsequent events through October 26, 2023, which is the date the consolidated financial statements were issued.

Supplementary Information

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position
(Dollars in Thousands)
June 30, 2023

	ASSETS															
	Episcopal Communities & Services for Seniors (ECS)								ECS Management LLC	Creative Housing & Services	Creative Housing & Services LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
	Scripps Kensington	The Canterbury	The Covington	MonteCedro, Inc.	ECS Obligated Group Total	Executive Administration	Combined ECS Totals									
CURRENT ASSETS																
Cash and cash equivalents	\$ 3	\$ 22	\$ 4,613	\$ 3,540	\$ 8,178	\$ 1,915	\$ 10,093	\$ 1,127	\$ 3	\$ 436	\$ 888	\$ 25	\$ -	\$ -	\$ -	\$ 12,572
Investments, short-term	-	7,590	14,451	3,091	25,132	-	25,132	-	-	-	2,876	70	-	-	-	28,078
Accounts receivable, net	2	386	450	587	1,425	-	1,425	-	-	80	-	6	-	-	-	1,511
Other receivables	-	11	55	-	66	-	66	-	-	-	-	-	-	-	-	66
Unconditional promises to give	-	-	-	-	-	-	-	-	-	-	3	-	-	-	-	3
Inventories	-	69	40	113	222	-	222	-	-	-	-	9	-	-	-	231
Prepaid expenses and other current assets	40	202	338	211	791	18	809	118	-	7	-	(1)	-	-	-	933
Affiliate rights	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current portion of notes receivable	-	2,160	-	1,139	3,299	126	3,425	-	-	-	-	-	-	-	-	3,425
Assets limited as to use, required for current liabilities	-	-	2	-	2	-	2	-	-	-	-	-	-	-	-	2
Due from related parties	-	-	-	-	-	498	498	13	-	-	-	-	-	-	(511)	-
Total current assets	45	10,440	19,949	8,681	39,115	2,557	41,672	1,258	3	523	3,767	109	-	-	(511)	46,821
PROPERTY AND EQUIPMENT, net	-	23,976	56,381	133,271	213,628	32	213,660	797	-	-	-	7,599	-	-	-	222,056
OTHER ASSETS																
Investments, long-term	22	29,309	20,773	37,824	87,928	-	87,928	15,622	-	-	18,088	-	-	-	-	121,638
Notes receivable, net of current portion	-	232	355	-	587	1,992	2,579	4,798	-	-	75	-	-	-	(6,145)	1,307
Assets limited as to use, net of current portion	165	271	398	4,059	4,893	-	4,893	-	-	-	-	-	-	-	-	4,893
Operating lease right-of-use assets	-	-	-	-	-	-	-	1,055	-	-	-	-	-	-	-	1,055
Other assets	35	16	17	82	150	4	154	24	-	-	6	-	-	-	-	184
Interest in related parties' net assets	876	1,601	800	198	3,475	13,561	17,036	130	(120)	207	-	11	-	-	(17,264)	-
Total other assets	1,098	31,429	22,343	42,163	97,033	15,557	112,590	21,629	(120)	207	18,169	11	-	-	(23,409)	129,077
Total assets	\$ 1,143	\$ 65,845	\$ 98,673	\$ 184,115	\$ 349,776	\$ 18,146	\$ 367,922	\$ 23,684	\$ (117)	\$ 730	\$ 21,936	\$ 7,719	\$ -	\$ (23,920)	\$	397,954

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position (Continued)
(Dollars in Thousands)
June 30, 2023

LIABILITIES AND NET ASSETS (DEFICIT)														
	Episcopal Communities & Services for Seniors (ECS)													
	Scripps Kensington	The Canterbury	The Covington	MonteCedro, Inc.	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries
CURRENT LIABILITIES														
Accounts payable and accrued expenses	\$ -	\$ 1,723	\$ 871	\$ 616	\$ 3,210	\$ 511	\$ 3,721	\$ 18	\$ -	\$ -	\$ -	\$ 61	\$ -	\$ -
Accrued compensation, payroll taxes, and benefits	6	1,008	816	595	2,425	221	2,646	496	-	-	-	151	-	-
Interest payable	-	23	178	135	336	-	336	-	-	-	-	-	-	-
Entrance fee refunds upon reoccupancy payable	-	-	6,370	1,555	7,925	-	7,925	-	-	-	-	-	-	-
Other current liabilities	92	23	432	4,238	4,785	-	4,785	6	-	-	-	-	-	-
Due to related parties	2	147	153	170	472	-	472	-	-	-	22	17	-	(511)
Deferred revenue	-	-	948	195	1,143	-	1,143	63	-	-	-	-	-	-
Current portion of liability for losses during phase-out period of discontinued operations	86	-	-	-	86	-	86	-	-	-	-	-	-	-
Operating lease liability, current portion	-	-	-	-	-	-	-	270	-	-	-	-	-	-
Current portion of long-term debt	-	106	1,349	1,245	2,700	-	2,700	-	-	-	-	-	-	-
Total current liabilities	186	3,030	11,117	8,749	23,082	732	23,814	853	-	-	22	229	-	(511)
OTHER LIABILITIES														
Note payable to related parties	-	-	75	-	75	-	75	-	-	686	-	4,524	860	(6,145)
Deposits from residents	3	227	150	157	537	-	537	-	-	-	-	-	-	-
Liability for refundable and repayable entrance fees	-	31,990	75,826	121,468	229,284	-	229,284	-	-	-	-	-	-	-
Deferred revenue from entrance fees	-	4,200	12,183	10,504	26,887	-	26,887	-	-	-	-	-	-	-
Liability for losses during phase-out period of discontinued operations, net of current portion	229	-	-	-	229	-	229	-	-	-	-	-	-	-
Operating lease liability	-	-	-	-	-	-	-	1,001	-	-	-	-	-	-
Long-term debt, net of current maturities	-	3,553	45,184	36,437	85,174	-	85,174	-	-	-	-	-	-	-
Total other liabilities	232	39,970	133,418	168,566	342,186	-	342,186	1,001	-	686	-	4,524	860	(6,145)
Total liabilities	418	43,000	144,535	177,315	365,268	732	366,000	1,854	-	686	22	4,753	860	(6,656)
NET ASSETS (DEFICIT)														
Without donor restriction	165	22,772	(46,998)	6,641	(17,420)	16,608	(812)	21,831	(104)	(108)	19,542	2,955	(860)	(14,382)
With donor restriction	560	73	1,136	159	1,928	806	2,734	(1)	(13)	152	2,372	11	-	(2,882)
Total net assets (deficit)	725	22,845	(45,862)	6,800	(15,492)	17,414	1,922	21,830	(117)	44	21,914	2,966	(860)	(17,264)
Total liabilities and net assets (deficit)	\$ 1,143	\$ 65,845	\$ 98,673	\$ 184,115	\$ 349,776	\$ 18,146	\$ 367,922	\$ 23,684	\$ (117)	\$ 730	\$ 21,936	\$ 7,719	\$ -	\$ (23,920)

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Operations
(Dollars in Thousands)
Year Ended June 30, 2023

	Episcopal Communities & Services for Seniors (ECS)													Consolidated Totals
	Scripps Kensington	The Canterbury	The Covington	MonteCedro, Inc.	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION														
Operating revenue and other support														
Resident care fees, net	\$ -	\$ 12,476	\$ 14,964	\$ 16,912	\$ 44,352	\$ -	\$ 44,352	\$ -	\$ -	\$ -	\$ -	\$ 1,466	\$ -	\$ 45,818
Ancillary services	-	501	2,313	1,227	4,041	-	4,041	-	-	-	-	448	-	4,489
Amortization of entrance fees	-	1,051	2,211	1,843	5,105	-	5,105	-	-	-	-	-	-	5,105
Service revenue	-	2,277	2,918	1,889	7,084	-	7,084	-	-	-	-	-	-	7,084
Management fee revenue	-	-	-	-	-	-	-	5,285	-	-	-	-	(5,285)	-
Contributions	-	-	155	-	155	-	155	-	-	-	-	-	-	155
Miscellaneous income	-	79	74	74	227	-	227	256	-	-	-	1	-	484
Total operating revenue and other support	-	16,384	22,635	21,945	60,964	-	60,964	5,541	-	-	-	1,915	-	63,135
Investment returns available for current operations														
Dividends and interest	-	1,168	1,005	1,170	3,343	-	3,343	446	-	-	559	3	-	4,351
Net realized gains	-	624	474	442	1,540	-	1,540	146	-	-	179	-	-	1,865
Unrealized losses	-	2,082	2,516	2,796	7,394	-	7,394	1,125	-	-	1,380	(4)	-	9,895
Investment expenses	-	(53)	(54)	(56)	(163)	-	(163)	(21)	-	-	(30)	-	-	(214)
Total investment returns available for current operations	-	3,821	3,941	4,352	12,114	-	12,114	1,696	-	-	2,088	(1)	-	15,897
Total operating revenue, other support and investment returns	-	20,205	26,576	26,297	73,078	-	73,078	7,237	-	-	2,088	1,914	-	79,032
OPERATING EXPENSES														
Departmental expenses														
General and administrative	-	4,066	5,267	4,658	13,991	-	13,991	5,734	-	30	3	409	-	14,882
Dining service	-	2,917	4,191	3,242	10,350	-	10,350	-	-	-	-	439	-	10,789
Nursing service, routine	-	6,157	8,610	4,803	19,570	-	19,570	-	-	-	-	711	-	20,281
Residential services	-	722	1,145	1,189	3,056	-	3,056	-	-	-	-	115	-	3,171
Environmental services	-	2,599	3,925	3,144	9,668	-	9,668	-	-	-	-	332	-	10,000
COVID-19 direct expenses	-	193	358	23	574	-	574	-	-	51	-	-	-	625
Other expenses	-	274	532	572	1,378	-	1,378	-	-	-	-	73	-	1,451
Total departmental expenses	-	16,928	24,028	17,631	58,587	-	58,587	5,734	-	81	3	2,079	-	61,199
DEPRECIATION	-	2,545	5,273	5,430	13,248	-	13,248	174	-	-	-	375	-	13,797
OTHER EXPENSES (INCOME)														
Gain on bond refinancing	-	-	-	(557)	(557)	-	(557)	-	-	-	-	-	-	(557)
Interest expense	-	148	1,516	1,402	3,066	-	3,066	-	-	-	-	-	-	3,066
Amortization expense	-	3	34	33	70	80	150	-	-	-	-	-	-	150
Income tax expense	-	-	-	-	-	-	-	12	-	-	-	-	-	12
Loss on disposal of property and equipment	-	85	382	3	470	(26)	444	(5)	-	-	-	-	-	439
Total other expenses (income), net	-	236	1,932	881	3,049	54	3,103	7	-	-	-	-	-	3,110
Total operating expenses	-	19,709	31,233	23,942	74,884	54	74,938	5,915	-	81	3	2,454	-	78,106
Deficiency of revenue over expenses	\$ -	\$ 496	\$ (4,657)	\$ 2,355	\$ (1,806)	\$ (54)	\$ (1,860)	\$ 1,322	\$ -	\$ (81)	\$ 2,085	\$ (540)	\$ -	\$ 926

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Changes in Net Assets

(Dollars in Thousands)

Year Ended June 30, 2023

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	MonteCedro, Inc.	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION															
Excess (deficiency) of revenue over expenses	\$ -	\$ 496	\$ (4,657)	\$ 2,355	\$ (1,806)	\$ (54)	\$ (1,860)	\$ 1,322	\$ -	\$ (81)	\$ 2,085	\$ (540)	\$ -	\$ -	\$ 926
Accretion of losses during phase-out period of discontinued operations	(312)	-	-	-	(312)	-	(312)	-	-	-	-	-	-	-	(312)
Net assets released from restrictions, used for capital expenditures	-	-	-	-	-	-	-	-	-	-	-	-	-	404	404
Change in interest in related parties' net assets	-	170	13	7	190	4,736	4,926	254	-	-	-	-	-	(5,180)	-
Total change in net assets without donor restriction	(312)	666	(4,644)	2,362	(1,928)	4,682	2,754	1,576	-	(81)	2,085	(540)	-	(4,776)	1,018
CHANGE IN NET ASSETS WITH DONOR RESTRICTION															
Contributions	3	12	2	33	50	103	153	-	-	-	-	7	-	(3)	157
Dividends and interest	-	-	-	-	-	-	-	-	-	-	58	-	-	-	58
Investment loss, net	-	-	-	-	-	-	-	-	-	-	109	-	-	-	109
Net assets released from restrictions used for capital expenditures	-	-	-	-	-	-	-	-	-	-	-	-	-	(404)	(404)
Change in interest in related parties' net assets	57	16	72	10	155	5	160	-	-	5	-	-	-	(165)	-
Total change in net assets with donor restriction	60	28	74	43	205	108	313	-	-	5	167	7	-	(572)	(80)
CHANGE IN NET ASSETS	(252)	694	(4,570)	2,405	(1,723)	4,790	3,067	1,576	-	(76)	2,252	(533)	-	(5,348)	938
TRANSFER OF NET ASSETS, net															
Without donor restriction	305	340	(330)	19	334	(524)	(190)	60	-	28	(141)	508	-	(265)	-
With donor restriction	(305)	(19)	3	(27)	(348)	(56)	(404)	-	-	-	(248)	-	-	652	-
Total transfers of net assets (net)	-	321	(327)	(8)	(14)	(580)	(594)	60	-	28	(389)	508	-	387	-
Total change in net assets	(252)	1,015	(4,897)	2,397	(1,737)	4,210	2,473	1,636	-	(48)	1,863	(25)	-	(4,961)	938
NET ASSETS, beginning of year	977	21,830	(40,965)	4,403	(13,755)	13,204	(551)	20,194	(117)	92	20,051	2,991	(860)	(12,303)	29,497
NET ASSETS, end of year	\$ 725	\$ 22,845	\$ (45,862)	\$ 6,800	\$ (15,492)	\$ 17,414	\$ 1,922	\$ 21,830	\$ (117)	\$ 44	\$ 21,914	\$ 2,966	\$ (860)	\$ (17,264)	\$ 30,435

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Cash Flows

(Dollars in Thousands)

Year Ended June 30, 2023

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	MonteCedro, Inc.	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	Creative Housing & Services	CHS LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
OPERATING ACTIVITIES															
Cash received															
Resident care fees	\$ 113	\$ 12,916	\$ 18,523	\$ 17,920	\$ 49,472	\$ -	\$ 49,472	\$ -	\$ -	\$ -	\$ -	\$ 1,909	\$ -	\$ -	\$ 51,381
Entrance fees	-	4,900	21,457	10,394	36,751	-	36,751	-	-	-	-	-	-	-	36,751
Contributions	3	12	147	33	195	102	297	-	-	-	3	4	-	-	304
Investment income	-	1,168	1,005	1,170	3,343	-	3,343	446	-	-	559	3	-	-	4,351
Transfers (to) from related parties	(4)	(87)	(217)	(546)	(854)	663	(191)	251	-	-	(3)	(57)	-	-	-
Management fee revenue	-	-	-	-	-	-	-	5,285	-	-	-	-	-	(5,285)	-
Service revenue	-	2,298	2,775	1,889	6,962	-	6,962	-	-	-	-	-	-	-	6,962
Other	12	98	(31)	11	90	-	90	234	-	-	15	1	-	-	340
Cash disbursed															
Cash paid to employees and suppliers	(526)	(15,588)	(23,772)	(13,727)	(53,613)	(741)	(54,354)	(6,114)	-	(154)	(4)	(2,016)	-	5,285	(57,357)
Interest	-	(116)	(1,475)	(1,579)	(3,170)	-	(3,170)	-	-	-	-	-	-	-	(3,170)
Net cash provided by (used in) operating activities	(402)	5,601	18,412	15,565	39,176	24	39,200	102	-	(154)	570	(156)	-	-	39,562
INVESTING ACTIVITIES															
Investment income reinvested	-	(1,160)	(824)	(1,159)	(3,143)	3	(3,140)	(442)	-	-	(600)	-	-	-	(4,182)
Purchase of investments	-	(239)	(224)	-	(463)	-	(463)	-	-	-	(728)	-	-	-	(1,191)
Proceeds from sale of investments	-	4,700	2,522	-	7,222	-	7,222	23	-	-	925	-	-	-	8,170
Purchase of property and equipment	-	(5,534)	(4,666)	(4,152)	(14,352)	-	(14,352)	(28)	-	-	-	(349)	-	-	(14,729)
Proceeds from sale of property and equipment	-	-	-	-	-	26	26	-	-	159	-	-	-	-	185
Issuance of notes receivable	-	(2,723)	(5,760)	(2,759)	(11,242)	-	(11,242)	-	-	-	-	-	-	-	(11,242)
Collection of notes receivable	-	1,664	5,760	3,422	10,846	1,376	12,222	-	-	-	211	-	-	(211)	12,222
Payment of notes receivable	-	-	(211)	-	(211)	-	(211)	-	-	-	-	-	-	211	-
Payment from Affiliates	-	-	-	-	-	145	145	-	-	-	-	-	-	-	145
Release of (transfer to) restricted cash, cash equivalents, and investments	(6)	(33)	13	26	-	-	-	-	-	-	-	-	-	-	-
Net cash provided by (used in) investing activities	(6)	(3,325)	(3,390)	(4,622)	(11,343)	1,550	(9,793)	(447)	-	159	(192)	(349)	-	-	(10,622)
FINANCING ACTIVITIES															
Payment of long-term debt	-	(103)	(1,312)	(41,935)	(43,350)	-	(43,350)	-	-	-	-	-	-	-	(43,350)
Proceeds from issuance of long-term debt	-	-	-	37,790	37,790	-	37,790	-	-	-	-	-	-	-	37,790
Refund of entrance fees	-	(5,772)	(13,836)	(7,716)	(27,324)	-	(27,324)	-	-	-	-	-	-	-	(27,324)
Transfer of net assets	302	328	(121)	(15)	494	(806)	(312)	167	-	28	(384)	501	-	-	-
Net cash provided by (used in) financing activities	302	(5,547)	(15,269)	(11,876)	(32,390)	(806)	(33,196)	167	-	28	(384)	501	-	-	(32,884)
Net increase (decrease) in cash and cash equivalents and restricted cash and cash equivalents	(106)	(3,271)	(247)	(933)	(4,557)	768	(3,789)	(178)	-	33	(6)	(4)	-	-	(3,944)
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, beginning of year	274	3,564	5,260	8,532	17,630	1,147	18,777	1,305	3	403	894	29	-	-	21,411
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, end of year	\$ 168	\$ 293	\$ 5,013	\$ 7,599	\$ 13,073	\$ 1,915	\$ 14,988	\$ 1,127	\$ 3	\$ 436	\$ 888	\$ 25	\$ -	\$ -	\$ 17,467

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Cash Flows (Continued)

(Dollars in Thousands)

Year Ended June 30, 2023

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	MonteCedro, Inc.	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks Foundation	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES															
Change in net assets	\$ (252)	\$ 1,015	\$ (4,897)	\$ 2,397	\$ (1,737)	\$ 4,210	2,473	\$ 1,636	\$ -	\$ (48)	\$ 1,863	\$ (25)	\$ -	\$ (4,961)	\$ 938
Adjustments to reconcile the change in net assets to net cash provided by (used in) operating activities															
Amortization of entrance fees	-	(1,051)	(2,211)	(1,843)	(5,105)	-	(5,105)	-	-	-	-	-	-	-	(5,105)
Amortization of premium	-	-	-	(58)	(58)	-	(58)	-	-	-	-	-	-	-	(58)
Amortization of financing costs	-	3	34	33	70	-	70	-	-	-	-	-	-	-	70
Amortization of intangible asset	-	-	-	-	-	80	80	-	-	-	-	-	-	-	80
Depreciation	-	2,545	5,273	5,430	13,248	-	13,248	174	-	-	-	375	-	-	13,797
Accretion of liability for losses from phase-out period of discontinued operations	312	-	-	-	312	-	312	-	-	-	-	-	-	-	312
Realized and unrealized gains (losses) on investments, net	-	(2,706)	(2,990)	(3,238)	(8,934)	-	(8,934)	(1,271)	-	-	(1,681)	4	-	-	(11,882)
Change in value of split-interest agreements	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on disposal of property and equipment, net	-	85	382	3	470	(26)	444	(5)	-	-	-	-	-	-	439
(Gain) on bond refinancing	-	-	-	(557)	(557)	-	(557)	-	-	-	-	-	-	-	(557)
Inherent contribution	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
PPP loan forgiveness	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest in related parties' net assets (increase) decrease in	(50)	(514)	242	(9)	(331)	(4,161)	(4,492)	(314)	-	(33)	389	(508)	-	4,958	-
Accounts receivable	6	(140)	279	(269)	(124)	-	(124)	-	-	(80)	-	(4)	-	-	(208)
Other receivables	-	4	23	-	27	-	27	-	-	-	-	-	-	-	27
Unconditional promises to give	-	-	-	-	-	-	-	-	-	-	2	-	-	-	2
Inventories	-	34	4	-	38	-	38	-	-	-	-	(2)	-	-	36
Prepaid expenses and other current assets	10	74	181	200	465	(1)	464	(5)	-	6	-	26	-	-	491
Other assets	-	22	25	5	52	1	53	-	-	-	-	-	-	-	53
Operating lease right-of-use assets	-	-	-	-	-	-	-	227	-	-	-	-	-	-	227
Increase (decrease) in															
Accounts payable and accrued expenses	(7)	1,330	(149)	(186)	988	(603)	385	(269)	-	1	(1)	46	-	-	162
Accrued compensation, payroll taxes, and benefits	3	(1)	79	23	104	(140)	(36)	(48)	-	-	-	(8)	-	-	(92)
Interest payable	-	9	(21)	(118)	(130)	-	(130)	-	-	-	-	-	-	-	(130)
Due to/from related parties	(4)	(87)	(218)	(547)	(856)	664	(192)	251	-	-	(2)	(60)	-	3	-
Other current liabilities	9	-	(32)	3,922	3,899	-	3,899	-	-	-	-	-	-	-	3,899
Deferred revenue	-	-	948	(30)	918	-	918	-	-	-	-	-	-	-	918
Deferred rent	-	-	-	-	-	-	-	(21)	-	-	-	-	-	-	(21)
Operating lease liabilities	-	-	-	-	-	-	-	(253)	-	-	-	-	-	-	(253)
Deposits from residents	(2)	79	3	13	93	-	93	-	-	-	-	-	-	-	93
Deferred revenue from entrance fees and liability for refundable and repayable entrance fees	-	4,900	21,457	10,394	36,751	-	36,751	-	-	-	-	-	-	-	36,751
Liability for losses during phase-out period	(427)	-	-	-	(427)	-	(427)	-	-	-	-	-	-	-	(427)
Net cash provided by (used in) operating activities	\$ (402)	\$ 5,601	\$ 18,412	\$ 15,565	\$ 39,176	\$ 24	\$ 39,200	\$ 102	\$ -	\$ (154)	\$ 570	\$ (156)	\$ -	\$ -	\$ 39,562

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position
(Dollars in Thousands)
June 30, 2022

ASSETS															
	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CURRENT ASSETS															
Cash and cash equivalents	\$ 109	\$ 3,348	\$ 4,613	\$ 8,070	\$ 1,147	\$ 9,217	\$ 1,305	\$ 4,463	\$ 3	\$ 403	\$ 894	\$ 29	\$ -	\$ -	\$ 16,314
Investments, short-term	-	3,319	9,482	12,801	-	12,801	-	5,082	-	-	488	-	-	-	18,371
Accounts receivable, net	8	246	729	983	-	983	-	318	-	-	-	2	-	-	1,303
Other receivables	-	15	78	93	-	93	-	-	-	-	-	-	-	-	93
Unconditional promises to give	-	-	-	-	-	-	-	-	-	-	5	-	-	-	5
Inventories	-	103	44	147	-	147	-	113	-	-	-	7	-	-	267
Prepaid expenses and other current assets	50	276	519	845	17	862	113	411	-	13	-	25	-	-	1,424
Affiliate rights	-	-	-	-	146	146	-	-	-	-	-	-	-	-	146
Current portion of notes receivable	-	1,101	-	1,101	651	1,752	-	1,801	-	-	-	-	-	-	3,553
Assets limited as to use, required for current liabilities	-	24	305	329	-	329	-	816	-	-	-	-	-	-	1,145
Due from related parties	-	-	-	-	1,162	1,162	264	-	-	-	-	-	-	(1,426)	-
Total current assets	167	8,432	15,770	24,369	3,123	27,492	1,682	13,004	3	416	1,387	63	-	(1,426)	42,621
PROPERTY AND EQUIPMENT, net	-	21,072	57,369	78,441	33	78,474	937	134,553	-	159	-	7,625	-	-	221,748
OTHER ASSETS															
Investments, long-term	22	34,091	24,282	58,395	-	58,395	13,932	31,436	-	-	18,397	71	-	-	122,231
Notes receivable, net of current portion	-	232	355	587	2,845	3,432	4,798	-	-	-	286	-	-	(6,356)	2,160
Assets limited as to use, net of current portion	165	192	342	699	-	699	-	3,253	-	-	-	-	-	-	3,952
Operating lease right-of-use assets	-	-	-	-	-	-	1,282	-	-	-	-	-	-	-	1,282
Other assets	35	38	42	115	85	200	24	87	-	-	6	-	-	-	317
Interest in related parties' net assets	1,122	1,422	921	3,465	8,593	12,058	(16)	175	(120)	202	-	4	-	(12,303)	-
Total other assets	1,344	35,975	25,942	63,261	11,523	74,784	20,020	34,951	(120)	202	18,689	75	-	(18,659)	129,942
Total assets	\$ 1,511	\$ 65,479	\$ 99,081	\$ 166,071	\$ 14,679	\$ 180,750	\$ 22,639	\$ 182,508	\$ (117)	\$ 777	\$ 20,076	\$ 7,763	\$ -	\$ (20,085)	\$ 394,311

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position (Continued)
(Dollars in Thousands)
June 30, 2022

LIABILITIES AND NET ASSETS (DEFICIT)															
	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CURRENT LIABILITIES															
Accounts payable and accrued expenses	\$ 7	\$ 393	\$ 1,020	\$ 1,420	\$ 1,114	\$ 2,534	\$ 287	\$ 802	\$ -	(1)	\$ 1	\$ 15	\$ -	\$ -	\$ 3,638
Accrued compensation, payroll taxes, and benefits	3	1,009	737	1,749	361	2,110	544	572	-	-	-	159	-	-	3,385
Interest payable	-	14	199	213	-	213	-	253	-	-	-	-	-	-	466
Entrance fee refunds upon reoccupancy payable	-	-	6,036	6,036	-	6,036	-	1,044	-	-	-	-	-	-	7,080
Other current liabilities	83	23	464	570	-	570	6	316	-	-	-	-	-	-	892
Due to related parties	6	234	371	611	-	611	-	717	-	-	24	74	-	(1,426)	-
Deferred revenue	-	-	-	-	-	-	84	225	-	-	-	-	-	-	309
Current portion of liability for losses during phase-out period of discontinued operations	114	-	-	114	-	114	-	-	-	-	-	-	-	-	114
Operating lease liability, current portion	-	-	-	-	-	-	253	-	-	-	-	-	-	-	253
Current portion of long-term debt	-	103	1,312	1,415	-	1,415	-	1,214	-	-	-	-	-	-	2,629
Total current liabilities	213	1,776	10,139	12,128	1,475	13,603	1,174	5,143	-	(1)	25	248	-	(1,426)	18,766
OTHER LIABILITIES															
Note payable to related parties	-	-	286	286	-	286	-	-	-	686	-	4,524	860	(6,356)	-
Deposits from residents	5	148	147	300	-	300	-	144	-	-	-	-	-	-	444
Liability for refundable and repayable entrance fees	-	33,953	74,699	108,652	-	108,652	-	120,492	-	-	-	-	-	-	229,144
Deferred revenue from entrance fees	-	4,116	8,277	12,393	-	12,393	-	11,157	-	-	-	-	-	-	23,550
Liability for losses during phase-out period of discontinued operations, net of current portion	316	-	-	316	-	316	-	-	-	-	-	-	-	-	316
Operating lease liability	-	-	-	-	-	-	1,271	-	-	-	-	-	-	-	1,271
Long-term debt, net of current maturities	-	3,656	46,498	50,154	-	50,154	-	41,169	-	-	-	-	-	-	91,323
Total other liabilities	321	41,873	129,907	172,101	-	172,101	1,271	172,962	-	686	-	4,524	860	(6,356)	346,048
Total liabilities	534	43,649	140,046	184,229	1,475	185,704	2,445	178,105	-	685	25	4,772	860	(7,782)	364,814
NET ASSETS (DEFICIT)															
Without donor restriction	172	21,766	(42,024)	(20,086)	12,450	(7,636)	20,195	4,260	(104)	(55)	17,598	2,987	(860)	(9,341)	27,044
With donor restriction	805	64	1,059	1,928	754	2,682	(1)	143	(13)	147	2,453	4	-	(2,962)	2,453
Total liabilities and net assets (deficit)	\$ 1,511	\$ 65,479	\$ 99,081	\$ 166,071	\$ 14,679	\$ 180,750	\$ 22,639	\$ 182,508	\$ (117)	\$ 777	\$ 20,076	\$ 7,763	\$ -	\$ (20,085)	\$ 394,311

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Operations

(Dollars in Thousands)

Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION															
Operating revenue and other support															
Resident care fees, net	\$ -	\$ 12,190	\$ 14,001	\$ 26,191	\$ -	\$ 26,191	\$ -	\$ 14,812	\$ -	\$ -	\$ -	\$ 1,291	\$ -	\$ -	\$ 42,294
Ancillary services	-	486	2,511	2,997	-	2,997	-	883	-	-	-	339	-	-	4,219
Amortization of entrance fees	-	904	1,516	2,420	-	2,420	-	1,613	-	-	-	-	-	-	4,033
Service revenue	-	2,165	2,743	4,908	-	4,908	-	1,886	-	-	-	-	-	-	6,794
Management fee revenue	-	-	-	-	91	-	5,265	-	-	50	-	-	-	(5,356)	50
Contributions	-	-	126	126	-	126	-	-	-	-	-	-	-	-	126
Miscellaneous income	-	2	491	493	-	493	85	86	-	89	-	1	-	-	754
Total operating revenue and other support	-	15,747	21,388	37,135	91	37,226	5,350	19,280	-	139	-	1,631	-	(5,356)	58,270
Investment returns available for current operations															
Dividends and interest	-	2,070	3,585	5,655	-	5,655	731	2,010	-	-	940	-	-	-	9,336
Net realized gains	-	212	211	423	-	423	-	145	-	-	59	-	-	-	627
Unrealized gains (losses)	-	(7,664)	(8,544)	(16,208)	-	(16,208)	(2,682)	(7,590)	-	-	(3,491)	(7)	-	-	(29,978)
Investment expenses	-	(49)	(82)	(131)	-	(131)	(21)	(55)	-	-	(34)	-	-	-	(241)
Total investment returns available for current operations	-	(5,431)	(4,830)	(10,261)	-	(10,261)	(1,972)	(5,490)	-	-	(2,526)	(7)	-	-	(20,256)
Total operating revenue, other support and investment returns	-	10,316	16,558	26,874	91	26,965	3,378	13,790	-	139	(2,526)	1,624	-	(5,356)	38,014
OPERATING EXPENSES															
Departmental expenses															
General and administrative	-	3,764	5,371	9,135	-	9,135	5,501	4,523	-	288	14	479	-	(5,421)	14,519
Dining service	-	2,774	3,834	6,608	-	6,608	-	2,961	-	-	-	340	-	-	9,909
Nursing service, routine	-	5,468	7,179	12,647	-	12,647	-	3,996	-	-	-	605	-	-	17,248
Residential services	-	716	1,072	1,788	50	1,838	-	1,027	-	-	-	99	-	-	2,964
Environmental services	-	2,332	3,465	5,797	-	5,797	-	2,883	-	-	-	291	-	-	8,971
COVID-19 direct expenses	-	231	423	654	-	654	11	129	-	-	-	18	-	-	812
Other expenses	-	292	415	707	-	707	-	465	-	-	-	16	-	-	1,188
Total departmental expenses	-	15,577	21,759	37,336	50	37,386	5,512	15,984	-	288	14	1,848	-	(5,421)	55,611
DISTRIBUTIONS TO RELATED PARTIES	-	-	-	-	-	-	-	-	-	-	1,259	-	-	(1,259)	-
DEPRECIATION	-	2,544	4,881	7,425	-	7,425	180	5,307	-	-	-	346	-	-	13,258
OTHER EXPENSES (INCOME)															
Gain on bond refinancing	-	(333)	(3,299)	(3,632)	-	(3,632)	-	-	-	-	-	-	-	-	(3,632)
Interest expense	-	190	2,194	2,384	-	2,384	-	2,062	-	-	-	-	-	-	4,446
Amortization expense	-	2	30	32	80	112	-	87	-	-	-	-	-	-	199
Income tax expense	-	-	-	-	-	-	12	-	-	-	-	-	-	-	12
Loss on disposal of property and equipment	-	61	180	241	-	241	3	34	-	-	-	-	-	-	278
Total other expenses (income), net	-	(80)	(895)	(975)	80	(895)	15	2,183	-	-	-	-	-	-	1,303
Total operating expenses	-	18,041	25,745	43,786	130	43,916	5,707	23,474	-	288	1,273	2,194	-	(6,680)	70,172
Excess (deficiency) excess of revenue over expenses	\$ -	\$ (7,725)	\$ (9,187)	\$ (16,912)	\$ (39)	\$ (16,951)	\$ (2,329)	\$ (9,684)	\$ -	\$ (149)	\$ (3,799)	\$ (570)	\$ -	\$ 1,324	\$ (32,158)

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Changes in Net Assets

(Dollars in Thousands)

Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION															
Excess (deficiency) of revenue over expenses	\$ -	\$ (7,725)	\$ (9,187)	\$ (16,912)	\$ (39)	\$ (16,951)	\$ (2,329)	\$ (9,684)	\$ -	\$ (149)	\$ (2,540)	\$ (570)	\$ -	\$ 65	\$ (32,158)
Accretion of losses during phase-out period of discontinued operations	(286)	-	-	(286)	-	(286)	-	-	-	-	-	-	-	-	(286)
Net assets released from restrictions, used for capital expenditures	-	-	-	-	-	-	-	-	-	-	-	-	-	510	510
Change in interest in related parties' net assets	-	(209)	(19)	(228)	(14,729)	(14,957)	(288)	(10)	-	-	-	-	-	15,265	-
Total change in net assets without donor restriction	(286)	(7,934)	(9,206)	(17,426)	(14,768)	(32,194)	(2,627)	(9,694)	-	(149)	(2,540)	(570)	-	15,840	(31,934)
CHANGE IN NET ASSETS WITH DONOR RESTRICTION															
Contributions	3	5	59	67	104	171	-	5	-	1	-	-	-	(177)	-
Dividends and interest	-	-	-	-	-	-	-	-	-	-	37	-	-	-	37
Investment return, net	-	-	-	-	-	-	-	-	-	-	(311)	-	-	-	(311)
Net assets released from restrictions used for capital expenditures	-	-	-	-	-	-	-	-	-	-	-	-	-	(510)	(510)
Change in interest in related parties' net assets	(115)	(24)	(104)	(243)	(7)	(250)	-	(14)	-	(10)	-	-	-	274	-
Total change in net assets with donor restriction	(112)	(19)	(45)	(176)	97	(79)	-	(9)	-	(9)	(274)	-	-	(413)	(784)
CHANGE IN NET ASSETS	(398)	(7,953)	(9,251)	(17,602)	(14,671)	(32,273)	(2,627)	(9,703)	-	(158)	(2,814)	(570)	-	15,427	(32,718)
TRANSFER OF NET ASSETS, net															
Without donor restriction	483	(79)	(144)	260	(517)	(257)	(32)	(49)	-	294	(212)	511	-	(255)	-
With donor restriction	(483)	(2)	(29)	(514)	(20)	(534)	-	(13)	(43)	12	(509)	-	-	1,082	-
Total transfers of net assets (net)	-	(81)	(173)	(254)	(537)	(791)	(32)	(62)	(43)	306	(717)	511	-	828	-
Total change in net assets	(398)	(8,034)	(9,424)	(17,856)	(15,208)	(33,064)	(2,659)	(9,765)	(43)	148	(3,531)	(59)	-	16,255	(32,718)
Net assets, beginning of year	1,375	29,864	(31,541)	(302)	28,412	28,110	22,853	14,168	(74)	(56)	23,582	3,050	(860)	(28,558)	62,215
Net assets, ending	\$ 977	\$ 21,830	\$ (40,965)	\$ (18,158)	\$ 13,204	\$ (4,954)	\$ 20,194	\$ 4,403	\$ (117)	\$ 92	\$ 20,051	\$ 2,991	\$ (860)	\$ (12,303)	\$ 29,497

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Cash Flows

(Dollars in Thousands)

Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	CHS LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
OPERATING ACTIVITIES															
Cash received															
Resident care fees	\$ 126	\$ 11,963	\$ 16,422	\$ 28,511	\$ -	\$ 28,511	\$ -	\$ 15,573	\$ -	\$ -	\$ -	\$ 1,617	\$ -	\$ -	\$ 45,701
Entrance fees	-	9,233	16,776	26,009	-	26,009	-	23,558	-	-	-	-	-	-	49,567
Contributions	3	5	185	193	104	297	-	11	-	1	-	-	-	-	309
Investment income	-	2,070	3,595	5,665	-	5,665	731	2,010	-	-	977	-	-	-	9,373
Transfers (to) from related parties	(1)	(23)	128	104	(285)	(181)	320	387	-	(12)	(114)	(400)	-	-	-
Management fee revenue	-	-	-	-	-	-	5,265	-	-	28	-	-	-	(5,265)	28
Service revenue	-	2,165	2,743	4,908	-	4,908	-	1,886	-	(18)	-	-	-	-	6,776
Other	11	(8)	(10)	(7)	-	(7)	85	17	-	1	-	1	-	-	97
Cash disbursed															
Cash paid to employees and suppliers	(600)	(16,173)	(25,969)	(42,742)	515	(42,227)	(5,289)	(16,564)	-	(627)	(60)	(1,803)	-	5,265	(61,305)
Interest	-	(206)	(2,621)	(2,827)	-	(2,827)	-	(2,403)	-	-	-	-	-	-	(5,230)
Net cash provided by (used in) operating activities	(461)	9,026	11,239	19,804	334	20,138	1,112	24,475	-	(627)	803	(585)	-	-	45,316
INVESTING ACTIVITIES															
Investment income reinvested	-	(2,070)	(3,514)	(5,584)	-	(5,584)	(727)	(1,993)	-	-	(955)	-	-	-	(9,259)
Purchase of investments	-	-	(197)	(197)	-	(197)	(5)	-	-	-	-	-	-	-	(202)
Proceeds from sale of investments	-	2,616	9,883	12,499	-	12,499	-	1,800	-	-	873	-	-	-	15,172
Purchase of property and equipment	-	(1,729)	(4,552)	(6,281)	-	(6,281)	(149)	(2,628)	-	(10)	-	(229)	-	-	(9,297)
Issuance of notes receivable	-	(2,979)	(3,505)	(6,484)	-	(6,484)	-	(5,735)	-	-	-	-	-	-	(12,219)
Collection of notes receivable	-	2,612	3,885	6,497	283	6,780	-	3,934	-	-	91	-	-	(94)	10,711
Payment of notes receivable	-	-	(94)	(94)	-	(94)	-	-	-	-	-	-	-	94	-
Release of (transfer to) restricted cash, cash equivalents, and investments	165	(1,210)	1,355	310	-	310	-	272	-	-	-	-	-	(582)	-
Net cash provided by (used in) investing activities	165	(2,760)	3,261	666	283	949	(881)	(4,350)	-	(10)	9	(229)	-	(582)	(5,094)
FINANCING ACTIVITIES															
Payment of long-term debt	-	(4,121)	(52,414)	(56,535)	-	(56,535)	-	(990)	-	-	-	-	-	-	(57,525)
Refund of entrance fees	-	3,934	52,430	56,364	-	56,364	-	-	-	-	-	-	-	-	56,364
Distributions from related parties	-	(4,846)	(12,049)	(16,895)	-	(16,895)	-	(17,622)	-	-	-	-	-	-	(34,517)
Transfer of net assets	480	(84)	(131)	265	(388)	(123)	6	(60)	-	264	(711)	624	-	-	-
Net cash provided by (used in) financing activities	480	(5,117)	(12,164)	(16,801)	(388)	(17,189)	6	(18,672)	-	264	(711)	624	-	-	(35,678)
Net increase (decrease) in cash and cash equivalents and restricted cash and cash equivalents	184	1,149	2,336	3,669	229	3,898	237	1,453	-	(373)	101	(190)	-	(582)	4,544
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, beginning	90	2,415	2,924	5,429	918	6,347	1,068	7,079	3	776	793	219	-	582	16,867
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, ending	\$ 274	\$ 3,564	\$ 5,260	\$ 9,098	\$ 1,147	\$ 10,245	\$ 1,305	\$ 8,532	\$ 3	\$ 403	\$ 894	\$ 29	\$ -	\$ -	\$ 21,411

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Cash Flows (Continued)

(Dollars in Thousands)

Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)						ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks Foundation	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals									
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES															
Change in net assets	\$ (398)	\$ (8,034)	\$ (9,424)	\$ (17,856)	\$ (15,208)	\$ (33,064)	\$ (2,859)	\$ (9,765)	\$ (43)	\$ 148	\$ (3,531)	\$ (59)	\$ -	\$ 16,255	\$ (32,718)
Adjustments to reconcile the change in net assets to net cash provided by (used in) operating activities															
Amortization of entrance fees	-	(904)	(1,516)	(2,420)	-	(2,420)	-	(1,613)	-	-	-	-	-	-	(4,033)
Amortization of premium	-	(419)	(4,384)	(4,803)	-	(4,803)	-	(175)	-	-	-	-	-	-	(4,978)
Amortization of financing costs	-	2	30	32	-	32	-	87	-	-	-	-	-	-	119
Amortization of intangible asset	-	-	-	-	80	80	-	-	-	-	-	-	-	-	80
Depreciation	-	2,544	4,881	7,425	-	7,425	180	5,307	-	-	-	346	-	-	13,258
Accretion of liability for losses from phase-out period of discontinued operations	286	-	-	286	-	286	-	-	-	-	-	-	-	-	286
Realized and unrealized gains (losses) on investments, net	-	7,452	8,333	15,785	-	15,785	2,682	7,445	-	-	3,730	7	-	-	29,649
Change in value of split-interest agreements	-	-	-	-	-	-	-	6	-	-	-	-	-	-	6
Loss on disposal of property and equipment, net	-	61	180	241	-	241	3	34	-	-	-	-	-	-	278
(Gain) on bond refinancing	-	(333)	(3,299)	(3,632)	-	(3,632)	-	-	-	-	-	-	-	-	(3,632)
Interest in related parties' net assets	115	314	185	614	15,273	15,887	330	86	43	(296)	717	(511)	-	(16,256)	-
(Increase) decrease in															
Accounts receivable	2	10	(155)	(143)	-	(143)	-	(50)	-	78	-	5	-	-	(110)
Other receivables	-	2	(31)	(29)	9	(20)	1	-	-	36	-	-	-	-	17
Inventories	-	(17)	51	34	-	34	-	(1)	-	-	-	(7)	-	-	26
Prepaid expenses and other current assets	5	(50)	316	271	(2)	269	(5)	(245)	-	77	1	(4)	-	-	93
Other assets	-	(1)	(3)	(4)	-	(4)	(3)	(3)	-	-	-	-	-	-	(10)
Operating lease right of use assets	-	-	-	-	-	-	219	-	-	-	-	-	-	-	219
Increase (decrease) in															
Accounts payable and accrued expenses	(27)	(43)	(504)	(574)	431	(143)	242	(269)	-	(416)	-	2	-	-	(584)
Accrued compensation, payroll taxes, and benefits	(3)	(29)	(15)	(47)	36	(11)	(39)	1	-	-	-	53	-	-	4
Interest payable	(1)	(25)	(286)	(312)	-	(312)	-	(165)	-	-	-	-	-	-	(477)
Due to/from related parties	(1)	(23)	128	104	(285)	(181)	320	387	-	(12)	(114)	(401)	-	1	-
Other current liabilities	-	-	(20)	(20)	-	(20)	-	(11)	-	-	-	-	-	-	(31)
Deferred revenue	-	-	-	-	-	-	-	(34)	-	(242)	-	(16)	-	-	(292)
Deferred rent	-	-	-	-	-	-	84	-	-	-	-	-	-	-	84
Operating lease liabilities	-	-	-	-	-	-	(243)	-	-	-	-	-	-	-	(243)
Deposits from residents	(1)	(726)	2	(725)	-	(725)	-	(106)	-	-	-	-	-	-	(831)
Deferred revenue from entrance fees and liability for refundable and repayable entrance fees	-	9,245	16,770	26,015	-	26,015	-	23,559	-	-	-	-	-	-	49,574
Liability for losses during phase-out period	(438)	-	-	(438)	-	(438)	-	-	-	-	-	-	-	-	(438)
Net cash provided by (used in) operating activities	\$ (461)	\$ 9,026	\$ 11,239	\$ 19,804	\$ 334	\$ 20,138	\$ 1,112	\$ 24,475	\$ -	\$ (627)	\$ 803	\$ (585)	\$ -	\$ -	\$ 45,316



REPORT OF INDEPENDENT AUDITORS AND
CONSOLIDATED FINANCIAL STATEMENTS
WITH SUPPLEMENTARY INFORMATION

**EPISCOPAL COMMUNITIES & SERVICES
FOR SENIORS AND SUBSIDIARIES**

June 30, 2022 and 2021

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Report of Independent Auditors

The Board of Directors
Episcopal Communities & Services for Seniors and Subsidiaries

Report on the Audit of the Financial Statements

Opinion

We have audited the consolidated financial statements of Episcopal Communities & Services for Seniors and Subsidiaries, which comprise the consolidated statements of financial position as of June 30, 2022 and 2021, and the related consolidated statements of operations, changes in net assets, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of Episcopal Communities & Services for Seniors and Subsidiaries as of June 30, 2022 and 2021, and the results of their operations and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Episcopal Communities & Services for Seniors and Subsidiaries and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Episcopal Communities & Services for Seniors and Subsidiaries' ability to continue as a going concern within one year after the date that the financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Episcopal Communities & Services for Seniors and Subsidiaries' internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Episcopal Communities & Services for Seniors and Subsidiaries' ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter

Our audits were conducted for the purpose of forming an opinion on the consolidated financial statements that comprise Episcopal Communities and Services for Seniors and Subsidiaries. The consolidating schedules on pages 46 through 57 are presented for purposes of additional analysis and are not a required part of the consolidated financial statements. The consolidating schedules are the responsibility of management and were derived from, and relate directly to, the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the consolidating schedules are fairly stated in all material respects in relation to the consolidated financial statements as a whole.

Other Information

Management is responsible for the other information included in the California Department of Social Services Annual Report. The other information comprises the Forms 1-1, 1-2, and 7-1, but does not include the consolidated financial statements and our auditor's report thereon. Our opinion on the consolidated financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the consolidated financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Moss Adams LLP

Irvine, California
October 27, 2022

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Financial Position
(Dollars in Thousands)

		June 30,	
		2022	2021
ASSETS			
CURRENT ASSETS			
Cash and cash equivalents	\$	16,314	\$ 10,766
Investments, short-term		18,371	24,619
Accounts receivable, net		1,303	1,193
Other receivables		93	110
Unconditional promises to give		5	5
Inventories		267	293
Prepaid expenses and other current assets		1,424	1,517
Affiliate rights		146	146
Notes receivable, current portion		3,553	1,470
Assets limited as to use, required for current liabilities		1,145	1,383
Total current assets		42,621	41,502
PROPERTY AND EQUIPMENT, net		221,748	225,987
OTHER ASSETS			
Investments, long-term		122,231	147,432
Notes receivable, net of current portion		2,160	2,735
Assets limited as to use, net of current portion		3,952	8,630
Operating lease right-of-use assets		1,282	1,501
Other assets		317	394
Total other assets		129,942	160,692
Total assets	\$	394,311	\$ 428,181

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Financial Position (Continued)
(Dollars in Thousands)

LIABILITIES AND NET ASSETS		
	June 30,	
	2022	2021
CURRENT LIABILITIES		
Accounts payable and accrued expenses	\$ 3,638	\$ 4,223
Accrued compensation, payroll taxes, and benefits	3,385	3,381
Interest payable	466	943
Entrance fee refunds upon reoccupancy payable	7,080	21,863
Other current liabilities	892	923
Deferred revenue	309	517
Current portion of liability for losses during phase-out period of discontinued operations	114	152
Operating lease liability, current portion	253	237
Current portion of long-term debt	2,629	2,571
Total current liabilities	18,766	34,810
OTHER LIABILITIES		
Deposits from residents	444	1,275
Liability for refundable and repayable entrance fees	229,144	209,337
Deferred revenue from entrance fees	23,550	17,557
Liability for losses during phase-out period of discontinued operations, net of current portion	316	430
Operating lease liability, net of current portion	1,271	1,530
Long-term debt, net of current maturities	91,323	101,027
Total other liabilities	346,048	331,156
Total liabilities	364,814	365,966
NET ASSETS		
Without donor restriction	27,044	58,978
With donor restriction	2,453	3,237
Total net assets	29,497	62,215
Total liabilities and net assets	\$ 394,311	\$ 428,181

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Operations
(Dollars in Thousands)

	Years Ended June 30,	
	2022	2021
OPERATING REVENUE AND OTHER SUPPORT WITHOUT DONOR RESTRICTION		
Resident care fees, net	\$ 42,294	\$ 37,856
Ancillary services	4,219	2,754
Amortization of entrance fees	4,033	4,467
Service revenue	6,794	6,899
Contributions	126	1,872
Other	804	1,797
Total operating revenue and other support	58,270	55,645
Investment (losses) returns available for current operations, net	(20,256)	30,800
Total operating revenue, other support, and investment returns	38,014	86,445
OPERATING EXPENSES		
General and administrative	14,519	14,247
Dining service	9,909	8,990
Nursing service, routine	17,248	16,100
Residential services	2,964	2,578
Environmental services	8,971	8,419
COVID-19 direct expenses (Note 20)	812	3,184
Other expenses	1,188	1,241
Total operating expenses before depreciation	55,611	54,759
OPERATING (LOSS) INCOME BEFORE DEPRECIATION	(17,597)	31,686
Depreciation	13,258	12,450
Total operating (loss) income	(30,855)	19,236
OTHER EXPENSE (INCOME)		
Gain on bond refinancing	(3,632)	-
PPP loan forgiveness	-	(4,685)
Inherent contribution from affiliation	-	(3,071)
Interest expense	4,446	4,848
Other	489	338
Total other expenses (income), net	1,303	(2,570)
(Deficiency) excess of revenue over expenses	\$ (32,158)	\$ 21,806

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Changes in Net Assets
(Dollars in Thousands)

	Years Ended June 30,	
	2022	2021
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION		
(Deficiency) excess of revenue over expenses	\$ (32,158)	\$ 21,806
Accretion of losses during phase-out period of discontinued operations	(286)	(238)
Net assets released from restrictions for capital expenditures	510	904
Total change in net assets without donor restriction	(31,934)	22,472
CHANGE IN NET ASSETS WITH DONOR RESTRICTION		
Contributions	-	452
Dividends and interest	37	39
Net realized and unrealized (losses) gains	(311)	435
Net assets released from restrictions for capital expenditures	(510)	(904)
Total change in net assets with donor restriction	(784)	22
CHANGE IN NET ASSETS	(32,718)	22,494
NET ASSETS		
Net assets, beginning of year	62,215	39,721
Net assets, end of year	<u>\$ 29,497</u>	<u>\$ 62,215</u>

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Cash Flows
(Dollars in Thousands)

	Years Ended June 30,	
	2022	2021
OPERATING ACTIVITIES		
Cash received		
Resident care fees	\$ 45,701	\$ 41,689
Entrance fees	49,567	21,067
Contributions	309	2,326
Investment income	9,373	11,111
Management fee revenue	28	262
Service revenue	6,776	7,328
Other	97	2,055
Cash disbursed		
Cash paid to employees and suppliers	(61,447)	(61,937)
Interest	(5,088)	(5,014)
Net cash provided by operating activities	45,316	18,887
INVESTING ACTIVITIES		
Investment income reinvested	(9,259)	(4,643)
Purchase of investments	(202)	(8,035)
Proceeds from sale of investments	15,172	20,873
Purchase of property and equipment	(9,297)	(5,549)
Issuance of note receivable	(12,219)	(1,111)
Collection of notes receivable	10,711	12
Net cash (used in) provided by investing activities	(5,094)	1,547
FINANCING ACTIVITIES		
Payment of long-term debt	(57,525)	(2,010)
Proceeds from issuance of long-term debt	56,364	-
Refund of entrance fees	(34,517)	(16,234)
Net cash used in financing activities	(35,678)	(18,244)
Net increase in cash and cash equivalents	4,544	2,190
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, beginning of year	16,867	14,677
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, end of year	\$ 21,411	\$ 16,867
NON-CASH OPERATING ACTIVITIES		
Gain on bond refinancing	\$ 3,632	\$ -
Right-of-use assets obtained in exchange for lease obligation	\$ 287	\$ 266

See accompanying notes.

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidated Statements of Cash Flows (Continued)
(Dollars in Thousands)

	Years Ended June 30,	
	2022	2021
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH PROVIDED BY OPERATING ACTIVITIES		
Change in net assets	\$ (32,718)	\$ 22,494
Adjustments to reconcile the change in net assets to net cash provided by operating activities		
Amortization of entrance fees	(4,033)	(4,467)
Amortization of premium	(4,978)	(482)
Amortization of financing costs	119	122
Amortization of intangible asset	80	80
Depreciation	13,258	12,450
Accretion of liability for losses during phase-out period of discontinued operations	286	238
Realized and unrealized losses (gains) on investments, net	29,649	(26,857)
Gain on bond refinancing	(3,632)	-
Change in the value of split-interest agreements	6	-
Loss on disposal of property and equipment	278	118
Inherent contribution from affiliation	-	(3,071)
PPP loan forgiveness	-	(4,685)
(Increase) decrease in		
Accounts receivable	(110)	163
Other receivables	17	115
Unconditional promises to give	-	3
Inventories	26	(11)
Prepaid expenses and other current assets	93	(327)
Other assets	(3)	(7)
Operating lease right of use assets	219	(1,501)
Increase (decrease) in		
Accounts payable and accrued expenses	(584)	1,464
Accrued compensation, payroll taxes, and benefits	4	1,035
Interest payable	(477)	263
Other current liabilities	(31)	(252)
Deferred revenue	(292)	(352)
Deferred rent	84	(271)
Operating lease liabilities	(243)	1,767
Deposits from residents	(831)	610
Deferred revenue from entrance fees and liability for refundable and repayable entrance fees	49,567	20,689
Liability for losses during phase-out period of discontinued operations	(438)	(441)
Net cash provided by operating activities	\$ 45,316	\$ 18,887

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 1 – Organization and Nature of Activities

Episcopal Communities & Services for Seniors (ECS), a nonprofit corporation, operates Life Plan Communities (LPCs) consisting of residential, assisted living, and skilled nursing facilities known as The Canterbury in Rancho Palos Verdes, California; The Covington in Aliso Viejo, California; and MonteCedro in Altadena, California. ECS operates a rental community known as Twelve Oaks Senior Living in Glendale, California. ECS formerly operated Scripps Kensington in Alhambra, California (see Note 17).

The consolidated financial statements also include the activities of the following related entities:

- ECS Management, LLC (ECSLLC) – ECSLLC is a single-member LLC with ECS as its sole member. ECSLLC was created to provide administrative, programmatic, and other forms of support to ECS and any of its subsidiaries and affiliated organizations, provided they are exempt from federal income taxes under Internal Revenue Code (IRC) section 501(c)(3).
- MonteCedro, Inc. (MCINC) – MCINC operates an LPC in Altadena, California, consisting of residential, assisted living, and skilled nursing. MCINC is organized as a nonprofit corporation under the general nonprofit corporation laws of the state of California.
- Episcopal Communities & Services Foundation (ECSF) – ECSF is a supporting organization created to enhance the fundraising efforts of ECS and to oversee the investment and distribution of its restricted and unrestricted donor funds. On July 1, 2021, ECSF curtailed fundraising efforts and transitioned to solely a funds management role overseeing the investment and distribution of restricted and unrestricted donor funds. Simultaneously, the ECS Community Advancement Office was launched supporting fundraising at ECS communities and ECSF changed its name to ECS Supportive Funds Management (ECSSFM).

ECS also owns and operates:

- Creative Housing & Services, LLC (CHS LLC), a single-member LLC with ECS as its sole member. CHS LLC provides development, management, and consulting services to affordable senior, disabled, and low-income housing facilities.
- Creative Housing & Services (formerly Community Housing Management Services) (CHS), a California nonprofit corporation, which provides development, management, and consulting services to affordable senior, disabled, and low-income housing facilities. On October 17, 2018, CHS entered into an asset transfer agreement with Creative Housing & Services (CHSLLC). CHS transferred substantially all of its assets relating to programs and activities that support the management of affordable housing facilities.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 1 – Organization and Nature of Activities (continued)

- On June 29, 2020, ECS entered into an Affiliation Agreement with Twelve Oaks Foundation (TOF) dba Twelve Oaks Senior Living (TOSL). TOF owns and operates a senior living facility, TOSL, in Glendale, California, that offers independent living and assisted living options. Under the terms of its Affiliation Agreement with TOF, ECS purchased and was assigned two notes receivable on June 30, 2020, secured by the TOSL property from TOF's lender. The notes were originally entered into July 17, 2018, in the principal amount totaling approximately \$4,200,000 at an interest rate of 9.5% per annum with a maturity date of July 24, 2020. The purchase of the note totaled approximately \$4,533,000 including accrued but unpaid interest of approximately \$333,000.

On July 24, 2020, ECS entered into a Forbearance and Loan Modification Agreement with TOF. The maturity date was modified to be July 24, 2050, or earlier, if certain accelerated repayment conditions are triggered. The interest rate was modified to be 3.5% per annum. Accrued interest is payable monthly to the extent certain liquidity measures are satisfied by TOF.

On January 12, 2021, the affiliation was finalized with ECS becoming the sole corporate member of TOF. Under the terms of the Affiliation Agreement, ECS assumed certain TOF debt and agreed to provide additional working capital support, investment and/or financing for the operation, and/or improvement of TOSL. The Company elected to apply push down accounting and the affiliation was accounted for as a business combination using the acquisition method of accounting, which requires the basis of the assets and the liabilities assumed to be recorded at their respective fair values at the date of affiliation. As part of the acquisition accounting, property, buildings, and equipment with a net carrying amount of approximately \$2,337,000 were written up to an appraised fair value of approximately \$7,720,000. The financial statements of TOF have been included in ECS's consolidated financial statements, which encompass the post-affiliation period from January 12, 2021 through June 30, 2021. ECS did not transfer any consideration in conjunction with this transaction and as such, an inherent contribution of approximately \$3,071,000 has been recorded in the consolidated statement of operations during the fiscal year ended June 30, 2021, for the excess of assets over liabilities assumed by ECS in the affiliation. The full year of operations for the year ended June 30, 2022, are included in the statement of operations.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 1 – Organization and Nature of Activities (continued)

The following table summarizes the estimated fair value assigned to the assets acquired and liabilities assumed at the date of the acquisition (in thousands):

Cash	\$ 468
Prepaid expenses and other current assets	6
Property and equipment	7,720
Investments	75
Due to related parties	(385)
Accounts payable and accrued expenses	(46)
Accrued compensation, taxes, and benefits	(43)
Deferred revenue	(49)
Note payable to ECS	(4,524)
Long-term debt	(151)
Inherent contribution	<u>\$ 3,071</u>

The population at each community as of June 30, 2022 and 2021, was as follows:

	<u>2022</u>	<u>2021</u>
The Canterbury	134	137
The Covington	203	188
MonteCedro	240	207
Twelve Oaks	34	27
	<u>611</u>	<u>559</u>

As a result of the closure of the Scripps Kensington LPC, residents were transferred to outside communities in 2010. The total number of Scripps Kensington residents located at outside facilities as of June 30, 2022 and 2021, was 7 and 11, respectively.

CHS terminated their management agreements with affordable housing communities in November 2021. The population at each managed/owned property (affordable housing communities) as of June 30, 2022 and 2021, was as follows:

	<u>2022</u>	<u>2021</u>
Casa de los Amigos	134	134
St. James Manor	-	65
St. Johns Manor	-	35
	<u>134</u>	<u>234</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies

Principles of consolidation – The consolidated financial statements include the accounts of ECS and its wholly owned subsidiaries ECSLLC, MCINC, ECSF, CHS, TOF, and Artful LLC, hereinafter referred to collectively as the “Organization.” All inter-organization balances and transactions have been eliminated.

Basis of presentation – The accompanying consolidated financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America (GAAP). The accrual basis of accounting recognizes revenues in the accounting period in which revenues are earned regardless of when cash is received and recognizes expenses in the accounting period in which expenses are incurred regardless of when cash is disbursed. Based on the existence or absence of donor-imposed restrictions, ECS classifies resources into two categories: without donor restrictions and with donor restrictions.

Net assets without donor restrictions – Net assets that are not subject to donor-imposed restrictions and may be expended for any purpose in performing the primary objectives of ECS. These net assets may be used at the discretion of ECS’s management and board of directors.

Net assets with donor restrictions – Represent contributions that are limited in use by ECS in accordance with donor-imposed stipulations. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates those resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires; that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Expiration of donor-imposed restrictions – Net assets are released from restrictions by incurring expenses satisfying the restricted purposes and by occurrence of events specified by the donors, including the passage of time. Donor restrictions on long-lived assets or cash to construct or acquire long-lived assets are considered to have expired when the assets are placed into service or expenditures exceed the amount of the gift.

Cash and cash equivalents – For purposes of reporting cash flows, the Organization considers all highly liquid investments purchased with a maturity of three months or less to be cash equivalents. The Organization maintains its cash in bank deposit accounts, which may exceed federally insured limits. The Organization has not experienced any losses in such accounts and believes it is not exposed to any significant credit risk on cash. As of June 30, 2022 and 2021, cash and cash equivalents included \$5,000 and \$21,000 of Board-designated cash and cash equivalents, respectively.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

The following table provides a reconciliation of cash and cash equivalents and restricted cash and cash equivalents reported within the accompanying consolidated statements of financial position to the accompanying consolidated statements of cash flows as of June 30, 2022 and 2021 (in thousands):

	2022	2021
Cash and cash equivalents	\$ 16,314	\$ 10,766
Restricted cash and cash equivalents, included in assets limited as to use	5,097	6,101
Cash and cash equivalents and restricted cash and cash equivalents as reported in statements of cash flows	<u>\$ 21,411</u>	<u>\$ 16,867</u>

Assets limited as to use – Assets limited as to use consist of cash, cash equivalents, collateral for workers' compensation claims and insurance collateral, waitlist deposits, and investments that are limited by the 2012 bond indenture for debt service and the 2014 bond indenture for the development of the MonteCedro facility and debt service. Amounts required for payment of current liabilities are classified as current assets.

Investments – Investments in equity securities with readily determinable fair values and all investments in debt securities are measured at fair value in the statements of financial position. Fair value is established based on quoted prices from recognized securities exchanges. Net investment return (including realized and unrealized gains and losses on investments, interest, dividends, and investment expenses) is included in changes in net assets without donor restrictions unless the income (loss) is restricted by donor or law.

Inventories – Inventories as of June 30, 2022 and 2021, primarily consist of dining supplies and are reflected in the consolidated statements of financial position at cost, which does not exceed market value.

Property and equipment – The costs of property and equipment are depreciated using the straight-line method over their estimated useful lives. Costs of additions, renewals, and betterments are capitalized, while maintenance and repairs are expensed when incurred. Acquisitions of \$1,500 or more with a useful life greater than one year are capitalized. Donated fixed assets are recorded at their fair value at the date of donation. Construction in progress consist of costs incurred on construction projects that have not been completed. Interest cost incurred during the period of construction of capital assets is capitalized as a component of the cost of constructing those assets, net of investment income on unspent proceeds of tax-exempt borrowings restricted for use in construction.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Depreciation begins when related assets are placed in service. Estimated useful lives are as follows:

Land improvements	5–25 years
Buildings and improvements	5–50 years
Furnishings and equipment (including capitalized computer hardware and software)	3–20 years

Capitalized financing costs – Capitalized financing costs represent costs incurred in obtaining long-term financing and are amortized over the respective terms of the related obligations using the interest method. Such costs are presented as a component of long-term debt in accordance with Accounting Standards Codification (ASC) Topic 835. Amortization expense is included as a component of interest expense.

Impairment of long-lived assets – The Organization reviews long-lived assets for impairment when events or changes in business conditions indicate that their carrying value may not be recoverable. The Organization considers assets to be impaired and writes them down to fair value if expected associated cash flows are less than the carrying amounts. The Organization has determined that no long-lived assets are impaired as of June 30, 2022 and 2021.

Split-interest agreements – The Organization is a beneficiary of several irrevocable charitable gift annuities, which are held in trusts by third-party administrators. At the end of the annuity's term, the Organization will receive its beneficial interest in the trusts. The Organization's beneficial interest is measured at fair value and revalued annually using present value techniques.

Accrued workers' compensation claims – ECS's workers' compensation insurance is provided by Safety National, a commercial insurance carrier. Under the policy, ECS is responsible for the first \$250,000 of each accident claim, subject to an aggregate loss limit of \$1,350,000. Cash collateral of \$273,000, included in assets limited as to use, is required and claims payment is made monthly to The Matrix Absence Management Company.

The provision for estimated workers' compensation claims includes estimates of the ultimate costs for both reported claims and claims incurred but not reported. The Organization estimates claims liabilities without consideration of insurance recoveries in accordance with ASC 954-450, *Health Care Entities – Contingencies*, and records insurance recoveries separately on the accompanying consolidated statements of financial position.

Obligation to provide future services and the use of facilities – The Organization calculates annually the present value (using a 5% discount rate as of June 30, 2022 and 2021) of the estimated net cost of future services to be provided to current continuing care residents. The change in the obligation during a year would be reported as a change in obligation to provide future services in the consolidated statements of operations. As of June 30, 2022 and 2021, the estimated amounts received or to be received from current continuing care residents exceeded the estimated costs of providing future services and use of facilities to those residents. Accordingly, no liability was recorded in relation to future service obligations as of June 30, 2022 and 2021.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

The California Health and Safety Code Section 1790 mandates a statutory reserve and a liquid asset requirement. The mandates were met for the years ended June 30, 2022 and 2021.

Fair value of financial instruments – The Organization's consolidated financial statements include the following financial instruments: cash and cash equivalents, accounts receivable, accounts payable, accrued liabilities, obligation to provide future services and the use of facilities, and long-term debt. The Organization believes that the carrying amounts of current assets and liabilities in the consolidated statements of financial position approximate the fair values of these financial instruments because of the relatively short period of time between origination of the instruments and their expected realization. The fair values of assets limited as to use and investments are disclosed in Note 7.

Donated material and services – Donations and bequests are recorded as made. All donations are considered to be available for unrestricted use unless specifically restricted by the donor.

A substantial number of volunteers have donated their time to the Organization's programs and other services. However, these donated services are not reflected in the accompanying consolidated financial statements since they do not meet the criteria for recognition as contributed services.

Contributions – Unconditional promises to give cash or other assets are reported at fair value at the date the promise is received. Conditional promises to give and indications of intentions to give are reported at fair value at the date the gift is received. The gifts are reported as net assets with donor restrictions if they are received with donor stipulations that limit the use of the donated assets.

Revenue recognition

Resident care fees and ancillary services revenue – Resident care fees and ancillary services revenue are reported at the amount that reflects the consideration to which the Organization expects to be entitled in exchange for the services provided. Under the Organization's resident service agreement, the Organization provides senior living services to residents for a stated monthly fee. The Organization recognizes revenue for senior living services under the residential services agreement for independent living and assisted living in accordance with the provision of ASC 842, *Leases (ASC 842)*.

Resident services – Resident services revenue is primarily derived from providing accommodations and services to residents under a continuing care contract for residential care, assisted living, and memory care. The Organization has determined that the services included in the monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation which is satisfied over time. The transaction price is based on standard charges for goods and services provided.

Care center revenue – Care center revenue is primarily derived from providing nursing services to patients. The Organization has determined that nursing services are considered one performance obligation, measured from the point of admission to the care center to the point of discharge. Patients and third-party payors (including government programs and health insurers) are billed monthly after the services are performed, which include variable consideration for retroactive revenue adjustments due to settlement of audits, reviews, and investigations.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Care center revenues are recognized on a monthly basis after the services are provided. The transaction price is based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party payors. Contractual adjustments are based on agreements, discount policies, and historical experience.

Agreements with third-party payors provide payments at amounts less than established charges. Major third-party payors with payment arrangements include:

Medicare – Services rendered to Medicare program beneficiaries for skilled nursing are reimbursed under a prospective methodology, and no additional settlement will be made on the difference between the per diem rates paid and actual costs.

Other – Payment agreements with certain commercial insurance carriers provide for payment using prospectively determined rates per day.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretations. As a result of investigations by governmental agencies, various health care organizations have received requests for information and notices regarding alleged noncompliance with those laws and regulations which, in some instances, have resulted in organizations entering into significant settlement agreements. Compliance with such laws and regulations may also be subject to future government review and interpretation, as well as significant regulatory action, including fines, penalties, and potential exclusion from the related programs. There can be no assurance that regulatory authorities will not challenge the Organization's compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims or penalties would have upon the Organization. In addition, the contracts the Organization has with commercial payors also provide for retroactive audit and review of claims.

The Organization disaggregates revenue from contracts with customers by type of service and payor source as this depicts the nature, amount, timing, and uncertainty of its revenue and cash flows as affected by payors and economic factors. Resident revenues consist of the following for the fiscal year ended June 30, 2022 (in thousands):

	Residential Care	Assisted Living/ Memory Care	Care Center	Total
Private	\$ 37,135	\$ 10,710	\$ 2,764	\$ 50,609
Medicare	-	-	2,698	2,698
	<u>\$ 37,135</u>	<u>\$ 10,710</u>	<u>\$ 5,462</u>	<u>\$ 53,307</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

Resident revenues consist of the following for the fiscal year ended June 30, 2021:

	<u>Residential Care</u>	<u>Assisted Living/ Memory Care</u>	<u>Care Center</u>	<u>Total</u>
Private	\$ 35,584	\$ 8,562	\$ 2,478	\$ 46,624
Medicare	-	-	885	885
	<u>\$ 35,584</u>	<u>\$ 8,562</u>	<u>\$ 3,363</u>	<u>\$ 47,509</u>

Revenue from nonrefundable entrance fees received is recognized on a straight-line basis over the actuarially based estimated life of each resident, which approximates the period of time the goods and services under the agreements are expected to be transferred to residents.

Management fee revenue includes management fees and consulting fees received by CHS for the management of certain HUD properties and is presented as other income in the consolidated statements of operations. The payroll and related expenses paid and received for the employees of the properties managed by CHS are considered agency transactions in accordance with GAAP. Agency transactions are not to be accounted for as the revenues and expenses of the entity, but as operating activities in the consolidated statements of cash flows. The total amount of payroll and related expenses received and paid on behalf of the managed properties for the years ended June 30, 2022 and 2021, were approximately \$185,000 and \$816,000, respectively.

Entrance Fees and Financial Arrangements

Scripps Kensington

The former residents of Scripps Kensington have life care continuing care contracts. Life care contracts include a promise by Scripps Kensington to provide routine and certain ancillary services at all levels of care to a resident for the duration of his or her life, including acute care and services of physicians and surgeons, to the extent not covered by other public or private insurance benefits. Life care contracts include provisions to subsidize residents who become financially unable to pay their monthly care fees.

The Canterbury

The Canterbury offers payment options under (1) a fee for service continuing care agreement, and (2) a month-to-month agreement. Residents entering under the month-to-month agreement are charged a monthly care fee. The continuing care agreement applies to independent residency and the Canterbury's admission policy for new continuing care residents requires payment of (1) an entrance fee upon admission currently ranging from \$170,000 to \$725,000 depending on residence and entrance fee option selected, and (2) a monthly care fee.

The two entrance fee options offered are (1) 36-month refundable pro rata if continuing care resident should leave within three years from admission, or (2) 80% of entrance fee reoccupancy benefit paid to the resident or their estate upon reletting of the residence.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

The 36-month option offered is refundable pro rata if a continuing care resident should leave within three years from admission as follows:

- i) During the first 90 days, the entrance fee is refunded in full.
- ii) If the resident's tenancy is longer than three months and up to three years, The Canterbury retains 1/36th of the entrance fee for each month of residency or portion thereof.
- iii) No refunds after 36 months.

The Canterbury amortizes entrance fees over the resident's expected life, and a liability is recognized (liability for refundable and repayable entrance fees) for the expected amount that will be refunded to those residents who will not remain at the facility for the stipulated time.

The 80% reoccupancy benefit option is refundable or repayable if the resident should leave The Canterbury as follows:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy terminates subsequent to the first 90 days, the resident will receive a reoccupancy benefit equal to 80% of the paid entrance fees within:
 - a) 14 calendar days after the resident's accommodation unit is re-let to a new resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit;
 - b) 180 days after the resident's accommodation unit is re-let to a new resident who enters under a month-to-month agreement.

Under the reoccupancy benefit contract agreement, the Canterbury amortizes 20% of the entrance fee over the resident's expected life. A liability is recognized (liability for refundable and repayable entrance fees) for the remaining 80%.

The Covington

Residents of The Covington pay (1) an entrance fee upon admission ranging from \$256,000 to \$1,190,000, depending on residence and entrance fee option selected, and (2) a monthly care fee. The entrance fee is refundable or repayable if a resident should leave The Covington as follows:

Reoccupancy benefit option:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

- ii) If the resident's tenancy terminates subsequent to the first 90 days, the resident will receive a reoccupancy benefit equal to 80% of the paid entrance fees within 14 calendar days after the resident's accommodation unit is re-let to a new continuing care resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit in full.

The Covington amortizes 20% of the paid entrance fees over the resident's expected life. A liability is recognized (liability for refundable and repayable entrance fees) for the remaining 80%.

36-month option:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy is longer than three months and up to three years, The Covington retains 1/36th of the entrance fee for each month or partial month of residency.
- iii) No refunds after 36 months.

MonteCedro

MCINC offers payment options under a care and residence agreement (reoccupancy benefit and 36-month pro rata refundable options) which requires payment of (1) an entrance fee upon admission ranging from \$332,000 to \$1,885,000 depending on residence and entrance fee option selected, and (2) a monthly care fee.

The entrance fee is refundable or repayable if the resident should leave MCINC as follows:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy terminates subsequent to the first 90 days, the resident will receive a reoccupancy benefit equal to 75% or 90% (depending on the contract) of the paid entrance fees within 14 calendar days after the resident's accommodation unit is re-let to a new continuing care resident who has executed a care and residence agreement and paid the then-applicable entrance fee for the same unit in full.

Under the 75% or 90% reoccupancy benefit agreement, MCINC amortizes 25% or 10% of the entrance fee over the resident's expected life, respectively. A liability is recognized ("liability for refundable and repayable entrance fees") for the remaining 75% or 90%.

36-month option:

- i) During the first 90 days, the entrance fee paid by the resident is refunded in full.
- ii) If the resident's tenancy is longer than three months and up to three years, MCINC retains 1/36th of the entrance fee for each month or partial month of residency.
- iii) No refunds after 36 months.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

As of June 30, 2022 and 2021, approximately \$236,224,000 and \$231,200,000, respectively, was estimated to be contractually refundable or repayable. These balances represent the amounts due to residents, if all were to cancel their contracts as of June 30, 2022 and 2021, based on the Organization's refund and repayment policy.

Income taxes – ECS and its controlled subsidiaries are organized as nonprofit corporations under the general nonprofit corporation laws of the state of California and are exempt from federal income taxation under IRC Section 501(c)(3).

ECSF is organized as a nonprofit corporation under the general nonprofit corporation laws of the state of California and is exempt from federal income taxation under IRC section 501(c)(3). ECSF is classified as a supporting organization under IRC section 509(a)(3).

ECSLLC and Artful LLC are organized as nonprofit limited liability companies in the state of California. They have not applied for their own tax exemption for income tax purposes because they are disregarded entities. While they are disregarded for income tax purposes, they are still subject to the California annual minimum tax and the annual fee.

Nonprofit organizations are generally not liable for taxes on income. Therefore, other than the California annual minimum tax and annual fee related to ECSLLC and Artful, LLC, no provision is made for such taxes in the consolidated financial statements in accordance with GAAP.

The Organization considers many factors when evaluating and estimating their tax positions and tax benefits, which may require periodic adjustments and which may not accurately anticipate actual outcomes. The Organization evaluates their uncertain tax positions using the provisions in conformity with GAAP.

These standards require management to perform an evaluation of all income tax positions taken, or expected to be taken, in the course of preparing the organizations' tax returns. Management believes the tax positions taken more-likely-than-not will be sustained under examination by the applicable tax authorities. Examples of tax positions taken include the tax-exempt status of the organizations, and various positions related to the potential sources of unrelated business taxable income. Since matters are subject to some degree of uncertainty, there can be no assurance that the organizations' tax returns will not be challenged by the taxing authorities and that the Organization will not be subject to additional tax, penalties, and interests as a result of such challenge.

Advertising – The Organization expenses advertising costs as they are incurred. Advertising costs expensed for the years ended June 30, 2022 and 2021, were approximately \$287,000 and \$88,000, respectively.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 2 – Summary of Significant Accounting Policies (continued)

(Deficiency) excess of revenue over expenses – (Deficiency) excess of revenue over expenses represents the performance indicator. Changes in net assets without donor restrictions that are excluded from (deficiency) excess of revenue over expenses, consistent with industry practice, include contributions of long-lived assets (including assets acquired using contributions which by donor restriction were to be used for the purposes of acquiring such assets).

Use of estimates – The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Business combinations – Business combinations are accounted for using the acquisition method of accounting. Expenses incurred in connection with a business combination are expensed as incurred.

Recent accounting standards – In the normal course of business, the Organization evaluates all new accounting pronouncements to determine the potential impact they may have on their consolidated financial statements. Based upon this evaluation, the Organization does not expect any of the recently issued accounting pronouncements, which have not already been adopted by the Organization, to have a material impact on their consolidated financial statements.

Going concern – In connection with the preparation of the consolidated financial statements for the year ended June 30, 2022, management conducted an evaluation as to whether there were conditions and events, considered in the aggregate, which raised substantial doubt as to the Organization's ability to continue as a going concern within one year after the date the consolidated financial statements were issued.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 3 – Assets Limited as to Use

Assets limited as to use comprise the following as of June 30, 2022 and 2021, (in thousands):

	2022	2021
Series 2012 bonds		
Debt service reserve fund	\$ -	\$ 3,943
Accrued interest fund	-	229
Principal fund	-	92
Series 2014 bonds		
Capitalized principal funds	644	630
Capitalized interest funds	172	426
Debt service reserve fund	3,109	3,116
Series 2022A bonds		
Paying agency account funds	329	-
Insurance collateral	273	273
Wait list deposits and other	570	1,304
	5,097	10,013
Less: amounts required for payment of current liabilities	(1,145)	(1,383)
	<u>\$ 3,952</u>	<u>\$ 8,630</u>

As of June 30, 2022 and 2021, the Organization maintains a letter of credit totaling \$1,300,000 in lieu of requiring cash collateral for workers' compensation claims. Refer to Note 9 for discussion relating to the Series 2012 bonds.

Note 4 – Investments

Investments in marketable securities are stated at their fair market value. As of June 30, 2022 and 2021, investments comprise the following (in thousands):

	2022	2021
Investments	\$ 140,602	\$ 172,051
Less: investments, short-term	(18,371)	(24,619)
Total investments, long-term	<u>\$ 122,231</u>	<u>\$ 147,432</u>

The Organization's investment policy makes available only a portion of the Organization's total investment return, consisting of dividends and interest, and net realized gains and losses, and principal for the support of current operations and development; the remainder is retained to support operations of future years and to offset potential market declines.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 4 – Investments (continued)

The following schedule summarizes investment return and its classification in the consolidated statements of operations and changes in net assets for the years ended June 30, 2022 and 2021 (in thousands):

	2022		
	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 9,336	\$ 37	\$ 9,373
Realized gains (losses), net	627	(602)	25
Unrealized (losses) gains, net	(29,978)	304	(29,674)
	(20,015)	(261)	(20,276)
External investment expense	(241)	(13)	(254)
Investment losses, net	<u>\$ (20,256)</u>	<u>\$ (274)</u>	<u>\$ (20,530)</u>
	2021		
	Without Donor Restriction	With Donor Restriction	Total
Interest and dividend income	\$ 4,604	\$ 39	\$ 4,643
Realized gains, net	22,414	144	22,558
Unrealized gains, net	3,995	304	4,299
	31,013	487	31,500
External investment expense	(213)	(13)	(226)
Investment return, net	<u>\$ 30,800</u>	<u>\$ 474</u>	<u>\$ 31,274</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 5 – Property and Equipment

As of June 30, 2022 and 2021, property and equipment comprise the following (in thousands):

	2022	2021
Land	\$ 28,338	\$ 28,338
Land improvements	6,151	6,018
Buildings and improvements	289,032	283,575
Furnishings and equipment	26,880	25,433
Capitalized computer hardware and software	1,961	1,971
Project development costs and construction in progress	2,580	2,045
	354,942	347,380
Less: accumulated depreciation	(133,194)	(121,393)
Total	<u>\$ 221,748</u>	<u>\$ 225,987</u>

Note 6 – Notes Receivable

Notes receivable comprise the following as of June 30, 2022 and 2021 (in thousands):

	2022	2021
Casa de los Amigos	\$ 2,810	\$ 3,092
Other	2,903	1,113
	5,713	4,205
Less: current portion	(3,553)	(1,470)
Total	<u>\$ 2,160</u>	<u>\$ 2,735</u>

Casa de los Amigos – During fiscal year 2014, the Organization purchased a note receivable from the General Partner (Episcopal Housing Alliance) and from the Corp Sole (The Bishop of the Protestant Episcopal Church in Los Angeles). The note receivable was originally entered into September 1, 2007, in the principal amount of \$4,480,000, interest rate at 4.9% per annum, maturity date of September 28, 2062. The note is subordinated to other notes payable of Casa de los Amigos, LP, a California Limited Partnership. Payments of interest are due annually on April 20 if there is any surplus cash determined to be available in accordance with the Regulatory Agreement. The gross contractual amounts receivable total \$5,854,000, of which all is expected to be collected based on the best estimate at the acquisition date. The current portion of the note receivable as of June 30, 2022 and 2021, is approximately \$651,000 and \$359,000, respectively. The remaining outstanding balances as of June 30, 2022 and 2021, are approximately \$2,810,000 and \$3,092,000, respectively.

Other notes receivable consists of short-term non-interest bearing loans to incoming residents bridging deferred entrance fee payment to the sale of their home.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 6 – Notes Receivable (continued)

Twelve Oaks – As described in Note 1, prior to the affiliation with TOF, the Organization purchased and was assigned two notes receivable secured by the TOSL property from TOF's lender on June 30, 2020. The notes eliminate in consolidation as of June 30, 2022 and 2021.

Note 7 – Fair Value Measurements

GAAP provides the framework for measuring fair value. That framework provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted market prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

The asset or liability's fair value measurement level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs. The three levels of the fair value hierarchy are described as follows:

Level 1 – Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets that management has the ability to access.

Level 2 – Inputs to the valuation methodology include:

- quoted prices for similar assets or liabilities in active markets;
- quoted prices for identical or similar assets or liabilities in inactive markets;
- inputs other than quoted prices that are observable for the asset or liability; and
- inputs that are derived principally from or corroborated by observable market data by correlation or other means.

If the asset or liability has a specified (contractual) term, the Level 2 input must be observable for substantially the full term of the asset or liability.

Level 3 – Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 7 – Fair Value Measurements (continued)

The following is a description of the valuation methodologies used for instruments measured at fair value on a recurring basis and recognized in the accompanying consolidated statements of financial position, as well as the general classification of such instruments pursuant to the valuation hierarchy:

Level 1 Measurements

Cash and cash equivalents – Cash and cash equivalents generally consist of actively traded money market funds that have daily quoted net asset values for identical assets that the Organization has the ability to access at the measurement date.

U.S. Treasury securities – Valuation is based on unadjusted quoted prices for identical assets in active markets that the Organization can access at the measurement date. The Organization considers all U.S. Treasury securities to be based on Level 1 fair value measurements.

Mutual funds – Mutual funds in this category are comprised primarily of underlying stocks and other ownership interests in companies. Valuation is based on unadjusted quoted prices for identical assets in active markets that the Organization can access at the measurement date.

Equities and other investments – Equities and other investments include stocks and exchange-traded funds. Exchange-traded funds in this category are comprised primarily of underlying stocks and other ownership interests in companies. Valuation is based on unadjusted quoted prices for identical assets in active markets that the Organization can access at the measurement date.

Level 2 Measurements

Money market securities – The primary inputs to the valuation include quoted prices for identical or similar assets in markets that are not active, contractual cash flows, benchmark yields, and credit spreads.

Fixed income securities – Fixed income securities include corporate bonds, U.S. government and agency bonds, and other similar debt instruments. The primary inputs to the valuation include quoted prices for identical or similar assets in markets that are not active, contractual cash flows, benchmark yields, and credit spreads.

Level 3 Measurements

Alternative investments – Investments are valued using the net asset value (NAV) as reported by its investment advisors as a practical expedient, to determine the fair value of investments in investment funds which (a) do not have a readily determinable fair value, and (b) either have the attributes of an investment fund or prepare their financial statements consistent with the measurement principles of an investment fund.

Split-interest agreements – Agreements that include charitable gift annuities, valued at fair value by estimating the present value of expected future cash inflows.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 7 – Fair Value Measurements (continued)

Liability for losses during phase-out period of discontinued operations – Valued at fair value by estimating the present value of expected future cash outflows. Calculated based on expected future revenues, less expected future expenses of the former Scripps Kensington residents remaining at each fiscal year end. Inflation rate used was 4% and the discount rate used was 4% for 2022 and 2021.

Considerable judgment is required to develop estimates of fair value, and the estimates presented are not necessarily indicative of the amounts the Organization would realize in a current market exchange. The use of different market assumptions and/or estimation methods could have a material effect on the estimated fair values. The estimates presented are based on pertinent information available to management as of June 30, 2022 and 2021. Current estimates of fair value may differ significantly from the amounts presented.

The following table sets forth by level within the fair value hierarchy assets and liabilities at fair value as of June 30, 2022 (in thousands):

	Fair Value	Fair Value Measurements Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments				
Cash and cash equivalents	\$ 27	\$ 27	\$ -	\$ -
Money market securities	2,130	-	2,130	-
Mutual funds	136,496	136,496	-	-
Equities and other investments	1,094	1,094	-	-
Alternative investments	855	-	-	855
Total investments	<u>\$ 140,602</u>	<u>\$ 137,617</u>	<u>\$ 2,130</u>	<u>\$ 855</u>
Assets limited as to use				
Cash and cash equivalents	\$ 5,097	\$ 5,097	\$ -	\$ -
Total assets limited as to use	<u>\$ 5,097</u>	<u>\$ 5,097</u>	<u>\$ -</u>	<u>\$ -</u>
Split-interest agreements	<u>\$ 6</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 6</u>
Liability for losses during phase-out period of discontinued operations	<u>\$ 430</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 430</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 7 – Fair Value Measurements (continued)

The following table sets forth by level within the fair value hierarchy assets and liabilities at fair value as of June 30, 2021 (in thousands):

	Fair Value	Fair Value Measurements Using		
		Quoted Prices In Active Markets for Identical Assets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments				
Cash and cash equivalents	\$ 10	\$ 10	\$ -	\$ -
Money market securities	3,727	-	3,727	-
Mutual funds	166,584	166,584	-	-
Equities and other investments	1,224	1,224	-	-
Alternative investments	506	-	-	506
Total investments	<u>\$ 172,051</u>	<u>\$ 167,818</u>	<u>\$ 3,727</u>	<u>\$ 506</u>
Assets limited as to use				
Cash and cash equivalents	\$ 6,101	\$ 6,101	\$ -	\$ -
U.S. Treasury securities	2,739	2,739	-	-
Fixed income securities	1,173	-	1,173	-
Total assets limited as to use	<u>\$ 10,013</u>	<u>\$ 8,840</u>	<u>\$ 1,173</u>	<u>\$ -</u>
Split-interest agreements	<u>\$ 12</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 12</u>
Liability for losses during phase-out period of discontinued operations	<u>\$ 582</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 582</u>

The following table sets forth a summary of changes in the fair value of the Level 3 assets and liabilities for the year ended June 30, 2022 (in thousands):

	Alternative Investments	Split-Interest Agreements	Liability for Losses During Phase-Out Period of Discontinued Operations
BALANCE, July 1, 2021	\$ 506	\$ 12	\$ 582
Unrealized gains relating to instruments still held at the reporting date	139	-	-
Purchases	210	-	-
Maturity of split-interest agreement	-	(6)	-
Net costs paid during the period	-	-	(438)
Accretion	-	-	286
BALANCE, June 30, 2022	<u>\$ 855</u>	<u>\$ 6</u>	<u>\$ 430</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 7 – Fair Value Measurements (continued)

The following table sets forth a summary of changes in the fair value of the Level 3 assets and liabilities for the year ended June 30, 2021 (in thousands):

	Alternative Investments	Split-Interest Agreements	Liability for Losses During Phase-Out Period of Discontinued Operations
BALANCE, July 1, 2020	\$ 343	\$ 12	\$ 785
Unrealized gains relating to instruments still held at the reporting date	49	-	-
Purchases	114	-	-
Net costs paid during the period	-	-	(441)
Accretion	-	-	238
BALANCE, June 30, 2021	<u>\$ 506</u>	<u>\$ 12</u>	<u>\$ 582</u>

Note 8 – Deferred Revenue from Entrance Fees and Repayable Entrance Fees Liability

A summary of the changes in deferred revenue from entrance fees for the years ended June 30 is as follows (in thousands):

	2022	2021
BALANCE, beginning of year	\$ 17,557	\$ 18,811
New fees received	10,138	3,924
Deletions (discharge)	(2,496)	(4,398)
Amortization of entrance fees	(1,649)	(780)
BALANCE, end of year	<u>\$ 23,550</u>	<u>\$ 17,557</u>

A summary of the changes in the repayable entrance fees liability for the years ended June 30, is as follows (in thousands):

	2022	2021
BALANCE, beginning of year	\$ 231,200	\$ 230,291
New fees received	39,541	17,143
Entrance fees refunded	(34,517)	(16,234)
BALANCE, end of year	<u>\$ 236,224</u>	<u>\$ 231,200</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 8 – Deferred Revenue from Entrance Fees and Repayable Entrance Fees Liability (continued)

Based on the past five years, actual refunds have averaged approximately \$16,355,000 per year for the potentially refundable declining period.

Note 9 – Long-Term Debt

In June 2014, MCINC issued Los Angeles County Regional Financing Authority Insured Revenue Bonds, Series 2014A, Series 2014B-1, Series 2014B-2, and Series 2014B-3 in the aggregate amount of \$140,305,000.

In May 2020, the Organization was granted loans under the Paycheck Protection Program (“PPP Loan”) offered by the Small Business Administration (SBA) under the Coronavirus Aid, Relief, and Economic Security (CARES) Act, section 7(a) (36) of the Small Business Act for approximately \$4,685,000.

The PPP Loans were subject to forgiveness if the Organization used all proceeds for eligible purposes, maintained certain employment levels, and maintained certain compensation levels in accordance with and subject to the CARES Act and the rules, regulations, and guidance. During the fiscal year ended June 30, 2021, the Organization received full forgiveness of its PPP Loans from the SBA and has recognized a gain on debt extinguishment of approximately \$4,685,000 in accordance with ASC 470. The gain on debt extinguishment was included in other income for the year ended June 30, 2021.

On July 29, 2021, ECS, sole member of MCINC, entered into a Bond Purchase Agreement for the sale and issuance by ECS to certain investors of (i) the ECS 3.04% Senior Secured Bonds, Series 2022A, due May 15, 2047, in the original aggregate principal amount of \$52,495,000 (the “Series 2022A Bonds”), and (ii) the ECS 2.89% Senior Secured Bonds, Series 2022B, due November 15, 2044, in the original aggregate principal amount of \$37,790,000 (the “Series 2022B Bonds” and, together with the Series 2022A Bonds, the “Series 2022 Bonds”). The Series 2022A Bonds and the Series 2022B Bonds were issued on a forward delivery basis, with the Series 2022A Bonds issued on May 16, 2022 (the “First Delivery Date”), and the Series 2022B Bonds to be issued on November 15, 2022 (the “Second Delivery Date”). The proceeds of the Series 2022A Bonds were used to redeem all the California Statewide Communities Development Authority Revenue Refunding Bonds, Series 2012 (Episcopal Communities & Services) (the “ECS Series 2012 Bonds”) on the First Delivery Date. The proceeds of the Series 2022B Bonds will be used to redeem all the Los Angeles County Regional Financing Authority Insured Revenue Bonds Series 2014A (MonteCedro Inc. Project) (the “MonteCedro Series 2014A Bonds”) on the Second Delivery Date. As of June 30, 2022, ECS recognized a gain on the refinancing of the bonds for a total of \$3,631,937 related to the bond premium and deferred financing costs that were written off during the year. This gain was recorded as other revenue on the statement of changes in operations.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 9 – Long-Term Debt (continued)

Upon issuance of the Series 2022A Bonds and the redemption of the ECS Series 2012 Bonds on the First Delivery Date, the existing master trust indenture was replaced with the Master Trust Indenture (Amended and Restated), with ECS remaining as the Obligation Group Representative. The related deeds of trust under the prior master trust indenture were released. Upon the issuance of the Series 2022B Bonds and the redemption of the MonteCedro Series 2014A Bonds on the Second Delivery Date, MonteCedro will join the Obligated Group under the Master Trust Indenture (Amended and Restated). The Series 2022A Bonds and the Series 2022B Bonds will each be secured by an Obligation under the Master Trust Indenture (Amended and Restated).

The issuance of the Series 2022B Bonds is contingent upon the satisfaction of various conditions in the Bond Purchase Agreement and no assurances can be given that the Series 2022B Bonds will be issued. Until the Series 2022B Bonds are issued and the MonteCedro Series 2014A Bonds redeemed, MCINC will continue to be obligated for payment on the MonteCedro Series 2014A Bonds and under the related documents.

The outstanding balances of these bonds are as follows as of June 30, 2022 and 2021 (in thousands):

	2022	2021
Series 2012, interest rates from 3% to 5% per annum, with principal payments due annually from May 15, 2016 to May 15, 2047	\$ -	\$ 56,535
Series 2014A, interest rates from 3% to 5% per annum, with principal payments due annually from November 15, 2019 to November 15, 2044	41,935	42,925
Series 2022A, interest rates from 2% to 5% per annum, with principal payments due annually from May 15, 2023 to May 15, 2047	52,495	-
	94,430	99,460
Unamortized premium on Series 2012	-	4,803
Unamortized premium on Series 2014A	2,494	2,669
	96,924	106,932
Less: current portion (including current portion of unamortized premium of \$174,133 and \$476,850 at June 30, 2022 and 2021, respectively	(2,629)	(2,571)
Less: capitalized financing costs, net of accumulated amortization of \$6,335,274 and \$6,489,004 at June 30, 2022 and 2021, respectively	(2,972)	(3,334)
	<u>\$ 91,323</u>	<u>\$ 101,027</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 9 – Long-Term Debt (continued)

Aggregate maturities of long-term debt before unamortized premium of approximately \$2,494,000 are as follows (in thousands):

Years Ending June 30,	Series 2014A	Series 2022A	Total
2023	\$ 1,040	\$ 1,415	\$ 2,455
2024	1,070	1,455	2,525
2025	1,115	1,500	2,615
2026	1,170	1,550	2,720
2027	1,230	1,600	2,830
Thereafter	36,310	44,975	81,285
	<u>\$ 41,935</u>	<u>\$ 52,495</u>	<u>\$ 94,430</u>

The 2014 Series bonds are secured by certain assets of MCINC. ECSF is a guarantor on the bonds. The bond agreements contain certain covenants related to debt service coverage ratio, current ratio, and days cash on hand. Management believes the Organization was in compliance with its bond covenants as of June 30, 2022.

The Series 2022A Bonds contain certain covenants related to debt service coverage ratio and days cash on hand. Management believes the Organization was in compliance with its bond covenants as of June 30, 2022.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 10 – Net Assets

Net assets without donor restriction – Board designated – The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code. The Board of Directors has identified certain contingencies, listed below, to which the net assets without donor restriction of the Organization may be exposed, and therefore, directed that prudent reserves be established as a safeguard against such contingencies. Although not restricted in accordance with GAAP, the following net assets without donor restriction represent the current intentions of the Board of Directors and are comprised of the following as of June 30, 2022 and 2021, (in thousands):

	2022	2021
The Canterbury Entrance Fee Reserve Fund	\$ 33,887	\$ 40,030
Strategic Fund	13,644	15,595
Mission Expansion Fund	13,742	16,293
ECS Contingency Reserve Fund	3,523	4,035
Program Expansion Fund	1,762	2,136
Benevolence Funds	1,870	1,677
Ziegler Link Age Fund	288	259
Covington Pastoral Care Fund	128	147
General Fund	26	48
	<u>\$ 68,870</u>	<u>\$ 80,220</u>

Maintaining such reserves meets the needs of the life plan communities by providing a source of funds to replace property, plant, and equipment, fund benevolence programs for qualified residents, fund growth of the Organization, pay entrance fees as they become due at The Canterbury, fund administrative and general expenses associated with fundraising activities, fund the care and services for the Scripps Kensington life plan residents, and fund other planned and unplanned liabilities of the Organization.

The following is a description of Board-designated net assets:

- *The Canterbury Entrance Fee Reserve Fund* – represents funds available for entrance fee refunds for The Canterbury facility.
- *Strategic Fund* – represents funds available to support the Organization’s growth initiatives and support of the Organization’s affiliates.
- *Mission Expansion Fund* – represents funds available to be utilized for the costs associated with the development of new communities, redevelopment of existing communities, and expansion of programs.
- *ECS Contingency Reserve Fund* – represents funds available for expenditures not typically planned for in the normal course of operation and/or in connection with strategic opportunities.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 10 – Net Assets (continued)

- *Program Expansion Fund* – represents funds available for the purpose of supporting the Organization's charitable mission.
- *Benevolence Funds* – to be used for operating and capital needs associated with facilities and to assist qualifying residents with medical care expenses.
- *Ziegler Link Age Fund* – represents investments in venture stage companies developing technology innovations to enhance senior living.
- *Covington Pastoral Care Fund* – represents funds available to enhance the spiritual lives of residents and the wider community.
- *General Fund* – represents funds available for purposes designated by the Board of Directors, including funds available for the purpose of funding the administrative and general expense associated with ECSF's fundraising activities.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 10 – Net Assets (continued)

Net assets with donor restriction – Net assets restricted by donors are available for the following time periods or purpose as of June 30, 2022 and 2021 (in thousands):

	2022	2021
Subject to the passage of time	\$ 6	\$ 12
Subject to expenditure for a specified purpose		
Benevolence	558	1,179
Program & Services	655	648
Creative Living Plus	126	143
Staff Assistance for Emergencies	149	137
Employee Education	41	45
Living & Learning	29	30
By Your Side	24	25
Music & Memory	17	17
Core Value	7	9
Schumacher Concert Series	2	7
Capital Projects	2	2
	<u>1,610</u>	<u>2,242</u>
Subject to spending policy and appropriation		
Investment in perpetuity (all amounts above original gift amount were appropriated during the year to support)		
David and Margaret Schumacher Concert Series		
Endowment Fund	379	442
Endowed Employee Education Fund Scholarships	247	296
John Henry Dilkes Memorial Fund	211	245
	<u>837</u>	<u>983</u>
Total net assets with donor restrictions	<u>\$ 2,453</u>	<u>\$ 3,237</u>

Net assets released from restriction through the satisfaction of donor restrictions were approximately \$510 and \$904 for the years ended June 30, 2022 and 2021, respectively, and is included in other operating revenue in the accompanying consolidated statements of operations.

The following is a description of the net assets with donor restriction:

- *Benevolence Funds* – represent funds used to care for residents who, through no fault of their own, are unable to pay the entire amount of fees associated with the provision of accommodations and services.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 10 – Net Assets (continued)

- *Program & Services Funds* – represent funds used to support programs and services that enhance the lives of residents.
- *Creative Living Plus Funds* – represent funds used to support training and services that help residents maintain their independence as they age in place.
- *Staff Assistance Fund for Emergencies (S.A.F.E.)* – represents funds to provide monetary assistance to employees in times of immediate need.
- *Employee Education Funds* – represent financial assistance to staff members who pursue education outside of the workplace.
- *Living & Learning Funds* – represent funds that support the life enrichment of former Scripps Kensington residents through cultural, environmental, and recreational programs.
- *By Your Side Funds* – represent funds used to provide end-of-life training, support, and placement to equip volunteer and professional caregivers to serve as a compassionate presence for residents and the wider community.
- *Music & Memory Funds* – represent funds that support the Music & Memory program, which helps memory care residents find renewed meaning and connection in their lives through the gift of personalized music.
- *Core Value Funds* – represent funds that support annual awards to employees recognizing their superior performance in demonstrating ECS's core values.
- *Capital Project Funds* – represent funds to support capital projects that enhance the lives of residents.
- *The David and Margaret Schumacher Concert Series Endowment Fund* – represents an endowment fund created to provide and support musical performances at The Covington in perpetuity.
- *Endowed Employee Education and Scholarship Funds* – represent endowed scholarship funds that are intended for annual employee education scholarships to be awarded in perpetuity.
- *The John Henry Dilkes Memorial Fund* – represents an endowment fund created to provide and support activities programs at The Covington in perpetuity. These programs may include, but are not limited to, educational opportunities in fine arts.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 11 – Endowment

The Organization's endowment consists of individual funds established for a variety of purposes. The endowment includes both donor-restricted endowment funds and funds designated by the Board of Directors to function as endowments. The Organization has interpreted relevant state law as requiring preservation of the fair value of the original gift as of the date of the gift of the donor-restricted endowment funds explicit donor stipulations to the contrary. As required by GAAP, net assets associated with endowment funds, including funds designated by the Board of Directors to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

According to the Organization's investment guidelines, the Organization's endowment assets are currently invested in the Organization's investment portfolio supervised by an independent registered investment advisor. The primary long-term investment objective is to preserve and enhance the real (inflation adjusted) purchasing power of the portfolio, net of annual withdrawals. If the fair value of the endowment assets falls below the level required by the donor or laws, the reduction is made to net assets with donor restrictions.

The goals of the funds are as follows: (a) maintain purchasing power; (b) maintain the level of programs and services currently provided; (c) maximize return within reasonable and prudent levels of risk; and (d) maintain an appropriate asset allocation based on a total return policy that is compatible with spending policy, while still having the potential to produce positive real returns.

Endowment net asset composition by type of fund as of June 30, 2022, is as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Donor-restricted endowment funds	\$ (10)	\$ 837	\$ 827
Accumulated investment losses	-	-	-
Board-designated endowment funds	17,539	-	17,539
	<u>\$ 17,529</u>	<u>\$ 837</u>	<u>\$ 18,366</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 11 – Endowment (continued)

Changes in endowment net assets for the fiscal year ended June 30, 2022, are as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Endowment net assets, beginning of year	\$ 20,301	\$ 983	\$ 21,284
Investment loss, net	(2,527)	(123)	(2,650)
Contributions	84	-	84
Appropriation of endowment assets for expenditure	(329)	(23)	(352)
Endowment net assets, end of year	<u>\$ 17,529</u>	<u>\$ 837</u>	<u>\$ 18,366</u>

Endowment net asset composition by type of fund as of June 30, 2021, is as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Donor-restricted endowment funds	\$ (10)	\$ 983	\$ 973
Accumulated investment gains	-	-	-
Board-designated endowment funds	20,311	-	20,311
	<u>\$ 20,301</u>	<u>\$ 983</u>	<u>\$ 21,284</u>

Changes in endowment net assets for the fiscal year ended June 30, 2021, are as follows (in thousands):

	Without Donor Restriction	With Donor Restriction	Total
Endowment net assets, beginning of year	\$ 20,689	\$ 812	\$ 21,501
Investment return, net	3,540	183	3,723
Contributions	3,812	-	3,812
Appropriation of endowment assets for expenditure	(7,740)	(12)	(7,752)
Endowment net assets, end of year	<u>\$ 20,301</u>	<u>\$ 983</u>	<u>\$ 21,284</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 12 – Functional Expenses

The consolidated financial statements report certain expense categories that are attributable to more than one residential, health care, or support services function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, interest, and other occupancy costs, are allocated to a function based on a square footage or units of services basis.

Expenses related to providing these services for the fiscal year ended June 30, 2022, are as follows (in thousands):

		Support Services		
	Program Services	General and Administrative	Fundraising	Total
Salaries and wages	\$ 17,860	\$ 5,467	\$ 231	\$ 23,558
Employee benefits	7,043	1,689	56	8,788
Professional services	-	447	-	447
Supplies and other	19,234	3,856	18	23,108
Interest	4,356	90	-	4,446
Depreciation and amortization	12,994	463	-	13,457
	<u>\$ 61,487</u>	<u>\$ 12,012</u>	<u>\$ 305</u>	<u>\$ 73,804</u>

Expenses related to providing these services for the fiscal year ended June 30, 2021, are as follows (in thousands):

		Support Services		
	Program Services	General and Administrative	Fundraising	Total
Salaries and wages	\$ 19,563	\$ 5,283	\$ 266	\$ 25,112
Employee benefits	6,863	1,919	97	8,879
Professional services	-	601	-	601
Supplies and other	18,024	2,209	70	20,303
Interest	4,748	100	-	4,848
Depreciation and amortization	12,186	466	-	12,652
	<u>\$ 61,384</u>	<u>\$ 10,578</u>	<u>\$ 433</u>	<u>\$ 72,395</u>

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 13 – Retirement Plans

The Organization maintains a safe harbor 401(k) retirement plan for all eligible employees of the Organization; ECSLLC; CHS; MCINC; TOF; and ECSF. The plan allows for employer non-elective contributions, including a mandatory 3% employer contribution. The plan also allows for discretionary match contributions, approved on an annual basis. Total pension plan contributions in connection with the 401(k) retirement plan for the fiscal years ended June 30, 2022 and 2021, were approximately \$1,099,000 and \$1,126,000, respectively.

In addition, the Organization contributed approximately \$11,000 and \$15,000 to the church pension fund for the Episcopal chaplains for the fiscal years ended June 30, 2022 and 2021, respectively.

The Organization also maintains a 457(b) plan established for executives who have completed six months of continuous service. The 457(b) plan allows for salary reduction contributions and employer discretionary contributions. Total contributions in connection with the 457(b) plan for the fiscal years ended June 30, 2022 and 2021, were approximately \$222,000 and \$235,000, respectively.

Effective July 1, 2013, the Organization created a 457(f) plan for a select group of executives. The plan allows for discretionary employer contributions. There were no contributions made to the plan during the fiscal years ended June 30, 2022 and 2021.

Note 14 – Significant Concentrations

Approximately 5% and 2% of the Organization's total operating revenue and other support for both years ended June 30, 2022 and 2021, respectively, was funded pursuant to federal, state, and local assistance programs, the continuation of which is dependent upon governmental policies. Revenues received under these programs are partially based upon cost reimbursement principles that are subject to government audit.

The Organization maintains its cash in bank deposit accounts that may exceed federally insured limits. The Organization has not experienced any losses in such accounts and believes it is not exposed to any significant credit risk on cash and cash equivalents. As of June 30, 2022, cash balances held at one bank exceeded federally insured limits by approximately \$16,064,000.

Note 15 – Contingencies

The Organization is subject to legal proceedings, which arise in the ordinary course of its business. In the opinion of management and legal counsel, the outcome of such matters will not have a material effect on the financial position of the Organization.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 15 – Contingencies (continued)

The Organization is also subject to many complex federal, state, and local laws and regulations. Compliance with these laws and regulations is subject to government review and interpretation. Government activity, with respect to investigations and allegations regarding possible violations of these laws and regulations by health care providers, including those related to medical necessity, coding, and billing for services, has increased significantly. Violations of these laws can result in large fines and penalties, sanctions on providing future services, and repayment of past patient revenues. Management believes any actions that may result from investigations of noncompliance with laws and regulations will not have a material effect on the Organization's future financial position or results of operations.

Note 16 – Leases

The Organization leases its administrative office in Monrovia, California, which expires on September 30, 2027. Quantitative disclosures related to the Organization's operating leases are as follows as of June 30, 2022 and June 30, 2021 (in thousands):

	2022	2021
Operating lease right-of-use assets		
Operating lease assets	\$ 2,270	\$ 2,270
Accumulated amortization	(988)	(769)
Total	<u>\$ 1,282</u>	<u>\$ 1,501</u>
Other information		
Cash paid for amounts included in the measurement of lease liabilities – operating cash flows from operating leases	\$ 287	\$ 266
Right-of-use assets obtained in exchange for operating lease liabilities	\$ 1,524	\$ 1,767
Weighted-average remaining lease term (in years)	5.25	6.25
Weighted-average discount rate	3.00%	3.00%

On February 16, 2022, the Organization entered into a sublease agreement to lease out their administrative office in Monrovia, California, to a sublessee, which commenced on March 15, 2022, and expires on November 20, 2023. The sublease qualifies as an operating lease and the sublease income of \$21,912 per month is recognized as other income in the consolidated statement of operations when earned. Sublease income recognized during the year ended June 30, 2022, was \$83,647 and is included in other revenue on the accompanying consolidated statement of operations.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 16 – Leases (continued)

The following consists of the minimum lease liabilities in future fiscal years (in thousands):

Fiscal Years	
2023	\$ 295
2024	304
2025	313
2026	323
2027	333
Thereafter	<u>84</u>
Total	1,652
Less: amount representing interest	<u>128</u>
Total operating lease liabilities	1,524
Current portion of operating lease liabilities	<u>253</u>
Operating lease liabilities, net of current portion	<u><u>\$ 1,271</u></u>

Note 17 – Sale of Scripps Kensington and Liability for Losses During Phase-Out Period of Discontinued Operations

Scripps Kensington was sold on October 15, 2010, for a total price of \$21,500,000. The net gain on sale of \$11,087,000 is restricted by the Office of the Attorney General of California to provide care and services to the existing Scripps Kensington residents and for the development of the MonteCedro facility if determined feasible by the Organization (see Note 10 regarding the Scripps Kensington Proceeds Funds).

As part of the disposal, management has calculated an estimated provision and liability for losses expected to be incurred during the phase-out period of discontinued operations. The liability is calculated using present value techniques with a 5% discount rate for 2022 and 2021.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 17 – Sale of Scripps Kensington and Liability for Losses During Phase-Out Period of Discontinued Operations (continued)

A summary of the activities for June 30, 2022 and 2021, is as follows (in thousands):

	2022	2021
Total costs expected to be incurred as a result of the discontinued facility	\$ 12,852	\$ 12,566
Costs incurred during the period	\$ 437	\$ 442
Cumulative costs incurred	\$ 12,421	\$ 11,984
Changes in the liability for losses during phase-out period of discontinued operations are as follows		
Liability for losses during phase-out period of discontinued operations, beginning of year	\$ 582	\$ 785
Net costs paid during the period	(438)	(441)
Accretion	286	238
Liability for losses during phase-out period of discontinued operations, end of year	\$ 430	\$ 582

The estimated future payments on the phase-out of discontinued operations are as follows (in thousands):

Years Ending June 30,	
2023	\$ 114
2024	86
2025	66
2026	52
2027	40
Thereafter	72
Total future payments	430
Less: discount	-
Present value of future payments	430
Less: current portion	(114)
	\$ 316

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 18 – Liquidity and Availability

The Organization structures its financial assets to be available as its general expenditures, liabilities, and other obligations come due. As part of its liquidity management, the Organization invests cash in excess of its operating, capital expenditure, and debt service requirements in various investments according to its Investment Policy.

The Organization's financial assets available to meet general expenditures within one year of the consolidated statement of financial position date are as follows (in thousands):

Cash and cash equivalents	\$	16,314
Investments, short-term		18,371
Accounts receivable, net		1,303
	\$	35,988

Additionally, the Organization has assets limited as to use for debt service, deposits held in trust, refundable entrance fees, donor restriction, and various required reserves. These assets limited as to use, which are more fully described in Notes 3 and 4, are not available for general expenditure within the next year.

Note 19 – COVID-19 Pandemic

On March 11, 2020, the World Health Organization officially declared COVID-19 a global pandemic and recommended containment and mitigation measures worldwide. The related adverse public health developments, including orders to shelter-in-place, travel restrictions, and mandated business closures, have adversely affected workforces, organizations, patients, customers, economies, and financial markets globally, leading to increased market volatility and disruptions in normal business operations, including the Organization's operations.

Starting in March 2020, COVID-19 disrupted move-ins, reducing entrance fees received and resident care fees modestly. The Organization's COVID-19 response also increased costs for supplies, staffing, and precautionary efforts. In August 2020, management re-initiated move-ins with adapted precautionary protocols.

Management's evaluation of and adaptations to the COVID-19 pandemic and related events are ongoing, including impacts of the economy and general population. The Organization cannot accurately estimate the impact on its operations and financial results, and the duration and intensity of the impact of the COVID-19 pandemic and resulting disruption to the Organization's operations are uncertain.

Episcopal Communities & Services for Seniors and Subsidiaries

Notes to Consolidated Financial Statements

Note 19 – COVID-19 Pandemic (continued)

Provider Relief Funds (PRF) – On March 27, 2020, the United States Congress passed the CARES Act. The CARES Act included provisions for health care under the PRF. During the fiscal year ended June 30, 2021, the Organization received funds under the PRF, administered by the U.S. Department of Health & Human Services (HHS) of approximately \$637,000. The Organization did not receive funds under the PRF during the fiscal year ended June 30, 2022. The Organization was required to, and did, timely sign attestations agreeing to the terms and conditions of payment. Those terms and conditions include measures to prevent fraud and misuse. Documentation is required to ensure that these funds are to be used for health care-related expenses or lost revenue attributable to COVID-19, limitations of out of pocket payments from certain patients, and the acceptance of several other reporting and compliance requirements. Anti-fraud monitoring and auditing will be performed by HHS and the Officer of the Inspector General. For the year ended June 30, 2021, the Organization has recognized approximately \$637,000 of the PRF on its consolidated statement of operations in other income. There were no funds received or recognized as revenue for the fiscal year ended June 30, 2022.

Note 20 – Subsequent Events

Subsequent events are events or transactions that occur after the consolidated statement of financial position date but before the consolidated financial statements are issued. The Organization recognizes in the consolidated financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the consolidated statement of financial position, including the estimates inherent in the process of preparing the consolidated financial statements.

Management evaluated subsequent events through October 27, 2022, which is the date the consolidated financial statements were issued.

Supplementary Information

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position
(Dollars in Thousands)
June 30, 2022

	ASSETS														
	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CURRENT ASSETS															
Cash and cash equivalents	\$ 109	\$ 3,348	\$ 4,613	\$ 8,070	\$ 1,147	\$ 9,217	\$ 1,305	\$ 4,463	\$ 3	\$ 403	\$ 894	\$ 29	\$ -	\$ -	\$ 16,314
Investments, short-term	-	3,319	9,482	12,801	-	12,801	-	5,082	-	-	488	-	-	-	18,371
Accounts receivable, net	8	246	729	983	-	983	-	318	-	-	-	2	-	-	1,303
Other receivables	-	15	78	93	-	93	-	-	-	-	-	-	-	-	93
Unconditional promises to give	-	-	-	-	-	-	-	-	-	-	5	-	-	-	5
Inventories	-	103	44	147	-	147	-	113	-	-	-	7	-	-	267
Prepaid expenses and other current assets	50	276	519	845	17	862	113	411	-	13	-	25	-	-	1,424
Affiliate rights	-	-	-	-	146	146	-	-	-	-	-	-	-	-	146
Current portion of notes receivable	-	1,101	-	1,101	651	1,752	-	1,801	-	-	-	-	-	-	3,553
Assets limited as to use, required for current liabilities	-	24	305	329	-	329	-	816	-	-	-	-	-	-	1,145
Due from related parties	-	-	-	-	1,162	1,162	264	-	-	-	-	-	-	(1,426)	-
Total current assets	167	8,432	15,770	24,369	3,123	27,492	1,682	13,004	3	416	1,387	63	-	(1,426)	42,621
PROPERTY AND EQUIPMENT, net	-	21,072	57,369	78,441	33	78,474	937	134,553	-	159	-	7,625	-	-	221,748
OTHER ASSETS															
Investments, long-term	22	34,091	24,282	58,395	-	58,395	13,932	31,436	-	-	18,397	71	-	-	122,231
Notes receivable, net of current portion	-	232	355	587	2,845	3,432	4,798	-	-	-	286	-	-	(6,356)	2,160
Assets limited as to use, net of current portion	165	192	342	699	-	699	-	3,253	-	-	-	-	-	-	3,952
Operating lease right-of-use assets	-	-	-	-	-	-	1,282	-	-	-	-	-	-	-	1,282
Other assets	35	38	42	115	85	200	24	87	-	-	6	-	-	-	317
Interest in related parties' net assets	1,122	1,422	921	3,465	8,593	12,058	(16)	175	(120)	202	-	4	-	(12,303)	-
Total other assets	1,344	35,975	25,942	63,261	11,523	74,784	20,020	34,951	(120)	202	18,689	75	-	(18,659)	129,942
Total assets	\$ 1,511	\$ 65,479	\$ 99,081	\$ 166,071	\$ 14,679	\$ 180,750	\$ 22,639	\$ 182,508	\$ (117)	\$ 777	\$ 20,076	\$ 7,763	\$ -	\$ (20,085)	\$ 394,311

See report of independent auditors.

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position (Continued)
(Dollars in Thousands)
June 30, 2022

LIABILITIES AND NET ASSETS (DEFICIT)																
	Episcopal Communities & Services for Seniors (ECS)						ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals	
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals										
CURRENT LIABILITIES																
Accounts payable and accrued expenses	\$ 7	\$ 393	\$ 1,020	\$ 1,420	\$ 1,114	\$ 2,534	\$ 287	\$ 802	\$ -	\$ (1)	\$ 1	\$ 15	\$ -	\$ -	\$ 3,638	
Accrued compensation, payroll taxes, and benefits	3	1,009	737	1,749	361	2,110	544	572	-	-	-	159	-	-	3,385	
Interest payable	-	14	199	213	-	213	-	253	-	-	-	-	-	-	466	
Entrance fee refunds upon reoccupancy payable	-	-	6,036	6,036	-	6,036	-	1,044	-	-	-	-	-	-	7,080	
Other current liabilities	83	23	464	570	-	570	6	316	-	-	-	-	-	-	892	
Due to related parties	6	234	371	611	-	611	-	717	-	-	24	74	-	(1,426)	-	
Deferred revenue	-	-	-	-	-	-	84	225	-	-	-	-	-	-	309	
Current portion of liability for losses during phase-out period of discontinued operations	114	-	-	114	-	114	-	-	-	-	-	-	-	-	114	
Operating lease liability, current portion	-	-	-	-	-	-	253	-	-	-	-	-	-	-	253	
Current portion of long-term debt	-	103	1,312	1,415	-	1,415	-	1,214	-	-	-	-	-	-	2,629	
Total current liabilities	213	1,776	10,139	12,128	1,475	13,603	1,174	5,143	-	(1)	25	248	-	(1,426)	18,766	
OTHER LIABILITIES																
Note payable to related parties	-	-	286	286	-	286	-	-	-	686	-	4,524	860	(6,356)	-	
Deposits from residents	5	148	147	300	-	300	-	144	-	-	-	-	-	-	444	
Liability for refundable and repayable entrance fees	-	33,953	74,699	108,652	-	108,652	-	120,492	-	-	-	-	-	-	229,144	
Deferred revenue from entrance fees	-	4,116	8,277	12,393	-	12,393	-	11,157	-	-	-	-	-	-	23,550	
Liability for losses during phase-out period of discontinued operations, net of current portion	316	-	-	316	-	316	-	-	-	-	-	-	-	-	316	
Operating lease liability	-	-	-	-	-	-	1,271	-	-	-	-	-	-	-	1,271	
Long-term debt, net of current maturities	-	3,656	46,498	50,154	-	50,154	-	41,169	-	-	-	-	-	-	91,323	
Total other liabilities	321	41,873	129,907	172,101	-	172,101	1,271	172,962	-	686	-	4,524	860	(6,356)	346,048	
Total liabilities	534	43,649	140,046	184,229	1,475	185,704	2,445	178,105	-	685	25	4,772	860	(7,782)	364,814	
NET ASSETS (DEFICIT)																
Without donor restriction	172	21,766	(42,024)	(20,086)	12,450	(7,636)	20,195	4,260	(104)	(55)	17,598	2,987	(860)	(9,341)	27,044	
With donor restriction	805	64	1,059	1,928	754	2,682	(1)	143	(13)	147	2,453	4	-	(2,962)	2,453	
Total net assets	977	21,830	(40,965)	(18,158)	13,204	(4,954)	20,194	4,403	(117)	92	20,051	2,991	(860)	(12,303)	29,497	
Total liabilities and net assets (deficit)	\$ 1,511	\$ 65,479	\$ 99,081	\$ 166,071	\$ 14,679	\$ 180,750	\$ 22,639	\$ 182,508	\$ (117)	\$ 777	\$ 20,076	\$ 7,763	\$ -	\$ (20,085)	\$ 394,311	

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Operations
(Dollars in Thousands)
Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION															
Operating revenue and other support															
Resident care fees, net	\$ -	\$ 12,190	\$ 14,001	\$ 26,191	\$ -	\$ 26,191	\$ -	\$ 14,812	\$ -	\$ -	\$ -	\$ 1,291	\$ -	\$ -	\$ 42,294
Ancillary services	-	486	2,511	2,997	-	2,997	-	883	-	-	-	339	-	-	4,219
Amortization of entrance fees	-	904	1,516	2,420	-	2,420	-	1,613	-	-	-	-	-	-	4,033
Service revenue	-	2,165	2,743	4,908	-	4,908	-	1,886	-	-	-	-	-	-	6,794
Management fee revenue	-	-	-	-	91	91	5,265	-	-	50	-	-	-	(5,356)	50
Contributions	-	-	126	126	-	126	-	-	-	-	-	-	-	-	126
Miscellaneous income	-	2	491	493	-	493	85	86	-	89	-	1	-	-	754
Total operating revenue and other support	-	15,747	21,388	37,135	91	37,226	5,350	19,280	-	139	-	1,631	-	(5,356)	58,270
Investment returns available for current operations															
Dividends and interest	-	2,070	3,585	5,655	-	5,655	731	2,010	-	-	940	-	-	-	9,336
Net realized gains	-	212	211	423	-	423	-	145	-	-	59	-	-	-	627
Unrealized losses	-	(7,664)	(8,544)	(16,208)	-	(16,208)	(2,682)	(7,590)	-	-	(3,491)	(7)	-	-	(29,978)
Investment expenses	-	(49)	(82)	(131)	-	(131)	(21)	(55)	-	-	(34)	-	-	-	(241)
Total investment returns available for current operations	-	(5,431)	(4,830)	(10,261)	-	(10,261)	(1,972)	(5,490)	-	-	(2,526)	(7)	-	-	(20,256)
Total operating revenue, other support and investment returns	-	10,316	16,558	26,874	91	26,965	3,378	13,790	-	139	(2,526)	1,624	-	(5,356)	38,014
OPERATING EXPENSES															
Departmental expenses															
General and administrative	-	3,764	5,371	9,135	-	9,135	5,501	4,523	-	288	14	479	-	(5,421)	14,519
Dining service	-	2,774	3,834	6,608	-	6,608	-	2,961	-	-	-	340	-	-	9,909
Nursing service, routine	-	5,468	7,179	12,647	-	12,647	-	3,996	-	-	-	605	-	-	17,248
Residential services	-	716	1,072	1,788	50	1,838	-	1,027	-	-	-	99	-	-	2,964
Environmental services	-	2,332	3,465	5,797	-	5,797	-	2,883	-	-	-	291	-	-	8,971
COVID-19 direct expenses	-	231	423	654	-	654	11	129	-	-	-	18	-	-	812
Other expenses	-	292	415	707	-	707	-	465	-	-	-	16	-	-	1,188
Total departmental expenses	-	15,577	21,759	37,336	50	37,386	5,512	15,984	-	288	14	1,848	-	(5,421)	55,611
DEPRECIATION	-	2,544	4,881	7,425	-	7,425	180	5,307	-	-	-	346	-	-	13,258
OTHER EXPENSES (INCOME)															
Gain on bond refinancing	-	(333)	(3,299)	(3,632)	-	(3,632)	-	-	-	-	-	-	-	-	(3,632)
Interest expense	-	190	2,194	2,384	-	2,384	-	2,062	-	-	-	-	-	-	4,446
Amortization expense	-	2	30	32	80	112	-	87	-	-	-	-	-	-	199
Income tax expense	-	-	-	-	-	-	12	-	-	-	-	-	-	-	12
Loss on disposal of property and equipment	-	61	180	241	-	241	3	34	-	-	-	-	-	-	278
Total other expenses (income), net	-	(80)	(895)	(975)	80	(895)	15	2,183	-	-	-	-	-	-	1,303
Total operating expenses	-	18,041	25,745	43,786	130	43,916	5,707	23,474	-	288	14	2,194	-	(5,421)	70,172
Deficiency of revenue over expenses	\$ -	\$ (7,725)	\$ (9,187)	\$ (16,912)	\$ (39)	\$ (16,951)	\$ (2,329)	\$ (9,684)	\$ -	\$ (149)	\$ (2,540)	\$ (570)	\$ -	\$ 65	\$ (32,158)

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Changes in Net Assets

(Dollars in Thousands)

Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)																
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals		
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION																	
Deficiency of revenue over expenses	\$ -	\$ (7,725)	\$ (9,187)	\$ (16,912)	\$ (39)	\$ (16,951)	\$ (2,329)	\$ (9,684)	\$ -	\$ (149)	\$ (2,540)	\$ (570)	\$ -	\$ 65	\$ (32,158)		
Accretion of losses during phase-out period of discontinued operations	(286)	-	-	(286)	-	(286)	-	-	-	-	-	-	-	-	(286)		
Net assets released from restrictions, used for capital expenditures	-	-	-	-	-	-	-	-	-	-	-	-	-	510	510		
Change in interest in related parties' net assets	-	(209)	(19)	(228)	(14,729)	(14,957)	(298)	(10)	-	-	-	-	-	15,265	-		
Total change in net assets without donor restriction	(286)	(7,934)	(9,206)	(17,426)	(14,768)	(32,194)	(2,627)	(9,694)	-	(149)	(2,540)	(570)	-	15,840	(31,934)		
CHANGE IN NET ASSETS WITH DONOR RESTRICTION																	
Contributions	3	5	59	67	104	171	-	5	-	1	-	-	-	(177)	-		
Dividends and interest	-	-	-	-	-	-	-	-	-	-	37	-	-	-	37		
Investment loss, net	-	-	-	-	-	-	-	-	-	-	(311)	-	-	-	(311)		
Net assets released from restrictions used for capital expenditures	-	-	-	-	-	-	-	-	-	-	-	-	-	(510)	(510)		
Change in interest in related parties' net assets	(115)	(24)	(104)	(243)	(7)	(250)	-	(14)	-	(10)	-	-	-	274	-		
Total change in net assets with donor restriction	(112)	(19)	(45)	(176)	97	(79)	-	(9)	-	(9)	(274)	-	-	(413)	(784)		
CHANGE IN NET ASSETS	(398)	(7,953)	(9,251)	(17,602)	(14,671)	(32,273)	(2,627)	(9,703)	-	(158)	(2,814)	(570)	-	15,427	(32,718)		
TRANSFER OF NET ASSETS, net																	
Without donor restriction	483	(79)	(144)	260	(517)	(257)	(32)	(49)	-	294	(212)	511	-	(255)	-		
With donor restriction	(483)	(2)	(29)	(514)	(20)	(534)	-	(13)	(43)	12	(505)	-	-	1,083	-		
Total transfers of net assets (net)	-	(81)	(173)	(254)	(537)	(791)	(32)	(62)	(43)	306	(717)	511	-	828	-		
Total change in net assets	(398)	(8,034)	(9,424)	(17,856)	(15,208)	(33,064)	(2,659)	(9,765)	(43)	148	(3,531)	(59)	-	16,255	(32,718)		
Net assets, beginning of year	1,375	29,864	(31,541)	(302)	28,412	28,110	22,853	14,168	(74)	(56)	23,582	3,050	(860)	(28,558)	62,215		
Net assets, ending	\$ 977	\$ 21,830	\$ (40,965)	\$ (18,158)	\$ 13,204	\$ (4,954)	\$ 20,194	\$ 4,403	\$ (117)	\$ 92	\$ 20,051	\$ 2,991	\$ (860)	\$ (12,303)	\$ 29,497		

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Cash Flows
(Dollars in Thousands)
Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	CHS LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
OPERATING ACTIVITIES															
Cash received															
Resident care fees	\$ 126	\$ 11,963	\$ 16,422	\$ 28,511	\$ -	\$ 28,511	\$ -	\$ 15,573	\$ -	\$ -	\$ -	\$ 1,617	\$ -	\$ -	\$ 45,701
Entrance fees	-	9,233	16,776	26,009	-	26,009	-	23,558	-	-	-	-	-	-	49,567
Contributions	3	5	185	193	104	297	-	11	-	1	-	-	-	-	309
Investment income	-	2,070	3,585	5,655	-	5,655	731	2,010	-	-	977	-	-	-	9,373
Transfers (to) from related parties	(1)	(23)	128	104	(285)	(181)	320	387	-	(12)	(114)	(400)	-	-	-
Management fee revenue	-	-	-	-	-	-	5,265	-	-	28	-	-	-	(5,265)	28
Service revenue	-	2,165	2,743	4,908	-	4,908	-	1,886	-	(18)	-	-	-	-	6,776
Other	11	(8)	(10)	(7)	-	(7)	85	17	-	1	-	1	-	-	97
Cash disbursed															
Cash paid to employees and suppliers	(600)	(16,173)	(25,969)	(42,742)	515	(42,227)	(5,289)	(16,564)	-	(627)	(60)	(1,803)	-	5,265	(61,305)
Interest	-	(206)	(2,621)	(2,827)	-	(2,827)	-	(2,403)	-	-	-	-	-	-	(5,230)
Net cash provided by (used in) operating activities	(461)	9,026	11,239	19,804	334	20,138	1,112	24,475	-	(627)	803	(585)	-	-	45,316
INVESTING ACTIVITIES															
Investment income reinvested	-	(2,070)	(3,514)	(5,584)	-	(5,584)	(727)	(2,002)	-	-	(955)	-	-	-	(9,268)
Purchase of investments	-	-	(197)	(197)	-	(197)	(5)	-	-	-	-	-	-	-	(202)
Proceeds from sale of investments	-	2,616	9,883	12,499	-	12,499	-	1,800	-	-	873	-	-	-	15,172
Purchase of property and equipment	-	(1,729)	(4,552)	(6,281)	-	(6,281)	(149)	(2,628)	-	(10)	-	(229)	-	-	(9,297)
Issuance of notes receivable	-	(2,979)	(3,505)	(6,484)	-	(6,484)	-	(5,735)	-	-	-	-	-	-	(12,219)
Collection of notes receivable	-	2,612	3,882	6,494	283	6,777	-	3,934	-	-	91	-	-	(91)	10,711
Payment of notes receivable	-	-	(91)	(91)	-	(91)	-	-	-	-	-	-	-	91	-
Release of (transfer to) restricted cash, cash equivalents, and investments	165	(318)	(718)	(871)	-	(871)	-	282	-	-	-	-	-	(582)	(1,171)
Net cash provided by (used in) investing activities	165	(1,868)	1,188	(515)	283	(232)	(881)	(4,349)	-	(10)	9	(229)	-	(582)	(6,274)
FINANCING ACTIVITIES															
Payment of long-term debt	-	(4,121)	(52,414)	(56,535)	-	(56,535)	-	(990)	-	-	-	-	-	-	(57,525)
Proceeds from issuance of long-term debt	-	3,934	52,430	56,364	-	56,364	-	-	-	-	-	-	-	-	56,364
Refund of entrance fees	-	(4,846)	(12,049)	(16,895)	-	(16,895)	-	(17,622)	-	-	-	-	-	-	(34,517)
Transfer of net assets	480	(84)	(131)	265	(388)	(123)	6	(60)	-	264	(711)	624	-	-	-
Net cash provided by (used in) financing activities	480	(5,117)	(12,164)	(16,801)	(388)	(17,189)	6	(18,672)	-	264	(711)	624	-	-	(35,678)
Net increase (decrease) in cash and cash equivalents and restricted cash and cash equivalents	184	2,041	263	2,488	229	2,717	237	1,454	-	(373)	101	(190)	-	(582)	3,364
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, beginning	90	2,415	2,924	5,429	918	6,347	1,068	7,079	3	776	793	219	-	582	16,867
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, ending	\$ 274	\$ 4,456	\$ 3,187	\$ 7,917	\$ 1,147	\$ 9,064	\$ 1,305	\$ 8,533	\$ 3	\$ 403	\$ 894	\$ 29	\$ -	\$ -	\$ 20,231

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Cash Flows (Continued)

(Dollars in Thousands)

Year Ended June 30, 2022

	Episcopal Communities & Services for Seniors (ECS)														Eliminating Entries	Consolidated Totals
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks Foundation	Artful Home Care, LLC			
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES																
Change in net assets	\$ (398)	\$ (8,034)	\$ (9,424)	\$ (17,856)	\$ (15,208)	\$ (33,064)	\$ (2,659)	\$ (9,765)	\$ (43)	\$ 148	\$ (3,531)	\$ (59)	\$ -	\$ 16,255	\$ (32,718)	
Adjustments to reconcile the change in net assets to net cash provided by (used in) operating activities																
Amortization of entrance fees	-	(904)	(1,516)	(2,420)	-	(2,420)	-	(1,613)	-	-	-	-	-	-	(4,033)	
Amortization of premium	-	(419)	(4,384)	(4,803)	-	(4,803)	-	(175)	-	-	-	-	-	-	(4,978)	
Amortization of financing costs	-	2	30	32	-	32	-	87	-	-	-	-	-	-	119	
Amortization of intangible asset	-	-	-	-	80	80	-	-	-	-	-	-	-	-	80	
Depreciation	-	2,544	4,881	7,425	-	7,425	180	5,307	-	-	-	346	-	-	13,258	
Accretion of liability for losses from phase-out period of discontinued operations	286	-	-	286	-	286	-	-	-	-	-	-	-	-	286	
Realized and unrealized gains (losses) on investments, net	-	7,452	8,333	15,785	-	15,785	2,682	7,445	-	-	3,730	7	-	-	29,649	
Change in value of split-interest agreements	-	-	-	-	-	-	-	6	-	-	-	-	-	-	6	
Loss on disposal of property and equipment, net	-	61	180	241	-	241	3	34	-	-	-	-	-	-	278	
(Gain) on bond refinancing	-	(333)	(3,299)	(3,632)	-	(3,632)	-	-	-	-	-	-	-	-	(3,632)	
Interest in related parties' net assets	115	314	185	614	15,273	15,887	330	86	43	(296)	717	(511)	-	(16,256)	-	
(Increase) decrease in																
Accounts receivable	2	10	(155)	(143)	-	(143)	-	(50)	-	78	-	5	-	-	(110)	
Other receivables	-	2	(31)	(29)	9	(20)	1	-	-	36	-	-	-	-	17	
Inventories	-	(17)	51	34	-	34	-	(1)	-	-	-	(7)	-	-	26	
Prepaid expenses and other current assets	5	(50)	316	271	(2)	269	(5)	(245)	-	77	1	(4)	-	-	93	
Other assets	-	(1)	(3)	(4)	-	(4)	(3)	(3)	-	-	-	-	-	-	(10)	
Operating lease right of use assets	-	-	-	-	-	-	219	-	-	-	-	-	-	-	219	
Increase (decrease) in																
Accounts payable and accrued expenses	(27)	(43)	(504)	(574)	431	(143)	242	(269)	-	(416)	-	2	-	-	(584)	
Accrued compensation, payroll taxes, and benefits	(3)	(29)	(15)	(47)	36	(11)	(39)	1	-	-	-	53	-	-	4	
Interest payable	(1)	(25)	(286)	(312)	-	(312)	-	(165)	-	-	-	-	-	-	(477)	
Due to/from related parties	(1)	(23)	128	104	(285)	(181)	320	387	-	(12)	(114)	(401)	-	1	(31)	
Other current liabilities	-	-	(20)	(20)	-	(20)	-	(11)	-	-	-	-	-	-	(31)	
Deferred revenue	-	-	-	-	-	-	-	(34)	-	(242)	-	(16)	-	-	(292)	
Deferred rent	-	-	-	-	-	-	84	-	-	-	-	-	-	-	84	
Operating lease liabilities	-	-	-	-	-	-	(243)	-	-	-	-	-	-	-	(243)	
Deposits from residents	(1)	(726)	2	(725)	-	(725)	-	(106)	-	-	-	-	-	-	(831)	
Deferred revenue from entrance fees and liability for refundable and repayable entrance fees	-	9,245	16,770	26,015	-	26,015	-	23,559	-	-	-	-	-	-	49,574	
Liability for losses during phase-out period	(438)	-	-	(438)	-	(438)	-	-	-	-	-	-	-	-	(438)	
Net cash provided by (used in) operating activities	\$ (461)	\$ 9,026	\$ 11,239	\$ 19,804	\$ 334	\$ 20,138	\$ 1,112	\$ 24,475	\$ -	\$ (627)	\$ 803	\$ (585)	\$ -	\$ -	\$ 45,316	

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position
(Dollars in Thousands)
June 30, 2021

	ASSETS														
	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CURRENT ASSETS															
Cash and cash equivalents	\$ 90	\$ 1,619	\$ 2,616	\$ 4,325	\$ 918	\$ 5,243	\$ 1,068	\$ 2,664	\$ 3	\$ 776	\$ 793	\$ 219	\$ -	\$ -	\$ 10,766
Investments, short-term	-	8,276	10,670	18,946	-	18,946	119	4,381	-	-	1,095	78	-	-	24,619
Accounts receivable, net	10	256	574	840	-	840	-	268	-	78	-	7	-	-	1,193
Other receivables	-	17	47	64	9	73	1	-	-	36	-	-	-	-	110
Unconditional promises to give	-	-	-	-	-	-	-	-	-	-	5	-	-	-	5
Inventories	-	86	95	181	-	181	-	112	-	-	-	-	-	-	293
Prepaid expenses and other current assets	55	226	835	1,116	15	1,131	108	166	-	90	1	21	-	-	1,517
Affiliate rights	-	-	-	-	146	146	-	-	-	-	-	-	-	-	146
Current portion of notes receivable	-	735	376	1,111	359	1,470	-	-	-	-	-	-	-	-	1,470
Assets limited as to use, required for current liabilities	-	21	306	327	-	327	-	1,056	-	-	-	-	-	-	1,383
Due from related parties	-	-	-	-	877	877	584	-	-	-	-	-	-	(1,461)	-
Total current assets	155	11,236	15,519	26,910	2,324	29,234	1,880	8,647	3	980	1,894	325	-	(1,461)	41,502
PROPERTY AND EQUIPMENT, net	-	21,945	57,878	79,823	33	79,856	972	137,266	-	150	-	7,743	-	-	225,987
OTHER ASSETS															
Investments, long-term	22	35,828	34,999	70,849	-	70,849	15,763	39,381	-	-	21,439	-	-	-	147,432
Notes receivable, net of current portion	-	232	355	587	3,420	4,007	4,798	-	-	-	376	-	-	(6,446)	2,735
Assets limited as to use, net of current portion	168	1,191	3,912	5,271	-	5,271	-	3,359	-	-	-	-	-	-	8,630
Operating lease right-of-use assets	-	-	-	-	-	-	1,501	-	-	-	-	-	-	-	-
Other assets	35	37	39	111	166	277	21	84	-	-	12	-	-	-	394
Interest in related parties' net assets	1,717	1,653	1,086	4,456	23,478	27,934	320	208	(77)	170	-	4	-	(28,559)	-
Total other assets	1,942	38,941	40,391	81,274	27,064	108,338	22,403	43,032	(77)	170	21,827	4	-	(35,005)	160,692
Total assets	\$ 2,097	\$ 72,122	\$ 113,788	\$ 188,007	\$ 29,421	\$ 217,428	\$ 25,255	\$ 188,945	\$ (74)	\$ 1,300	\$ 23,721	\$ 8,072	\$ -	\$ (36,466)	\$ 428,181

Episcopal Communities & Services for Seniors and Subsidiaries
Consolidating Statement of Financial Position (Continued)
(Dollars in Thousands)
June 30, 2021

	Episcopal Communities & Services for Seniors (ECS)						ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals									
CURRENT LIABILITIES															
Accounts payable and accrued expenses	\$ 34	\$ 435	\$ 1,635	\$ 2,104	\$ 684	\$ 2,788	\$ 46	\$ 1,071	\$ -	416	\$ 1	\$ (99)	\$ -	\$ -	\$ 4,223
Accrued compensation, payroll taxes, and benefits	6	1,038	752	1,796	325	2,121	583	571	-	-	-	106	-	-	3,381
Interest payable	-	39	486	525	-	525	-	418	-	-	-	-	-	-	943
Entrance fee refunds upon reoccupancy payable	-	-	9,793	9,793	-	9,793	-	12,070	-	-	-	-	-	-	21,863
Other current liabilities	84	23	483	590	-	590	6	327	-	-	-	-	-	-	923
Due to related parties	7	257	243	507	-	507	-	330	-	12	138	475	-	(1,462)	-
Deferred revenue	-	-	-	-	-	-	-	259	-	242	-	16	-	-	517
Current portion of liability for losses during phase-out period of discontinued operations	152	-	-	152	-	152	-	-	-	-	-	-	-	-	152
Operating lease liability, current portion	-	-	-	-	-	-	237	-	-	-	-	-	-	-	237
Current portion of long-term debt	-	101	1,302	1,403	-	1,403	-	1,168	-	-	-	-	-	-	2,571
Total current liabilities	283	1,893	14,694	16,870	1,009	17,879	872	16,214	-	670	139	498	-	(1,462)	34,810
OTHER LIABILITIES															
Note payable to related parties	-	-	376	376	-	376	-	-	-	686	-	4,524	860	(6,446)	-
Deposits from residents	9	871	145	1,025	-	1,025	-	250	-	-	-	-	-	-	1,275
Liability for refundable and repayable entrance fees	-	31,951	69,220	101,171	-	101,171	-	108,166	-	-	-	-	-	-	209,337
Deferred revenue from entrance fees	-	3,169	6,253	9,422	-	9,422	-	8,135	-	-	-	-	-	-	17,557
Liability for losses during phase-out period of discontinued operations, net of current portion	430	-	-	430	-	430	-	-	-	-	-	-	-	-	430
Operating Lease Liability	-	-	-	-	-	-	1,530	-	-	-	-	-	-	-	1,530
Long-term debt, net of current maturities	-	4,374	54,641	59,015	-	59,015	-	42,012	-	-	-	-	-	-	101,027
Total other liabilities	439	40,365	130,635	171,439	-	171,439	1,530	158,563	-	686	-	4,524	860	(6,446)	331,156
Total liabilities	722	42,258	145,329	188,309	1,009	189,318	2,402	174,777	-	1,356	139	5,022	860	(7,908)	365,966
NET ASSETS (DEFICIT)															
Without donor restriction	(25)	29,779	(32,674)	(2,920)	27,735	24,815	22,854	14,003	(104)	(200)	20,350	3,046	(860)	(24,926)	58,978
With donor restriction	1,400	85	1,133	2,618	677	3,295	(1)	165	30	144	3,232	4	-	(3,632)	3,237
Total liabilities and net assets (deficit)	\$ 2,097	\$ 72,122	\$ 113,788	\$ 188,007	\$ 29,421	\$ 217,428	\$ 25,255	\$ 188,945	\$ (74)	\$ 1,300	\$ 23,721	\$ 8,072	\$ -	\$ (36,466)	\$ 428,181

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Operations

(Dollars in Thousands)

Year Ended June 30, 2021

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION															
Operating revenue and other support															
Resident care fees, net	\$ -	\$ 11,634	\$ 11,882	\$ 23,516	\$ -	\$ 23,516	\$ -	\$ 13,613	\$ -	\$ -	\$ -	\$ 727	\$ -	\$ -	\$ 37,856
Ancillary services	-	600	1,367	1,967	-	1,967	-	620	-	-	-	167	-	-	2,754
Amortization of entrance fees	-	915	1,345	2,260	-	2,260	-	2,207	-	-	-	-	-	-	4,467
Service revenue	-	2,088	2,843	4,931	-	4,931	-	1,968	-	-	-	-	-	-	6,899
Management fee revenue	-	-	-	-	7	7	4,810	-	-	327	-	-	-	(4,817)	327
Contributions	-	-	135	135	-	135	-	-	-	-	1,728	9	-	-	1,872
Miscellaneous income	-	132	347	479	-	479	28	441	-	520	-	2	-	-	1,470
Total operating revenue and other support	-	15,369	17,919	33,288	7	33,295	4,838	18,849	-	847	1,728	905	-	(4,817)	55,645
Investment returns available for current operations															
Dividends and interest	-	1,182	1,304	2,486	-	2,486	385	1,210	-	2	521	-	-	-	4,604
Net realized gains	-	4,683	6,460	11,143	-	11,143	1,646	4,800	-	-	4,825	-	-	-	22,414
Unrealized gains (losses)	-	2,060	1,300	3,360	-	3,360	709	1,715	-	(22)	(1,766)	(1)	-	-	3,995
Investment expenses	-	(41)	(67)	(108)	-	(108)	(20)	(49)	-	(3)	(33)	-	-	-	(213)
Total investment returns available for current operations	-	7,884	8,997	16,881	-	16,881	2,720	7,676	-	(23)	3,547	(1)	-	-	30,800
Total operating revenue, other support and investment returns	-	23,253	26,916	50,169	7	50,176	7,558	26,525	-	824	5,275	904	-	(4,817)	86,445
OPERATING EXPENSES															
Departmental expenses															
General and administrative	-	3,454	4,393	7,847	-	7,847	4,746	3,990	-	1,571	383	527	-	(4,817)	14,247
Dining service	-	2,536	3,541	6,077	-	6,077	-	2,744	-	-	-	169	-	-	8,990
Nursing service, routine	-	5,365	6,359	11,724	-	11,724	-	4,060	-	-	-	316	-	-	16,100
Residential services	-	683	837	1,520	50	1,570	-	991	-	-	-	17	-	-	2,578
Environmental services	-	2,237	3,354	5,591	-	5,591	-	2,629	-	-	-	199	-	-	8,419
Covid-19 direct expenses (Note 20)	-	1,262	1,021	2,283	-	2,283	26	785	-	(7)	-	97	-	-	3,184
Other expenses	-	239	379	618	-	618	-	605	-	-	-	18	-	-	1,241
Total departmental expenses	-	15,778	19,884	35,660	50	35,710	4,772	15,804	-	1,564	383	1,343	-	(4,817)	54,759
DISTRIBUTIONS TO RELATED PARTIES	-	-	-	-	-	-	-	-	-	-	1,259	-	-	(1,259)	-
DEPRECIATION	-	2,525	4,579	7,104	-	7,104	189	5,155	-	2	-	-	-	-	12,450
OTHER EXPENSES (INCOME)															
PPP loan forgiveness	-	(1,184)	(1,491)	(2,675)	(165)	(2,840)	(327)	(1,096)	-	(271)	-	(151)	-	-	(4,685)
Inherent contribution	-	-	-	-	(3,071)	(3,071)	-	-	-	-	-	-	-	-	(3,071)
Interest expense	-	198	2,553	2,751	-	2,751	-	2,097	-	-	-	-	-	-	4,848
Amortization expense	-	2	33	35	80	115	-	87	-	-	-	-	-	-	202
Income tax expense	-	-	-	-	-	-	18	-	-	-	-	-	-	-	18
Loss on disposal of property and equipment	-	34	80	114	-	114	-	4	-	-	-	-	-	-	118
Total other expenses (income), net	-	(950)	1,175	225	(3,156)	(2,931)	(309)	1,092	-	(271)	-	(151)	-	-	(2,570)
Total operating expenses	-	17,351	25,638	42,989	(3,106)	39,883	4,652	22,051	-	1,295	1,642	1,192	-	(6,076)	64,639
Excess (deficiency) excess of revenue over expenses	\$ -	\$ 5,902	\$ 1,278	\$ 7,180	\$ 3,113	\$ 10,293	\$ 2,906	\$ 4,474	\$ -	\$ (471)	\$ 3,633	\$ (288)	\$ -	\$ 1,259	\$ 21,806

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Changes in Net Assets

(Dollars in Thousands)

Year Ended June 30, 2021

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTION															
Excess (deficiency) of revenue over expenses	\$ -	\$ 5,902	\$ 1,278	\$ 7,180	\$ 3,113	\$ 10,293	\$ 2,906	\$ 4,474	\$ -	\$ (471)	\$ 3,633	\$ (288)	\$ -	\$ 1,259	\$ 21,806
Accretion of losses during phase-out period of discontinued operations	(238)	-	-	(238)	-	(238)	-	-	-	-	-	-	-	-	(238)
Net assets released from restrictions, used for capital expenditures	-	-	-	-	-	-	-	-	-	-	904	-	-	-	904
Change in interest in related parties' net assets	531	301	73	905	10,913	11,818	393	27	-	219	-	-	-	(12,457)	-
Total change in net assets without donor restriction	293	6,203	1,351	7,847	14,026	21,873	3,299	4,501	-	(252)	4,537	(288)	-	(11,198)	22,472
CHANGE IN NET ASSETS WITH DONOR RESTRICTION															
Contributions	-	-	-	-	-	-	-	-	-	-	452	-	-	-	452
Dividends and interest	-	-	-	-	-	-	-	-	-	-	39	-	-	-	39
Investment return, net	-	-	-	-	-	-	-	-	-	-	435	-	-	-	435
Net assets released from restrictions used for capital expenditures	-	-	-	-	-	-	-	-	-	-	(904)	-	-	-	(904)
Change in interest in related parties' net assets	(266)	43	111	(112)	89	(23)	(73)	56	-	97	-	4	-	(61)	-
Total change in net assets with donor restriction	(266)	43	111	(112)	89	(23)	(73)	56	-	97	22	4	-	(61)	22
CHANGE IN NET ASSETS	27	6,246	1,462	7,735	14,115	21,850	3,226	4,557	-	(155)	4,559	(284)	-	(11,259)	22,494
TRANSFER OF NET ASSETS, net															
Without donor restriction	(6)	(167)	(108)	(281)	(8,147)	(8,428)	5,066	(142)	1	132	(4,885)	3,334	-	4,922	-
With donor restriction	1	8	16	25	(103)	(78)	73	4	-	1	(3)	-	-	3	-
Total transfers of net assets (net)	(5)	(159)	(92)	(256)	(8,250)	(8,506)	5,139	(138)	1	133	(4,888)	3,334	-	4,925	-
Total change in net assets	22	6,087	1,370	7,479	5,865	13,344	8,365	4,419	1	(22)	(329)	3,050	-	(6,334)	22,494
Net assets, beginning of year	1,353	23,777	(32,911)	(7,781)	22,547	14,766	14,488	9,749	(75)	(34)	23,911	-	(860)	(22,224)	39,721
Net assets, ending	\$ 1,375	\$ 29,864	\$ (31,541)	\$ (302)	\$ 28,412	\$ 28,110	\$ 22,853	\$ 14,168	\$ (74)	\$ (56)	\$ 23,582	\$ 3,050	\$ (860)	\$ (28,558)	\$ 62,215

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Cash Flows

(Dollars in Thousands)

Year Ended June 30, 2021

	Episcopal Communities & Services for Seniors (ECS)														
	Scripps Kensington	The Canterbury	The Covington	ECS Obligated Group Total	Executive Administration	Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	CHS LLC	ECS Foundation	Twelve Oaks	I Home Care, LLC	Eliminating Entries	Consolidated Totals
OPERATING ACTIVITIES															
Cash received															
Resident care fees	\$ 166	\$ 12,739	\$ 13,533	\$ 26,438	\$ -	\$ 26,438	\$ -	\$ 14,346	\$ -	\$ -	\$ -	\$ 905	\$ -	\$ -	\$ 41,689
Entrance fees	-	4,696	6,847	11,543	-	11,543	-	9,524	-	-	-	-	-	-	21,067
Contributions	-	-	135	135	-	135	-	-	-	-	2,182	9	-	-	2,326
Investment income	-	1,182	1,304	2,486	-	2,486	385	7,676	-	2	560	2	-	-	11,111
Transfers (to) from related parties	7	192	342	541	(704)	(163)	(352)	-	-	7	33	475	-	-	-
Management fee revenue	-	-	-	-	-	-	4,812	-	-	262	-	-	-	(4,812)	262
Service revenue	-	2,088	2,843	4,931	-	4,931	-	1,968	-	429	-	-	-	-	7,328
Other	-	143	347	490	-	490	28	1,537	-	-	-	-	-	-	2,055
Cash disbursed															
Cash paid to employees and suppliers	(615)	(16,298)	(19,296)	(36,209)	652	(35,557)	(4,728)	(22,957)	-	(1,718)	(429)	(1,360)	-	4,812	(61,937)
Distributions (to) related parties	-	-	-	-	-	-	-	-	-	-	(1,259)	-	-	1,259	-
Interest	-	(210)	(2,670)	(2,880)	-	(2,880)	-	(2,134)	-	-	-	-	-	-	(5,014)
Net cash provided by (used in) operating activities	(442)	4,532	3,385	7,475	(52)	7,423	145	9,960	-	(1,018)	1,087	31	-	1,259	18,887
INVESTING ACTIVITIES															
Investment income reinvested	-	(1,207)	(1,325)	(2,532)	-	(2,532)	(371)	(1,210)	-	Artfu	1	(529)	(2)	-	(4,643)
Purchase of investments	-	-	-	-	-	-	(4,809)	-	-	-	(3,150)	(76)	-	-	(8,035)
Proceeds from sale of investments	-	1,679	8,863	10,542	-	10,542	209	2,308	-	352	7,462	-	-	-	20,873
Purchase of property and equipment	-	(1,078)	(3,264)	(4,342)	-	(4,342)	(166)	(991)	-	(17)	-	(33)	-	-	(5,549)
Issuance of notes receivable	-	(735)	(376)	(1,111)	-	(1,111)	-	-	-	-	-	-	-	-	(1,111)
Collection of notes receivable	-	-	12	12	-	12	-	-	-	-	43	12	-	(43)	12
Payment of notes receivable	-	-	(43)	(43)	-	(43)	-	-	-	-	-	-	-	43	-
Release of (transfer to) restricted cash, cash equivalents, and investments	-	20	(20)	-	-	-	-	-	-	-	-	-	-	-	-
Net cash provided by (used in) investing activities	-	(1,321)	3,847	2,526	-	2,526	(5,137)	107	-	336	3,826	(111)	-	-	1,547
FINANCING ACTIVITIES															
Payment of long-term debt	-	(119)	(936)	(1,055)	-	(1,055)	-	(955)	-	-	-	-	-	-	(2,010)
Refund of entrance fees	-	(3,516)	(5,817)	(9,333)	-	(9,333)	-	(6,901)	-	-	-	-	-	-	(16,234)
Distributions from related parties	524	82	(414)	192	50	242	85	14	-	335	-	-	-	(676)	-
Transfer of net assets	-	(162)	(182)	(344)	-	(344)	5,056	(141)	1	16	(4,886)	299	-	(1)	-
Net cash provided by (used in) financing activities	524	(3,715)	(7,349)	(10,540)	50	(10,490)	5,141	(7,983)	1	351	(4,886)	299	-	(677)	(18,244)
Net increase (decrease) in cash and cash equivalents and restricted cash and cash equivalents	82	(504)	(117)	(539)	(2)	(541)	149	2,084	1	(331)	27	219	-	582	2,190
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, beginning	8	2,919	3,041	5,968	920	6,888	919	4,995	2	1,107	766	-	-	-	14,677
CASH AND CASH EQUIVALENTS AND RESTRICTED CASH AND CASH EQUIVALENTS, ending	\$ 90	\$ 2,415	\$ 2,924	\$ 5,429	\$ 918	\$ 6,347	\$ 1,068	\$ 7,079	\$ 3	\$ 776	\$ 793	\$ 219	\$ -	\$ 582	\$ 16,867

Episcopal Communities & Services for Seniors and Subsidiaries

Consolidating Statement of Cash Flows (Continued)

(Dollars in Thousands)

Year Ended June 30, 2021

	Episcopal Communities & Services for Seniors (ECS)						Combined ECS Totals	ECS Management LLC	MonteCedro, Inc.	Creative Housing & Services	Creative Housing & Services, LLC	ECS Foundation	Twelve Oaks Foundation	Artful Home Care, LLC	Eliminating Entries	Consolidated Totals
	Scripps Kensington	The Canterbury	The Covington	Obligated Group Total	Executive Administration											
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES																
Change in net assets	\$ 22	\$ 6,087	\$ 1,370	\$ 7,479	\$ 5,865	\$ 13,344	\$ 8,365	\$ 4,419	\$ 1	\$ (22)	\$ (329)	\$ 3,050	\$ -	\$ (6,334)	\$ 22,494	
Adjustments to reconcile the change in net assets to net cash provided by (used in) operating activities																
Amortization of entrance fees	-	(915)	(1,345)	(2,260)	-	(2,260)	-	(2,207)	-	-	-	-	-	-	-	(4,467)
Amortization of premium	-	(27)	(277)	(304)	-	(304)	-	(178)	-	-	-	-	-	-	-	(482)
Amortization of financing costs	-	2	33	35	-	35	-	87	-	-	-	-	-	-	-	122
Amortization of intangible asset	-	-	-	-	80	80	-	-	-	-	-	-	-	-	-	80
Depreciation	-	2,525	4,579	7,104	-	7,104	189	5,155	-	2	-	-	-	-	-	12,450
Accretion of liability for losses from phase-out period of discontinued operations	238	-	-	238	-	238	-	-	-	-	-	-	-	-	-	238
Realized and unrealized gains (losses) on investments, net	-	(6,747)	(7,756)	(14,503)	-	(14,503)	(2,355)	(6,515)	-	22	(3,507)	1	-	-	-	(26,857)
Loss on disposal of property and equipment, net	-	38	80	118	-	118	-	-	-	-	-	-	-	-	-	118
Inherent contribution	-	-	-	-	(3,071)	(3,071)	-	-	-	-	-	-	-	-	-	(3,071)
PPP loan forgiveness	(11)	(1,173)	(1,492)	(2,676)	(165)	(2,841)	(325)	(1,096)	-	(272)	-	(151)	-	-	-	(4,685)
Interest in related parties' net assets	(260)	(185)	(92)	(537)	(2,752)	(3,289)	(5,459)	71	(1)	(449)	4,888	(3,338)	-	7,577	-	-
(Increase) decrease in																
Accounts receivable	(7)	(45)	197	145	-	145	-	15	-	10	-	(7)	-	-	-	163
Other receivables	-	(5)	35	30	6	36	(1)	-	-	80	-	-	-	-	-	115
Unconditional promises to give	-	-	-	-	-	-	-	-	-	-	3	-	-	-	-	3
Inventories	-	(5)	2	(3)	-	(3)	-	(8)	-	-	-	-	-	-	-	(11)
Prepaid expenses and other current assets	(5)	(35)	(399)	(439)	50	(389)	(23)	120	-	(30)	1	(6)	-	-	-	(327)
Other assets	-	-	(6)	(6)	(1)	(7)	-	-	-	-	-	-	-	-	-	(7)
Operating lease right of use assets	-	-	-	-	-	-	(1,501)	-	-	-	-	-	-	-	-	(1,501)
Increase (decrease) in																
Accounts payable and accrued expenses	7	(88)	1,202	1,121	474	1,595	(90)	141	-	(83)	-	(99)	-	-	-	1,464
Accrued compensation, payroll taxes, and benefits	1	437	42	480	167	647	201	81	-	-	-	106	-	-	-	1,035
Interest payable	7	6	116	129	-	129	-	134	-	-	-	-	-	-	-	263
Due to/from related parties	7	157	137	301	(705)	(404)	(352)	227	-	7	31	475	-	16	-	-
Other current liabilities	-	(363)	77	(286)	-	(286)	-	34	-	-	-	-	-	-	-	(252)
Deferred revenue	-	-	(20)	(20)	-	(20)	-	(49)	-	(283)	-	-	-	-	-	(352)
Deferred rent	-	-	-	-	-	-	(271)	-	-	-	-	-	-	-	-	(271)
Operating lease liabilities	-	-	-	-	-	-	1,767	-	-	-	-	-	-	-	-	1,767
Deposits from residents	-	550	55	605	-	605	-	5	-	-	-	-	-	-	-	610
Deferred revenue from entrance fees and liability for refundable and repayable entrance fees	-	4,318	6,847	11,165	-	11,165	-	9,524	-	-	-	-	-	-	-	20,689
Liability for losses during phase-out period	(441)	-	-	(441)	-	(441)	-	-	-	-	-	-	-	-	-	(441)
Net cash provided by (used in) operating activities	\$ (442)	\$ 4,532	\$ 3,385	\$ 7,475	\$ (52)	\$ 7,423	\$ 145	\$ 9,960	\$ -	\$ (1,018)	\$ 1,087	\$ 31	\$ -	\$ 1,259	\$ 18,887	

APPENDIX C
CONSULTANT REPORT

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Consultant's Report

Episcopal Communities & Services For Seniors

12/19/2023

Episcopal Communities & Services For Seniors

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Episcopal Communities & Services For Seniors

December 19, 2023

Charlie Rahilly
Executive Vice President and Chief Financial Officer
Episcopal Communities & Services
2212 El Molino Avenue
Altadena, CA 91001

Dear Charlie:

Included in this report are Episcopal Communities & Services for Seniors (“ECS”) forecasted financial statements provided by you along with tables and descriptions of the assumptions used, including the expansion of MonteCedro and redevelopment projects at each of The Canterbury and The Covington, as well as the associated bond financing. The tables provide details of the assumptions used in the forecast and calculates certain ratios requested by you. Moss Adams LLP assisted you in developing the tables and detailed descriptions included below. We did not test, audit or otherwise verify the data or assumptions used.

MonteCedro

The MonteCedro project will consist of four separate villa buildings with a total of 40 new residences, a new dining venue, and 38 underground parking spaces under two of the villas. As of December 19, 2023, ECS had accepted 10% deposits on 38 of the 40 new IL units and as of the same date, the existing community has 111 individuals on its wait list. Construction is imminent as of the time of our report and is expected to be completed in approximately 20 months.

The Canterbury

Based on resident preferences for living and receiving care in a residential setting, The Canterbury redevelopment plan includes converting its existing 15 Skilled Nursing beds to 15 high-acuity Assisted Living accommodations. Skilled Nursing at The Canterbury was relicensed effective June 30, 2023 to high-acuity assisted living. The project also includes expanding dining options and repositioning outdoor spaces. In this phase of the redevelopment no new units will be added.

The Covington

The Covington project will include extensive renovation of interior common spaces, expanded casual dining, repositioning the entrance area and some amenity spaces as well as extensive renovation of Assisted Living and Memory Care. Skilled Nursing at The Covington was delicensed effective June 30, 2023. The redesign will include converting Skilled Nursing beds to Memory Care units.

We have worked with you to develop the following tables to illustrate assumptions and details impacting the potential financial performance of the Obligated Group related to ongoing operations, the MonteCedro expansion and the other redevelopment projects. We have created the series of tables to highlight key information that can help readers understand these details.

Episcopal Communities & Services For Seniors

Tables 1-3 show the five year financial forecast provided by you which is based upon the Obligated Group. Revenue assumptions are provided below and expenses are assumed to increase annually at rates that vary from 4% to 4.25% depending on the expense category. Days operating cash on hand is targeted at 150 with any excess cash flowing to investments, accounts receivable is at 11.7 days of revenue, accounts payable is at 41.5 days of operating expense and accrued payroll assumes 15.1 days of payroll expense. Lastly prepaid expenses and other assets are assumed at 20.6 days of related expenses. Assets are depreciated based upon estimated useful life including vehicles at five years, technology at three years, furniture and equipment at seven years, and routine capital improvements at 20 years. New construction is assumed to depreciate over 40 years. 10.9 additional FTEs are assumed to be needed due to the expansion at MonteCedro including dining, housekeeping, residential services and nursing.

Table 4 provides ratio calculations for the debt service coverage ratio, days cash on hand, and the cash to debt ratio.

Table 5 shows the estimated sources and uses of funds from the Series 2024 Bond proceeds. Note that the financing structure includes \$30 million short-term Series 2024A Entrance Fee Bonds and \$85 million long-term Series 2024B Bonds. Certain elements related to the financing may change between the date of this report and final issuance. The full bond proceeds are approximately \$115 million. Including an ECS equity contribution of approximately \$51.2 million and net of the assumed original issue discount, the total sources are approximately \$166.2 million. Uses include \$73.1M for MonteCedro, \$35.3 million for The Canterbury, \$32.9 million for The Covington, \$13.9 million for capitalized interest fund, \$9.8M for reimbursement of prior capital expenditures, and \$1.2M for issuance costs.

Table 6 summarizes estimated annual debt service for the existing and new debt. The FY2024 and FY2025 debt service is approximately \$8.3 million and \$10.8 million. FY2026 debt service is \$40.8 million as the \$30M total principal balance for the Series 2024 Entrance Fee Bonds are due. From FY2027 to FY2028 the total debt service is approximately \$9.6M. Total debt service over the forecast period is approximately \$79 million. The Series 2024 Bonds of \$85,700,000 are assumed paid over 35 years at 5.00% coupon interest. The Entrance Fee Bonds of \$30,000,000 are assumed paid over three years at 4.00% interest.

Table 7 provides existing and expansion independent living unit inventory, entrance fees, and monthly service fees. All monthly resident fees are assumed to increase by 5% annually for The Canterbury and The Covington and 4% annually for MonteCedro throughout the forecast period.

Table 8 provides existing assisted living and memory care inventory and monthly service fees. All monthly resident fees are assumed to increase by 5% annually for The Canterbury and The Covington and 4% annually for MonteCedro throughout the forecast period.

Table 9 provides the assumed monthly move-in schedule and cumulative occupancy for the 40 new IL units at MonteCedro.

Episcopal Communities & Services For Seniors

Table 10 illustrates independent living occupancy across properties with the 40 new units at MonteCedro being initially occupied in mid-FY2026. MonteCedro move-ins are assumed to happen over a six-month period beginning in November of 2025 with 13 in each of November and December, and the remaining occurring at a rate of three per month from January through April of 2026. Other than the move-ins at MonteCedro, occupancy is assumed to remain consistent throughout the forecast period and is based on historical occupancy. Management has shared that the current wait list for MonteCedro is approximately 111 and that 85% of the 40 new units have been presold. Couples mix is assumed to remain constant throughout the forecast period at 22%.

Table 11 contains the same information as Table 10 but for assisted living and memory care. Management is assuming a slight increase in occupancy at The Canterbury and The Covington by one and two units respectively in FY2025.

Table 12 provides information on home care services including the number of residents served, quantity of hours provided, and the hourly fees assumed for each location. Home care services generate approximately \$7.7 million for FY2024, climbing to \$12.7 million by FY2028 as a result of increases in hourly rates.

Table 13 provides the amount of entrance fees received and repaid each year for both existing units and the new MonteCedro units. Turnover is based on historical experience and entrance fee price inflation is assumed at 4% per year. It is further assumed that 90% of new residents will select a reoccupancy benefit entrance fee contract. Existing nonrefundable entrance fees are amortized over seven years, new nonrefundable entrance fees are amortized over three years, for a blended amortization of five years. Net entrance fees from the new units at MonteCedro are expected to exceed \$55 million by the time stabilized occupancy is reached while existing unit turnover currently yields approximately \$12 million annually, increasing to \$14.4 million annually by the end of the forecast period.

Episcopal Communities & Services For Seniors

Table 1 (000's)

	AUDITED 2023	FORECASTED PERIOD FOR THE YEARS ENDING JUNE 30,				
		2024	2025	2026	2027	2028
OPERATING REVENUE AND OTHER SUPPORT WITHOUT DONOR RESTRICTION						
Resident care fees, net	\$ 44,352	\$ 46,351	\$ 49,690	\$ 55,221	\$ 59,566	\$ 62,296
Ancillary services	4,041	3,178	3,654	4,202	4,623	5,085
Amortization of entrance fees	5,105	7,107	7,884	10,413	10,917	11,463
Service revenue	7,084	7,744	9,038	10,439	11,509	12,688
Contributions	155	155	160	164	169	174
Other	227	227	234	241	248	255
Total operating revenue and other support	60,964	64,762	70,660	80,680	87,032	91,961
Investment returns (losses) available for current operations, net	12,114	6,871	6,871	6,871	6,871	6,871
Total operating revenue, other support, and investment returns	73,078	71,632	77,530	87,551	93,902	98,832
OPERATING EXPENSES						
General and administrative	13,991	15,443	16,060	16,811	17,483	18,183
Dining service	10,350	10,985	11,425	12,377	12,973	13,493
Nursing service, routine	19,570	17,376	19,312	20,240	20,659	21,546
Residential services	3,056	3,182	3,310	3,560	3,735	3,885
Environmental services	9,668	10,053	10,455	11,637	12,188	12,676
COVID-19 direct expenses	574	-	-	-	-	-
Other expenses	1,378	1,236	1,274	1,316	1,359	1,404
Total operating expenses before depreciation	58,587	58,275	61,836	65,941	68,397	71,187
Depreciation	13,248	14,107	13,659	15,426	15,989	15,656
Total operating income (loss)	1,243	(750)	2,035	6,184	9,516	11,989
OTHER EXPENSE (INCOME)						
Gain on bond refinancing	(557)	-	-	-	-	-
Interest expense	3,066	2,615	2,537	6,076	6,652	6,563
Amortization expense	70	114	114	347	467	468
Loss on disposal of property and equipment	470	-	-	-	-	-
Total other expenses, net	3,049	2,729	2,651	6,423	7,119	7,031
Excess (deficiency) of revenue over expenses	(1,806)	(3,479)	(616)	(239)	2,397	4,958
NET ASSETS (DEFICIT), beginning of year	(13,755)	(15,492)	(18,971)	(19,587)	(19,826)	(17,429)
NET ASSETS (DEFICIT), end of year	(15,561)	(18,971)	(19,587)	(19,826)	(17,429)	(12,471)

Episcopal Communities & Services For Seniors

Table 2 (000's)

	AUDITED 2023	FORECASTED PERIOD AS OF JUNE 30,				
		2024	2025	2026	2027	2028
CURRENT ASSETS						
Cash and cash equivalents	\$ 8,178	\$ 17,029	\$ 18,710	\$ 18,120	\$ 18,612	\$ 19,931
Investments, short-term	25,132	25,132	25,132	25,132	25,132	25,132
Accounts receivable, net	1,425	1,489	1,596	1,774	1,914	2,002
Other receivables	66	66	66	66	66	66
Inventories	222	236	245	265	278	289
Prepaid expenses and other current assets	791	873	909	952	989	1,029
Notes receivable, current portion	3,299	3,299	3,299	3,299	3,299	3,299
Assets limited as to use, required for current liabilities	2	-	-	-	-	-
Total current assets	39,115	48,124	49,957	49,608	50,290	51,748
PROPERTY AND EQUIPMENT						
Land	28,338	28,338	28,338	28,338	28,338	28,338
Land improvements	6,800	6,800	6,800	6,800	6,800	6,800
Buildings and improvements	286,124	305,508	315,308	448,485	458,285	468,085
Furnishings and equipment	29,646	29,646	29,646	29,646	29,646	29,646
Capitalized computer hardware and software	1,939	1,939	1,939	1,939	1,939	1,939
Project development costs and construction in progress	7,234	52,596	128,619	-	-	-
Total property, plant, and equipment	360,081	424,827	510,650	515,208	525,008	534,808
Less: accumulated depreciation	(146,453)	(160,560)	(174,219)	(189,645)	(205,634)	(221,291)
Total property, plant, and equipment, net accumulated depreciation	213,628	264,267	336,431	325,563	319,374	313,517
Total property, plant, and equipment, net	213,628	264,267	336,431	325,563	319,374	313,517
ASSETS LIMITED AS TO USE, net of current portion						
Waitlist deposits	4,620	4,620	4,620	-	-	-
Insurance collateral	273	273	273	273	273	273
Project fund	-	80,740	12,040	-	-	-
Interest reserve fund	-	10,302	5,267	766	766	766
Entrance fee fund	-	-	-	-	-	-
OTHER ASSETS						
Investments, long-term	87,928	60,715	68,461	112,885	125,779	140,666
Notes receivable, net of current portion	587	587	587	587	587	587
Other assets	150	150	150	150	150	150
Interest in related parties' net assets	3,475	3,475	3,475	3,475	3,475	3,475
Total Other assets	92,140	64,927	72,673	117,097	129,991	144,878
Total assets	349,776	473,253	481,261	493,307	500,694	511,182
CURRENT LIABILITIES						
Accounts payable and accrued expenses	\$ 3,210	\$ 2,958	\$ 3,353	\$ 3,104	\$ 3,164	\$ 3,448
Accrued compensation, payroll taxes, and benefits	2,425	2,412	2,560	2,729	2,831	2,947
Construction payables	-	15,500	14,000	-	-	-
Interest payable	336	323	313	302	291	280
Entrance fee refunds upon reoccupancy payable	7,925	8,053	8,185	9,853	10,002	10,159
Other current liabilities	4,785	1,633	5,068	-	-	-
Due to related parties	472	472	472	472	472	472
Deferred revenue	1,143	1,341	1,525	2,093	2,211	2,335
period of discontinued operations	86	86	86	86	86	86
Current portion of long-term debt	2,700	2,780	32,865	2,955	3,040	4,325
Total current liabilities	23,082	35,558	68,427	21,594	22,097	24,052
OTHER LIABILITIES						
Note payable to related parties	75	75	75	75	75	75
Deposits from residents	537	561	602	669	721	754
Liability for refundable and repayable entrance fees	229,284	232,976	236,816	285,060	289,378	293,926
Deferred revenue from entrance fees	26,887	31,536	35,878	49,243	52,004	54,924
Liability for losses during phase-out period of discontinued operations, net of current portion	229	229	229	229	229	229
Long-term debt, net of current maturities	85,174	191,289	158,821	156,263	153,620	149,693
Total other liabilities	342,186	456,666	432,421	491,539	496,027	499,601
Total liabilities	365,268	492,224	500,848	513,133	518,124	523,653
NET ASSETS (DEFICIT)						
Without donor restrictions	(17,420)	(20,899)	(21,515)	(21,754)	(19,358)	(14,399)
With donor restrictions	1,928	1,928	1,928	1,928	1,928	1,928
Total net assets	(15,492)	(18,971)	(19,587)	(19,826)	(17,430)	(12,471)
Total liabilities and net assets	349,776	473,253	481,261	493,307	500,694	511,182

Episcopal Communities & Services For Seniors

Table 3 (000's)

	AUDITED	FORECASTED PERIOD				
		FOR THE YEARS ENDING JUNE 30,				
	2023	2024	2025	2026	2027	2028
CASH PROVIDED BY OPERATING ACTIVITIES						
Change in net assets	\$ (1,737)	\$ (3,479)	\$ (616)	\$ (239)	\$ 2,397	\$ 4,958
Adjustments to reconcile the change in net assets to net cash provided by operating activities						
Amortization of entrance fees	(5,105)	(7,107)	(7,884)	(10,413)	(10,917)	(11,463)
Amortization of premium	(58)	249	397	397	397	398
Amortization of financing costs	70	-	-	-	-	-
Depreciation	13,248	14,107	13,659	15,426	15,989	15,656
period of discontinued operations	312	-	-	-	-	-
Realized and unrealized (gains) losses on investments, net	(8,934)	-	-	-	-	-
Gain on bond refinancing	(557)	-	-	-	-	-
Interest in related parties net assets	(331)	-	-	-	-	-
Loss on disposal of property and equipment	470	-	-	-	-	-
(Increase) decrease in						
Accounts receivable	(124)	(64)	(107)	(178)	(140)	(88)
Other receivables	27	-	-	-	-	-
Inventories	38	(14)	(9)	(20)	(13)	(11)
Prepaid expenses and other current assets	465	(82)	(36)	(43)	(37)	(40)
Other assets	52	-	-	-	-	-
Increase (decrease) in						
Accounts payable and accrued expenses	988	(253)	394	(247)	59	286
Accrued compensation, payroll taxes, and benefits	104	(13)	148	169	102	116
Interest payable	(130)	(13)	(10)	(11)	(11)	(11)
Due to/from related parties	(856)	-	-	-	-	-
Other current liabilities	3,899	(3,152)	3,435	(5,068)	-	-
Deferred revenue	918	198	184	568	118	124
Deposits from residents	93	24	41	67	52	33
for refundable and repayable entrance fees	36,751	128	132	1,668	149	157
of discontinued operations	(427)	-	-	-	-	-
Net cash provided by operating activities	39,176	529	9,728	2,076	8,145	10,115
CASH FLOWS FROM INVESTMENT ACTIVITIES						
Investment income reinvested	(3,143)	-	-	-	-	-
Purchase of investments	(463)	-	-	-	-	-
Net Sale (Purchase) of investments	7,222	27,213	(7,746)	(44,424)	(12,894)	(14,887)
Purchase of property and equipment	(14,352)	(37,096)	(77,522)	(8,759)	-	-
Purchase of routine property and equipment	-	(12,150)	(9,800)	(9,800)	(9,800)	(9,800)
Issuance of note receivable	(11,242)	-	-	-	-	-
Collection of notes receivable	10,846	-	-	-	-	-
Payment of notes receivable	(211)	-	-	-	-	-
Net change in project fund	-	(80,740)	68,700	12,040	-	-
Net change in interest service fund	-	(10,302)	5,035	4,501	-	-
Net change in assets limited as to use	-	2	-	4,620	-	-
Net change in entrance fee fund from sale of new units	-	-	-	-	-	-
Net cash (used in) provided by investing activities	(11,343)	(113,073)	(21,333)	(41,822)	(22,694)	(24,687)
CASH FLOWS FROM FINANCING ACTIVITIES						
Payment of long-term debt	(43,350)	(2,700)	(2,780)	(32,865)	(2,955)	(3,040)
Proceeds from issuance of long-term debt	-	109,848	-	-	-	-
Cash paid for financing costs	-	(1,201)	-	-	-	-
Proceeds from entrance fees	37,790	46,493	48,353	105,599	54,569	57,540
Refund of entrance fees	(27,324)	(31,045)	(32,287)	(33,578)	(36,573)	(38,609)
Transer of net assets	494	-	-	-	-	-
Net cash used in financing activities	(32,390)	121,395	13,286	39,156	15,041	15,891
Net increase (decrease) in cash and cash equivalents	(4,557)	8,851	1,681	(590)	492	1,319
CASH AND CASH EQUIVALENTS, beginning of year	12,735	8,178	17,029	18,710	18,120	18,612
CASH AND CASH EQUIVALENTS, end of year	8,178	17,029	18,710	18,120	18,612	19,931

Episcopal Communities & Services For Seniors

Table 4 (000's)

	AUDITED	FORECASTED PERIOD FOR THE YEARS ENDING JUNE 30,				
	2023	2024	2025	2026	2027	2028
DEBT SERVICE COVERAGE RATIO ^(a)						
Change in net assets (deficit) without donor restrictions	\$ (1,806)	\$ (3,479)	\$ (616)	\$ (239)	\$ 2,397	\$ 4,958
Adjustments						
Amortization of entrance fees	(5,105)	(7,107)	(7,884)	(10,413)	(10,917)	(11,463)
Interest expense	3,066	2,615	2,537	6,076	6,652	6,563
Depreciation	13,248	14,107	13,659	15,426	15,989	15,656
Amortization expense	70	114	114	347	467	468
Net turnover entrance fees received	9,427	15,448	16,066	16,709	15,771	15,845
Unrealized gains	(7,394)	(3,571)	(3,571)	(3,571)	(3,571)	(3,571)
Loss on disposal of property and equipment	470	-	-	-	-	-
Gain on bond financing	(557)	-	-	-	-	-
Cash flow available for debt service	<u>\$ 11,419</u>	<u>\$ 18,127</u>	<u>\$ 20,305</u>	<u>\$ 24,335</u>	<u>\$ 26,788</u>	<u>\$ 28,456</u>
Forecasted annual debt service	\$ 5,625	\$ 5,327	\$ 5,327	\$ 6,116	\$ 9,617	\$ 9,614
Forecasted annual debt service coverage ratio	<u>2.03</u>	<u>3.40</u>	<u>3.81</u>	<u>3.98</u>	<u>2.79</u>	<u>2.96</u>
Maximum annual debt service						<u>\$ 10,820</u>
Maximum annual debt service coverage ratio						<u>2.63</u>
DAYS CASH ON HAND ^(a)						
Cash and cash equivalents	\$ 8,178	\$ 17,029	\$ 18,710	\$ 18,120	\$ 18,612	\$ 19,931
Investments						
Investments, short term	25,132	25,132	25,132	25,132	25,132	25,132
Investments, long term	87,928	60,715	68,461	112,885	125,779	140,666
Total	<u>\$ 121,238</u>	<u>\$ 102,876</u>	<u>\$ 112,303</u>	<u>\$ 156,137</u>	<u>\$ 169,523</u>	<u>\$ 185,729</u>
Expenses	\$ 58,587	\$ 58,275	\$ 61,836	\$ 65,941	\$ 68,397	\$ 71,187
Daily cash expenses	\$ 161	\$ 160	\$ 169	\$ 181	\$ 187	\$ 195
Days cash on hand	<u>755</u>	<u>644</u>	<u>663</u>	<u>864</u>	<u>905</u>	<u>952</u>
CASH TO DEBT						
Cash and cash equivalents	\$ 8,178	\$ 17,029	\$ 18,710	\$ 18,120	\$ 18,612	\$ 19,931
Investments						
Investments, short term	25,132	25,132	25,132	25,132	25,132	25,132
Investments, long term	87,928	60,715	68,461	112,885	125,779	140,666
Total	<u>\$ 121,238</u>	<u>\$ 102,876</u>	<u>\$ 112,303</u>	<u>\$ 156,137</u>	<u>\$ 169,523</u>	<u>\$ 185,729</u>
Long-term debt						
Current portion of bonds payable	2,700	2,780	32,865	2,955	3,040	4,325
Bonds payable, net of current portion	86,170	199,090	166,225	163,270	160,230	155,905
Total	<u>\$ 88,870</u>	<u>\$ 201,870</u>	<u>\$ 199,090</u>	<u>\$ 166,225</u>	<u>\$ 163,270</u>	<u>\$ 160,230</u>
Cash to debt	<u>136.4%</u>	<u>51.0%</u>	<u>56.4%</u>	<u>93.9%</u>	<u>103.8%</u>	<u>115.9%</u>

Episcopal Communities & Services For Seniors

Table 5

Estimated Financing Sources and Uses of Funds						
(In Thousands)						
	Bond Proceeds	Investment Earnings	Equity	Aggregate		
Sources of Funds:						
Par Amount	\$ 115,700	\$ -	\$ -	\$ 115,700		
Discount	(5,852)	-	-	(5,852)		
Investment Earnings	-	5,249	-	5,249		
Equity contribution	-	-	51,150	51,150		
Total sources of funds	\$ 109,848	\$ 5,249	\$ 51,150	\$ 166,247		
Uses of Funds:						
Project Fund	\$ 95,736	\$ 4,264	\$ 51,150	\$ 151,150		
Capitalized Interest	12,911	985	-	13,896		
Cost of Issuance	1,201	-	-	1,201		
Total uses of funds	\$ 109,848	\$ 5,249	\$ 51,150	\$ 166,247		

Source: Management, and Underwriter

Table 6

Estimated Schedule of Annual Debt Service (In Thousands)									
Ending December 31,	Series 2022A Bonds		Series 2022B		Series 2024A Entrance Fee Bonds		Series 2024B Bonds		Total Debt Service
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	
2024	\$1,455	\$1,553	\$1,245	\$1,074	\$0	\$648	\$0	\$2,309	\$8,284
2025	1,500	1,509	1,280	1,038	0	1,202	0	4,285	10,814
2026	1,550	1,463	1,315	1,000	30,000	1,202	0	4,285	40,815
2027	1,600	1,416	1,355	962	0	0	0	4,285	9,618
2028	1,645	1,367	1,395	922	0	0	0	4,285	9,614
Total	\$ 7,750	\$ 7,308	\$ 6,590	\$ 4,996	\$ 30,000	\$ 3,052	\$0	\$ 19,449	\$ 79,145

Source: Management

Table 7

Independent Living Existing Unit Configuration and Fee Assumptions						
Apartment and Home Type	Inventory	Entrance Fee 80%		Entrance Fee 36		Second Person Fee
		Reoccupancy		Month Amortized	Monthly Service Fee	
		Benefit				
<u>Canterbury</u>	98	\$	610,000	\$	396,500	\$ 6,784 1,050
<u>Covington</u>	155		943,453		613,245	6,955 750
<u>MonteCedro</u>	183		1,023,110		665,022	7,198 810

Source: Management

Independent Living Expansion Unit Configuration and Fee Assumptions						
Apartment and Home Type	Inventory	Entrance Fee 80%		Entrance Fee 36		Second Person Fee
		Reoccupancy		Month Amortized		
		Benefit		Monthly Service Fee		
MonteCedro	40	\$	1,347,500	\$	875,875	\$ 810

Source: Management

Episcopal Communities & Services For Seniors

Table 8

Assisted Living and Memory Care Existing Unit Configuration and Fee Assumptions						
Apartment and Home Type	Inventory	Assisted Living		Memory Care		
		Month to Month	Continuing Care	Month to Month*	Continuing Care	
Canterbury	42	\$ 13,546	\$ 12,996	\$ 12,897	\$ 13,291	
Covington	29	9,829	10,265	10,450	9,614	
MonteCedro	20	-	-	10,008	9,531	

Source: Management

* Not inclusive of acuity charges

Table 9

MonteCedro Expanded Independent Living Forecasted Monthly Move-In Schedule			
Month/Fiscal Year	Independent Living Move-Ins	Cumulative Occupied	Cumulative Occupancy Percentage
Fiscal Year Ending June 30, 2026			
July 2025	0	0	0.0%
August 2025	0	0	0.0%
September 2025	0	0	0.0%
October 2025	0	0	0.0%
November 2025	13	13	32.5%
December 2025	13	26	65.0%
January 2026	3	29	72.5%
February 2026	3	32	80.0%
March 2026	3	35	87.5%
April 2026	3	38	95.0%
May 2026	0	38	95.0%
June 2026	0	38	95.0%
Total	38		

Source: Management

Table 10

Existing and New Independent Living Units Forecast Utilization								
Period	Canterbury Utilization	Canterbury Occupancy %	Covington Utilization	Covington Occupancy %	MonteCedro Utilization	MonteCedro Occupancy %	Total Occupied Units	Total Occupancy %
<i>Forecast Period</i>								
2024	90.0	92%	138.0	89%	174.0	95%	402.0	92%
2025	90.0	92%	143.0	92%	174.0	95%	407.0	93%
2026	90.0	92%	144.0	93%	212.0	95%	446.0	94%
2027	90.0	92%	144.0	93%	212.0	95%	446.0	94%
2028	90.0	92%	144.0	93%	212.0	95%	446.0	94%
Available Units - '24-'25	98.0		155.0		183.0		436.0	
Available Units - '26+	98.0		155.0		223.0		476.0	

Source: Management

Episcopal Communities & Services For Seniors

Table 11

Existing Assisted Living and Memory Care Units Forecast Utilization								
Period	Canterbury Utilization	Canterbury Occupancy %	Covington Utilization	Covington Occupancy %	MonteCedro Utilization	MonteCedro Occupancy %	Total Occupied Units	Total Occupancy %
<i>Forecast Period</i>								
2024	33.0	79%	25.0	86%	19.0	95%	77.0	85%
2025	35.5	85%	27.0	93%	19.0	95%	81.5	90%
2026	37.8	90%	27.0	93%	19.0	95%	83.8	92%
2027	38.8	92%	27.0	93%	19.0	95%	84.8	93%
2028	38.8	92%	27.0	93%	19.0	95%	84.8	93%
Available Units	42.0		29.0		20.0		91.0	

Source: Management

Table 12

Home Care Residents, Utilization, and Hourly Fee Assumptions					
Unit Type	2024	2025	2026	2027	2028
<u>Canterbury</u>					
Residents	103	103	103	103	103
Hours Utilization	69,898	78,160	85,976	90,275	94,789
Hourly Fee	\$34.02	\$35.72	\$37.51	\$39.38	\$41.35
<u>Covington</u>					
Residents	200	200	200	200	200
Hours Utilization	107,517	119,627	131,589	138,169	145,077
Hourly Fee	\$33.84	\$35.53	\$37.31	\$39.17	\$41.13
<u>MonteCedro</u>					
Residents	208	208	208	208	208
Hours Utilization	50,866	55,953	61,548	64,626	67,857
Hourly Fee	\$33.96	\$35.66	\$37.44	\$39.31	\$41.28
Total Home Care Revenue	\$7,743,711	\$9,037,706	\$10,438,550	\$11,508,502	\$12,688,123

Source: Management

Episcopal Communities & Services For Seniors

Table 13

**Forecasted Entrance Fee Receipts, Refunds, and Unit Turnover For the Years Ending June 30,
(In Thousands)**

Entrance Fees Received	2024	2025	2026	2027	2028
MonteCedro Expansion Entrance Fees	\$ -	\$ -	\$ 55,312	\$ -	\$ -
MonteCedro Expansion Independent Living Unit Turnover	-	-	-	2	2
<u>MonteCedro Expansion Independent Living Turnover Assumption</u>					
Entrance Fees Received from Turnover	-	-	-	2,271	3,149
Entrance Fees Refunded from Turnover	-	-	-	(1,652)	(2,291)
Net Entrance Fees	\$ -	\$ -	\$ 55,312	\$ 621	\$ 860
<u>Existing Independent Living Unit Turnover:</u>					
Canterbury	17	17	17	17	17
Covington	28	28	28	28	28
MonteCedro	14	14	14	14	14
Total	59	59	59	59	59
<u>Existing Independent Living Turnover Assumption:</u>					
Entrance Fees Received from Turnover	\$ 43,422	\$ 45,158	\$ 46,965	\$ 48,843	\$ 50,797
Entrance Fees Refunded from Turnover	(31,045)	(32,287)	(33,578)	(34,921)	(36,318)
Net Entrance Fees from Turnover	\$ 12,377	\$ 12,871	\$ 13,387	\$ 13,922	\$ 14,479

Source: Management

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APPENDIX D

FORMS OF MASTER INDENTURE AND SUPPLEMENT NO. 3

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**MASTER TRUST INDENTURE
(AMENDED AND RESTATED)**

EPISCOPAL COMMUNITIES & SERVICES FOR SENIORS

and

**U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION,
AS SUCCESSOR TO MUFG UNION BANK, N.A.,
AS MASTER TRUSTEE**

Dated as of December 1, 2012

and

Effective on the Effective Date, as Described Herein

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MASTER TRUST INDENTURE

This MASTER TRUST INDENTURE (AMENDED AND RESTATED) (as defined more particularly herein, the “Master Indenture”), dated as of December 1, 2012 and effective on the Effective Date (as defined herein), among EPISCOPAL COMMUNITIES & SERVICES FOR SENIORS (the “Corporation”), a nonprofit public benefit corporation incorporated under the laws of the State of California, and any future Member of the Obligated Group (sometimes referred to, along with the Corporation, as a “Member”) and U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION, as successor to MUFG Union Bank N.A., as master trustee, a national banking association organized and existing under the laws of the United States of America being qualified to accept and administer the trusts hereby created (the “Master Trustee”),

WITNESSETH:

WHEREAS, the Corporation, as the initial Member, and MUFG Union Bank, N.A., as the master trustee and now succeeded by U.S. Bank Trust Company, National Association, previously entered into a Master Trust Indenture, dated as of December 1, 2012, as supplemented by the First Supplemental Master Indenture, dated as of December 1, 2012 (as so supplemented and amended, the “Original Master Indenture”), for the purpose of providing for the issuance from time to time of obligations thereunder to provide for the financing or refinancing of the acquisition, construction, renovation, refurbishing, equipping or improvement of health care or other facilities, or for other lawful and proper corporate purposes and pursuant to which the Corporation has issued certain Obligations; and

WHEREAS, the Corporation desires to amend and restate the Original Master Indenture by this Master Indenture as provided in the Second Supplemental Master Indenture; and

WHEREAS, pursuant to Section 6.2(a) of the Original Master Indenture, the Corporation, in its capacity as Obligated Group Representative under and as defined in the Original Master Indenture, acting for itself and as agent for each Member, and the Master Trustee may supplement and amend certain provisions of the Original Master Indenture for the purpose of modifying, altering, amending, adding to or rescinding any of the terms or provisions contained in the Original Master Indenture with the consent of the Holders of a majority or all Obligations Outstanding; and

WHEREAS, on the Effective Date, the Series 2022A Obligations consist of all Obligations Outstanding and pursuant to the Second Supplemental Master Indenture, the Holders of the Series 2022A Obligation have consented to the amendments of the Original Master Indenture effected by this Master Indenture; and

WHEREAS, the Corporation desires to provide for the issuance of Obligations issued from time to time hereunder by any Member to be secured equally and ratably hereunder as joint and several obligations of all Members and to authorize the Corporation, as agent, to act as Obligated Group Representative on behalf of all of them in the issuance thereof; and

WHEREAS, the Corporation is, by appropriate corporate action, authorized and empowered to enter into this Master Indenture, and each future Member by appropriate corporate

action will authorize the Corporation to act on its behalf and to provide for borrowings hereunder; and

WHEREAS, all acts and things necessary to constitute this Master Indenture a valid indenture and agreement according to its terms have been done and performed, the Member has duly authorized the execution and delivery of this Master Indenture and the Corporation proposes to enter into supplements hereto with the Master Trustee to provide for the making, execution, issuance and delivery of one or more obligations secured hereunder; and

WHEREAS, the Master Trustee agrees to accept and administer the trusts created hereby;

NOW, THEREFORE, in consideration of the premises, of the acceptance by the Master Trustee of the trusts hereby created, and of the giving of consideration for and acceptance of the Obligations issued hereunder by the holders thereof, and for the purpose of fixing and declaring the terms and conditions upon which such Obligations are to be issued, authenticated, delivered and accepted by all persons who shall from time to time be or become holders thereof, the Corporation and each other Member covenants and agrees with the Master Trustee and each Member covenants and agrees with each other for the equal and proportionate benefit of the respective Holders from time to time of Obligations issued hereunder, as follows:

ARTICLE I DEFINITIONS AND INTERPRETATION

Section 1.1 Definitions. Unless the context otherwise requires, the terms defined in this Section shall for all purposes of this Master Indenture and of any supplemental indenture issued hereafter and of any certificate, opinion or other document herein mentioned, have the meanings herein specified, equally applicable to both singular and plural forms of any of the terms herein defined.

“Accountant” means any firm of regionally-recognized independent certified public accountants selected by the Obligated Group Representative.

“Additional Indebtedness” means any Indebtedness incurred subsequent to the execution and delivery of this Master Indenture other than the Series 2022A Obligations and the Series 2022B Obligations issued under the Second Supplemental Master Indenture to secure the Series 2022A Bonds and the Series 2022B Bonds, respectively, issued pursuant to the Series 2022 Bond Purchase Agreement.

“Affiliate” means a corporation, partnership, joint venture, association, limited liability company, business trust or similar entity (a) which controls, is controlled by or is under common control with, directly or indirectly, a Member; or (b) a majority of the members of the Directing Body of which are members of the Directing Body of a Member. For the purposes of this definition, control means with respect to: (a) a corporation having stock, the ownership, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933, as amended) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the directors of such corporation; (b) a not for profit corporation not having stock, having the power to elect or appoint, directly or indirectly, a majority

of the members of the Directing Body of such corporation; or (c) any other entity, the power to direct the management of such entity through the ownership of at least a majority of its voting securities or the right to designate or elect at least a majority of the members of its Directing Body, by contract or otherwise. For the purposes of this definition, “Directing Body” means with respect to: (a) a corporation having stock, such corporation’s board of directors and the owners, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933, as amended) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the corporation’s directors (both of which groups shall be considered a Directing Body); (b) a not for profit corporation not having stock, such corporation’s members if the members have complete discretion to elect the corporation’s directors, or the corporation’s directors if the corporation’s members do not have such discretion; and (c) any other entity, its governing board or body. For the purposes of this definition, all references to directors and members shall be deemed to include all entities performing the function of directors or members however denominated.

“*Annual Debt Service*” means for each Fiscal Year the aggregate amount (without duplication) of principal and interest scheduled to become due (either by maturity or by mandatory redemption) and sinking fund payments required to be paid in that Fiscal Year on all Long-Term Indebtedness, less any amounts on irrevocable deposit in escrow to be applied during that Fiscal Year to pay principal or interest on Long-Term Indebtedness; provided that (i) any annual fees payable in respect of a credit facility issued to secure any series of Related Bonds, if any (other than annual fees to be paid from proceeds of a bond issue escrowed for such purpose) shall be included in the determination of Annual Debt Service; and (ii) to the extent an Interest Rate Agreement has been entered into in connection with any particular Indebtedness, the actual debt service paid after the effect of payments made to or received from the provider of the Interest Rate Agreement shall be included in the determination of Annual Debt Service. Whenever the term “Annual Debt Service” is used in the calculation of a Debt Service Coverage Ratio, any Guaranties shall be included only to the extent there was an actual payment on the Guaranty in such Fiscal Year. With respect to Long-Term Indebtedness incurred to finance or refinance the construction of capital improvements, principal and interest with respect to such Long-Term Indebtedness in any Fiscal Year shall be excluded from the determination of Annual Debt Service but only to the extent that, and in the amount by which, such principal and interest on such Long-Term Indebtedness is payable in such Fiscal Year from the proceeds of such Long-Term Indebtedness.

“*Authorized Representative*” means with respect to each Member, the chairperson of its Governing Body or its chief executive officer or its chief financial officer or any other person designated an authorized representative of such Member by a Certificate of such Member signed by the chairperson of its Governing Body or its chief executive officer or chief financial officer and filed with the Master Trustee.

“*Balloon Indebtedness*” means Long-Term Indebtedness of a Member, 25% or more of the principal of which becomes due (either by maturity or mandatory redemption) during any period of 12 consecutive months, which portion of the principal is not required by the documents governing such Indebtedness to be amortized by redemption prior to such date.

“*Book Value*” means, when used in connection with Property of any Member, the value of such property, net of accumulated depreciation, as it is carried on the books of such person and in

conformity with GAAP, and when used in connection with Property of the Obligated Group, means the aggregate of the values so determined with respect to such Property of each Member determined in such a way that no portion of such value of Property of any Member is included more than once.

“*Business Day*” means a day of the year which is not (a) a Saturday, Sunday or legal holiday on which banking institutions located in the city of the Corporate Trust Office are authorized by law to close or (b) a day on which the New York Stock Exchange is closed.

“*Capital Addition*” means any addition improvements, extensions, alterations, relocations, enlargements, expansions, modifications or replacement of or to the Facilities.

“*Capital Addition Start-Up Period*” shall have the meaning set forth in Section 3.8(e) hereof.

“*Cash and Liquid Investments*” means all unrestricted cash and liquid investment balances, including without limitation, such amounts constituting board designated funds, whether classified as current or noncurrent assets, held by the Obligated Group for any of their corporate purposes, but excluding amounts available under lines of credit and excluding amounts held by the Master Trustee, all as set forth in the most recent financial statements delivered under this Master Indenture. For purposes of calculations under this Master Indenture, an unrestricted contribution from an Affiliate of a Member shall be treated as being made during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Officer’s Certificate is required to be delivered with respect to such calculation.

“*Certificate*”, “*Statement*”, “*Request*”, “*Consent*” or “*Order*” of any Member or of the Master Trustee means, respectively, a written certificate, statement, request, consent or order signed in the name of such Member by its respective Authorized Representative or in the name of the Master Trustee by its Responsible Officer. Any such instrument and supporting opinions or certificates, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or certificate and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by Section 1.4 hereof, each such instrument shall include the statements provided for in Section 1.4.

“*Code*” means the Internal Revenue Code of 1986 and the regulations issued thereunder, or any successor to the Internal Revenue Code of 1986.

“*Completion Indebtedness*” means any Long-Term Indebtedness incurred by any Member for the purpose of financing the completion of acquiring, constructing, renovating, refurbishing, equipping or improving any project for which Long-Term Indebtedness has previously been incurred in accordance with the provisions hereof.

“*Construction Consultant*” means the architects, engineers, development consultant, supervising contractors or other qualified consultant selected by the Obligated Group or any Member in connection with the acquisition, installation, improvement or construction of a project or a portion thereof for which Long-Term Indebtedness has previously been incurred in accordance with the provisions hereof.

“Corporate Trust Office” means the office of the Master Trustee at which it will administer the accounts established under this Master Indenture, which, at the Effective Date, is located at Global Corporate Trust Services, 555 SW Oak Street, PD-OR-P7TD Portland, Oregon 97204.

“Corporation” means Episcopal Communities & Services for Seniors, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under this Master Indenture.

“Current Value” means the aggregate sum of the Book Value of personal property plus the fair market value of the real property. The fair market value of real property shall be as reflected in the most recent written report of an appraiser selected by the Corporation, which shall be an appraiser who is a member of the American Institute of Real Estate Appraisers (MAI), and the report shall be delivered to the Master Trustee (which report shall be dated not more than three years prior to the date as of which Current Value is to be calculated).

“Days Cash on Hand” means the amount determined by dividing (1) the Cash and Liquid Investments of the Obligated Group as of a particular date by (2) the quotient derived by dividing (a) the Obligated Group’s total operating expenses (less depreciation and amortization and other non-cash items, including, without limitation, losses on refinancing of debt, non-cash termination value of any hedging derivative, interest rate exchange or similar contract, and any one-time charges in connection with development projects that have been abandoned by the Obligated Group) for the most recent preceding Fiscal Year for which Obligated Group Financial Statements have been delivered under the Master Indenture by (b) the number of days in such Fiscal Year.

“Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Annual Debt Service.

“Effective Date” means May 16, 2022.

“Escrow Obligations” means: (1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America; (2) obligations, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following: Banks for Cooperatives, Federal Intermediate Credit Banks, Federal Home Loan Bank System, Export-Import Bank of the United States, Federal Financing Bank, Federal Land Banks, Government National Mortgage Association, Farmer’s Home Administration, Small Business Administration, Federal Home Loan Mortgage Corporation or Federal Housing Administration, (3) certificates which evidence ownership of the right to the payment of the principal of and interest on obligations described in clauses (1) and (2), provided that such obligations are held in the custody of a bank or trust company in a special account separate from the general assets of such custodian, and (4) obligations the interest on which is excluded from gross income for purposes of federal income taxation pursuant to Section 103 of the Internal Revenue Code of 1986, and the timely payment of the principal of and interest on which is fully provided for by the deposit in trust or escrow of cash or obligations described in clauses (1), (2) or (3).

“Event of Default” means any of the events specified in Section 4.1 hereof.

“Excluded Property” means any assets of “employee pension benefit plans” as defined in the Employee Retirement Income Security Act of 1974, as amended, maintained by or for the benefit of the Obligated Group, any moneys and securities held as an entrance fee or security deposit, or in a resident trust fund, for any resident of any Facility of a Member, any real estate parcels the Corporation may hold temporarily as a convenience to its Affiliates, and the real estate described in Exhibit C herein, as amended as provided herein from time to time, and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith. Except where explicitly set forth herein, Property does not include Excluded Property.

“Extendable Indebtedness” means indebtedness which is repayable or subject to purchase at the option of the holder thereof prior to its stated maturity, but only to the extent of money available for the repayment or purchase therefore and not more frequently than once every year.

“Extraordinary Items” means the after-tax financial impact of significant events, transactions, or activities that are both unusual in nature and infrequent in occurrence. Such extraordinary events, transactions or activities include, but are not limited to, the following: (i) natural disasters (tornado, flood, fire, pandemic), (ii) affiliation or asset acquisitions activities, including direct expenses incurred related to pre-affiliation or acquisition activities, such as, without limitation, legal fees, consultant fees and due diligence costs, as well as post affiliation or acquisition adjustments and (iii) insurance settlements.

“Facilities” means all land, leasehold interests and buildings and all fixtures and equipment (as defined in the Uniform Commercial Code or equivalent statute in effect in the state where such fixtures or equipment are located) of a Member. Facilities shall not include the land, leasehold interests, buildings, fixtures or equipment constituting Excluded Property.

“Fair Market Value”, when used in connection with Property, means the fair market value of such Property as determined by either (1) an appraisal of the portion of such Property which is real property made within three years of the date of determination by a member of the American Institute of Real Estate Appraisers and by an appraisal of the portion of such Property which is not real property made within three years of the date of determination by any expert, provided that any such appraisal shall be performed by a person or firm which (a) is in fact independent, (b) does not have any direct financial interest or any material indirect financial interest in any Member and (c) is not connected with any Member as an officer, employee, promoter, underwriter, trustee, partner, director or person performing similar functions or (2) a bona fide offer for the purchase of such Property made on an arm’s length basis within six months of the date of determination as established by an Officer’s Certificate.

“Financing” means a borrowing pursuant to any Obligation authorized by this Master Indenture.

“First Supplemental Master Indenture” means the First Supplemental Master Trust Indenture dated as of December 1, 2012.

“Fiscal Year” means that period adopted by the Obligated Group Representative as its annual accounting period. Initially, the Fiscal Year is the period from July 1 of a year to June 30 of the succeeding year.

“GAAP” means accounting principles generally accepted in the United States of America, consistently applied.

“Governing Body” means, when used with respect to any Member, its board of directors, board of trustees, or other board or group of individuals in which all of the powers of such Member are vested except for those powers reserved to the corporate membership thereof by the articles of incorporation or bylaws of such Member.

“Government Issuer” means any municipal corporation, political subdivision, state, territory or possession within the United States, or any constituted authority or agency or instrumentality of any of the foregoing empowered to issue obligations on behalf thereof, which obligations would constitute Related Bonds hereunder.

“Gross Revenue Fund” means the fund by that name established pursuant to Section 3.2.

“Gross Revenues” means any and all revenues, rents, profits, earnings, interest, receipts, benefits, grants, donations, bequests, contributions, reimbursements, royalties, money, funds, cash proceeds, income, and other payments received by, on behalf of, or for the benefit of any Obligated Group Member from any source and regardless of form, in each case whether now owned or hereafter acquired, but excluding Restricted Moneys. Gross Revenues include, without limitation: (i) all entrance fees (earned and unearned), monthly service fees and all other operating and non-operating revenues, (ii) proceeds derived from the Obligated Group Members’ rights under agreements with insurance companies, Medicare, Medi-Cal, governmental units and prepaid health organizations, including rights to Medicare and Medi-Cal loss recapture under applicable regulations, (iii) gifts, grants, bequests, donations, contributions and pledges to any Obligated Group Member, (iv) insurance proceeds or any award, or payment in lieu of an award, resulting from condemnation proceedings, (v) all proceeds of the sale, condemnation, or other disposition of goods, inventory and other tangible and intangible property, and (vi) all proceeds from the rights to receive the foregoing.

“Guaranty” means all loan commitments and all obligations of any Member guaranteeing in any manner whatever, whether directly or indirectly, any obligation of any other Person which would, if such other Person were a Member, constitute Indebtedness.

“Holder” means the registered owner of any Obligation in registered form or the bearer of any Obligation in coupon form which is not registered or is registered to bearer.

“Income Available for Debt Service” means, with respect to the Obligated Group, as to any period of time, the excess of revenues over expenses (or, in the case of for-profit Members, net income after taxes) of the Obligated Group for such period, to which shall be added depreciation, amortization and interest expense, all as determined in accordance with GAAP, provided that no such determination shall take into account (i) any gain or loss resulting from the early extinguishment or refinancing of Indebtedness, (ii) any gain or loss resulting from any disposition

of capital assets not made in the ordinary course of business or any revenue of an Affiliate which is not a Member, (iii) any one-time charge in connection with a development project that has been abandoned by the Obligated Group or any gain or loss resulting from discontinued operations, (iv) any gain or loss resulting from changes in the valuation of Indebtedness, investment securities or any Interest Rate Agreement, (v) the application of changes in accounting principles, (vi) any gain or loss resulting from pension terminations, settlements or curtailments, (vii) any unusual charges for employee severance, (viii) any loss from impairment of the value of an asset, (ix) unrealized gains or losses that do not result in the receipt or expenditure of cash, (x) unrealized gains or losses from the write-down, reappraisal or revaluation of assets, (xi) any gains or losses that are Extraordinary Items and any expenses that are Extraordinary Items, or (xii) any other non-cash revenue or expense items. For purposes of this definition, revenues shall include (1) resident service revenues, (2) other operating revenues, (3) non-operating revenues or contributions (other than restricted contributions, income derived from the sale or other disposition of assets not in the ordinary course of business or any gain from the extinguishment of debt or other extraordinary item or earnings which constitute funded interest or earnings on amounts which are irrevocably deposited in escrow to pay the principal of or interest on Indebtedness), and (4) entrance fees received minus (a) entrance fees amortized during such Fiscal Year, (b) entrance fees refunded to residents and (c) Initial Entrance Fees.

“Indebtedness” means, all obligations for borrowed money, installment sales and finance lease obligations, incurred or assumed by a Member (other than Indebtedness of one Member to another Member or the Guaranty by any Member of Indebtedness of any other Member), including Guaranties, Long-Term Indebtedness, Short-Term Indebtedness or any other obligation for payments of principal and interest with respect to money borrowed, provided, however, that if more than one Member shall have incurred or assumed a Guaranty of a Person other than a Member, or if more than one Member shall be obligated to pay any obligation, for purposes of any computations or calculations hereunder such Guaranty or obligation shall be included only one time. Interest Rate Agreements, trade payables, operating lease obligations, accrued expenses in the normal course of business, contingent liabilities not reflected on financial statements in accordance with GAAP, and any obligation to repay moneys deposited by patients or others with a Member as security for or as prepayment of the cost of patient care or any rights of residents (or their estates) of life care, elderly housing or similar facilities to entrance fees (whether amortized into income or not), endowment or similar funds deposited by or on behalf of such residents including but not limited to any deferred obligations for the refund or repayment of entrance fees, any rent, development, marketing, operating or other fees that have been deferred from the year in which they were originally due as a result of deferral or subordination, shall not constitute Indebtedness.

“Independent Consultant” means a firm (but not an individual) which (1) is in fact independent of and has no relationship with the Corporation or a Member other than as provided within the scope of a consulting engagement including, but not limited to, subparagraphs (2) and (3) below, (2) does not have any direct financial interest or any material indirect financial interest in any Member or any Affiliate and (3) is not connected with any Member or any Affiliate as an officer, employee, trustee, partner, director or person performing similar functions, and designated by the Obligated Group Representative, qualified to pass upon questions relating to the financial

affairs of facilities of the type or types operated by the Obligated Group and having a favorable reputation for skill and experience in the financial affairs of such facilities.

“Industry Restrictions” means federal, state or other applicable governmental laws or regulations or general industry standards or general industry conditions placing restrictions and limitations on the rates, fees and charges to be fixed, charged and collected by the Members.

“Initial Entrance Fees” means fees received upon the initial occupancy of any newly-constructed independent living units that are part of a project (including any such fees collected for the purpose of obtaining a parking space) not previously occupied, other than security deposits, monthly rentals or monthly service charges, paid to a Member by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, residency agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, residency agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Interest Rate Agreement” means an interest rate exchange, hedge or similar agreement, expressly identified in an Officer’s Certificate of the Corporation delivered to the Master Trustee as being entered into in order to hedge the interest payable on all or a portion of any Indebtedness, which agreement may include, without limitation, an interest rate swap, a forward or futures contract or an option (e.g. a call, put, cap, floor or collar) and which agreement does not constitute an obligation to repay money borrowed, credit extended or the equivalent thereof. An Interest Rate Agreement shall not constitute Indebtedness hereunder.

“Interim Indebtedness” means Long-Term Indebtedness with a final maturity 60 months or less from the date of incurrence, certified in an Officer’s Certificate filed with the Master Trustee to have been incurred in anticipation of refinancing with the proceeds of other Long-Term Indebtedness other than Interim Indebtedness prior to the final maturity thereof.

“Land” means the real Property owned or leased by the Obligated Group upon which the primary operations of the Members are conducted as described in Exhibit B hereto, as amended as provided herein from time to time, together with all buildings, improvements and fixtures located thereon, but excluding therefrom the Excluded Property.

“Lien” means any mortgage or pledge of, or security interest in, or lien or encumbrance on, any Property, excluding Liens applicable to Property in which any Member has only a leasehold interest unless the Lien is with respect to such leasehold interest.

“Long-Term Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Maximum Annual Debt Service.

“Long-Term Indebtedness” means Indebtedness having an original maturity greater than one year or renewable at the option of a Member for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no

Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year; provided, however, that fees and other amounts due to an Affiliate of a Member for money borrowed, credit extended or services rendered, the payment of which are deferred or not yet payable at the time of calculation and which are subordinate to payments due on all Obligations issued hereunder in accordance with written agreements between such Affiliates and a Member shall not be considered Long-Term Indebtedness.

“*Master Indenture*” means this Master Trust Indenture (Amended and Restated) as originally executed and as it may from time to time be supplemented, modified or amended in accordance with the terms hereof.

“*Master Trustee*” means U.S. Bank Trust Company, National Association, as successor to MUFG Union Bank, N.A., a national banking association organized and existing under and by virtue of the laws of the United States of America and, subject to the limitations contained in Section 5.7, any other corporation or association which may be co-trustee with the Master Trustee and any successor or successors to said trustee or co-trustee in the trusts created hereunder.

“*Maximum Annual Debt Service*” means the greatest amount of Annual Debt Service becoming due and payable in any Fiscal Year including the Fiscal Year in which the calculation is made or any subsequent Fiscal Year; provided, however, that for the purposes of computing Maximum Annual Debt Service:

(a) There shall be included in the Long-Term Indebtedness of any Member, 20% of the annual principal and interest requirements with respect to the debt of any Person subject to a Guaranty by such Member. If any Member has been required by reason of its Guaranty to make a payment in respect of another Person’s Indebtedness within the immediately preceding two Fiscal Years, all of the annual principal and interest requirements with respect to the debt subject to the Guaranty shall be included in Long-Term Indebtedness.

(b) For any Long-Term Indebtedness for which a binding commitment, letter of credit or other credit arrangement providing for the extension of such Indebtedness beyond its original maturity date exists, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, be made on the assumption that such Long-Term Indebtedness will be amortized in accordance with such credit arrangement.

(c) For any Balloon Indebtedness and Interim Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Long-Term Indebtedness is to be amortized over a period specified by the Obligated Group Representative up to 30 years in duration, beginning on the date of maturity of such Indebtedness or such earlier date as may be specified by the Obligated Group Representative, assuming level debt service and a rate of interest equal to the Projected Rate; provided, however that if the Projected Rate cannot be determined the rate shall be assumed to be a fixed rate of interest equal to the most recently published Bond Buyer 30-year Revenue Bond Index or a similar index.

(d) For any Extendable Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Extendable

Indebtedness is to be amortized over the period until its stated maturity, assuming level debt service and a fixed rate of interest equal to the current rate of interest on such Extendable Indebtedness.

(e) If interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula (including Balloon Indebtedness and Interim Indebtedness, if the Obligated Group Representative does not choose to use paragraph (c) above, and including Extendable Indebtedness, if the Obligated Group Representative does not choose to use paragraph (d) above), the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be a fixed rate of interest equal to the most recently published average of the Securities Industry and Financial Markets Association (SIFMA) Municipal Swap Index over the preceding ten years (or a similar index if unavailable), plus the cost of any credit enhancement fees and remarketing fees, if any.

(f) Anything herein to the contrary notwithstanding, any portion of any Indebtedness of any Member for which an Interest Rate Agreement has been obtained by such Member shall be deemed to bear interest for the period of time that such Interest Rate Agreement is in effect at a net rate which takes into account the interest payments made by such Member on such Indebtedness and the payments made or received by such Member on such Interest Rate Agreement.

“*Member*” or “*Obligated Group Member*” means each signatory to this Master Indenture, together with each other Person which is obligated hereunder to the extent and in accordance with the provisions of Section 3.14 hereof, from and after the date upon which such Person joins the Obligated Group, but excluding any member of the Obligated Group which withdraws from the Obligated Group to the extent and in accordance with the provisions of Section 3.15 hereof, from and after the date of such withdrawal.

“*Obligated Group*” means all Members.

“*Obligated Group Financial Statements*” are the financial statements of the Obligated Group delivered pursuant to the requirements of Section 3.12(b)(1).

“*Obligated Group Representative*” means the Corporation or such other Member as may have been designated pursuant to written notice to the Master Trustee executed by all of the Members.

“*Obligation*” means any obligation of the Obligated Group issued hereunder, as a joint and several obligation of each Member, which may be in any form set forth in a Related Supplement, including, but not limited to, bonds, obligations, debentures, reimbursement agreements, loan agreements or leases. Reference to a “Series of Obligations” or to “Obligations of a Series” means Obligations or series of Obligations issued pursuant to a single Related Supplement including the Series 2022A Obligations and the Series 2022B Obligations issued or to be issued under the Second Supplemental Master Indenture to the Holders thereof to secure the obligations of the Obligated Group Members under and with respect to the Series 2022A Bonds and the Series 2022B Bonds, respectively, and the Series 2022 Bond Purchase Agreement.

“Officer’s Certificate” means a certificate signed by the Authorized Representative of the Obligated Group Representative.

“Opinion of Bond Counsel” means an opinion of nationally recognized municipal bond counsel, which opinion may be based upon a ruling or rulings of the Internal Revenue Service, and which counsel and opinion, including the scope, form, substance and other aspects thereof.

“Opinion of Independent Counsel” means an opinion in writing signed by an attorney or firm of attorneys, duly admitted to practice law before the highest court of any state and, without limitation, may include independent legal counsel for the Obligated Group Representative.

“Original Master Indenture” is defined in the Recitals hereto.

“Outstanding”, when used with reference to Indebtedness, means, as of any date of determination, all Indebtedness theretofore issued or incurred and not paid and discharged other than (a) Obligations theretofore cancelled by the Master Trustee or delivered to the Master Trustee for cancellation, (b) Obligations in lieu of which other Obligations have been authenticated and delivered or have been paid pursuant to the provisions of a Related Supplement regarding mutilated, destroyed, lost or stolen Obligations unless proof satisfactory to the Master Trustee has been received that any such Obligation is held by a bona fide purchaser, (c) any Obligation held by any Member, and (d) Indebtedness deemed paid and no longer outstanding pursuant to the terms thereof; provided, however, that if two or more obligations which constitute Indebtedness represent the same underlying obligation (as when an Obligation secures an issue of Related Bonds and another Obligation secures repayment obligations to a bank under a letter of credit which secures such Related Bonds) for purposes of the various financial covenants contained herein, but only for such purposes, only one of such Obligations shall be deemed Outstanding. Interest Rate Agreements shall not be deemed Outstanding as they are not deemed Indebtedness.

“Permitted Encumbrances” means:

- (a) Liens under this Master Indenture securing any Obligations issued hereunder;
- (b) Liens arising by reason of good faith deposits by any Member in the ordinary course of business (for other than borrowed money), deposits by any Member to secure public or statutory obligations or deposits to secure, or in lieu of, surety, stay or appeal bonds, and deposits as security for the payment of taxes or assessments or other similar charges;
- (c) Liens arising by reason of deposits with, or the giving of any form of security to, any governmental regulation as a condition to the transaction of any business or the exercise of any privilege or license, or to enable any Member to maintain self-insurance or to participate in any funds established to cover any insurance risks or in connection with worker’s compensation, unemployment insurance, pension or profit-sharing plans or other similar social security plans, or to share in the privileges or benefits required for companies participating in such arrangements;
- (d) any judgment Lien against any Member so long as such judgment is being contested in good faith and execution thereon is stayed;

(e) rights reserved to or vested in any municipality or public authority by the terms of any right, power, franchise, grant, license, permit or provision of law affecting any Property, to:

(1) terminate such right, power, franchise, grant, license, or permit, provided, that the exercise of such right would not materially impair the use of such Property or materially and adversely affect the value thereof, or

(2) purchase, condemn appropriate or recapture, or designate a purchaser of, the Property or any portion thereof;

(f) Liens on any of the Property for taxes, assessments, levies, fees, water and sewer rents, and other governmental and similar charges and any Liens of mechanics, materialmen, laborers, suppliers or vendors for work or services performed or materials furnished in connection with such Property, which are not due and payable or which are not delinquent or which, or the amount or validity of which, are being contested and execution thereon is stayed or, with respect to Liens of mechanics, materialmen, laborers, suppliers or vendors, have been due for less than 90 days;

(g) easements, rights-of-way, servitudes, restrictions, oil, gas, or other mineral reservations and other minor defects, encumbrances, and irregularities in the title to any of the Property which do not materially impair the use of such Property or materially and adversely affect the value thereof,

(h) rights reserved to or vested in any municipality or public authority to control or regulate any of the Property or to use such Property in any manner, which rights do not materially impair the use of such Property or materially and adversely affect the value thereof, to the extent that it affects title to any Property;

(i) landlord's Liens;

(j) Liens on moneys deposited with any Member as security for or as prepayment for the cost of patient care;

(k) Liens on Property received by any Member through gifts, grants or bequests, such Liens being due to restrictions on such gifts, grants or bequests or the income thereon;

(l) Liens on Property due to rights of third-party payors for recoupment of amounts paid to any Member;

(m) purchase of money security interest and security interest existing on any of the Property prior to the time of its acquisition through purchase, merger, consolidation or otherwise, or placed upon Property to secure a portion of the purchase price thereof, or lessee's interest in leases required to be capitalized in accordance with GAAP;

(n) Any Lien described in Exhibit A hereto which is existing on the Effective Date provided that no such Lien (or the amount of Indebtedness secured thereby) may be increased, extended, renewed or modified to apply to any Property of any Member not subject to such Lien

on such date, unless such Lien as so extended, renewed or modified otherwise qualifies as a Permitted Encumbrance hereunder;

(o) Liens on funds or securities posted in a collateral account held by a counterparty to an Interest Rate Agreement, or by a third party custodian therefore;

(p) Liens securing nonrecourse Indebtedness, provided that (i) the holder of such Indebtedness does not have recourse to any Member or Members other than to any asset financed by such Indebtedness (“Subject Property”) and (ii) such Lien shall be permitted solely to the extent of such Subject Property;

(q) Liens in favor of banking or other depository institutions encumbering the deposits of any Member held by such institution (including any right of setoff or statutory bankers’ liens);

(r) UCC financing statements filed with the Secretary of State of the State (or such other office maintaining such records) in connection with an operating lease entered into by any Member in the ordinary course of business;

(s) rights of tenants under leases or rental agreements pertaining to Property owned by any Member so long as the lease arrangement is in the ordinary course of business of the Member;

(t) deposits of Property by any Member to meet regulatory requirements for a governmental workers’ compensation, unemployment insurance or social security program, other than any Lien imposed by ERISA;

(u) deposits to secure the performance of another party with respect to a bid, trade contract, statutory obligation, surety bond, appeal bond, performance bond or lease, and other similar obligations incurred in the ordinary course of business of a Member;

(v) Liens resulting from deposits to secure bids from or the performance of another party with respect to contracts incurred in the ordinary course of business of a Member (other than contracts creating or evidencing an extension of credit to the depositor or otherwise for the payment of Indebtedness);

(w) present or future zoning laws, ordinances or other laws or regulations restricting the occupancy, use or enjoyment of Property of any Member which, in the aggregate, are not substantial in amount, and which do not in any case materially impair the Fair Market Value or use of such Property for the purposes for which it is used or could reasonably be expected to be held or used;

(x) Liens on Property due to the rights of third-party payors for recoupment of amounts paid to any Member;

(y) Liens existing for not more than 10 days after the Member shall have received notice thereof;

(z) Restrictions imposed in connection with the incurrence of Indebtedness permitted under the Master Indenture required to be imposed under applicable law in connection with such

Indebtedness such as regulatory agreements required under the Code for multifamily rental bonds or required in connection with mortgage insurance provided by state or federal governmental entities;

(aa) Liens on Excluded Property: and

(bb) any other Lien, provided that either (i) the aggregate Book Value of Property subject to Liens created or permitted to exist pursuant to this clause (bb) shall not exceed 10% of the aggregate Book Value of all Property of the Obligated Group or (ii) the aggregate Fair Market Value of Property subject to Liens created or permitted to exist pursuant to this clause (bb) shall not exceed 10% of the aggregate Fair Market Value of all Property of the Obligated Group; provided that any lien pursuant to this clause (bb) shall not be on the Land.

“*Person*” means any natural person, firm, joint venture, association, partnership, business trust, corporation, limited liability company, public body, agency or political subdivision thereof or any other similar entity.

“*Primary Obligor*” means that Member or those Members primarily obligated to make Required Payments with respect to any particular Obligation as set forth in a Related Supplement.

“*Projected Rate*” means the projected yield at par of an obligation as set forth in the report of an Independent Consultant. Such report shall state that in determining the Projected Rate such Independent Consultant reviewed the yield evaluations at par of no fewer than three obligations selected by such Independent Consultant, the interest on which is entitled to the exemption from federal income tax afforded by Section 103(a) of the Code or any successor thereto (or, if it is not expected that it will be reasonably possible to issue such tax-exempt obligations, then obligations the interest on which is subject to federal income taxation) which obligations such Independent Consultant states in its report are reasonable comparators for utilizing in developing such Projected Rate and which obligations: (i) were outstanding on a date selected by the Independent Consultant which date so selected occurred during the 90-day period preceding the date of the calculation utilizing the Projected Rate in question, (ii) to the extent practicable, are obligations of Persons engaged in operations similar to those of the Obligated Group and having a credit rating similar to that of the Obligated Group, (iii) are not entitled to the benefits of any credit enhancement, including without limitation any letter or line of credit or insurance policy, and (iv) to the extent practicable, have a remaining term and amortization schedule substantially the same as the obligation with respect to which such Projected Rate is being developed.

“*Property*” means any and all rights, titles and interests in and to any and all assets of the Obligated Group, whether real or personal, tangible or intangible and wherever situated, as shown on the Obligated Group Financial Statements for the most recent Fiscal Year for which they are available. Property shall not include the land, leasehold interests, buildings, fixtures or equipment constituting Excluded Property.

“*Related Bond Indenture*” means any indenture, trust agreement, bond resolution or other comparable instrument pursuant to which a series of Related Bonds are issued or executed and delivered. For avoidance of doubt, the Series 2022 Bond Purchase Agreement shall constitute a Related Bond Indenture.

“Related Bond Issuer” means the Government Issuer or Member of any issue of Related Bonds.

“Related Bond Trustee” means the trustee and its successors in the trusts created under any Related Bond Indenture, and if there is no such trustee, means the Related Bond Issuer.

“Related Bonds” means (i) any revenue bonds, certificates of participation or other obligations issued or executed and delivered by any Government Issuer pursuant to a single Related Bond Indenture, the proceeds of which are loaned or otherwise made available to the Corporation or a Member in consideration of the execution, authentication and delivery of an Obligation or Obligations to or for the order of such Government Issuer and (ii) revenue bonds or other obligations (including, without limitation, installment sale or lease obligations evidenced by certificates of participation) directly issued by an Obligated Group Member and secured by a Obligation.

“Related Loan Document” means any document or documents (including without limitation any loan agreement, lease, sublease or installment sales contract) pursuant to which any proceeds of any Related Bonds are advanced to any Member (or any Property financed or refinanced with such proceeds is loaned, leased, subleased or sold to a Member).

“Related Supplement” means an indenture supplemental to, and authorized and executed pursuant to the terms of, this Master Indenture.

“Required Payment” means any payment whether at maturity, by acceleration, upon proceeding for redemption, prepayment or otherwise, required to be made by any Member under this Master Indenture, any Related Supplement, any Obligation or otherwise in connection with a Financing, including, but not limited to, the payment of principal, interest, make-whole amount and premium and lease payments.

“Responsible Officer” means, with respect to the Master Trustee, the chairman and vice chairman of the board of directors, the chairman of the executive committee of the board of directors, the vice chairman of the executive committee of the board of directors, the chairman of the trust committee, the president, any vice president, any assistant vice president, the cashier, any assistant cashier, the secretary, any assistant secretary, the treasurer, any assistant treasurer, any trust officer, any assistant trust officer or any other officer of the Master Trustee customarily performing functions similar to those performed by the persons above-designated or to whom any corporate trust matter is referred because of such person’s knowledge of and familiarity with the particular subject. With respect to the Corporation, *“Responsible Officer”* means the president, chief executive officer, chief financial officer or any executive vice president of the Corporation.

“Restricted Moneys” means the proceeds of any grant, gift, bequest, contribution or other donation (and, to the extent subject to the applicable restrictions, the investment income derived from the investment of such proceeds) specifically restricted by the donor or grantor to an object or purpose inconsistent with their use for the payment of Required Payments or operating expenses.

“Second Supplemental Master Indenture” means the Second Supplemental Master Trust Indenture dated as of May 1, 2022, among the Corporation, as Obligated Group Representative, and the Master Trustee, supplementing the Master Indenture and, among other things, securing (i) the Episcopal Communities & Services for Seniors, 3.04% Senior Secured Bonds, Series 2022A, due May 15, 2047 and (ii) the Episcopal Communities & Services for Seniors, 2.89% Senior Secured Bonds, Series 2022B, due November 15, 2044. *“Series 2022 Bond Purchase Agreement”* means the Bond Purchase Agreement dated July 29, 2021 among the Corporation, as Obligated Group Representative, and the purchasers named therein.

“Series 2022A Bonds” means the 3.04% Senior Secured Bonds, Series 2022A, due May 15, 2047, issued by the Corporation, as Obligated Group Representative, pursuant to the Series 2022 Bond Purchase Agreement.

“Series 2022A Obligations” means the Episcopal Communities & Services Series 2022A Obligations dated May 16, 2022 issued in the aggregate principal amount of \$52,495,000 pursuant to the Second Supplemental Master Indenture to secure the obligations of the Obligated Group Members under and with respect to the Series 2022A Bonds and the Series 2022 Bond Purchase Agreement.

“Series 2022B Bonds” means the 2.89% Senior Secured Bonds, Series 2022B, due November 15, 2044, to be issued by the Corporation, as Obligated Group Representative, pursuant to the Series 2022 Bond Purchase Agreement.

“Series 2022B Obligations” means the Episcopal Communities & Services Series 2022B Obligations to be issued on November 15, 2022 in the aggregate principal amount of \$37,790,000 pursuant to the Second Supplemental Master Indenture to secure the obligations of the Obligated Group Members under and with respect to the Series 2022B Bonds and the Series 2022 Bond Purchase Agreement.

“Short-Term Indebtedness” means all Indebtedness having an original maturity less than or equal to one year and not renewable at the option of a Member for a term greater than one year.

“Stable Occupancy” means (i) the first full Fiscal Year following the year in which the total percentage occupancy of all apartments and beds in an expansion capital project is equal to or greater than 90%, calculated as of the last day of a fiscal quarter or (ii) with respect to any Capital Addition financed with Indebtedness for which the Master Trustee was furnished an Independent Consultant’s report pursuant to this Master Indenture, the percentage of occupied units in that Capital Addition at the level reflected as substantially at the sustainable capacity for which such Capital Addition was designed or “stabilized occupancy” for that Capital Addition in the Independent Consultant’s report.

“Subordinated Indebtedness” means Indebtedness incurred by a Member which by its terms is specifically subordinated with respect to any security therefor and with respect to right of payment to all Outstanding Obligations and to all other obligations of a Member not containing such subordination provisions.

“Tax-Exempt Organization” means a Person organized under the laws of the United States of America or any State thereof which is an organization described in Section 501(c)(3) and exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986 or corresponding provisions of federal income tax laws from time to time in effect.

“Total Operating Revenues” means the sum of total operating revenues and other support as shown on the consolidated or combined financial statements of the Obligated Group, determined in accordance with GAAP.

Section 1.2 Interpretation. (a) Any reference herein to any officer of the Corporation or a Member shall include those succeeding to their functions, duties or responsibilities pursuant to or by operation of law or who are lawfully performing their functions.

(b) Unless the context otherwise indicates, words of the masculine gender shall be deemed and construed to include correlative words of the feminine and neuter genders. The singular shall include the plural and vice versa.

(c) Where the character or amount of any asset or liability or item of income or expense is required to be determined or any consolidation, combination or other accounting computation is required to be made for the purposes of this Master Indenture or any agreement, document or certificate executed and delivered in connection with or pursuant to this Master Indenture, such determination or computation shall be done (including the assignment of each accounting term used herein for which a meaning is assigned by GAAP of the meaning assigned by GAAP), except as otherwise expressly provided in this Master Indenture, in accordance with GAAP in effect on the date such determination or computation is made for any purpose of this Master Indenture; provided that, the Obligated Group Representative may, in its discretion, deliver an Officer’s Certificate to the Master Trustee describing why then current GAAP (including the assignment of a meaning to any relevant accounting term) is inconsistent with the intent of the parties on the date hereof and, in that event, the determination or computation shall be made by applying GAAP as in effect on the date of this Master Indenture (“Static GAAP”) to determine the character or amount of the particular asset, liability, or item of revenue, expense, gain or loss (including the assignment of a meaning to any relevant accounting term); provided further, that intercompany balances and liabilities among the Obligated Group Members shall be disregarded and that the requirements set forth herein shall prevail if inconsistent with GAAP; provided, further, that during any period that compliance with any covenants shall be determined pursuant to Static GAAP, the Obligated Group Representative shall include relevant reconciliations in reasonable detail between GAAP and Static GAAP with respect to the applicable covenant compliance calculations contained in each Officer’s Certificate delivered during such period.

(d) Headings of Articles and Sections herein and the table of contents hereto are solely for convenience of reference, and do not constitute a part hereof and shall not affect the meaning, construction or effect hereof.

(e) This Master Indenture is to be interpreted as a document specifically restricting the Members of the Obligated Group only to the extent explicitly specified herein.

Section 1.3 References to Master Indenture. The terms “hereby,” “hereof,” “hereto,” “herein,” “hereunder,” and any similar terms, used in this Master Indenture refer to this Master Indenture.

Section 1.4 Contents of Certificates and Opinions. Every Certificate or opinion provided for herein with respect to compliance with any provision hereof shall include (1) a statement that the Person making or giving such certificate or opinion has read such provision and the definitions herein relating thereto; (2) a brief statement as to the nature and the scope of the examination or investigation upon which the certificate or opinion is based; (3) a statement that, in the opinion of such Person, he or she has made, or caused to be made, such examination or investigation as is necessary to enable him or her to express an informed opinion with respect to the subject matter referred to in the instrument to which his or her signature is affixed; and (4) a statement as to whether, in the opinion of such Person, such provision has been complied with.

Any such Certificate or opinion made or given by an officer of a Member or the Master Trustee may be based, insofar as it relates to legal, accounting or hospital management matters, upon a Certificate or opinion or representation of counsel, an accountant or Independent Consultant unless such officer knows, or in the exercise of reasonable care should have known, that the Certificate, opinion or representation with respect to the matters upon which such Certificate, opinion or representation may be based, as aforesaid, is erroneous. Any such Certificate, opinion or representation made or given by counsel, an accountant, or an Independent Consultant, may be based, insofar as it relates to factual matters (with respect to which information is in the possession of any Member) upon the Certificate or opinion of, or representation by an officer of any Member unless such counsel, accountant or Independent Consultant knows, or in the exercise of reasonable care should have known, that the Certificate, opinion of or representation by such officer, with respect to the factual matters upon which such Person’s Certificate or opinion may be based, as aforesaid, is erroneous. The same officer of any Member or the same counsel or accountant or Independent Consultant, as the case may be, need not certify as to all the matters required to be certified under any provision hereof, but different officers, counsel, accountants or Independent Consultants may certify as to different matters, respectively.

ARTICLE II

AUTHORIZATION, ISSUANCE AND FORM OF OBLIGATIONS

Section 2.1 Authorization of Obligations. Each Member hereby authorizes to be issued from time to time Obligations or Series of Obligations, without limitation as to amount, except as provided herein or as may be limited by law, and subject to the terms, conditions and limitations established herein and in any Related Supplement.

Section 2.2 Authorization for Issuance of Obligations in Series. From time to time when authorized by the Master Indenture and subject to the terms, limitations and conditions established in this Master Indenture, the Obligated Group Representative may authorize the issuance of an Obligation or a Series of Obligations by entering into a Related Supplement. The Obligation or the Obligations of any such Series may be issued and delivered to the Master Trustee for authentication upon compliance with the provisions hereof and of any Related Supplement.

Each Related Supplement authorizing the issuance of an Obligation or a Series of Obligations shall specify and determine the principal amount of such Obligation or Series of Obligations, the purposes for which such Obligation or Series of Obligations are being issued, the Member or Members which are Primary Obligor of such Obligation or Series of Obligations, the form, title, designation, and the manner of numbering or denominations, if applicable, of such Obligations, the date or dates of maturity of such Obligations, the date of issuance of such Obligations, and any other provisions deemed advisable or necessary by the Obligated Group Representative.

Any Interest Rate Agreement may be authenticated as an Obligation hereunder. Any Interest Rate Agreement which is authenticated as an Obligation hereunder shall be equally and ratably secured by any lien created hereunder with all other Obligations issued hereunder except as otherwise expressly provided herein; provided, however, that any such Obligation shall be deemed Outstanding hereunder solely for the purpose of receiving payment hereunder and shall not be entitled to any other rights hereunder.

Section 2.3 Appointment of Obligated Group Representative. Each Member, by becoming a Member, irrevocably appoints the Obligated Group Representative as its agent and true and lawful attorney in fact and grants full power and authority to the Obligated Group Representative (a) to do and perform all acts as the Obligated Group Representative hereunder on behalf of each Obligated Group Member, including, without limitation, to execute and deliver Obligations, to execute and deliver Related Supplements authorizing the issuance of Obligations or Series of Obligations and to issue or incur Indebtedness (including the Series 2022A Bonds and the Series 2022B Bonds) and execute and deliver any other documents or instruments relating to or securing any borrowings, Indebtedness, obligation or the like, including, without limitation, notes, bonds, debentures, finance leases, installment sales agreements, Interest Rate Agreements, mortgages, deeds of trust, security agreements and financing statements and (b) to take all other actions and execute and deliver all other documents, instruments and the like as may be deemed necessary or desirable by the Obligated Group Representative in connection with any financing, refinancing or other transaction involving any Obligation, Related Supplement, Interest Rate Agreement or this Master Indenture and (c) to prepare, or authorize the preparation of, any and all documents, certificates or disclosure and continuing disclosure materials reasonably and ordinarily prepared in connection with the issuance of Obligations hereunder, or Related Bonds associated therewith, and to execute and deliver such items to the appropriate parties in connection therewith.

Section 2.4 Execution and Authentication of Obligations. (a) All Obligations shall be executed by the Authorized Representative of the Obligated Group Representative or of any other Member for and on behalf of the Obligated Group as provided in the Related Supplement authorizing such Obligation. The signature of such officer may be mechanically or photographically reproduced on the Obligations. If any officer whose signature appears on any Obligation ceases to be such officer before delivery thereof, such signature shall remain valid and sufficient for all purposes as if such officer had remained in office until such delivery. Each Obligation shall be manually authenticated by a Responsible Officer of the Master Trustee, without which authentication no Obligation shall be entitled to the benefits hereof

(a) The form of Certificate of Authentication to be printed on each Obligation and manually executed by a Responsible Officer of the Master Trustee shall be as follows:

[Form of Master Trustee's Certificate of Authentication]

The undersigned Master Trustee hereby certifies that this Obligation is one of the Obligations described in the within-mentioned Master Indenture.

[MASTER TRUSTEE], as Master Trustee

By Authorized Signatory

Section 2.5 Conditions to the Issuance of an Obligation or a Series of Obligations. The issuance, authentication and delivery of any Obligation or Series of Obligations is subject to the following specific conditions:

(a) The Obligated Group Representative and the Master Trustee shall have entered into a Related Supplement providing for the terms and conditions of such Obligations and the repayment thereof.

(b) The Master Trustee shall have received an Officer's Certificate to the effect that each Member is in full compliance with all warranties, covenants and agreements set forth in this Master Indenture and in any Related Supplement.

(c) The Master Trustee shall have received an Officer's Certificate to the effect that neither an Event of Default nor any event which with the passage of time or the giving of notice or both would become an Event of Default has occurred or would occur upon issuance of such Obligations or is continuing under this Master Indenture or any Related Supplement.

(d) All requirements and conditions to the issuance of such Obligations, if any, set forth in the Related Supplement shall have been complied with and satisfied, as provided in an Officer's Certificate, a certified copy of which shall be delivered to the Master Trustee.

(e) an Opinion of Independent Counsel to the effect that registration of the Obligation under the Securities Act of 1933, as amended, is not required, or, if such registration is required, that the Obligated Group has complied with all applicable provisions of said Act, and that all requirements and conditions to the issuance of such Obligation have been complied with and satisfied.

(f) If each Obligation constitutes Indebtedness, the requirements of Section 3.6 with respect to the incurrence of Additional Indebtedness shall have been satisfied.

Section 2.6 Registration; Negotiability; Cancellation upon Surrender; Exchange of Obligations. Upon surrender for transfer of any Obligation at the designated corporate trust office of the Master Trustee, the Member issuing such Obligation shall execute and the Master Trustee shall authenticate and deliver in the name of the transferee or transferees a new fully registered Obligation or Obligations of the same series, designation and maturity without coupons for a like aggregate principal amount.

The execution by a Member of any Obligation of any denomination shall constitute full and due authorization of such denomination and the Master Trustee shall thereby be authorized to authenticate and deliver such Obligation.

The Master Trustee shall not be required to transfer or exchange any Obligation during the period of 15 days next preceding any interest payment date of such Obligation or to transfer or exchange any Obligation after the notice calling such Obligation or portion thereof for redemption has been given as herein provided, or during the period of 15 days next preceding the mailing of such notice of redemption with respect to any Obligation of the same series and maturity.

As to any Obligation, the person in whose name the same shall be registered shall be deemed and regarded as the absolute owner thereof for all purposes, and payment of or on account of the principal of any such Obligation shall be made only to or upon the order of the registered owner thereof or his legal representative, but such registration may be changed as herein provided. All such payments shall be valid and effectual to satisfy and discharge the liability upon such Obligation to the extent of the sum or sums so paid.

Any Obligation surrendered for the purpose of payment or retirement shall be canceled upon surrender thereof to the Master Trustee or any agent thereof. Unless contrary provision is made in the Related Supplement pursuant to which such Obligation is issued, if any Member shall acquire any of the Obligations, such Member shall deliver such Obligations to the Master Trustee for cancellation and the Master Trustee shall cancel the same. Any such Obligations canceled by any agent other than the Master Trustee shall be promptly transmitted by such agent to the Master Trustee. Certification of Obligations canceled by the Master Trustee and Obligations canceled by an agent other than the Master Trustee which are transmitted to the Master Trustee shall be made to the Obligated Group Representative upon the request of the Obligated Group Representative. Canceled Obligations may be destroyed by the Master Trustee unless instructions to the contrary are received from the Obligated Group Representative.

The Obligated Group Representative and the Master Trustee may charge each Obligation holder requesting an exchange, registration, change in registration or transfer of an Obligation any tax, fee or other governmental charge required to be paid with respect to such exchange, registration or transfer.

ARTICLE III

PARTICULAR COVENANTS OF THE OBLIGATED GROUP REPRESENTATIVE AND EACH MEMBER

Section 3.1 Payment of Principal and Interest. Each Member jointly and severally covenants and agrees to pay or cause to be paid promptly all Required Payments at the place, on the dates and in the manner provided herein, in any Related Supplement and in the Obligations whether at maturity, upon proceedings for redemption, upon prepayment, by acceleration or otherwise, and that each Member shall faithfully observe and perform all of the conditions, covenants and requirements of this Master Indenture, any Related Supplement and any Obligation, and that the time of such payment and performance is of the essence concerning the obligations hereunder.

The obligation of each Member with respect to Required Payments shall not be abrogated, prejudiced or affected by:

(1) the granting of any extension, waiver or other concession given to any Member by the Master Trustee or any Holder or by any compromise, release, abandonment, variation, relinquishment or renewal of any of the rights of the Master Trustee or any Holder or anything done or omitted or neglected to be done by the Master Trustee or any Holder in exercise of the authority, power and discretion vested in them by this Master Indenture, or by any other dealing or thing which, but for this provision, might operate to abrogate, prejudice or affect such obligation;

(2) the liability of any Member under this Master Indenture ceasing for any cause whatsoever, including the release of any Member pursuant to the provisions of this Master Indenture or any Related Supplement from membership in the Obligated Group; or

(3) any Member's becoming incompetent or otherwise failing to become liable as, or losing eligibility to become, a Member with respect to an Obligation.

The obligation of each Member to make Required Payments is a continuing one and is to remain in effect until all Required Payments have been paid in full in accordance with Article VII hereof. All moneys from time to time received by the Obligated Group Representative or the Master Trustee to reduce indebtedness on Obligations, whether from or on account of the Members or otherwise, shall be regarded as payments in gross without any right on the part of any one or more of the Members to claim the benefit of any moneys so received until the whole of the amounts owing on Obligations has been paid or satisfied and so that if any Member files bankruptcy, the Obligated Group Representative or the Master Trustee shall be entitled to prove up the total Indebtedness on Obligations Outstanding as to which the liability of such Member has become fixed.

Each such Obligation shall be a primary obligation and shall not be treated as ancillary to or collateral with any other obligation and shall be independent of any other security so that the obligation of each Member shall be enforceable without first having recourse to any such security or source of payment and without first taking any steps or proceedings against any other Person. The Obligated Group Representative and the Master Trustee, and each of them, are empowered to enforce each such obligation, as hereinbefore provided, and to enforce the making of Required Payments; and each Member hereby authorizes the Obligated Group Representative and the Master Trustee, and each of them, to enforce or refrain from enforcing any obligation and to make any arrangement or compromise with any particular Member or Members as the Obligated Group Representative or the Master Trustee may deem appropriate, consistent with this Master Indenture and any Related Supplement, and hereby waives in favor of the Obligated Group Representative and the Master Trustee all rights against the Obligated Group Representative, the Master Trustee and any other Member, insofar as is necessary to give effect to any of the provisions of this Section.

Section 3.2 Pledge of Gross Revenues.

(a) Each Member covenants and agrees that, so long as any Obligation remain Outstanding, all of the Gross Revenues of the Obligated Group shall be deposited as soon as

practicable upon receipt in one or more deposit accounts that shall be referred to as the “Gross Revenue Fund” and that shall be designated by the Members in writing to the Master Trustee as the Gross Revenue Fund, which the Members shall establish and maintain, subject to the provisions of subsection (b) of this Section 3.2, at such banking institution as the Obligated Group Representative shall from time to time designate in writing to the Master Trustee for such purpose (the “Depository Bank(s)”) and which banking institution has entered into one or more deposit account control agreements (the “Account Control Agreement”) with the applicable Members and the Master Trustee that are effective to perfect under the Uniform Commercial Code of the State the security interest of the Master Trustee in the Gross Revenue Fund and that provide that upon the instruction of the Master Trustee, the Depository Bank shall prevent any Member from withdrawing funds from the Gross Revenue Fund. The Master Trustee is hereby advised and acknowledges that one or more deposit accounts can constitute the Gross Revenue Fund. To secure the payment of Required Payments and the performance of the other covenants, agreements and obligations of the Members hereunder, each Member hereby pledges and assigns to the Master Trustee, and grants to the Master Trustee a security interest in, all its right, title and interest, whether now owned or hereafter acquired, in, to, and under the Gross Revenues and the Gross Revenue Fund and the proceeds thereof (collectively, the “Collateral”). Notwithstanding the foregoing, the Collateral shall not include any Gross Revenues withdrawn by an Obligated Group Member from the Gross Revenue Fund in accordance with the terms of this Master Indenture or any deposit account (other than the Gross Revenue Fund) into which such withdrawn Gross Revenues may be deposited. Each of the Members shall cause to be filed, on or before the Effective Date or the date on which it becomes a Member, as applicable, all Uniform Commercial Code financing statements necessary to perfect the security interest granted to the Master Trustee hereunder in such of the Collateral in which a security interest can be perfected by the filing of a financing statement under the applicable Uniform Commercial Code. Each Member shall authorize, execute, and deliver such other documents and instruments (including, but not limited to, amendments to such Uniform Commercial Code financing statements) as may be necessary or reasonably requested by the Master Trustee in order to perfect or maintain the perfection of the security interest granted to the Master Trustee hereunder. Each Obligated Group Member hereby irrevocably authorizes the Master Trustee to, and the Master Trustee shall, file any continuation statements and amendments to financing statements as may be required to continue the perfection of the security interest in the Collateral. The Master Trustee shall not be responsible for filing or for the sufficiency or accuracy of any financing statements initially filed to perfect the security interest granted under this Master Indenture. Each Member shall execute and deliver such other documents as may be necessary or reasonably requested by the Master Trustee in order to perfect or maintain as perfected such security interest or give public notice thereof. Each Member represents and warrants that (i) it is either (A) a nonprofit corporation duly formed and organized solely under the laws of the State or (B) a duly formed and organized entity organized solely under the laws of the state specified with respect to it in this Master Indenture or the Related Supplement executed by such Member and (ii) its complete legal name is set forth on the signature page of either this Master Indenture or the Related Supplement executed by such Member. Each Member covenants that it will not change its name, its address, or its type or jurisdiction of organization unless (x) it gives thirty (30) days’ advance written notice of such change to the Master Trustee and (y) before such change occurs it takes all actions as are necessary or advisable, including the filing of Uniform Commercial Code financing statements and amendments to financing statements, to maintain and continue the first priority perfected security interest of the Master

Trustee in the Collateral. Each Member shall at all times be organized solely under the laws of one state. The Members shall be responsible for the customary fees charged by the Master Trustee for the preparation and filing of continuation statements and for the reasonable costs incurred by the Master Trustee in the preparation and filing of all continuation statements hereunder, including attorneys' fees and expenses.

(b) Amounts in the Gross Revenue Fund may be used and withdrawn by any Member at any time for any lawful purpose, except as hereinafter provided. If any Member is delinquent for more than one Business Day in the payment of any Required Payment with respect to any Obligation issued pursuant to a Related Supplement, the Master Trustee shall notify the Obligated Group Representative of such delinquency, and, unless such Required Payment is paid, or provision for payment is duly made in a manner satisfactory to the Master Trustee in its sole discretion, within five days after receipt of such notice, the Master Trustee shall instruct the Depository Banks(s), pursuant to the terms of the Account Control Agreement, to prevent each Member from withdrawing funds from the Gross Revenue Fund, and no Member shall withdraw, or be permitted to withdraw, any funds from the Gross Revenue Fund. No Member shall be permitted to withdraw any funds from the Gross Revenue Fund until all Required Payments in default have been paid in full and all other Events of Default actually known to a Responsible Officer of the Master Trustee shall have been made good or cured to the satisfaction of the Master Trustee in its sole discretion or provision deemed by the Master Trustee in its sole discretion to be adequate shall have been made therefor, whereupon the Master Trustee shall instruct the Depository Bank(s) to permit the Members to withdraw funds from the Gross Revenue Fund. During any period that the Members are not permitted to withdraw funds from the Gross Revenue Fund, the Master Trustee shall use and withdraw amounts in said fund from time to time to make Required Payments as such payments become due (whether by maturity, redemption, prepayment, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of debt service on Obligations ratably, without any discrimination or preference, and to such other payments in the order which the Master Trustee, in its discretion, shall determine to be in the best interests of the Holders, without discrimination or preference. During any period that the Members are not permitted to withdraw funds from the Gross Revenue Fund, the Members shall not be entitled to withdraw any funds from the Gross Revenue unless and to the extent that the Master Trustee at its sole discretion so directs for the payment of current or past due operating expenses of the Members; provided, however, that the Members shall be entitled to use or withdraw any amounts in the Gross Revenue Fund which do not constitute Gross Revenues of the Obligated Group. Each Member agrees to execute and deliver all instruments as may be required to implement this Section. Each Member further agrees that a failure to comply with the terms of this Section shall cause irreparable harm to the Holders and shall entitle the Master Trustee, with or without notice, to take immediate action to compel the specific performance of the obligations of the Members as provided in this Section.

(c) Each Member covenants and agrees: (i) to, within 2 business days of receipt, deposit all Gross Revenues in the Gross Revenue Fund and not in any other fund or account (other than accounts that are subject to instructions requiring that all moneys therein shall on each business day be swept into the Gross Revenue Fund); (ii) that the Gross Revenue Fund shall at all times be subject to one or more Account Control Agreements with the Depository Bank(s) that are effective to perfect under the Uniform Commercial Code of the State the security interest of the Master

Trustee in the Gross Revenue Fund; and (iii) that the Gross Revenue Fund will not be moved from the Depository Bank(s) without 30 days' prior written notice to the Master Trustee and the entering into of a new Account Control Agreement among the Obligated Group Members, the new Depository Bank, and the Master Trustee that is effective to perfect under the Uniform Commercial Code of the State the security interest of the Master Trustee in the Gross Revenue Fund and that provides that, upon the instruction of the Master Trustee, the Depository Bank shall prevent each Member from withdrawing funds from the Gross Revenue Fund.

Section 3.3 Covenants as to Maintenance of Properties, Etc. Each Member, respectively, hereby covenants and agrees:

(a) That it will operate and maintain its Property in accordance with all valid and applicable governmental laws, ordinances, approvals and regulations including, without limitation, such zoning, sanitary, pollution and safety ordinances and laws and such rules and regulations thereunder as may be binding upon it; provided, however, that no Member shall be required to comply with any law, ordinance, approval or regulation as long as it shall in good faith contest the validity thereof Each Member, respectively, further covenants and agrees that it will maintain and operate its Property and all engines, boilers, pumps, machinery, apparatus, fixtures, fittings and equipment of any kind in or that shall be placed in any building or structure now or hereafter at any time constituting part of its Property in good repair, working order and condition, and that it will from time to time make or cause to be made all needful and proper replacements, repairs, renewals and improvements so that the operations of such Member will not be materially impaired.

(b) That it will pay and discharge all applicable taxes, assessments, governmental charges of any kind whatsoever, water rates, meter charges and other utility charges which may be or have been assessed or which may have become liens upon the Property and will make such payments or cause such payments to be made, respectively, in due time to prevent any delinquency thereon or any forfeiture or sale of the Property or any part thereof, and, upon request, will furnish to the Master Trustee receipts for all such payments, or other evidences satisfactory to the Master Trustee; provided, however, that no Member shall be required to pay any tax, assessment, rate or charge as herein provided as long as it shall in good faith contest the validity thereof, provided that such Member shall have set aside reserves with respect thereto that, in the opinion of the Governing Body of the Obligated Group Representative, are adequate.

(c) That it will pay or otherwise satisfy and discharge all of its Obligations and Indebtedness and all demands and claims against it as and when the same become due and payable, other than any thereof (exclusive of the Obligations issued and Outstanding hereunder) whose validity, amount or collectability is being contested in good faith.

(d) That it will at all times comply with all terms, covenants and provisions of any Lien at such time existing upon its Property or any part thereof or securing any of its Indebtedness noncompliance with which would have a material adverse effect on the operations of the Obligated Group or its Property.

(e) That it will use its best efforts (as long as it is in its best interest and will not materially adversely affect the interests of the holders) to procure and maintain all permits, licenses and other governmental approvals necessary for the operation of its Property and to maintain its

qualification for participation in and payment under private insurance programs having broad application and federal, state and local governmental programs providing for payment or reimbursement for services rendered.

(f) That it will take no action or suffer any action to be taken by others which would result in the interest on any Related Bonds issued as tax-exempt bonds becoming subject to federal income taxation.

Section 3.4 Insurance Required.

(a) Each Member covenants and agrees that it will keep its Property and all of its operations adequately insured at all times and carry and maintain such insurance in amounts which are commercially feasible, customarily carried, subject to customary deductibles, and against such risks as are customarily insured against by other corporations in connection with the ownership and operation of facilities of similar character and size. For the purpose of this provision, the term Property shall be deemed to include Excluded Property.

(b) In lieu of maintaining insurance coverage that the Governing Body of the Obligated Group Representative deems necessary, the Members shall have the right to adopt alternative risk management programs that the Governing Body of the Obligated Group Representative determines to be reasonable and that shall not have a material adverse impact on reimbursement from third party payors; including, without limitation, the right to self-insure in whole or in part individually or in connection with other institutions, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability, or to establish or participate in other alternative risk management programs.

(c) The Master Trustee shall not be responsible for the sufficiency of any insurance herein required or for the obtaining of such insurance and in all events shall be fully protected in accepting payment on account of such insurance or any adjustment, compromise or settlement of any loss agreed to by any Member.

Section 3.5 Limitations on Encumbrances. Each Member, respectively, covenants and agrees that it will not create, assume or suffer to exist any Lien upon the Gross Revenues or its Property other than Permitted Encumbrances. Each Member, respectively, further covenants and agrees that if such a Lien is created or assumed by any Member, it will make or cause to be made effective a provision whereby all Obligations will be secured prior to any such Indebtedness or other obligation secured by such Lien.

Section 3.6 Limitations on Additional Indebtedness. Each Member, respectively, agrees that it will not incur any Additional Indebtedness except as follows:

(a) Long-Term Indebtedness, provided that:

(1) the aggregate principal amount of such Long-Term Indebtedness and all other Outstanding Long-Term Indebtedness incurred pursuant to this clause (1) does not

exceed 10% of the Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which Obligated Group Financial Statements are available immediately preceding the issuance of such Long-Term Indebtedness (provided that to the extent Long-Term Indebtedness initially incurred pursuant to this clause subsequently complies with any other incurrence requirement, such Long-Term Indebtedness shall, at the option of the Obligated Group Representative, thereafter not be deemed to be incurred pursuant to this clause); or

(2) the Master Trustee receives an Officer's Certificate certifying that the pro forma Long-Term Debt Service Coverage Ratio, taking into account all Outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred as if such Long-Term Indebtedness had been issued at the beginning of the most recent Fiscal Year for which Obligated Group Financial Statements are available, is not less than 1.20:1; or

(3) the Master Trustee receives:

(A) an Officer's Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness but not the Long-Term Indebtedness proposed to be incurred, for the most recent Fiscal Year for which Obligated Group Financial Statements are available, the Long-Term Debt Service Coverage Ratio is not less than 1.20:1; and

(B) either

(i) an Officer's Certificate, accompanied by the written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.25:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or

(ii) an Officer's Certificate stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the two Fiscal Years succeeding the date on which such capital improvements are expected to be in operation or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), each of the two Fiscal Years succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and

expenses for such Fiscal Years, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or

(4) the Master Trustee receives an Officer's Certificate, accompanied by the written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (A) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation or (B) in the case of Long-Term Indebtedness issued for other purposes than are described in (A), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based.

(b) Completion Indebtedness in an amount up to 10% of the principal amount of the Long-Term Indebtedness incurred for the subject project, if there is delivered to the Master Trustee a Construction Consultant's certificate to the effect that the Completion Indebtedness proposed to be incurred is (i) necessary to provide a completed and fully equipped facility of the type and scope contemplated at the time the original Long-Term Indebtedness was incurred, and (ii) necessary to complete the acquisition, construction and/or equipping in accordance with the general plans and specifications for such facility as originally prepared and approved in connection with the incurrence of the Long-Term Indebtedness, and (iii) in an amount estimated to be sufficient, together with other identified funds of the relevant Member, to complete the facility within the parameters described in clauses (i) and (ii) above.

(c) Long-Term Indebtedness incurred for the purpose of refunding, refinancing or replacing any Outstanding Long-Term Indebtedness so as to render it no longer Outstanding if the Master Trustee receives an Officer's Certificate to the effect that Maximum Annual Debt Service, taking into account the Long-Term Indebtedness proposed to be incurred, will not be increased by more than 15% as a result of such refunding, refinancing or replacement.

(d) Short-Term Indebtedness provided that:

(1) such Short-Term Indebtedness is incurred in compliance with the provisions of Section 3.6(a), treating such Short-Term Indebtedness for such purposes only as if it were Long-Term Indebtedness; or

(2) (i) the total amount of such Short-Term Indebtedness does not exceed 15% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which Obligated Group Financial Statements are available; and (ii) in every Fiscal Year, there shall be at least a 30-day period when the balance of such Short-Term Indebtedness is reduced to an amount which shall not exceed 5% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which Obligated Group Financial Statements are available.

(e) Subordinated Indebtedness without limitation.

(f) Balloon Indebtedness or Interim Indebtedness provided that the conditions described in Section 3.6(a) are satisfied with respect to the incurrence of such Balloon Indebtedness or Interim Indebtedness utilizing the assumptions specified in clause (c) of the definition of “Maximum Annual Debt Service” contained in Section 1.1 hereof.

(g) Extendable Indebtedness provided that the conditions described in Section 3.6(a) are satisfied with respect to the incurrence of such Extendable Indebtedness utilizing the assumptions specified in clause (d) of the definition of “Maximum Annual Debt Service” contained in Section 1.1 hereof.

(h) Reimbursement and other obligations arising under reimbursement agreements relating to letters of credit or similar credit facilities used to secure Indebtedness otherwise permitted under this Section 3.6.

(i) Indebtedness which is non-recourse to the Members of the Obligated Group.

(j) Indebtedness to fund a Capital Addition if, prior to incurrence thereof, there is delivered to the Master Trustee (i) a written report of an Independent Consultant (prepared in accordance with industry standards) to the effect that the estimated projected Long-Term Debt Service Coverage Ratio of the Obligated Group will be not less 1.25:1 for the first full Fiscal Year following the later of (A) the estimated completion of the Capital Addition, or (B) the first full Fiscal Year following achievement of Stable Occupancy of the Capital Addition, provided that the achievement of Stable Occupancy is projected to occur no later than during the sixth full Fiscal Year following the incurrence of such Capital Addition Indebtedness; provided that such report shall include forecast balance sheets, statements of revenues and expenses and statements of changes in financial position for such Fiscal Years and a statement of the relevant assumptions upon which such forecasted statements are based, which financial statements must indicate that sufficient revenues and cash flow could be generated to pay the operating expenses of the Obligated Group’s proposed and existing facilities and the debt service on the Obligated Group’s other existing Indebtedness during such Fiscal Year, and (ii) an Officer’s Certificate of the Obligated Group Representative dated the date of the incurrence of the Capital Addition indebtedness to the effect that (A) the Obligated Group is then in compliance with all covenants in the Master Indenture and no Event of Default or event that with the passage of time could become an Event of Default then exists with respect to the Master Indenture, (B) the obligor has executed and delivered a guaranteed maximum price construction contract, stipulated sum construction contract or such other construction contract that establishes the complete construction cost with respect to the Capital Addition, (C) a construction monitor having the skill and experience necessary to perform its duties with respect to the monitoring of the construction process and having a favorable reputation for such skill and experience has been engaged with respect to the Capital Addition, and (D) all permits required to be obtained for the commencement of construction of the Capital Addition have been obtained or receipt of any such permit is perfunctory and will be received prior to such commencement.

(k) Any other Indebtedness, provided that an Officer’s Certificate is delivered to the Master Trustee stating that the aggregate principal amount of such Indebtedness, together with the aggregate principal amount of Indebtedness incurred pursuant to the provisions of subsection (d)

of this Section 3.6, does not, as of the date of incurrence, exceed fifteen percent (15%) of Total Operating Revenues.

Section 3.7 Limitations on Guaranties. Each Member covenants and agrees that it will not enter into, or become liable with respect to, any Guaranty except:

- (a) Guaranties of Indebtedness of another Member;
- (b) Guaranties of Obligations issued hereunder;
- (c) Guaranties provided that the conditions described in Section 3.6(a) are satisfied with respect to the issuance of such Guaranty utilizing the assumptions specified in clause (a) of the definition of “Maximum Annual Debt Service” contained in Section 1.1 hereof; or
- (d) Guaranties, the outstanding aggregate principal amount of which were issued pursuant to this subparagraph 3.7(d), do not exceed \$30,000,000.

Section 3.8 Rates and Charges; Debt Coverage.

Each Member covenants and agrees to operate all of its Property in the aggregate on a revenue-producing basis and to charge such fees and rates for its facilities and services and to exercise such skill and diligence, including obtaining payment for services provided, as to provide income from its facilities together with other available funds sufficient to pay promptly all payments of principal and interest on its Indebtedness, all expenses of operation, maintenance and repair of its Property and all other payments required to be made by it hereunder to the extent permitted by law. Each Member further covenants and agrees that it will from time to time as often as necessary and to the extent permitted by law, revise its rates, fees and charges in such manner as may be necessary or proper to comply with the provisions of this Section.

(a) Within 120 days after the end of each Fiscal Year (commencing with the first full Fiscal Year ended June 30, 2021) the Obligated Group Representative shall compute Income Available for Debt Service and Annual Debt Service and promptly furnish to the Master Trustee a Certificate setting forth the results of such computation.

(b) If the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.20:1, the Master Trustee shall require the Obligated Group, at the Obligated Group’s expense, to select an Independent Consultant within 30 days following the calculation described in the immediately preceding paragraph to make recommendations with respect to the rates, fees and charges of the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase such Debt Service Coverage Ratio to at least 1.20:1 for the following Fiscal Year.

For purposes of calculations under this section of the Master Indenture, an unrestricted contribution from any Affiliate of any Member of the Obligated Group may, at the sole discretion of the Obligated Group Representative, be treated as Income Available for Debt Service being earned during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Certificate is required to be delivered with respect to such calculation.

If the unrestricted contribution is counted in a period prior to the date of such transfer in accordance with the previous sentence, it shall not be included in the calculation for the period in which such contribution was actually made.

If a written report of an Independent Consultant is delivered to the Master Trustee stating that Industry Restrictions have made it impossible for the ratio in this subsection to be met, then such ratio shall be reduced to 1.00:1 for such Fiscal Year and determined by computing the Debt Service Coverage Ratio for such Fiscal Year.

The provisions of this subparagraph (b) are subject to the provisions of subparagraph (e) below with respect to Capital Additions.

(c) A copy of the Independent Consultant's report and recommendations, if any, shall be filed with the Master Trustee within 60 days of retaining the Independent Consultant. Each Member shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of such Member) and permitted by law. This Section shall not be construed to prohibit any Member from serving indigent patients to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of patients without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the other requirements of this Section.

(d) Notwithstanding any other provisions of this Master Indenture, an Event of Default arising from the Debt Service Coverage Ratio shall only occur hereunder if one or more of the following conditions applies:

(1) the Obligated Group:

(i) fails to achieve a Debt Service Coverage Ratio of at least 1.20:1, and

(ii) fails to take all necessary action to comply with the procedures set forth in this Section 3.8 for preparing a report, adopting a plan, and following all recommendations contained in such report or plan to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law; or

(2) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for any Fiscal Year and the Days' Cash on Hand of the Obligated Group as of the last day of such Fiscal Year is less than 120 days; or

(3) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for two consecutive Fiscal Years.

(e) Notwithstanding any other provisions of this Master Trust Indenture, in the event that any Member of the Obligated Group incurs any Additional Indebtedness for any acquisition, construction, renovation or replacement project or Capital Addition, the Debt Service

Requirements on such Additional Indebtedness and the revenues and expenses relating to the project or Capital Addition financed with the proceeds of such Additional Indebtedness shall be excluded from the calculation of the Debt Service Coverage Ratio of the Obligated Group for the purposes of complying with the provisions of the Master Indenture set forth under this heading until the first full Fiscal Year following the later of (i) the estimated completion of the acquisition, construction, renovation or replacement project being paid for with the proceeds of such Additional Indebtedness provided that such completion occurs no later than six months following the completion date for such project set forth in the Independent Consultant's report described in (1) below, or (ii) the first full Fiscal Year in which Stable Occupancy is achieved in the case of construction, renovation or replacement of senior living facilities or nursing facilities financed with the proceeds of such Additional Indebtedness, which Stable Occupancy shall be projected in the report of the Independent Consultant referred to in paragraph (1) below to occur no later than during the sixth full Fiscal Year following the incurrence of such Additional Indebtedness, provided, that (iii) the period determined by (i) or (ii) above shall be no later than the end of the sixth full Fiscal Year after the incurrence of such Additional Indebtedness (the period commencing on the date of the incurrence of such Additional Indebtedness and ending on the later of (i), (ii) or (iii) above is hereinafter referred to as the "*Capital Addition Start-Up Period*"), if the following conditions are met:

(1) there is delivered to the Master Trustee a report or opinion of an Independent Consultant to the effect that the projected Debt Service Coverage Ratio for the first full Fiscal Year following the later of (1) the estimated completion of the acquisition, construction, renovation or replacement being paid for with the proceeds of such Additional Indebtedness, or (2) the first full Fiscal Year following the year in which Stable Occupancy is achieved in the case of construction, renovation or replacement of senior living facilities or nursing facilities being financed with the proceeds of such Additional Indebtedness, which Stable Occupancy shall be projected to occur no later than during the sixth full Fiscal Year following the incurrence of such Additional Indebtedness, will be not less than 1.25:1 after giving effect to the incurrence of such Additional Indebtedness and the application of the proceeds thereof; provided, however, that in the event that an Independent Consultant shall deliver a report to the Master Trustee to the effect that Industry Restrictions do not permit or by their application make it impracticable for Members to produce the required ratio, then such ratio shall be reduced to the highest practicable ratio then permitted by such laws or regulations but in no event less than 1.00:1; provided further, however, that in the event an Independent Consultant's report is not required to incur such Additional Indebtedness, the Obligated Group may deliver an Officer's Certificate to the Master Trustee in lieu of the Independent Consultant's report described in this subparagraph (1);

(2) there is delivered to the Master Trustee an Officer's Certificate on the date on which financial statements are required to be delivered to the Master Trustee pursuant to the Master Indenture until the end of the Capital Addition Start-Up Period at which time the first Fiscal Year in which the exclusion from the calculation of the Debt Service Coverage Ratio no longer applies, calculating the Debt Service Coverage Ratio of the Obligated Group at the end of each Fiscal Year, and demonstrating that such Debt Service Coverage Ratio is not less than 1.00:1, such Debt Service Coverage Ratio to be computed

without taking into account (A) the Additional Indebtedness to be incurred if the conditions in (3) and (4) below are satisfied, and (B) the revenues to be derived from and the expenses attributable to the Capital Addition to be financed from the proceeds of such Additional Indebtedness;

(3) the interest on such Additional Indebtedness and any projected start-up losses during the Capital Addition Start-Up Period is funded from the proceeds of Additional Indebtedness or other funds designated by the Obligated Group, and continues to be available for such purposes during the Capital Addition Start-Up Period; and

(4) no principal of such Additional Indebtedness shall be payable during the Capital Addition Start-Up Period, excluding any Additional Indebtedness which may become due as the result of the collection of entrance fees during the Capital Addition Start-Up Period.

If the conditions of subparagraph (3) or (4) are not satisfied because interest is not funded through the end of the Capital Addition Start-Up Period or because principal is due by maturity or bond sinking fund redemption prior to the end of the Capital Addition Start-Up Period, the provisions of this subsection (e) shall apply only during the portion of Capital Addition Start-Up Period for which interest has been funded and no principal payments are due.

Section 3.9 Sale, Lease or Other Disposition of Property. Each Member agrees that it will not transfer any Property except as permitted in this Section 3.9.

(a) Each Member may sell, lease or otherwise dispose (including without limitation any involuntary disposition) of Property (either real or personal, including cash and investments) to another Member, except that none of the Property financed with the proceeds of any Related Bonds issued as tax-exempt bonds shall be transferred by the Corporation to any other Member unless the Related Bond Trustee has received an Opinion of Bond Counsel to the effect that such transfer shall not adversely affect the validity of the Related Bonds or any exemption from federal income taxation to which such Related Bonds would otherwise be entitled.

(b) [Reserved]

(c) A Member may transfer Property, including cash or cash equivalents, to a Person other than a Member if:

(1) the Long-Term Debt Service Coverage Ratio of the Obligated Group was at least 1.25:1 for the last Fiscal Year, and

(2) the Long-Term Debt Service Coverage Ratio on a pro forma basis after giving effect to earnings on the transferred asset not being available would have been at least 1.25:1, and

(3) if as of the end of the last fiscal quarter,

(i) the Obligated Group had not less than 120 Days Cash on Hand after giving effect to the transaction, the Property sold, leased or

otherwise disposed of does not, for any consecutive 12-month period, exceed 3% of the total Book Value or the Current Value of all Property of the Obligated Group; or

(ii) the Obligated Group had not less than 250 Days Cash on Hand after giving effect to the transaction, the Property sold, leased or otherwise disposed of does not, for any consecutive 12-month period, exceed 5% of the total Book Value or the Current Value of all Property of the Obligated Group; or

(iii) the Obligated Group had not less than 350 Days Cash on Hand after giving effect to the transaction, the Property sold, leased or otherwise disposed of does not, for any consecutive 12-month period, exceed 7.5% of the total Book Value or the Current Value of all Property of the Obligated Group; or

(iv) the Obligated Group had not less than 450 Days Cash on Hand after giving effect to the transaction, the Property sold, leased or otherwise disposed of does not, for any consecutive 12-month period, exceed 10% of the total Book Value or the Current Value of all Property of the Obligated Group.

(d) A Member may transfer Property, including cash or cash equivalents, to a Person other than a Member without limitation if:

(1) the transfer is in return for other Property of equal or greater value and usefulness; or

(2) the transfer is in the ordinary course of business upon fair and reasonable terms; or

(3) prior to such sale, lease or other disposition there is delivered to the Master Trustee an Officer's Certificate of a Member stating that, in the judgment of the signer, such Property has, or within the next succeeding 24 calendar months is reasonably expected to, become inadequate, obsolete, worn out, unsuitable, unprofitable, undesirable or unnecessary and the sale, lease or other disposition thereof will not impair the structural soundness, efficiency or economic value of the remaining Property; or

(4) such Property consists solely of assets which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for payment on the Obligations.

If any Property to be disposed in accordance with the provisions of this Section 3.9 is subject to a Lien, the Master Trustee shall, upon the request of the Obligated Group Representative, release such Property from the Lien pursuant to the terms of any documentation creating the Lien.

Nothing herein shall prohibit any Member from making secured or unsecured loans provided that (1) any such loan is evidenced in writing, (2) the Obligated Group Representative reasonably expects such loan to be repaid and (3) such loan bears interest at a reasonable rate of interest as determined in good faith by the Obligated Group Representative.

Section 3.10 Liquidity Covenant. The Obligated Group covenants that it will calculate the Days Cash on Hand of the Obligated Group as of June 30 and December 31 of each Fiscal Year (each such date being a “Testing Date”). The Obligated Group shall include such calculations in the Officer’s Certificate delivered the Master Trustee

Each Obligated Group Member is required to conduct its business so that on each Testing Date the Obligated Group shall have not less than 120 Days Cash on Hand.

If the amount of Days Cash on Hand as of any Testing Date is less than 120, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, deliver an Officer’s Certificate approved by a resolution of the Governing Body of the Obligated Group Representative to the Master Trustee setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan setting forth steps to be taken designed to achieve the required level of Days Cash on Hand for future periods.

If the Obligated Group has not achieved 120 Days Cash on Hand by the next Testing Date following delivery of the Officer’s Certificate required in the preceding paragraph, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, select an Independent Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase the Days Cash on Hand to the required level for future periods. A copy of the Independent Consultant’s report and recommendations, if any, shall be filed with the Master Trustee within 60 days of the date such Independent Consultant is retained. Each Member of the Obligated Group shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Governing Body of the Member) and permitted by law.

Notwithstanding any other provision of this Master Indenture, failure of the Obligated Group to achieve the required liquidity covenant for any Fiscal Year shall not constitute an event of default under this Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a report and adopting a plan and follows each recommendation contained in such report to the extent feasible (as determined by the Governing Body of the Obligated Group Representative) and permitted by law.

Section 3.11 Consolidation, Merger, Sale or Conveyance. (a) Each Member agrees that it will not merge into, or consolidate with, one or more corporations which are not Members, or allow one or more of such corporations to merge into it, or sell or convey all or substantially all of its Property to any Person who is not a Member, unless:

(1) Any successor corporation to such Member (including without limitation any purchaser of all or substantially all the Property of such Member) is a Person (other than a natural person) organized and existing under the laws of the United States of

America or a state thereof and shall execute and deliver to the Master Trustee an appropriate instrument containing the agreement of such successor to assume, jointly and severally, the due and punctual payment of the principal of, premium, if any, make-whole amount, if any, and interest on all Obligations according to their tenor and the due and punctual performance and observance of all the covenants and conditions of this Master Indenture and any Related Supplement to be kept and performed by such Member;

(2) Immediately after such merger or consolidation, or such sale or conveyance, no Member would be in default in the performance or observance of any covenant or condition of any Related Loan Document, any Related Supplement or this Master Indenture;

(3) Assuming that any Indebtedness of any successor or acquiring corporation is Indebtedness of such Member and that the revenues and expenses of the Member for such most recent Fiscal Year include the revenues and expenses of such other corporation (A) immediately after such merger or consolidation, sale or conveyance, the Long-Term Debt Service Coverage Ratio of the Obligated Group for the most recent Fiscal Year for which financial statements that have been reported upon by independent certified public accountants are available, if calculated on a pro forma basis including the effect of such merger or consolidation, sale or conveyance, would have been not less than 1.25:1, or that such pro forma Long-Term Debt Service Coverage Ratio of the Obligated Group is not less than the Long-Term Debt Service Coverage Ratio of the Obligated Group was for such Fiscal Year prior to such merger or consolidation, sale or conveyance and (B) immediately after such merger or consolidation, sale or conveyance, the Days Cash on Hand of the Obligated Group as set forth on the most recent quarterly financial statements of the Obligated Group would be not less than 120 or that such calculation of Days Cash on Hand of the Obligated Group is greater than such calculation would be immediately prior to such merger or consolidation, sale or conveyance; and

(4) If all amounts due or to become due on all Related Bonds have not been fully paid to the holders thereof or fully provided for, there shall be delivered to the Master Trustee an Opinion of Bond Counsel to the effect that under then-existing law the consummation of such merger, consolidation, sale or conveyance would not adversely affect the validity of such Related Bonds or the exemption otherwise available from federal or state income taxation of interest payable on such Related Bonds.

(b) In case of any such consolidation, merger, sale or conveyance and upon any such assumption by the successor corporation, such successor corporation shall succeed to and be substituted for its predecessor, with the same effect as if it had been named herein as such Member. Each successor, assignee, surviving, resulting or transferee corporation of a Member must agree to become, and satisfy the conditions described in Section 3.14 hereof to becoming, a Member of the Obligated Group prior to any such succession, assignment or other change in such Member's corporate status. Any successor corporation to such Member thereupon may cause to be signed and may issue in its own name Obligations hereunder and the predecessor corporation shall be released from its obligations hereunder and under any Obligations, if such predecessor corporation shall have conveyed all Property owned by it (or all such Property shall be deemed conveyed by operation of law) to such successor corporation. All Obligations so issued by such successor

corporation hereunder shall in all respects have the same legal rank and benefit under this Master Indenture as Obligations theretofore or thereafter issued in accordance with the terms of this Master Indenture as though all of such Obligations had been issued hereunder by such prior Member without any such consolidation, merger, sale or conveyance having occurred.

(c) In case of any such consolidation, merger, sale or conveyance such changes in phraseology and form (but not in substance) may be made in Obligations thereafter to be issued as may be appropriate.

(d) The Master Trustee may rely upon an Opinion of Independent Counsel as conclusive evidence that any such consolidation, merger, sale or conveyance, and any such assumption, complies with the provisions of this Section and that it is proper for the Master Trustee under the provisions of Article V and of this Section to join in the execution of any instrument required to be executed and delivered by this Section.

Section 3.12 Filing of Financial Statements, Reports and Other Information.

(a) Each Obligated Group Member covenants and agrees that it will keep adequate records and books of accounts in which complete and correct entries shall be made (said books shall be subject to the inspection of the Master Trustee during regular business hours after reasonable notice and under reasonable circumstances, provided the Master Trustee shall have no duty to so inspect).

(b) The Obligated Group Representative covenants and agrees that it will furnish to the Master Trustee:

(1) As soon as practicable, but in no event more than 150 days after the last day of each Fiscal Year beginning with the Fiscal Year ended June 30, 2021, financial statements covering the Obligated Group. Such financial statements:

(A) may consist of consolidated or combined financial results including the Members and one or more other Persons required to be consolidated or combined with such Member(s) under GAAP;

(B) shall be audited by an Accountant as having been prepared in accordance with GAAP;

(C) shall include a consolidated or combined statement of financial position, statement of operations and statement of cash flows; and

(D) if a financial statement is delivered that includes Persons other than Members, such financial statement shall contain, as “other financial information,” a combining or consolidating schedule from which financial information solely relating to the Members and such other Persons may be derived (which schedule shall be part of the audit).

(2) At the time of the delivery of the Obligated Group Financial Statements, a certificate of the chief financial officer or finance vice president of the Obligated Group

Representative, stating that no event which constitutes an Event of Default has occurred and is continuing as of the end of such Fiscal Year, or specifying the nature of such event and the actions taken and proposed to be taken by the Members to cure such Event of Default.

(c) The Obligated Group Financial Statements shall be used for purposes of determining compliance with all financial covenants and ratios pursuant to and under this Master Indenture.

(d) The Master Trustee shall have no duty to review, verify or analyze such financial statements and shall hold such financial statements solely as a repository for the benefit of the Holders. The Master Trustee shall not be deemed to have notice of any information contained in such financial statements or event of default which may be disclosed therein in any manner.

Section 3.13 Reserved.

Section 3.14 Membership in the Obligated Group. Additional Members may be added to the Obligated Group from time to time, provided that prior to such addition, the Master Trustee receives:

(a) a copy of a resolution of the proposed new Member which authorizes the execution and delivery of the Master Indenture or a Related Supplement and compliance with the terms of the Master Indenture;

(b) a Related Supplement pursuant to which the proposed new Member:

(1) agrees to become a Member;

(2) agrees to be bound by the terms and restrictions imposed by the Master Indenture and Indebtedness represented by the Obligations;

(3) irrevocably appoints the Obligated Group Representative as its agent and attorney-in-fact and grants to the Obligated Group Representative full power to execute Related Supplements authorizing the issuance of Obligations or Series of Obligations; and

(4) (i) amends Exhibit B to this Master Indenture to include a description of the real property of the Person becoming a Member upon which the primary operations of such Person are conducted, and (ii) amends Exhibit C of this Master Indenture to include a description of the Property of the Person becoming a Member which is to be considered Excluded Property (provided that such Property may be treated as Excluded Property only if such Property is real or tangible personal property and the primary operations of such Person are not conducted upon such real property);

(c) an Opinion of Independent Counsel to the proposed new Member, which opinion states that the proposed new Member has taken all necessary action to become a Member, and upon execution of a Related Supplement, such proposed new Member will be bound by the terms of the Master Indenture;

(d) a description of any existing Long-Term Indebtedness of the proposed new Member and any Indebtedness which the proposed new Member plans to incur simultaneously with the execution of the Related Supplement;

(e) an Officer's Certificate (i) (accompanied by a written report of an Independent Consultant if required by Section 3.6) showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness under Section 3.6(a)(2), (3) or (4) immediately following the addition of such Member to the Obligated Group; and (ii) (a) demonstrating that an event of default under the Master Indenture will be cured if the new Member becomes a Member of the Obligated Group or (b) demonstrating that the Long-Term Debt Service Coverage Ratio of the Obligated Group for each of the two most recent Fiscal Years would have been equal to or greater than 1.20:1 assuming entry of the new Member occurred at the beginning of the first of such two most recent Fiscal Years, and (iii) demonstrating that immediately after the addition of such Member to the Obligated Group, the Obligated Group (a) would have not less than 120 Days Cash on Hand or (b) would have a greater number of Days Cash on Hand than immediately prior to the addition of such Member to the Obligated Group based on the most recently quarterly financial statements of the Obligated Group;

(f) an Opinion of Bond Counsel to the effect that the addition of such Member (1) under then-existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Bond otherwise entitled to such exemption; and (2) will not cause the Master Indenture or the Obligations issued under the Master Indenture to be subject to registration under federal securities laws or the Trust Indenture Act of 1939, as amended (or, that any such registration, if required, has occurred);

(g) an Officer's Certificate to the effect that no Member, immediately after the addition of such new Member, would be in default in the performance or observance of any covenant or condition of this Master Indenture; and

(h) such additional documentation as may be required by the Related Supplements.

(i) The Officer's Certificate described in Section 3.14(e) shall not be required in connection with adding MonteCedro Inc. as a Member of the Obligated Group.

Section 3.15 Withdrawal from the Obligated Group. Any Member may withdraw from the Obligated Group, and be released from further liability or obligation under the provisions of the Master Indenture, provided that prior to such withdrawal, the Master Trustee receives:

(a) an Officer's Certificate stating that immediately following withdrawal of such Member, no Member would be in default in the performance or observance of any covenant or condition of the Master Indenture;

(b) an Officer's Certificate stating that such Member is not a party to any Related Loan Documents with respect to Related Bonds which remain Outstanding;

(c) an Officer's Certificate (i) showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness under Section 3.6(a)(2), (3) or (4) immediately following

the withdrawal of such Member from the Obligated Group, or (ii) (a) demonstrating that an event of default under the Master Indenture will be cured if the Member withdraws from the Obligated Group, or (b) demonstrating that the Long-Term Debt Service Coverage Ratio of the Obligated Group for each of the two most recent Fiscal Years would have been equal to or greater than 1.20:1 assuming withdrawal of the new Member occurred at the beginning of the first of such two most recent Fiscal Years, and (iii) demonstrating that immediately after the withdrawal of such Member from the Obligated Group, the Obligated Group would (a) have not less than 120 Days Cash on Hand or (b) a greater number of Days Cash on Hand than immediately prior to the withdrawal of such Member, based on the most recently quarterly financial statements of the Obligated Group; and

(d) an Opinion of Bond Counsel to the effect that the withdrawal of such Member, under then existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Bond to which such Bond would otherwise be entitled.

Upon compliance with the conditions contained in this Section 3.15, the Master Trustee shall execute any documents reasonably requested by the withdrawing Member to evidence the termination of such Member's obligations hereunder, under any Related Supplements and under all Obligations.

Section 3.16 Insurance and Condemnation Proceeds. Subject to the next paragraph, any insurance proceeds, condemnation award or payment in lieu of condemnation in an amount more than \$1,000,000 or 3% of the Obligated Group's assets, whichever is greater, shall, at the option of the Obligated Group Representative:

(a) Be deposited with the Master Trustee to apply to the prepayment or redemption of Obligations outstanding, on a pro rata basis, or

(b) Be applied by the Obligated Group to repair, renovate or rebuild the facilities subject to the payment; or

(c) For any other legitimate purpose, in the sole discretion of the Obligated Group Representative; or

(d) Be applied in any combination of (a), (b) and (c) above.

Notwithstanding the foregoing, in the case of the destruction of the Obligated Group's facilities or any portion thereof as a result of fire or other casualty, or any damage to such facilities or portion thereof as a result of fire or other casualty, any related proceeds in an amount more than \$1,000,000 or 3% of the Obligated Group's assets, whichever is greater, shall be applied in accordance with subsection (b) above.

Any Member may make agreements and covenants with the holder of any Indebtedness which is incurred in compliance with the provisions hereof and which is secured by a Permitted Encumbrance with respect to the application or use to be made of insurance proceeds or

condemnation awards which may be received in connection with Property which is subject to such Permitted Encumbrance.

Section 3.17 Additions to Excluded Property. Exhibit C hereto (Description of Excluded Property) may be amended to include additional real property acquired by a Member subsequent to the Effective Date and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith upon the receipt by the Master Trustee of an Officer's Certificate of such Member stating that (1) such Property does not constitute a portion of the Land and (2) the total value of such Property included on Exhibit C does not exceed 10% of the total value of Property of the Obligated Group (calculated on the basis of the Book Value of the assets shown on the asset side of the balance sheet in the combined financial statements of the Obligated Group for the most recent Fiscal Year next preceding the date of such amendment to Exhibit C thereto for which combined financial statements reported on by independent certified public accountants are available or, if the Obligated Group Representative so elects, on the basis of Current Value).

ARTICLE IV DEFAULTS

Section 4.1 Events of Default. Each of the following events is an Event of Default hereunder:

(a) Failure on the part of the Obligated Group to make due and punctual payment of the principal of, redemption premium, if any, make-whole amount, if any, or interest on an Obligation.

(b) Failure of any Member to duly observe and perform any other covenant or agreement under this Master Indenture (including covenants or agreements contained in any Obligation) for a period of 30 days after the date on which written notice of such failure, requiring the same to be remedied, shall have been given to the Obligated Group Representative by the Master Trustee or to the Obligated Group Representative and the Master Trustee by the holders of 25% in aggregate principal amount of Outstanding Obligations; provided that, if in the judgment of the Master Trustee, such default cannot with due diligence and dispatch be wholly cured so that such failure no longer constitutes an "Event of Default" hereunder within 30 days but can be wholly cured, the failure of the Member to remedy such default within such 30 day period shall not constitute a default hereunder if the Member shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default, and, having so commenced the curing of such default shall thereafter prosecute and complete the same with due diligence and dispatch

(c) Default by any Member in the payment of any Indebtedness for borrowed moneys (other than an Obligation), whether such Indebtedness now exists or shall hereafter be created, and any period of grace with respect thereto shall have expired, or an event of default, as defined in any mortgage, indenture or instrument, under which there may be secured or evidenced any Indebtedness, whether such Indebtedness now exists or shall hereafter be created, shall occur; provided, however, that such default shall not constitute an Event of Default within the meaning of this section if within 60 days, or within the time allowed for service of a responsive pleading if

any proceeding to enforce payment of the Indebtedness is commenced (1) any Member in good faith commences proceedings to contest the existence or payment of such Indebtedness, and (2) sufficient moneys are escrowed with a bank or trust company or a bond acceptable to the Master Trustee is posted for the payment of such Indebtedness.

(d) Entry by a court having jurisdiction of a decree or order for (1) relief with respect to any Member in an involuntary case under any applicable federal or state bankruptcy, insolvency or other similar law now or hereafter in effect, or (2) appointment of a receiver, liquidator, assignee, custodian, trustee, sequestrator (or similar official) for any Member or for any substantial part of the property of any Member, or (3) winding up or liquidation of its affairs, and such decree or order shall remain unstayed and in effect for a period of 60 consecutive days.

(e) Occurrence of the following actions of any Member: (1) commencement of a voluntary case under any applicable federal or state bankruptcy, insolvency or other similar law now or hereafter in effect, (2) consent to the entry of an order for relief in an involuntary case under any such law, or (3) consent to the appointment of or taking possession by a receiver, liquidator, assignee, trustee, custodian, sequestrator (or similar official) of any Member or for any substantial part of its property, or (4) making any general assignment for the benefit of creditors, or (5) failure to generally pay its debts as they become due, or (6) taking any corporate action in furtherance of the foregoing.

(f) An event of default shall exist under any Related Bond Indenture.

Section 4.2 Acceleration; Annulment of Acceleration.

(a) Upon the occurrence and during the continuation of an Event of Default, the Master Trustee may and, upon (1) the written request of the Holders of not less than 25% in aggregate principal amount of Outstanding Obligations or of any Holder if an Event of Default under Section 4.1(a) has occurred or (2) the acceleration of any Obligation pursuant to the terms of the Related Supplement under which such Obligation was issued, shall, by notice to the Members, declare all Outstanding Obligations immediately due and payable. Upon such declaration of acceleration, all Outstanding Obligations shall become and be immediately due and payable. If the terms of any Related Supplement give a Person the right to consent to acceleration of the Obligations issued pursuant to such Related Supplement, the Obligations issued pursuant to such Related Supplement may not be accelerated by the Master Trustee unless such consent is properly obtained pursuant to the terms of such Related Supplement. In the event of acceleration, an amount equal to the aggregate principal amount of all Outstanding Obligations, plus all interest accrued thereon and, to the extent permitted by applicable law, which accrues on such principal and interest to the date of payment, shall be due and payable on the Obligations.

(b) At any time after the Master Trustee has declared the principal of the Obligations to be due and payable, and before the entry of final judgment or decree in any suit, action or proceeding instituted on account of an Event of Default, the Master Trustee may annul such declaration and its consequences if:

(1) the Obligated Group has paid or caused to be paid (or deposited with the Master Trustee moneys sufficient to pay) all payments then due on all Outstanding

Obligations (other than the principal or other payments then due only because of such declaration);

(2) the Obligated Group has paid (or caused to be paid or deposited with the Master Trustee) moneys sufficient to pay the charges, compensation, expenses, disbursements, advances and liabilities of the Master Trustee and any paying agents;

(3) the Obligated Group has paid all other amounts then payable by the Obligated Group hereunder (or a sum sufficient to pay the same shall have been deposited with the Master Trustee); and

(4) every Event of Default (other than a default in the payment of the principal or other payments of such Obligations then due only because of such declaration) shall have been remedied.

No such annulment shall extend to or affect any subsequent Event of Default or impair any right consequent thereon.

Section 4.3 Additional Remedies and Enforcement of Remedies.

(a) Upon the occurrence and continuance of any Event of Default, the Master Trustee may, and upon the request of (1) the Holders of not less than 25% in aggregate principal amount of the Obligations Outstanding, (2) any Holder which, pursuant to a Related Supplement, is given the right to require the Master Trustee to institute actions pursuant to this Section 4.3(a), or (3) any Holder if an Event of Default under Section 4.1(a) has occurred, shall upon the indemnification of the Master Trustee to its satisfaction therefor, proceed forthwith to protect and enforce its rights and the rights of the Holders hereunder by such suits, actions or proceedings as the Master Trustee, being advised by its counsel, shall deem expedient, including but not limited to:

(1) Enforcement of the right of the Holders to collect and enforce the payment of amounts due or becoming due under the Obligations and exercise of the Master Trustee's rights under Section 3.2(b) hereof to direct the transfer of the Gross Revenue Fund to the Master Trustee and to hold and use the same in accordance with Section 3.2 hereof;

(2) Suit upon all or any part of the Obligations;

(3) Civil action to require any Person holding moneys, documents or other property pledged to secure payment of amounts due or to become due on the Obligations to account as if it were the trustee of an express trust for the Holders of Obligations;

(4) Civil action to enjoin any acts or things, which may be unlawful or in violation of the rights of the Holders of Obligations; and

(5) Enforcement of any other right or remedy of the Holders conferred by law or hereby.

(b) Regardless of the happening of an Event of Default, the Master Trustee shall, if requested in writing by the Holders of not less than 25% in aggregate principal amount of the

Obligations then Outstanding and upon being indemnified to its satisfaction therefor, institute and maintain such suits and proceedings as it may be advised shall be necessary or expedient (1) to prevent any impairment of the security hereunder by any acts which may be unlawful or in violation hereof, or (2) to preserve or protect the interests of the Holders. However, the Master Trustee shall not comply with any such request or institute and maintain any such suits or proceedings that are in conflict with any applicable law or the provisions hereof or in the sole judgment of the Master Trustee is unduly prejudicial to the interest of the Holders of Obligations not making such request.

Section 4.4 Application of Revenues and Other Moneys After Default. During the continuance of an Event of Default, all moneys received by the Master Trustee pursuant to any right given or action taken under the provisions of this Article, after payment of the costs and expenses of any action, proceeding or the like resulting in the collection of such moneys and payment of the fees, costs, expenses, advances and all other amounts owed to the Master Trustee, shall be applied as follows:

(a) If the Master Trustee has not declared all Outstanding Obligations due and payable, to the payment of all Required Payments then due on the Obligations in the order of their due dates, and, if the amount available is not sufficient to pay in full all Required Payments due on the same date, then to the payment thereof ratably, according to the amounts of Required Payments due on such date, without any discrimination or preference.

(b) If the Master Trustee has declared all Outstanding Obligations due and payable (and has not annulled such declaration under the terms of this Article), to the payment of all Required Payments then due and unpaid upon the Obligations and, if the amount available is not sufficient to pay in full the whole amount then due and unpaid, then to the payment thereof ratably, without preference or priority of any Obligation over any other Obligation, according to the amounts of Required Payments due, without any discrimination or preference.

Such moneys shall be applied by the Master Trustee as it shall determine, having due regard for the amount of moneys available for application and the likelihood of additional moneys becoming available in the future. Whenever the Master Trustee shall apply such moneys, it shall fix the date upon which such application is to be made and upon such date interest on the amounts of principal to be paid on such dates shall cease to accrue. The Master Trustee shall give such notices as it may deem appropriate of the deposit with it of any such moneys and of the fixing of any such date. The Master Trustee shall not be required to make payment to the Holder of any unpaid Obligation until such Obligation (and all unmatured coupons, if any) is presented to the Master Trustee for appropriate endorsement of any partial payment or for cancellation if fully paid.

Whenever all Obligations have been paid under the terms of this Section and all expenses and charges of the Master Trustee have been paid, any balance remaining shall be paid to the Person entitled to receive such balance. If no other Person shall be entitled thereto, then the balance shall be paid to the Members, their successors, or as a court of competent jurisdiction may direct.

Section 4.5 Remedies Not Exclusive. No remedy by the terms hereof conferred upon or reserved to the Master Trustee or the Holders is intended to be exclusive of any other remedy.

Each remedy shall be cumulative and shall be in addition to every other remedy given hereunder or existing at law or in equity on or after the Effective Date.

Section 4.6 Remedies Vested in the Master Trustee. All rights of action (including the right to file proof of claims) hereunder or under any of the Obligations may be enforced by the Master Trustee without the possession of any of the Obligations or the production thereof in any trial or other proceedings relating thereto. Any such suit or proceeding instituted by the Master Trustee may be brought in its name as the Master Trustee without the necessity of joining as plaintiffs or defendants any Holders of the Obligations. Subject to the provisions of Section 4.4 hereof, any recovery or judgment shall be for the equal benefit of the Holders of the Outstanding Obligations.

Section 4.7 Master Trustee to Represent Holders. The Master Trustee is hereby irrevocably appointed (and the successive respective Holders of the Obligations, by taking and holding the same, shall be conclusively deemed to have so appointed the Master Trustee) as trustee and true and lawful attorney-in-fact of the Holders of the Obligations for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of this Master Indenture, the Obligations, any Related Supplement, and applicable provisions of any other law. In addition to the provisions of Section 4.3 hereof, upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Master Trustee to represent the Holders, the Master Trustee may, and upon the written direction of the Holders of not less than 25% in aggregate principal amount of the Obligations then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained herein, or in aid of the execution of any power herein granted, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Master Trustee or in such Holders under this Master Indenture, the Obligations, any Related Supplement, or any other law; and upon instituting such proceeding, the Master Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the assets pledged under this Master Indenture, pending such proceedings. All rights of action under this Master Indenture, the Obligations or Related Supplement, or otherwise may be prosecuted and enforced by the Master Trustee without the possession of any of the Obligations or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Master Trustee shall be brought in the name of the Master Trustee for the benefit and protection of all the Holders of such Obligations, subject to the provisions of this Master Indenture.

Section 4.8 Holders' Control of Proceedings. If an Event of Default shall have occurred and be continuing, notwithstanding anything herein to the contrary, the Holders of at least a majority in aggregate principal amount of Obligations then Outstanding shall have the right, at any time, by any instrument in writing executed and delivered to the Master Trustee, to direct the method and place of conducting any proceeding to be taken in connection with the enforcement of the terms and conditions hereof or for the appointment of a receiver or any other proceedings hereunder. However, the Master Trustee shall not follow any such direction that is in conflict with any applicable law or the provisions hereof or, in the sole judgment of the Master Trustee, is unduly

prejudicial to the interest of Holders not joining in such direction. Nothing in this Section shall impair the right of the Master Trustee in its discretion to take any other action authorized by this Master Indenture that it may deem proper and which is not inconsistent with such direction by Holders. Nothing in this Master Indenture shall affect or impair the rights of any Holder to enforce the payment of principal of, interest on and other amounts due under the Obligation held by such Holder or any agreement or instrument secured by such Obligation, by suit or other action available pursuant thereto or in law or in equity.

Section 4.9 Termination of Proceedings. In case any proceeding taken by the Master Trustee on account of an Event of Default is discontinued or abandoned for any reason or is determined adversely to the Master Trustee or to the Holders, then the Members, the Master Trustee and the Holders shall be restored to their former positions and rights hereunder, and all rights, remedies and powers of the Master Trustee and the Holders shall continue as if no such proceeding had been taken.

Section 4.10 Waiver of Event of Default.

(a) No delay or omission of the Master Trustee or of any Holder to exercise any right or power accruing upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of or acquiescence to any such Event of Default. Every power and remedy given by this Article to the Master Trustee and the Holders may be exercised from time to time and as often as may be deemed expedient by them.

(b) The Master Trustee may waive any Event of Default which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under the provisions hereof, or before the completion of the enforcement of any other remedy hereunder.

(c) Notwithstanding anything contained herein to the contrary, upon the written request of the Holders of at least a majority of the aggregate principal amount of Obligations then Outstanding, the Master Trustee shall waive any Event of Default hereunder and its consequences; provided, however, that, except under the circumstances set forth in Section 4.2(b), a default in the payment of the principal of, premium, if any, or interest on any Obligation when due may not be waived without the written consent of the Holders of all Outstanding Obligations.

(d) If the Master Trustee waives an Event of Default hereunder, the Members, the Master Trustee and the Holders shall be restored to their former positions and rights. No such waiver shall extend to, or impair any right with respect to any other Event of Default.

Section 4.11 Appointment of Receiver. Upon the occurrence of any Event of Default, the Master Trustee shall be entitled, (a) without declaring the Obligations to be due and payable, (b) after declaring the same to be due and payable, or (c) upon the commencement of any proceeding to enforce any right of the Master Trustee or the Holders, to the appointment of a receiver or receivers of any or all of the Property of the Members with such powers as the court making such appointment shall confer. Each Member hereby consents and agrees, and will if requested by the Master Trustee, consent and agree at the time of application by the Master Trustee for appointment of a receiver, to the appointment of such receiver and agrees that such receiver

may be given the right, power and authority, to the extent the same may lawfully be given, to take possession of and operate and deal with such Property and the revenues, profits and proceeds therefrom, with the same effect as the Member could, and to borrow money and issue evidences of indebtedness as such receiver.

Section 4.12 Remedies Subject to Provisions of Law. All rights, remedies and powers provided by this Article may be exercised only to the extent that the exercise thereof does not violate any applicable provision of law. All the provisions of this Article are intended to be limited to the extent necessary so that they will not render any provisions hereof invalid or unenforceable under the provisions of any applicable law.

Section 4.13 Related Bond Trustee or Bondholders Deemed to be Obligation Holders. For the purposes of this Master Indenture, unless a Related Bond Trustee elects to the contrary or contrary provision is made in a Related Bond Indenture, each Related Bond Trustee shall be deemed the holder of the Obligation or Obligations pledged to secure the Related Bonds with respect to which such Related Bond Trustee is acting as trustee. If such a Related Bond Trustee so elects or the Related Bond Indenture so provides, the holders of each series of Related Bonds shall be deemed the holders of the Obligations to the extent of the principal amount of the Obligations to which their bonds relate.

Section 4.14 Notice of Default. Within ten days after the Master Trustee has actual knowledge or has received written notice of the occurrence of an Event of Default, the Master Trustee shall mail to all Holders notice of such Event of Default, unless such Event of Default shall have been cured before the giving of such notice (the term “Event of Default” for the purposes of this Section being hereby defined to be the events specified in subsections (a)-(f) of Section 4.1, not including any periods of grace provided for in subsections (b), (c) and (d) respectively, and irrespective of the giving of written notice specified in Section 4.1(b)). Except in the case of default in the payment of the principal of or premium, if any, or interest on any of the Obligations and the Events of Default specified in subsections (d) and (e) of Section 4.1, the Master Trustee shall be protected in withholding such notice if and so long as the Master Trustee in good faith determines that the withholding of such notice is in the best interests of the Holders.

ARTICLE V THE MASTER TRUSTEE

Section 5.1 Certain Duties and Responsibilities.

(a) Except during the continuance of an Event of Default:

(1) The Master Trustee undertakes to perform such duties and only such duties as are specifically set forth in this Master Indenture, and no implied covenants or obligations should be read into this Master Indenture against the Master Trustee.

(2) The Master Trustee may conclusively rely, as to the truth of the statements and the correctness of the opinions expressed therein, upon Certificates or opinions furnished to the Master Trustee and conforming to the requirements of this Master Indenture.

(b) When an Event of Default has occurred and is continuing, the Master Trustee shall exercise such of the rights and powers vested in it by this Master Indenture, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use under the circumstances in the conduct of such person's own affairs.

(c) No provision of this Master Indenture shall be construed to relieve the Master Trustee from liability for its own negligent action, or willful misconduct, except that:

(1) this subsection shall not be construed to limit the effect of subsection (a) of this Section;

(2) the Master Trustee shall not be liable for any error of judgment made in good faith by a Responsible Officer, unless it is proved that the Master Trustee was negligent in ascertaining the pertinent facts;

(3) the Master Trustee shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Holders given in accordance with Section 4.8; and

(4) no provision of this Master Indenture shall require the Master Trustee to expend or risk its own funds or otherwise incur any financial liability whatsoever in the performance of any of its duties hereunder, or in the exercise of any of its rights or powers, if it shall have reasonable grounds for believing that repayment of such funds or adequate indemnity in its sole discretion against such risk or liability is not reasonably assured to it.

(d) Every provision of this Master Indenture relating to the conduct of or affecting the liability of or affording protection to the Master Trustee is subject to the provisions of this Section.

(e) The Master Trustee shall not be deemed to have knowledge of any Event of Default (other than an Event of Default described in Section 4.1(a)) unless and until the Master Trustee has received written notice of such an Event of Default at its Corporate Office.

Section 5.2 Certain Rights of Master Trustee. Subject to Section 5.1:

(a) The Master Trustee may rely and shall be protected in acting or refraining from acting upon any resolution, certificate, statement, instrument, opinion, report, notice, request, direction, consent, order, bond, obligation or other paper or documents believed by it to be genuine and to have been signed or presented by the proper party or parties.

(b) Any request or direction of any Member mentioned herein shall be sufficiently evidenced by an Officer's Certificate and any action of the Governing Body of any Member may be sufficiently evidenced by a copy of a resolution certified by the secretary or an assistant secretary of the Member to have been duly adopted by the Governing Body and to be in full force and effect on the date of such certification and delivered to the Master Trustee.

(c) Whenever in the administration of this Master Indenture the Master Trustee shall deem it desirable that a matter be proved or established prior to taking, suffering or omitting any

action hereunder, the Master Trustee may request and conclusively rely upon an Officer's Certificate.

(d) The Master Trustee may consult with its counsel, and the written advice of such counsel or any Opinion of Independent Counsel shall be full and complete authorization and protection with respect to any action taken, suffered or omitted by it hereunder in good faith and in reliance thereon.

(e) The Master Trustee shall be under no obligation to exercise any of the rights or powers vested in it by this Master Indenture at the request or direction of any of the Holders pursuant to this Master Indenture, unless such Holders shall have offered in writing to the Master Trustee security or indemnity against the costs, expenses and liabilities, which is reasonable in the sole discretion of the Master Trustee which might be incurred by it in compliance with such request or direction.

(f) The Master Trustee shall not be bound to make any investigation whatsoever into the facts or matters stated in any resolution, certificate, statement, instrument, opinion, report, notice, request, direction, consent, order, bond, obligation or other paper or document, but the Master Trustee, in its discretion, may make such further inquiry or investigation into such facts or matters as it may see fit; provided, however, that in making any such further inquiry no duty shall be implied thereby. If the Master Trustee shall determine to make such further inquiry or investigation, it shall be entitled to examine the books, records and premises of any Member, personally or by agent or attorney during regular business hours and after 24 hours notice.

(g) The Master Trustee may execute any of the trusts or powers hereunder or perform any duties hereunder either directly or by or through agents or attorneys. The Master Trustee shall not be responsible for any misconduct or negligence on the part of any agent or attorney appointed by it with due care.

Section 5.3 Right to Deal in Obligations and Related Bonds. The Master Trustee may in good faith buy, sell or hold and deal in any Obligations and Related Bonds with the same effect as if it were not the Master Trustee. The Master Trustee may commence or join in any action which a Holder or holder of a Related Bond is entitled to take with the same effect as if the Master Trustee were not the Master Trustee.

Section 5.4 Removal and Resignation of the Master Trustee.

(a) The Master Trustee may be removed at any time by an instrument or instruments in writing signed by the Holders of not less than a majority of the principal amount of Obligations then Outstanding or, unless an Event of Default has occurred and is then continuing, the Obligated Group Representative.

(b) The Master Trustee may at any time resign by giving written notice of such resignation to the Obligated Group Representative and by giving the Holders of all Obligations then Outstanding notice of such resignation by mail at the addresses shown on the registration books maintained by the Master Trustee.

(c) No such resignation or removal shall become effective unless and until a successor Master Trustee has been appointed and has assumed the trusts created hereby. Written notice of removal shall be given to the Members and to each Holder at the address then reflected on the books of the Master Trustee. A successor Master Trustee may be appointed at the direction of the Holders of not less than a majority in aggregate principal amount of Obligations Outstanding, or, if the Master Trustee has resigned or has been removed by the Obligated Group Representative, by the Obligated Group Representative. If a successor Master Trustee has not been appointed and qualified within 60 days of the date notice of resignation is given, the Master Trustee, any Member or any Holder may apply to any court of competent jurisdiction for the appointment of an interim successor Master Trustee to act until such time as a permanent successor is appointed.

(d) Unless otherwise ordered by a court or regulatory body having competent jurisdiction, or unless required by law, any successor Master Trustee shall be a trust company or bank having the powers of a trust company as to trusts, qualified to do and doing trust business in one or more states of the United States of America and having an officially reported combined capital, surplus, undivided profits and reserves (or if the Master Trustee is a subsidiary of such financial institution, the parent institution shall satisfy these requirements) aggregating at least \$50,000,000, if there is such an institution willing, qualified and able to accept the trust upon reasonable or customary terms.

(e) Every successor Master Trustee howsoever appointed hereunder shall execute, acknowledge and deliver to its predecessor and also to each Member an instrument in writing, accepting such appointment. Upon the delivery of such acceptance, such successor Master Trustee shall, without further action, become fully vested with all the rights, immunities, powers, trusts, duties and obligations of its predecessor. The predecessor Master Trustee shall execute and deliver an instrument transferring to such successor Master Trustee all the rights, powers and trusts of such predecessor Master Trustee. The predecessor Master Trustee shall execute any and all documents necessary or appropriate to convey all interest it may have to the successor Master Trustee. The predecessor Master Trustee shall promptly deliver all records relating to the trust or copies thereof and communicate all material information it may have obtained concerning the trust to the successor Master Trustee.

(f) Each successor Master Trustee, not later than 10 days after its assumption of the duties hereunder, shall mail a notice of such assumption to each Holder.

Section 5.5 Compensation and Reimbursement. Each Member agrees:

(a) To pay the Master Trustee from time to time reasonable compensation for all services rendered by it hereunder (which compensation shall not be limited by any provision of law in regard to the compensation of a trustee of an express trust).

(b) Except as otherwise expressly provided herein, to reimburse the Master Trustee upon its request for all reasonable expenses, disbursements and advances incurred or made by the Master Trustee in accordance with any provision of this Master Indenture (including the reasonable compensation and the expenses and disbursements of its counsel and its agents), except any such expense, disbursement or advance as may be attributable to its negligence or bad faith.

(c) Upon demand to indemnify the Master Trustee for, and to hold it harmless against, any loss, liability or expense incurred without negligence or bad faith on its part, arising out of or in connection with the acceptance or administration of this trust or its duties hereunder, including the costs and expenses of defending itself against any claim or liability in connection with the exercise or performance of any of its powers or duties hereunder.

Subject to the provisions of Section 4.4 hereof, as security for the performance of Members under this Section, the Master Trustee shall have a lien prior to the Obligations upon all property and funds held or collected by the Master Trustee as such, except funds held in trust for the payment of principal of or interest or premiums on the Obligations.

Section 5.6 Recitals and Representations.

(a) The recitals, statements and representations contained herein, or in any Obligation (excluding the Master Trustee's authentication on the Obligations) shall be taken and construed as made by and on the part of the Members and not by the Master Trustee. The Master Trustee assumes no responsibility for the correctness of such recitals, statements and representations.

(b) The Master Trustee makes no representation as to, and is not responsible for, the validity or sufficiency of this Master Indenture or of the Obligations. The Master Trustee shall not be concerned with or accountable to anyone for the use or application of any moneys which shall be released or withdrawn in accordance with the provisions hereof. The Master Trustee shall have no duty of inquiry with respect to any Events of Default without actual knowledge of or receipt by the Master Trustee of written notice of an Event of Default from a Member or any Holder.

Section 5.7 Separate or Co-Master Trustee. At any time or times, for the purpose of meeting any legal requirements of any jurisdiction, the Master Trustee may appoint, and, upon the request of the Holders of at least 25% in aggregate principal amount of Outstanding Obligations, shall appoint, one or more Persons approved by the Master Trustee either to act as co-trustee or co-trustees, jointly with the Master Trustee, or to act as separate trustee or separate trustees, and to vest in such Person or Persons, in such capacity, such rights, powers, duties, trusts or obligations as the Master Trustee may consider necessary or desirable, subject to the remaining provisions of this Section.

Every co-trustee or separate trustee shall, to the extent permitted by law but to such extent only, be appointed subject to the following terms:

(a) The Obligations shall be authenticated and delivered solely by the Master Trustee.

(b) All rights, powers, trusts, duties and obligations conferred or imposed upon the trustees shall be conferred or imposed upon and exercised or performed by the Master Trustee, or by the Master Trustee and such co-trustee or co-trustees or separate trustee or separate trustees jointly, as shall be provided in the instrument appointing such co-trustee or co-trustees or separate trustee or separate trustees, except to the extent that, under the law of any jurisdiction in which any particular act or acts are to be performed the Master Trustee is incompetent or unqualified to perform such act or acts, in which event such act or acts shall be performed by such co-trustee or separate trustee.

(c) Any request in writing by the Master Trustee to any co-trustee or separate trustee to take or to refrain from taking any action hereunder is sufficient for the taking, or the refraining from taking, of such action by such co-trustee or separate trustee.

(d) Any co-trustee or separate trustee may, to the extent permitted by law, delegate to the Master Trustee the exercise of any right, power, trust, duty or obligation, discretionary or otherwise.

(e) The Master Trustee at any time, by any instrument in writing, may accept the resignation of or remove any co-trustee or separate trustee appointed under this Section. Upon the request of the Master Trustee, the Members shall join with the Master Trustee in the execution, delivery and performance of all instruments and agreements necessary or proper to effectuate such resignation or removal.

(f) No trustee hereunder shall be personally liable by reason of any act or omission of any other trustee hereunder, nor will the act or omission of any trustee hereunder be imputed to any other trustee.

(g) Any demand, request, direction, appointment, removal, notice, consent, waiver or other action in writing delivered to the Master Trustee shall be deemed to have been delivered to each such co-trustee or separate trustee.

(h) Any moneys, papers, securities or other items of personal property received by any such co-trustee or separate trustee hereunder shall be turned over to the Master Trustee.

Upon the acceptance in writing of such appointment by any such co-trustee or separate trustee, such Person shall be vested with such rights, powers, duties or obligations, as shall be specified in the instrument of appointment jointly with the Master Trustee (except insofar as local law makes it necessary for any such co-trustee or separate trustee to act alone) subject to all the terms hereof. Every such acceptance shall be filed with the Master Trustee. To the extent permitted by law, any co-trustee or separate trustee may, at any time by an instrument in writing, constitute the Master Trustee its attorney-in-fact and agent, with full power and authority to do all acts and things and to exercise all discretion on its behalf and in its name.

In case any co-trustee or separate trustee shall die, become incapable of acting, resign or be removed, all rights, powers, trusts, duties and obligations of said co-trustee or separate trustee shall, so far as permitted by law, vest in and be exercised by the Master Trustee unless and until a successor co-trustee or separate trustee shall be appointed in the manner herein provided.

Section 5.8 Merger or Consolidation. Any company into which the Master Trustee may be merged or converted or with which it may be consolidated or any company resulting from any merger, conversion or consolidation to which it shall be a party or any company to which the Master Trustee may sell or transfer all or substantially all of its corporate trust business, provided such company is eligible under Section 5.4, shall be the successor to such Master Trustee without the execution or filing of any paper or any further act.

ARTICLE VI

SUPPLEMENTS AND AMENDMENTS TO THE MASTER INDENTURE

Section 6.1 Supplements Not Requiring Consent of Holders. The Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee may, without the consent of or notice to any of the Holders, enter into one or more Related Supplements for one or more of the following purposes:

- (a) To cure any ambiguity or formal defect or omission herein;
- (b) To correct or supplement any provision herein which may be inconsistent with any other provision herein or therein, or to make any other provisions with respect to matters or questions arising hereunder or thereunder and which shall not materially and adversely affect the interests of the Holders;
- (c) To grant or confer ratably upon all of the Holders any additional rights, remedies, powers or authority, or to add to the covenants of and restrictions on the Members;
- (d) To qualify this Master Indenture under the Trust Indenture Act of 1939, as amended, or corresponding provisions of federal laws from time to time in effect;
- (e) To create and provide for the issuance of an Obligation or Series of Obligations as permitted hereunder;
- (f) To obligate a successor to any Member as provided in Section 3.11; or
- (g) To add a new Member as provided in Section 3.14, or have a Member withdraw as provided in Section 3.15.

Section 6.2 Supplements Requiring Consent of Holders.

(a) Other than Related Supplements referred to in Section 6.1 hereof and subject to the terms and provisions and limitations contained in this Article, the Holders of not less a majority in aggregate principal amount of the Outstanding Obligations shall have the right to consent to and approve the execution by the Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee of such Related Supplements as shall be deemed necessary and desirable for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained herein or therein. Nothing in this Section shall permit or be construed as permitting a Related Supplement which would:

- (1) extend the stated maturity of or time for paying interest on any Obligation or reduce the principal amount of or the redemption premium or rate of interest or method of calculating interest payable on any Obligation without the consent of the Holder of such Obligation;
- (2) modify, alter, amend, add to or rescind any of the terms or provisions contained in Article IV hereof so as to affect the right of the Holders of any Obligations in default as to payment to compel the Master Trustee to declare the principal of all

Obligations to be due and payable, without the consent of the Holders of all Obligations then Outstanding; or

(3) reduce the aggregate principal amount of Obligations then Outstanding (the consent of the Holders of which is required to authorize such Related Supplement) without the consent of the Holders of all Obligations then Outstanding.

(b) The Master Trustee may execute a Related Supplement (in substantially the form delivered to it as described below) without liability or responsibility to any Holder (whether or not such Holder has consented to the execution of such Related Supplement) if the Master Trustee receives:

(1) a Request of the Obligated Group Representative to enter into such Related Supplement;

(2) a certified copy of the resolution of the Governing Body of the Obligated Group Representative approving the execution of such Related Supplement;

(3) the proposed Related Supplement; and

(4) an instrument or instruments executed by the Holders of not less than the aggregate principal amount or number of Obligations specified in subsection (a) for the Related Supplement in question which instrument or instruments shall refer to the proposed Related Supplement and shall specifically consent to and approve the execution thereof in substantially the form of the copy thereof as on file with the Master Trustee.

(c) Any such consent shall be binding upon the Holder of the Obligation giving such consent and upon any subsequent Holder of such Obligation and of any Obligation issued in exchange therefor (whether or not such subsequent Holder thereof has notice thereof), unless such consent is revoked in writing by the Holder of such Obligation giving such consent or by a subsequent Holder thereof by filing with the Master Trustee, prior to the execution by the Master Trustee of such Related Supplement, such revocation and, if such Obligation or Obligations are transferable by delivery, proof that such Obligations are held by the signer of such revocation. At any time after the Holders of the required principal amount or number of Obligations shall have filed their consents to the Related Supplement, the Master Trustee shall make and file with the Corporation a written statement to that effect. Such written statement shall be conclusive that such consents have been so filed.

(d) If the Holders of the required principal amount or number of the Outstanding Obligations shall have consented to and approved the execution of such Related Supplement, no Holder of any Obligation shall have any right to object to the execution thereof, or to object to any of the terms and provisions contained therein or the operation thereof, or to question the propriety of the execution thereof, or to enjoin or restrain the Master Trustee or the Obligated Group Representative from executing the same or from taking any action pursuant to the provisions thereof.

Section 6.3 Execution and Effect of Supplements.

(a) In executing any Related Supplement permitted by this Article, the Master Trustee is entitled to receive and to rely upon an Opinion of Independent Counsel stating that the execution of such Related Supplement is authorized or permitted hereby. The Master Trustee may but shall not be obligated to enter into any such Related Supplement which materially and adversely affects the Master Trustee's own rights, duties or immunities.

(b) Upon the execution and delivery of any Related Supplement in accordance with this Article, the provisions hereof shall be modified in accordance therewith and such Related Supplement shall form a part hereof for all purposes and every Holder of an Obligation theretofore or thereafter authenticated and delivered hereunder shall be bound thereby.

(c) Any Obligation authenticated and delivered after the execution and delivery of any Related Supplement in accordance with this Article may, and, if required by the Obligated Group Representative or the Master Trustee shall, bear a notation in form approved by the Master Trustee as to any matter provided for in such Related Supplement. If the Obligated Group Representative or the Master Trustee shall so determine, new Obligations so modified as to conform in the opinion of the Master Trustee and the Governing Body of the Obligated Group Representative to any such Related Supplement may be prepared and executed by the Corporation and authenticated and delivered by the Master Trustee in exchange for and upon surrender of Obligations then Outstanding.

Section 6.4 Amendment of Related Supplements. Any Related Supplement may provide that the provisions thereof may be amended without the consent of or notice to any of the Holders or pursuant to such terms and conditions as may be specified in such Related Supplement. If a Related Supplement does not contain provisions relating to the amendment thereof, amendment of such Related Supplement shall be governed by the provisions of Section 6.1 and Section 6.2 hereof.

ARTICLE VII SATISFACTION AND DISCHARGE OF INDENTURE

Section 7.1 Satisfaction and Discharge of Indenture. If (1) the Members shall deliver to the Master Trustee for cancellation all Obligations previously authenticated (other than any Obligations which shall have been mutilated, destroyed, lost or stolen and which shall have been replaced or paid as provided in any Related Supplement) and not cancelled, or (2) upon payment of all Obligations not previously cancelled or delivered to the Master Trustee for cancellation, or (3) the Members shall deposit with the Master Trustee (or with a bank or trust company pursuant to an agreement between a Member and such bank or trust company) as cash or Escrow Obligations or both, sufficient to pay at maturity or upon redemption all Obligations not previously cancelled or delivered to the Master Trustee for cancellation, including without limitation principal and interest due or to become due to such date of maturity or redemption date, as the case may be, and if in any case the Members shall also pay or cause to be paid all other sums payable hereunder by the Members, then this Master Indenture shall cease to be of further effect, and the Master Trustee, on demand of the Members and at the cost and expense of the Members, shall execute proper instruments acknowledging satisfaction of and discharging this Master Indenture. The Members

shall cause a report to be prepared by a firm nationally recognized for providing verification services regarding the sufficiency of funds for such discharge and satisfaction, upon which report the Master Trustee may rely.

Section 7.2 Payment of Obligations After Discharge of Lien. Notwithstanding the discharge of the lien hereof as provided in this Article, the Master Trustee shall retain such rights, powers and duties hereunder as may be necessary and convenient for the payment of amounts due or to become due on the Obligations and for the registration, transfer, exchange and replacement of Obligations as provided in any Related Supplement. Any moneys held by the Master Trustee for the payment of the principal of, premium, if any, or interest on any Obligation remaining unclaimed for two years after the principal of all Obligations has become due and payable, whether at maturity or upon proceedings for redemption or by declaration as provided herein, shall then be paid to the Members and the Holders of any Obligations not theretofore presented for payment shall thereafter be entitled to look only to the Members for payment thereof as unsecured creditors and all liability of the Master Trustee with respect to such moneys shall thereupon cease.

ARTICLE VIII MISCELLANEOUS PROVISIONS

Section 8.1 Limitation of Rights. With the exception of rights herein expressly conferred, nothing expressed or mentioned in or to be implied from this Master Indenture or the Obligations issued hereunder is intended or shall be construed to give to any person other than each Member, the Master Trustee, and the Holders, any legal or equitable right, remedy or claim under or with respect to this Master Indenture or any covenants, conditions and provisions herein contained; this Master Indenture and all of the covenants, conditions and provisions hereof being intended to be and being for the sole and exclusive benefit of the parties mentioned in this Section.

Section 8.2 Severability. If any one or more sections, clauses, sentences or parts hereof shall for any reason be and shall be adjudged by a court of competent jurisdiction invalid or unenforceable, such judgment shall not affect, impair or invalidate the remaining provisions hereof, or the Obligations issued pursuant hereto, but shall be confined to the specific sections, clauses, sentences and parts so adjudged.

Section 8.3 Holidays. Except to the extent a Related Supplement or an Obligation provides otherwise:

(a) Subject to subsection (b), when any action is provided herein to be done on a day or within a time period named, and the day or the last day of the period does not fall on a Business Day, the action may be done on the next ensuing Business Day with effect as though done on the day or within the time period named.

(b) When the date on which principal of or interest or premium on any Obligation is due and payable is not a Business Day, payment may be made on the next ensuing Business Day with effect as though payment were made on the due date, and, if such payment is made, no interest shall accrue from and after such due date.

Section 8.4 Governing Law. This Master Indenture and the Obligations are contracts made under the laws of the State of California, and shall be governed by and construed in accordance with such laws applicable to contracts made and performed in said State.

Section 8.5 Counterparts. This Master Indenture may be executed in several counterparts, each of which shall be an original and all of which shall constitute one instrument.

Section 8.6 Ratification of Second Supplemental Master Indenture. The Second Supplemental Master Indenture shall remain in full force and effect, and all the terms, conditions and other provisions of the Second Supplemental Master Indenture shall survive the amendment and restatement of the Original Master Indenture as set forth in this Master Indenture. The Second Supplemental Master Indenture is hereby ratified and confirmed in all respects, and this Master Indenture shall so be supplemented by the Second Supplemental Master Indenture. This Master Indenture as so supplemented by the Second Supplemental Master Indenture shall be read, taken and construed as one and the same instrument.

Section 8.7 Immunity of Individuals. No recourse shall be had for the payment of the principal of, premium, if any, or interest on any of the Obligations issued hereunder or for any claim based thereon or upon any obligation, covenant or agreement herein against any past, present or future officer, director, member, employee or agent of any Member which is a corporation, whether directly or indirectly and all such liability of any such individual as such is hereby expressly waived and released as a condition of and in consideration for the execution hereof and the issuance of the Obligations hereunder.

Section 8.8 Binding Effect. This instrument shall inure to the benefit of and shall be binding upon each Member, the Master Trustee and their respective successors and assigns subject to the limitations contained herein.

Section 8.9 Notices. Unless otherwise expressly specified or permitted by the terms hereof, all notices, consents or other communications required or permitted is deemed sufficiently given or served if given in writing, mailed by first class mail, postage prepaid and addressed as follows:

If to any Member, addressed to such Member at:

Episcopal Communities & Services for Seniors

[]

[]

Attention: Vice President of Finance/CFO

Telephone: []

Telecopy: []

If to the Master Trustee, addressed to it at:

U.S. Bank Trust Company, National Association

[]

[]

Attn: Global Corporate Trust Services

Any Member or the Master Trustee may from time to time by notice in writing to the others and to the Holders of the Obligations designate a different address or addresses for notice hereunder.

IN WITNESS WHEREOF, the Corporation has caused this Master Indenture to be signed in its name by and of its duly authorized officers, and to evidence its acceptance of the trusts and agreements hereby created the Master Trustee has caused this Master Indenture to be signed in its name and on its behalf by one of its duly authorized officers, all as of the Effective Date.

EPISCOPAL COMMUNITIES & SERVICES FOR
SENIORS

By _____
Senior Vice President of Finance/
Chief Financial Officer

U.S. BANK TRUST COMPANY,
NATIONAL ASSOCIATION, as Master Trustee

By _____
Authorized Signatory

EXHIBIT A
LIENS ON PROPERTY

Liens on the real or personal property of Members existing as of the Effective Date are set forth in the pages that follow.

EXCEPTIONS

None.

EXHIBIT B
DESCRIPTION OF LAND

1. All that certain real property situated in the County of Los Angeles, State of California, described as follows:

Parcel 2 of Parcel Map No. 3963, in the City of Rancho Palos Verdes, County of Los Angeles, State of California, filed in Book 66, Pages 25 and 26 of Parcel Maps, in the Office of the County Recorder of said County.

2. All that certain real property situated in the County of Orange, State of California, described as follows:

PARCEL A:

Parcel 2 in the City of Aliso Viejo, County of Orange, State of California, as shown on Exhibit "B" attached to that certain Lot Line Adjustment No. LL 98-005 recorded March 19, 1998 as Instrument No. 19980158325 of Official Records of Orange County, California.

PARCEL B:

Parcel 4 in the City of Aliso Viejo, County of Orange, State of California, as shown on Exhibit "B" attached to that certain Lot Line Adjustment No. LL 92-021 recorded August 13, 1992 as Instrument No. 92-538343 of Official Records of Orange County, California.

EXCEPTING from Parcels A and B above, 100% of all rights to oil, gas and other hydrocarbon and mineral substances lying under or that may be produced from the above described land, together with 100% of all rights to the proceeds therefrom and 100% of all rents, bonuses and profits accruing therefrom; without however, any rights including rights of entry in or with respect to any portion of the surface or subsurface to a vertical depth of 500 feet from the surface, as the same may from time to time exist, by deeds recorded September 20, 1976 in book 11908, pages 527 to 587 inclusive of Official Records.

ALSO EXCEPTING from Parcels A and B above, all minerals, oil, gas, petroleum, other hydrocarbon substances and all underground water in or under or which may be produced from the property which underlies a plane parallel to and 500 feet below the present surface of the property for the purpose of prospecting for, the exploration, development, production, extraction and taking of said minerals, oil, gas, petroleum, other hydrocarbon substances and water from the property by means of mines, wells, derricks or other equipment from surface locations on adjoining or neighboring land or lying outside of the property, it being understood that the owner of such minerals, oil, gas, petroleum, other hydrocarbon substances and water, as set forth above, shall have no right to enter upon the property or any portion thereof or any portion thereof above said plane parallel to and 500 feet below the present surface of the property for any purpose whatsoever, as reserved by Shea Homes Limited Partnership in a deed recorded June 29, 1998 as Instrument No. 19980411959 of Official Records.

PARCEL C:

Non-exclusive easements for access, ingress, egress, maintenance, repair and for other purposes all as described in (i) the Declaration of Covenants, Conditions and Restrictions for Aliso Viejo Community Association dated April 1, 1982 and recorded April 6, 1982 as Instrument No. 82-118353 of Official Records of Orange County, California, (ii) the Declaration of Covenants, Conditions and Restrictions and Reservation of Easements for Pacific Park II and Notice of Annexation to Aliso Viejo Community Association (Delegate District No. 43) recorded December 20, 1988 as Instrument No. 88-663664 of Official Records of Orange County, California, as amended by Certificate of First amendment to Declaration of Covenants, Conditions and Restrictions and Reservation of Easements for Pacific Park II recorded April 23, 1990 as Instrument No. 90-0213187 of Official Records of Orange County, California and (iii) the Notice of Annexation and Supplemental Declaration of Covenants, Conditions and Restrictions for Pacific Park II (Parcel 2, Lot Line Adjustment L1 98-005 and Parcel 4, Lot Line Adjustment L1 92-021) (Delegate District No. 43) of Aliso Viejo Community Association recorded June 29, 1998 as Instrument No. 19980411958 in the Official Records of Orange County, California (collectively the "Declaration").

3. All that certain real property described as follows:

PARCEL 1:

LOT 9 IN BLOCK 4 OF THE RESUBDIVISION OF PART OF ALTADENA MAP NO. 1 IN THE COUNTY OF LOS ANGELES, STATE OF CALIFORNIA, AS PER MAP RECORDED IN BOOK 52 PAGE 83 OF MISCELLANEOUS RECORDS, IN THE OFFICE OF THE COUNTY RECORDER OF SAID COUNTY .

ALSO A STRIP OF LAND 15 FEET WIDE ADJOINING SAID LOT ON THE SOUTH, BOUNDED ON THE EAST AND WEST BY THE SOUTHERLY PROLONGATION OF THE EAST AND WEST LINES OF SAID LOT 9, BEING A PART OF ALAMEDA STREET, AS VACATED.

ALSO A STRIP OF LAND 15 FEET WIDE ADJOINING SAID LOT ON THE NORTH, BOUNDED ON THE EAST AND WEST BY THE NORTHERLY PROLONGATION OF THE EAST AND WEST LINES OF SAID LOT 9, BEING A PART OF CALAVERAS STREET, AS VACATED.

PARCEL 2:

LOTS 12 THRU 24 OF TRACT NO. 6162, IN THE COUNTY OF LOS ANGELES, STATE OF CALIFORNIA, AS PER MAP RECORDED IN BOOK 65 PAGE 19 OF MAPS, IN THE OFFICE OF THE COUNTY RECORDER OF SAID COUNTY.

APN: 5845-022-017

EXHIBIT C
EXCLUDED PROPERTY

The property of MonteCedro to be considered Excluded Property, such property being real or tangible personal property and where the primary operations of any Member are not conducted upon such property, at the address shown below.

- 2231 El Molino Ave, Altadena, CA 91001

THIRD SUPPLEMENTAL MASTER TRUST INDENTURE

EPISCOPAL COMMUNITIES & SERVICES FOR SENIORS,
As Obligated Group Representative,

and

U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION,
as Master Trustee

Dated as of January 1, 2024

Supplementing the Master Trust Indenture
(Amended and Restated)
Dated as of December 1, 2012 and Effective on May 16, 2022

Securing the California Health Facilities Financing Authority Revenues Bonds (Episcopal
Communities & Services), Series 2024A (Initial Entrance Fees) and Series 2024B

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EXHIBIT A FORM OF SERIES 2024 OBLIGATION	1

THIS THIRD SUPPLEMENTAL MASTER TRUST INDENTURE, made and entered into as of January 1, 2024 (as supplemented and amended in accordance with its terms, this “Supplement No. 3”), between EPISCOPAL COMMUNITIES & SERVICES FOR SENIORS, a California nonprofit public benefit corporation (the “Corporation”), as Obligated Group Representative under the Master Indenture (as defined below), and U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION, a national banking association, as master trustee (the “Master Trustee”);

W I T N E S S E T H:

WHEREAS, the Master Trust Indenture (Amended and Restated), dated as of December 1, 2012 and effective on May 16, 2022 (as amended, supplemented, restated or replaced from time to time in accordance with its terms, the “Master Indenture”), among the Corporation, the other Members named therein, and the Master Trustee, provides for, among other things, the issuance by the Obligated Group Representative of Obligations upon the Obligated Group Representative and the Master Trustee entering into an indenture supplemental to the Master Indenture; and

WHEREAS, the Corporation is the sole Member of the Obligated Group and is the Obligated Group Representative under the Master Indenture and has all requisite corporate power and is authorized under the terms of the Master Indenture to issue Obligations, which constitute the joint and several obligations of all Members; and

WHEREAS, Section 6.1(e) of the Master Indenture provides that, without the consent of or notice to any of the Holders, the Obligated Group Representative and the Master Trustee may enter into a Related Supplement for purposes of creating and providing for the issuance of an Obligation or Series of Obligations as permitted under the Master Indenture; and

WHEREAS, the Corporation, as Obligated Group Representative, desires to issue an Obligation hereunder and such Obligation shall be designated the “Episcopal Communities & Services for Seniors Series 2024 Obligation” (the “Series 2024 Obligation”) and shall be entitled to the benefit of the Master Indenture; and

WHEREAS, the Series 2024 Obligation shall evidence and secure the obligations of the Corporation under the Loan Agreement, dated as of January 1, 2024, between the California Health Facilities Financing Authority (the “Issuer”) and the Corporation, relating to the California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees) and Series 2024B (collectively, the “Series 2024 Bonds”); and

WHEREAS, all acts and things necessary to constitute this Supplement No. 3 a valid indenture and agreement according to its terms have been done and performed, and Corporation, as Obligated Group Representative, has duly authorized the execution and delivery of this Supplement No. 3 and of the Obligations issued hereby;

NOW, THEREFORE, in consideration of the premises, and of the giving of consideration for and acceptance of the Obligation issued hereunder by the Holder thereof, the Corporation, as Obligated Group Representative, covenants and agrees with the Master Trustee for the benefit of the Holder from time to time of the Obligation issued hereby as follows:

Section 1. Definitions. Unless otherwise required by the context, all capitalized terms used herein that are defined in the Master Indenture shall have the meanings assigned to them therein, except as set forth below:

“Bond Indenture” means that certain Bond Indenture, dated as of January 1, 2024, relating to the Bonds, by and between the Issuer and the Bond Trustee, as originally executed and as amended or supplemented from time to time in accordance with its terms.

“Bond Trustee” means U.S. Bank Trust Company, National Association, a national banking association duly organized and existing under the laws of the United States of America, as bond trustee under the Bond Indenture, and any successor to its duties under the Bond Indenture.

“Bonds” means, collectively, the California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees) and Series 2024B.

“Issuer” means California Health Facilities Financing Authority, a public instrumentality of the State of California.

“Loan Agreement” means that certain Loan Agreement, dated as of January 1, 2024, by and between the Issuer and the Corporation, as originally executed and as it may from time to time be supplemented, modified or amended in accordance with the terms thereof and of the Bond Indenture.

“Loan Repayments” means all of the payments so designated and required to be made by the Corporation pursuant to Section 4.01 of the Loan Agreement.

“Series 2024 Obligation” means the Obligation issued pursuant hereto.

“Sinking Fund Installments” shall have the meaning assigned to it in the Bond Indenture.

“Supplement No. 3” shall mean this Third Supplemental Master Trust Indenture, as originally executed and as it may from time to time be supplemented, amended, modified or restated in accordance with the terms hereof and of the Master Indenture.

Section 2. Interpretation.

(a) Unless the context otherwise indicates, words expressed in the singular shall include the plural and vice versa and the use of the neuter, masculine, or feminine gender is for convenience only and shall be deemed to mean and include the neuter, masculine or feminine gender, as appropriate.

(b) Headings of sections herein and the table of contents hereof are solely for convenience of reference, do not constitute a part hereof and shall not affect the meaning, construction or effect hereof.

Section 3. Issuance of Series 2024 Obligation.

(a) There is hereby created and authorized to be issued January 24, 2024, an Obligation in an aggregate principal amount of one hundred five million five hundred fifteen thousand dollars (\$105,515,000) to evidence the joint and several obligations of the Corporation and the other Members to pay all amounts due from the Obligated Group under the Loan Agreement. The Series 2024 Obligation shall be dated January 24, 2024, shall be designated “Episcopal Communities & Services for Seniors Series 2024 Obligation” and shall be payable in such amounts, at such times and in such manner and shall have such other terms and provisions as are set forth in the form of Series 2024 Obligation as provided in Exhibit A hereto.

(b) The aggregate principal amount of the Series 2024 Obligation is limited to one hundred five million five hundred fifteen thousand dollars (\$105,515,000), except for any Series 2024 Obligation authenticated and delivered in lieu of another Series 2024 Obligation as provided in Section 7 hereof, with respect to any Series 2024 Obligation mutilated, destroyed, lost or stolen or, subject to the provisions of Section 6 hereof, upon transfer of a Series 2024 Obligation.

(c) The Series 2024 Obligation is being issued in accordance with the Master Indenture to evidence and secure the obligations of the Corporation to make Loan Repayments and to perform its other obligations (including payment of redemption premium, if any) under and pursuant to the Loan Agreement.

(d) The proceeds from the Bonds shall be used for the purposes described in the Loan Agreement.

(e) The Primary Obligor for the Series 2024 Obligation shall be the Corporation, and, upon the addition of any Member or Members in accordance with the Master Indenture, such Member or Members.

Section 4. Payments on the Series 2024 Obligation; Credits.

(a) Principal of and interest and any applicable redemption premium on Series 2024 Obligation are payable in any coin or currency of the United States of America that on the payment date is legal tender for the payment of public and private debts. Except as provided in subsection (b) of this Section with respect to credits, and Section 5 hereof regarding redemption, payments on the principal of and redemption premium, if any, and interest on Series 2024 Obligation shall be made at the times and in the amounts specified in Series 2024 Obligation by the Members (i) depositing or causing to be deposited the same with or to the account of the Bond Trustee at or prior to the opening of business on the day such payments shall become due or payable (or the next succeeding business day if such date is a Saturday, Sunday or bank holiday in the city in which the principal corporate trust office of the Bond Trustee is located) under Section 4.01 of the Loan Agreement, and (ii) giving notice to the Master Trustee and the Bond Trustee of each payment of principal, interest or premium on Series 2024 Obligation, that specifies the amount paid and identifies such payment as a payment on Series 2024 Obligation.

All amounts required to be paid by the Corporation pursuant to Section 4.07 of the Loan Agreement shall be payable by the Members on Series 2024 Obligation in the amounts and at such

times as are required to be paid by the Corporation pursuant to Section 4.07 of the Loan Agreement. All amounts required to be paid by the Corporation pursuant to Section 4.05 of the Loan Agreement for the purpose of paying the Purchase Price of Bonds tendered for optional or mandatory purchase pursuant to the Bond Indenture shall be paid by the Members on Series 2024 Obligation at such times and in such amounts as are required to be paid by the Corporation pursuant to Section 4.05 of the Loan Agreement. All amounts required to be paid by the Corporation pursuant to Section 4.02 of the Loan Agreement or payments pursuant to Section 6.02 or Section 6.03 of the Loan Agreement shall be payable by the Members on Series 2024 Obligation in the amounts and at such times as are required to be paid by the Corporation in accordance with the provisions set forth in Section 4.02, Section 6.02 or Section 6.03 of the Loan Agreement.

Subject to receipt by the Master Trustee from the Holder of Series 2024 Obligation of notice to the contrary, the Master Trustee may conclusively assume that such payment has been made when due.

(b) The Members shall receive credit for payment on Series 2024 Obligation, in addition to any credits resulting from payment or redemption from other sources, as follows:

(i) On installments of interest on Series 2024 Obligation in an amount equal to moneys deposited in the Interest Fund created under the Bond Indenture, which amounts are available to pay interest on the Bonds, to the extent such amounts have not previously been credited against payments on Series 2024 Obligation;

(ii) On installments of principal of Series 2024 Obligation in an amount equal to moneys deposited in the Bond Sinking Fund created under the Bond Indenture, which amounts are available to pay principal or Sinking Fund Installments on the Bonds to the extent such amounts have not previously been credited against payments on Series 2024 Obligation;

(iii) On installments of principal and interest, respectively, on Series 2024 Obligation in an amount equal to the principal amount of Bonds which have been called by the Bond Trustee for payment at maturity or which have been called by the Bond Trustee in accordance with the Bond Indenture for redemption prior to maturity and for the redemption of which sufficient amounts (as determined by Section 10.02 of the Bond Indenture) in cash or United States Government Obligations (as defined in the Bond Indenture) are on deposit as provided in Section 10.03 of the Bond Indenture to the extent such amounts have not previously been credited against such payments on Series 2024 Obligation, and the interest on such Bonds from and after the date fixed for payment at maturity or redemption thereof. Such credits shall be made against the installments of principal and interest on Series 2024 Obligation which would have been used, but for such call for redemption, to pay principal of and interest on such Bonds when due at maturity or called for redemption;

(iv) On installments of principal and interest, respectively, on Series 2024 Obligation in an amount equal to the principal amount of Bonds acquired by the Corporation and surrendered to the Bond Trustee for cancellation or purchased by the Bond Trustee and cancelled, and the interest on such Bonds from and after the date interest

thereon has been paid prior to cancellation. Such credits shall be made against the installments of principal and interest on Series 2024 Obligation which would have been used, but for such cancellation, to pay principal of and interest on such Bonds when due, and with respect to Bonds called for mandatory redemption, against principal and interest which would have been used to pay Bonds of the same date;

(v) On payments of Purchase Price, in an amount equal to moneys deposited with the Bond Trustee by the Corporation pursuant to Section 4.05 of the Loan Agreement; and

(vi) On payments of certain fees and expenses, in an amount equal to the amount paid by the Corporation pursuant to Section 4.02, Section 6.02 or Section 6.03. of the Loan Agreement as the case may be.

(c) Subject to the receipt by the Master Trustee from the Holders of the Series 2024 Obligation of notice of the failure of the Obligated Group to make the foregoing payments as and when due, the Master Trustee may conclusively assume that such payments were made and to such extent a corresponding credit on the Series 2024 Obligation shall be deemed to have occurred.

Section 5. Redemption and Prepayment of Series 2024 Obligation.

(a) So long as all amounts which have become due under Series 2024 Obligation have been paid or credits for such payments have occurred, (x) the Members shall have the right, at any time and from time to time, to pay in advance all or part of the amounts to become due under Series 2024 Obligation and (y) Series 2024 Obligation shall be subject to redemption, in whole or in part, prior to maturity at the times and in the amounts applicable to redemption of the Bonds as specified in the Bond Indenture; provided that in no event shall Series 2024 Obligation be redeemed unless a corresponding amount of Bonds are also redeemed and all accrued interest and Redemption Price is paid in full. Redemptions may be made by payments of cash or deposit of United States Government Obligations (as defined in the Bond Indenture) or credits for such payments may occur by surrender of Bonds, as contemplated by subsections 4(b)(iii) and (iv) hereof. All such redemptions (and the additional payment of any amount necessary to pay the applicable premium, if any, payable upon the redemption of Bonds) shall be deposited upon receipt, at the Obligated Group Representative's direction, in the Revenue Fund, the Optional Redemption Fund, or the Initial Entrance Fee Redemption Account or such other Bond Trustee escrow account as may be specified by the Obligated Group Representative, and, at the request of and as determined by the Obligated Group Representative, shall be credited against payments due under Series 2024 Obligation or used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Bond Indenture. Notwithstanding any such redemption or surrender of Bonds, as long as any Bonds remain Outstanding (as defined in the Bond Indenture) or any additional payments required to be made hereunder remain unpaid, the Members shall not be relieved of their obligations hereunder.

(b) Redemptions made under subsection (a) of this Section shall be credited against amounts to become due on Series 2024 Obligation as provided in Section 4 hereof.

(c) The Members may also prepay all of their indebtedness under the Series 2024 Obligation by providing for the payment of Bonds in accordance with Article X of the Bond Indenture.

Section 6. Registration, Number, Negotiability and Transfer of the Series 2024 Obligation.

(a) Except as provided in subsection (b) of this Section, so long as any Bonds remain Outstanding, Series 2024 Obligation shall consist of a single Obligation without coupons registered as to principal and interest in the name of the Bond Trustee, as Holder, and no transfer of Series 2024 Obligation shall be permitted or shall be registered under the Master Indenture except for transfers to a successor Bond Trustee.

(b) Upon the principal of all Obligations then Outstanding being declared immediately due and payable upon and during the continuance of an Event of Default, which declaration has not been annulled as provided in the Master Indenture, Series 2024 Obligation may be transferred, if and to the extent the Bond Trustee requests in writing that the restrictions of subsection (c) of this Section on transfers be terminated.

(c) Series 2024 Obligation will be registered on the register maintained by the Master Trustee as registrar at its Corporate Trust Office and Series 2024 Obligation shall be transferable only upon presentation of Series 2024 Obligation by the Holder or by the Holder's duly authorized attorney. Such transfer shall be without charge to the Holder thereof, but any taxes or other governmental charges required to be paid with respect to the same shall be paid by the Holder requesting such transfer as a condition precedent to the exercise of such privilege. Upon any such transfer, the Obligated Group Representative shall execute, and the Master Trustee shall authenticate and deliver in exchange for Series 2024 Obligation a new registered Obligation without coupons, registered in the name of the transferee.

(d) Prior to due presentment of Series 2024 Obligation for registration of transfer, the Members, the Master Trustee, any paying agent and any registrar with respect to Series 2024 Obligation may deem and treat the person in whose name Series 2024 Obligation is registered as the absolute owner hereof for all purposes; and neither the Members, any paying agent, the Master Trustee nor any Obligation registrar shall be affected by any notice to the contrary. All payments made to the registered owner hereof shall be valid, and, to the extent of the sum or sums so paid, sufficient to satisfy and discharge the liability for moneys payable on Series 2024 Obligation.

Section 7. Mutilation, Destruction, Loss and Theft of the Series 2024 Obligation. If (i) any Series 2024 Obligation is surrendered to the Master Trustee in a mutilated condition, or the Master Trustee receives evidence to its satisfaction of the destruction, loss or theft of the Series 2024 Obligation, and (ii) there is delivered to the Obligated Group Representative and the Master Trustee such security or indemnity as may be required by them to hold them harmless, then, in the absence of proof satisfactory to the Obligated Group Representative and the Master Trustee that such Series 2024 Obligation has been acquired by a bona fide purchaser and upon the Holder thereof paying the reasonable expenses of the Obligated Group Representative and the Master Trustee, the Obligated Group Representative shall cause to be executed and the Master Trustee shall authenticate and deliver, in exchange for such mutilated Series 2024 Obligation or in

lieu of such destroyed, lost or stolen Series 2024 Obligation, a new Series 2024 Obligation of like principal amount, date and tenor. If any such mutilated, destroyed, lost or stolen Series 2024 Obligation has become or is about to become due and payable, the Series 2024 Obligation may be paid when due instead of delivering a new Series 2024 Obligation.

Section 8. Execution and Authentication of the Series 2024 Obligation. The Series 2024 Obligation shall be executed by the Authorized Representative of the Obligated Group Representative, for and on behalf of the Obligated Group. The signature of such officer may be mechanically or photographically reproduced on the Series 2024 Obligation. If any such officer whose signature appears on Series 2024 Obligation ceases to be such officer before delivery thereof, such signature shall remain valid and sufficient for all purposes as if such officer had remained in office until such delivery. The Series 2024 Obligation shall be manually authenticated by an authorized officer of the Master Trustee, without which authentication the Series 2024 Obligation shall not be entitled to the benefits hereof.

Section 9. Partial Redemption of the Series 2024 Obligation; Effect of Call for Redemption. Upon the selection and call for redemption, and the surrender of Series 2024 Obligation for redemption in part only, the Obligated Group Representative shall cause to be executed and the Master Trustee shall authenticate and deliver to, upon the written order of, the Holder thereof, at the expense of the Obligated Group, a new Series 2024 Obligation in principal amount equal to the unredeemed portion of Series 2024 Obligation, which new Series 2024 Obligation shall be a fully registered Series 2024 Obligation without coupons.

The Obligated Group Representative may agree with the Holder of Series 2024 Obligation that such Holder may, in lieu of surrendering the Series 2024 Obligation for a new fully registered Series 2024 Obligation without coupons, endorse on the Series 2024 Obligation a notice of such partial redemption, which notice shall set forth, over the signature of such Holder, the payment date, the principal amount prepaid and the principal amount remaining unpaid. Such partial redemption shall be valid upon payment of the amount thereof to the registered owner of Series 2024 Obligation and the Obligated Group and the Master Trustee shall be fully released and discharged from all liability to the extent of such payment irrespective of whether such endorsement shall have been made upon the reverse of Series 2024 Obligation by the Holder thereof and irrespective of any error or omission in such endorsement.

On the date cash or United States Government Obligations (as defined in the Bond Indenture), or both, are deposited with the Bond Trustee (for payment of the redemption price and accrued interest on a corresponding amount of Bonds with respect to the Bonds to be redeemed on the date fixed for redemption all as provided in the Bond Indenture), Series 2024 Obligation shall be deemed paid (in a principal amount corresponding to the principal amount of Bonds to be redeemed on the date fixed for redemption), interest on Series 2024 Obligation, or the part thereof called for redemption, shall cease to accrue, and such corresponding amount of Series 2024 Obligation shall be deemed not to be Outstanding (as defined in the Master Indenture), and shall no longer be entitled to the benefits of the Master Indenture.

Section 10. Ratification of Master Indenture. As supplemented and amended hereby, the Master Indenture is in all respects ratified and confirmed and the Master Indenture as so supplemented hereby shall be read, taken and construed as one and the same instrument.

Section 11. Severability. If any provision of this Supplement No. 3 shall be held or deemed to be or shall, in fact, be inoperative or unenforceable as applied in any particular case and any jurisdiction or jurisdictions or in all jurisdictions, or in all cases, because it conflicts with any other provision or provisions hereof or any constitution, statute, rule or public policy, or for any other reason, such circumstances shall not have the effect of rendering the provision in question inoperative or unenforceable in any other case or circumstance, or of rendering any other provision or provisions herein contained invalid, inoperative or unenforceable to any extent whatever.

The invalidity of any one or more phrases, sentences, clauses, sections or subsections contained in this Supplement No. 3 shall not affect the remaining portions of this Supplement No. 3 or any part thereof.

Section 12. Amendment. This Supplement No. 3 may be amended from time to time (i) for the purposes set forth in Section 6.1 of the Master Indenture, without the necessity of obtaining the consent of or giving prior notice to any of the Holders, and (ii) for any other purpose with the written consent of the Holder of Series 2024 Obligation, without the necessity of obtaining the consent of or giving prior notice to any of the Holders of any other Obligations.

Section 13. Counterparts. This Supplement No. 3 may be executed in several counterparts, each of which shall be an original and all of which shall constitute one instrument.

Section 14. Governing Law. This Supplement No. 3 shall be governed by and construed in accordance with the laws of the State of California.

IN WITNESS WHEREOF, Corporation, as Obligated Group Representative, has caused these presents to be signed in its name and on its behalf by its Authorized Representative and the Master Trustee has caused these presents to be signed in its name and on its behalf by an Authorized Officer, all as of the day and year first above written.

EPISCOPAL COMMUNITIES & SERVICES FOR
SENIORS,
as Obligated Group Representative

By _____
Executive Vice President/
Chief Financial Officer

U.S. BANK TRUST COMPANY,
NATIONAL ASSOCIATION,
as Master Trustee

By _____
Authorized Officer

EXHIBIT A

FORM OF SERIES 2024 OBLIGATION

EPISCOPAL COMMUNITIES & SERVICES FOR SENIORS SERIES 2024 OBLIGATION

Date: January 24, 2024

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EPISCOPAL COMMUNITIES & SERVICES FOR SENIORS D/B/A EPISCOPAL COMMUNITIES & SERVICES (“**Corporation**”), a nonprofit public benefit corporation organized and existing under the laws of the State of California, as Obligated Group Representative under that certain Master Trust Indenture (Amended and Restated), dated as of December 1, 2012 and effective May 16, 2022 (as amended, supplemented, restated or replaced from time to time in accordance with its terms, the “**Master Indenture**”), between the Corporation and U.S. Bank Trust Company, National Association, a national banking association, as master trustee (the “**Master Trustee**”), for value received hereby acknowledges itself and the other Members obligated to, and promises to pay U.S. Bank Trust Company, National Association, as bond trustee (the “**Bond Trustee**”) under the bond indenture dated as of January 1, 2024 (as may be amended or supplemented from time to time in accordance with its terms, the “**Bond Indenture**”), between the Bond Trustee and the California Health Facilities Financing Authority (the “**Issuer**”), relating to the California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees) and Series 2024B (collectively, the “**Bonds**”), and any successor trustee under the Bond Indenture, or registered assigns, the principal sum of one hundred five million five hundred fifteen thousand dollars (\$105,515,000), and to pay interest on the unpaid balance of said sum from the date hereof on the dates and in the manner hereinafter described.

This Series 2024 Obligation is one of the joint and several obligations of the Members of the Obligated Group designated as “Episcopal Communities & Services for Seniors Series 2024 Obligation” (as may be amended in accordance to its terms, “**Series 2024 Obligation**”), issued under and pursuant to the Third Supplemental Master Trust Indenture, dated as of January 1, 2024 (as amended or supplemented from time to time, the “**Supplement No. 3**”), between the Corporation, as Obligated Group Representative, and the Master Trustee, supplementing the Master Indenture.

Principal hereof and interest hereon and redemption premium, if any, and purchase price are payable, in any coin or currency of the United States of America that on the payment date is legal tender for the payment of public and private debts, on the dates and in the amounts required to be paid by the Corporation pursuant to the loan agreement, dated as of January 1, 2024 (as may be amended or supplemented from time to time in accordance with its terms, the “**Loan Agreement**”), by and between the Issuer and the Corporation, and relating to the Bonds. Payments of the principal of and premium, if any, purchase price and interest on Series 2024 Obligation shall be made by the Members at the times and in the amounts set forth in Section 4(a) of Supplement No. 3 and at the same times and in the same amounts as payments are due from the Corporation under the Loan Agreement.

This Series 2024 Obligation is issued for the purpose of evidencing and securing the obligations of the Corporation to make Loan Repayments (as defined in the Bond Indenture) and to perform its other obligations (including payment of redemption premium, if any) under and pursuant to the Loan Agreement.

The Members shall receive credit for payment on Series 2024 Obligation as provided in the Supplement No. 3.

Copies of the Master Indenture and Supplement No. 3 are on file at the Global Corporate Trust Services of the Master Trustee, in 555 SW Oak Street, PD-OR-P7TD Portland, Oregon 97204, and reference is hereby made to the Master Indenture for the provisions, among others, with respect to the nature and extent of the rights of the Holders of Obligations issued under the Master Indenture, the terms and conditions on which and the purposes for which Obligations are to be issued and the rights, duties and obligations of the Members and the Master Trustee under the Master Indenture, to all of which the Holder hereof, by acceptance of this Series 2024 Obligation, assents.

This Series 2024 Obligation is entitled to the benefits of the Master Indenture and is secured by the Master Indenture and shall be equal and without preference, priority or distinction with any other Obligations issued under the Master Indenture. The Master Indenture permits the issuance of additional Obligations under the Master Indenture to be secured by the provisions of the Master Indenture, all of which, regardless of the times of issue or maturity, are to be of equal rank without preference, priority or distinction of any Obligations issued under the Master Indenture over any other such Obligations except as expressly provided or permitted in the Master Indenture.

The Master Indenture may be amended as provided in the Master Indenture.

Upon the occurrence of certain “Events of Default,” the principal of all Obligations then Outstanding may be declared, and thereupon shall become, due and payable as provided in the Master Indenture.

The Holder of this Series 2024 Obligation shall have no right to enforce the provisions of the Master Indenture, or to institute any action to enforce the covenants therein, or to take any action with respect to any default under the Master Indenture, or to institute, appear in or defend any suit or other proceeding with respect to any default under the Master Indenture, or to institute, appear in or defend any suit or other proceeding with respect thereto, except as provided in the Master Indenture.

This Series 2024 Obligation is issuable only as a registered Obligation without coupons.

No transfer of this Series 2024 Obligation shall be permitted except for, and no transfer of any of this Series 2024 Obligation shall be registered under the Master Indenture except for transfers to a successor Bond Trustee. This Series 2024 Obligation shall be registered on the register to be maintained by the Master Trustee as registrar for the Obligated Group for that purpose at the principal corporate trust office of the Master Trustee and this Series 2024 Obligation shall be transferable only upon presentation of this Series 2024 Obligation at said office by the Holder or by his duly authorized attorney and subject to the limitations, if any, set forth in the

Supplement No. 3. Such transfer shall be without charge to the Holder hereof, but any taxes or other governmental charges required to be paid with respect to the same shall be paid by the Holder requesting such transfer as a condition precedent to the exercise of such privilege. Upon any such transfer, the Obligated Group Representative shall execute and the Master Trustee shall authenticate and deliver in exchange for this Series 2024 Obligation a new registered Obligation without coupons, registered in the name of the transferee.

Prior to due presentment hereof for registration of transfer, and subject to the provisions of Supplement No. 3 regarding nominees, the Obligated Group Representative, the Master Trustee, any paying agent and any registrar with respect to this Series 2024 Obligation may deem and treat the person in whose name this Series 2024 Obligation is registered as the absolute owner hereof for all purposes; and, except as provided in Supplement No. 3, neither the Obligated Group Representative, any paying agent, the Master Trustee nor any Obligation registrar shall be affected by any notice to the contrary. All payments made to the registered owner hereof shall be valid, and, to the extent of the sum or sums so paid, effectual to satisfy and discharge the liability for moneys payable on this Series 2024 Obligation.

No covenant or agreement contained in this Series 2024 Obligation or the Master Indenture shall be deemed to be a covenant or agreement of any officer, agent or employee of the Obligated Group Representative, any other Obligated Group Member or the Master Trustee in his individual capacity, and no incorporator, member, officer or member of the governing board of the Obligated Group Representative or any other Obligated Group Member shall be liable personally on this Series 2024 Obligation or be subject to any personal liability or accountability by reason of the issuance of this Series 2024 Obligation.

This Series 2024 Obligation shall not be entitled to any benefit under the Master Indenture, or be valid or become obligatory for any purpose, until this Series 2024 Obligation shall have been manually authenticated by the execution by an authorized officer of the Master Trustee, or its successor as Master Trustee, of the Certificate of Authentication inscribed hereon.

This Series 2024 Obligation shall be governed by and construed in accordance with the laws of the State of California.

IN WITNESS WHEREOF, Corporation, as Obligated Group Representative, has caused this Series 2024 Obligation to be executed in its name and on its behalf and on behalf of the other Members by the signature of its Authorized Representative all as of the date first mentioned above.

EPISCOPAL COMMUNITIES & SERVICES FOR
SENIORS,
as Obligated Group Representative

By _____
Executive Vice President/
Chief Financial Officer

MASTER TRUSTEE’S AUTHENTICATION CERTIFICATE

The undersigned Master Trustee hereby certifies that this Series 2024 Obligation is one of the Obligations described in the within-mentioned Master Indenture.

DATED: January 24, 2024.

U.S. BANK TRUST COMPANY, NATIONAL
ASSOCIATION,
as Master Trustee

By _____
Authorized Officer

APPENDIX E

SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

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APPENDIX E

SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT

The following is a summary of certain provisions of the Bond Indenture and the Loan Agreement that are not described elsewhere in this Official Statement. These summaries do not purport to be comprehensive and reference should be made to the Bond Indenture and the Loan Agreement for a full and complete statement of their provisions.

This Official Statement summarizes certain terms of each Series of the Bonds in their respective Initial Fixed Period while each Series of the Bonds bear interest at the Fixed Rates set forth on the inside cover of this Official Statement. There are significant differences in the terms of the Bonds if they are in any other Interest Rate Mode. If the Corporation elects to convert the Series 2024B Bonds to an Interest Rate Mode or to a new Fixed Period, the Series 2024B Bonds will be subject to mandatory tender for purchase on the Conversion Date, and a new reoffering circular or supplement to this Official Statement or other disclosure document will be prepared in connection with any such Conversion. The Series 2024A Bonds may not be converted.

DEFINITIONS OF CERTAIN TERMS

The following is a summary of certain terms used in this “SUMMARY OF BOND INDENTURE AND LOAN AGREEMENT” and not defined elsewhere in this Official Statement. Unless the context otherwise requires, the terms defined in this Appendix E shall, for all purposes of this Appendix E, have the meanings herein specified, to be equally applicable to both the singular and plural forms of any of the terms herein defined. Unless otherwise defined in this Appendix E, all terms used herein shall have the meanings assigned to such terms in the Bond Indenture.

“**Act**” means the California Health Facilities Financing Authority Act, constituting Part 7.2 of Division 3 of Title 2 of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“**Additional Payments**” means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“**Administrative Fees and Expenses**” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred by the Authority or the Bond Trustee, and reasonable fees and expenses of attorneys and other reasonable expenses incurred by either of them in connection with any Loan Default Event, including, without limitation, fees and expenses incurred in the collection of amounts due under the Series 2024 Obligation or any other sum due or the enforcement of performance of any other obligations of the Corporation under the Loan Agreement.

“**Authority**” means the California Health Facilities Financing Authority, or its successors and assigns.

“**Authorized Denominations**” means with respect to any Bonds during a Fixed Period, \$5,000 and any integral multiple thereof.

“**Authorized Representative**” means (i) with respect to the Authority, its Chair (or any Deputy), Executive Director or any other Person or Persons designated as an Authorized Representative of the Authority by a Certificate of the Authority signed by its Chair (or any Deputy), or Executive Director, and such authorization shall remain in effect until the Bond Trustee has received written notice to the contrary accompanied by a new designation; and (ii) with respect to the Corporation, the Chairperson of its Governing Body, the President and Chief Executive Officer, the Chief Financial Officer, Treasurer or any other person designated as an Authorized Representative of the Corporation by an Officer’s Certificate signed by the Chairperson of its Governing Body, the President and Chief Executive Officer, the Chief Financial Officer, or Treasurer and filed with the Bond Trustee.

“**Beneficial Owner**” means any Person which (a) has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any of the Bonds (including any Person holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bond for federal income tax purposes.

“**Bond Counsel**” means a firm of attorneys, of nationally recognized standing in matters pertaining to the tax-exempt nature of interest on obligations issued by states and their political subdivisions and duly admitted to practice law before the highest court of any state of the United States of America.

“Bond Indenture” means the Bond Indenture, dated as of January 1, 2024 between the Authority and the Bond Trustee relating to the Bonds, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Bond Indenture or otherwise in accordance with the terms thereof.

“Bond Sinking Fund” means the fund by that name established pursuant to the Bond Indenture, as more particularly described in this Appendix E under the section captioned “THE BOND INDENTURE—Bond Sinking Fund.”

“Bond Trustee” means U.S. Bank Trust Company, National Association, a national banking association organized under the laws of the United States of America, and, subject to the limitations contained in the Bond Indenture, any successor or successors to said trustee in the trusts created under the Bond Indenture.

“Bonds” means the Series 2024A Bonds and the Series 2024B Bonds, authorized by, and at any time Outstanding pursuant to, the Bond Indenture.

“Business Day” means a day that is not a Saturday, Sunday or legal holiday on which banking institutions in (a) the State of California or the State of New York, (b) the state in which the Corporate Trust Office is located or (c) the state in which the principal office of the Master Trustee is located, in each case under the preceding clauses (a)-(c) are authorized to remain closed, or a day on which the New York Stock Exchange is closed.

“Capitalized Interest Fund” means the fund by that name established pursuant to the Bond Indenture, as more particularly described in this Appendix E under the section captioned “THE BOND INDENTURE—Establishment and Application of Capitalized Interest Fund.”

“Certificate,” “Statement,” “Request” and “Requisition” of the Authority or the Corporation means, respectively, a written certificate, statement, request or requisition signed in the name of the Authority or the Corporation by an Authorized Representative. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument.

“Code” means the Internal Revenue Code of 1986, as amended from time to time. Each reference to a section of the Code shall be deemed to include the United States Treasury Regulations relating to such section, including temporary and proposed regulations, relating to such section which are applicable to the Bonds or the use of the proceeds thereof.

“Continuing Disclosure Agreement” means any continuing disclosure agreement or certificate executed by the Corporation with respect to the Bonds and which complies with Rule 15c2-12.

“Conversion” means a conversion of all or a portion of the Bonds from one Interest Rate Mode to one or more other Interest Rate Modes in accordance with the terms and provisions of the Bond Indenture.

“Conversion Date” means the effective date of a Conversion of the Bonds or a portion of the Bonds.

“Corporate Trust Office” means the office of the Bond Trustee at which its corporate trust business with respect to the Bonds is conducted, which location is as provided in the Bond Indenture, provided, however, that for purposes of the surrender or presentation of Bonds for payment, transfer or exchange, the Corporate Trust Office shall be the designated corporate trust agency or operations office of the Bond Trustee.

“Corporation” means Episcopal Communities & Services for Seniors, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California, or any entity which is the surviving, resulting or transferee entity in any merger, consolidation or transfer of all or substantially all assets permitted under the Master Indenture.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Authority or the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Bond Trustee and the Master Trustee, initial fees and charges of the Authority, legal fees and charges, fees and disbursements of consultants and professionals, Rating Agency fees, fees and charges for preparation, execution, transportation and safekeeping of the Bonds, and any other cost, charge or fee in connection with the original issuance of the Bonds.

“Costs of Issuance Fund” means the fund so designated and established pursuant to the Bond Indenture, as more particularly described in this Appendix E under the section captioned “THE BOND INDENTURE—Establishment and Application of Costs of Issuance Fund.”

“Date of Issuance” means the date of issuance and delivery of the Bonds.

“Electronic Means” means the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Bond Trustee, or another method or system specified by the Bond Trustee as available for use in connection with its services under the Bond Indenture.

“Electronic Notice” means a notice transmitted through Electronic Means.

“Event of Default” means any of the events specified as such in the Bond Indenture, described in this Appendix E under the section captioned “THE BOND INDENTURE—Events of Default.”

“Favorable Opinion of Bond Counsel” means an opinion of Bond Counsel, addressed to the Authority, the Remarketing Agent, if any, the Corporation and the Bond Trustee, to the effect that the action proposed to be taken is authorized or permitted or not prohibited by or in contravention of the Bond Indenture and will not, in and of itself, cause interest on the Bonds to be included in gross income for purposes of federal income taxation.

“Fitch” means Fitch Ratings, a corporation organized and existing under the laws of the State of New York, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice in writing to the Authority and the Bond Trustee.

“Fixed Bonds” means Bonds that bear interest at Fixed Rates.

“Fixed Mode” means the Interest Rate Mode during which the Bonds bear interest at a Fixed Rate or Fixed Rates to their Maturity Date.

“Fixed Period” means the period to the Maturity Date, or to the date on which Fixed Bonds are converted to a new Interest Rate Mode, during which Bonds constitute Fixed Bonds and initially means the Initial Fixed Period.

“Fixed Rate” means the interest rates per annum on Fixed Bonds set forth on the inside cover of this Official Statement, to their Maturity Date or until the Fixed Rate Conversion Date, if any, and after any Fixed Rate Conversion Date, the fixed interest rate or rates per annum determined prior to such Fixed Rate Conversion Date as provided in the Bond Indenture.

“Fixed Rate Conversion Date” means the effective date of a Conversion of the Bonds or a portion of the Bonds into a Fixed Period or from one Fixed Period to a new Fixed Period or another Interest Rate Mode pursuant to the Bond Indenture.

“Holder,” “Bondholder,” “Owner,” “Registered Owner” or “holder” whenever used with respect to a Bond, means the Person in whose name such Bond is registered; provided, however, that any time the Bonds are held in a book-entry system, “Holder” or “Bondholder” shall mean Beneficial Owner of the Bonds.

“Initial Entrance Fees” has the meaning given in the Master Indenture and means fees received upon the initial occupancy of any newly-constructed independent living units that are part of a project (including any such fees collected for the purpose of obtaining a parking space) not previously occupied, other than security deposits, monthly rentals or monthly service charges, paid to a Member by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, residency agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, residency agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Initial Entrance Fee Redemption Account” means the account so designated and established pursuant the Bond Indenture, as more particularly described in the forepart of this Official Statement under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS – MonteCedro Initial Entrance Fees – *Initial Entrance Fee Redemption Account Established under the Bond Indenture.*”

“Initial Entrance Fee Redemption Date” means each February 15, May 15, August 15 and November 15, commencing February 15, 2026.

“Initial Fixed Period” means the applicable Fixed Period commencing on the Date of Issuance, with respect to the respective Series of the Bonds.

“Interest Accrual Date” means, with respect to any Fixed Period, the first day thereof and, thereafter, each Interest Payment Date during such period, other than the last such Interest Payment Date.

“Interest Fund” means the fund by that name established pursuant to the Bond Indenture, as described in this Appendix E under the section captioned, “THE BOND INDENTURE—Interest Fund.”

“Interest Payment Date” means (a) with respect to any Fixed Period, May 15 and November 15, and (b) with respect to each Interest Rate Mode, the day next succeeding the last day thereof, any Conversion Date, any Mandatory Purchase Date and any Maturity Date.

“Interest Rate Mode” means a Daily Mode, a Two Day Mode, a Weekly Mode, a Short-Term Mode, a Long-Term Mode, an FRN Mode, a VRO Mode, a Window Mode, a Flexible Mode, a Direct Purchase Mode or a Fixed Mode, each as further described in the Bond Indenture.

“Interest Rate Period” means a Daily Interest Rate Period, a Two Day Interest Rate Period, a Weekly Interest Rate Period, a Short-Term Interest Rate Period, a Long-Term Interest Rate Period, a Flexible Rate Period, an FRN Interest Rate Period, a VRO Period, a Window Interest Rate Period, a Direct Purchase Interest Rate Period or a Fixed Period, each as further described in the Bond Indenture.

“Loan” means the loan made by the Authority to the Corporation under the Loan Agreement.

“Loan Agreement” means the Loan Agreement dated as of January 1, 2024 between the Authority and the Corporation, as it may from time to time be amended in accordance with its terms or in the Bond Indenture, initially providing for the loan to the Corporation of the proceeds of the Bonds.

“Loan Default Event” means any of the events described as such in the Loan Agreement and described in this Appendix E under the section captioned “THE LOAN AGREEMENT—Loan Default Events.”

“Loan Repayments” means the payments so designated and required to be made by the Corporation on the Loan pursuant to the Loan Agreement.

“Mandatory Purchase Date” means any Purchase Date on which Bonds are subject to mandatory purchase pursuant the provisions of the Bond Indenture.

“Master Indenture” means the Master Trust Indenture (Amended and Restated), dated as of December 1, 2012 and effective on May 16, 2022, as it may be amended, supplemented, restated or replaced from time to time, among the Corporation, the other Members named therein, and the Master Trustee.

“Master Trustee” means U.S. Bank Trust Company, National Association, a national banking association, as master trustee under the Master Indenture, or its successor.

“Maturity Date” means the maturity date for the Bonds set forth on the inside cover page of this Official Statement.

“Member” has the meaning set forth in the Master Indenture.

“MonteCedro Initial Entrance Fees” means the Initial Entrance Fees for the newly-constructed independent living units at the property commonly known as MonteCedro.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice in writing to the Authority and the Bond Trustee.

“Obligated Group” means the Obligated Group created by the Master Indenture.

“Opinion of Bond Counsel” means a written Opinion of Counsel, which shall be Bond Counsel.

“Opinion of Counsel” means a written opinion, subject to customary qualifications and exceptions, of counsel (who may be Bond Counsel or counsel for the Corporation or the Authority) selected by the Corporation and not objected to by the Authority or the Bond Trustee.

“Optional Redemption Fund” means the account by that name established pursuant to the Bond Indenture.

“Outstanding” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Bond Indenture described in this Appendix E under the section captioned “THE BOND INDENTURE—Disqualified Bonds”) all Bonds theretofore, or thereupon being, authenticated and delivered by the Bond Trustee under the Bond Indenture except (a) Bonds theretofore canceled by the Bond Trustee or surrendered to the Bond Trustee for cancellation; (b) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Bond Indenture, including Bonds (or portions of Bonds) referred to in the provisions of the Bond Indenture described in this Appendix E under the section captioned “THE BOND INDENTURE—Money Held for Particular Bonds,” (c) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Bond Trustee pursuant to the Bond Indenture; (d) Bonds alleged to have been mutilated, destroyed, lost or stolen and for which security or indemnity has been provided, as provided in the Bond Indenture; and (e) any Undelivered Bond.

“Person” means an individual, corporation, limited liability company, firm, association, partnership, trust or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“Project Fund” means the fund by that name established pursuant to the Bond Indenture, as described in this Appendix E under the section captioned, “THE BOND INDENTURE—Establishment and Application of Project Fund.”

“Purchase Date” means each date on which Bonds are subject to optional or mandatory purchase pursuant to the Bond Indenture and shall include each Mandatory Purchase Date.

“Purchase Price” means, with respect to a Bond subject to purchase on a Purchase Date, an amount equal to the principal amount thereof plus accrued interest to, but not including, the Purchase Date; provided, however, that if the Purchase Date for any Purchased Bond is an Interest Payment Date, the Purchase Price thereof shall be the principal amount thereof, and interest on such Bond shall be paid to the Holder of such Bond pursuant to the Bond Indenture.

“Purchased Bonds” means the Bonds to be purchased on a Purchase Date pursuant to an optional tender or mandatory tender.

“Qualified Investments” subject to the Tax Agreement, means investments in any of the following:

- (a) United States Government Obligations and bonds or securities issued or guaranteed as to principal and interest by a commission, board or other instrumentality of the federal government;
- (b) any bond, debenture, note, participation certificate or other similar obligation which is issued or guaranteed by any instrumentality or agency of the United States of America, whether now existing or hereafter organized;
- (c) certificates of deposit secured at all times by collateral described in clause (a) above if issued by commercial banks, savings and loan associations or mutual savings banks; the collateral must be held by a third party and the Bond Trustee, on behalf of the Bondholders, must have a perfected first security interest in such collateral;
- (d) certificates of deposit (including those placed by a third party pursuant to an agreement between the Corporation and the Bond Trustee), demand deposits, interest bearing money market accounts, trust funds, trust

accounts, overnight bank deposits, interest bearing deposits, other bank deposit products, bankers acceptances or time deposits constituting direct obligations of any bank, including the Bond Trustee or any of its affiliates, the full amount of which is insured by the Federal Deposit Insurance Corporation;

(e) time deposits in any credit union, bank, savings bank, trust company or savings and loan association that is authorized to transact business in the State of California if the time deposits mature in not more than three years;

(f) unsecured certificates of deposit, time deposits, bank deposit products, and bankers' acceptances of any bank the short-term obligations of which are rated, at the time of purchase, in one of the three highest Rating Categories by a Rating Agency (without regard to any credit enhancement) (a "Required Rating");

(g) obligations of any state of the United States of America or any political subdivision of any state of the United States of America or any agency or instrumentality of any such state or political subdivision, which has at the time of their purchase a rating in either of the two highest Rating Categories by at least one Rating Agency;

(h) any security that matures or that may be tendered for purchase at the option of the holder within not more than seven years of the date on which it is acquired, if that security has a rating that is the highest or second highest Rating Category assigned by S&P, Moody's or other similar nationally recognized rating agency or if that security is senior to, or on a parity with, a security of the same issuer that has such a rating;

(i) securities of an open-end management investment company or investment trust (including those for which the Bond Trustee or its affiliates receive and retain a fee for services provided to the fund, whether as a custodian, transfer agent or otherwise) if the investment company or investment trust does not charge a sales load, if the investment company or investment trust is registered under the Investment Company Act of 1940, 15 USC 80a-1 to 80a-64, and if the portfolio of the investment company or investment trust is limited to the following: (i) bonds and securities issued by the federal government or a commission, board or other instrumentality of the federal government, (ii) bonds that are guaranteed as to principal and interest by the federal government or a commission, board or other instrumentality of the federal government and (iii) repurchase agreements that are fully collateralized by bonds or securities described under (i) or (ii);

(j) commercial paper having, at the time of investment or contractual commitment to invest therein, a rating of A-1 or better from S&P or P-1 from Moody's;

(k) investment agreements with, or guaranteed by, a domestic or foreign bank, financial institution or other entity the long-term ratings of which are rated at the time of execution in one of the three highest Rating Categories by at least one Rating Agency;

(l) municipal obligations issued by any state or municipality with a rating by either Moody's or S&P in one of the two highest Rating Categories by such Rating Agencies;

(m) federal funds or bankers acceptances with a maximum term of one year of any bank which has an unsecured, uninsured and unguaranteed obligation rating of "Prime - 1" or "A3" or better by Moody's and "A-1" or "A" or better by S&P; and

(n) repurchase agreements with respect to and secured by United States Government Obligations or by obligations described in clause (b) and (g) above, which agreements may be entered into with a bank (including without limitation the Bond Trustee or Master Trustee), a trust company, insurance company, financial services firm or a broker dealer which is a member of the Securities Investors Protection Corporation, provided that (i) the Bond Trustee or a custodial agent of the Bond Trustee has possession of the collateral and that the collateral is, to the knowledge of the Bond Trustee, free and clear of third-party claims, (ii) a master repurchase agreement or specific written repurchase agreement governs the transaction, (iii) the collateral securities are valued no less frequently than weekly, and (iv) the fair market value of the collateral securities in relation to the amount of the repurchase obligation, including principal and interest, is equal to at least 102% (100% with respect to cash); and

(o) other forms of investments provided or guaranteed by a domestic or foreign bank, financial institution or other entity the long-term ratings of which are rated at the time of execution in one of the three highest Rating Categories by at least two Rating Agencies. If the investment provider's obligation is guaranteed by a third-

party, then the above rating requirements will apply to the guarantor only. In the event such obligations are variable rate obligations, the interest rate on such obligations must be reset not less frequently than annually.

“Rating Agency” means S&P, Moody’s or Fitch.

“Rating Category” means a generic securities rating category, without regard, in the case of a long-term rating category, to any refinement or gradation of such long-term rating category by a numerical modifier or otherwise.

“Rebate Fund” means the fund by that name created under the Bond Indenture.

“Record Date” means, with respect to any Interest Payment Date, first day of the month in which such Interest Payment Date occurs, whether or not such day is a Business Day.

“Redemption Price” means the principal amount of such Bond (or portion) plus the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such Bond and the Bond Indenture.

“Registration Books” means books maintained by the Bond Trustee on behalf of the Authority at the Corporate Trust Office of the Bond Trustee for the purpose of recording the registration, transfer, exchange or replacement of any of the Bonds.

“Responsible Officer” means any officer within the corporate trust department of the Bond Trustee, including any vice president, assistant vice president, senior associate, associate or any other officer of the Bond Trustee who customarily performs functions similar to those performed by the persons who at the time shall be such officers, respectively, or to whom any corporate trust matter is referred because of such person’s knowledge of and familiarity with the particular subject and who shall have direct responsibility for the administration of the Bond Indenture.

“Revenue Fund” means the fund by that name established pursuant to the Bond Indenture.

“Revenues” means all amounts received by the Authority or the Bond Trustee pursuant or with respect to the Loan Agreement or the Series 2024 Obligation, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and whether paid from any source), prepayments, insurance proceeds, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Bond Indenture (other than the Rebate Fund), but not including indemnification payments, any Additional Payments or Administrative Fees and Expenses or any moneys required to be deposited in the Rebate Fund or any interest, profits or other income required to be retained in the Rebate Fund.

“Rule 15c2-12” means Rule 15c2-12 promulgated by the Securities and Exchange Commission, as amended from time to time.

“S&P” means S&P Global Ratings, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice in writing to the Authority and the Bond Trustee.

“Series” or **“Sub-Series,”** when used with respect to the Bonds, means all the Bonds designated as being of the same Series or Sub-Series, whether upon initial issuance thereof or upon any Conversion of a portion of a Series or Sub-Series and redesignation thereof into one or more Sub-Series, authenticated and delivered in a simultaneous transaction, and any Bonds thereafter authenticated and delivered upon a transfer or exchange or in lieu of or in substitution for such Bonds of such Series or Sub-Series, or upon a Conversion of a portion of any Series or Sub-Series of the Bonds, as provided in the Bond Indenture. In the event that the Bonds or a portion of the Bonds have been so designated as being in more than a single Series or Sub-Series, references in the Bond Indenture and in the Loan Agreement to the Bonds shall, as the context may require, refer to only the Bonds of the particular Series or Sub-Series in question.

“Series 2024 Obligation” means the Episcopal Communities & Services for Seniors, Series 2024 Obligation issued, authenticated and delivered under Supplement No. 3, which evidences and secures the obligation of the Corporation, with respect to the loan of the proceeds of the Bonds to the Corporation under the Loan Agreement, as originally executed or as it may from time to time be supplemented, modified, amended or replaced in accordance with its terms.

“**Series 2024A Bonds**” means the California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees).

“**Series 2024B Bonds**” means the California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024B.

“**Sinking Fund Installment**” means the amount required by the sinking fund installment provisions of the Bond Indenture to be paid on any single date for the retirement of the Series 2024B Bonds. See the forepart of this Official Statement under the caption “THE BONDS—Redemption—*Mandatory Sinking Fund Redemption*.”

“**Special Record Date**” means the date established by the Bond Trustee pursuant to the Bond Indenture as the record date for the payment of defaulted interest on Bonds.

“**Supplement No. 3**” means the Third Supplemental Master Trust Indenture, dated as of January 1, 2024, supplementing the Master Indenture, between the Corporation and the Master Trustee, as it may be amended or supplemented from time to time.

“**Supplemental Bond Indenture**” means any indenture duly authorized and entered into after the date of the Bond Indenture between the Authority and the Bond Trustee, supplementing, modifying or amending the Bond Indenture; but only if and to the extent that such Supplemental Bond Indenture is specifically authorized under the Bond Indenture.

“**Tax Agreement**” means the Tax Certificate and Agreement, dated as of the Date of Issuance, between the Authority and the Corporation.

“**Undelivered Bond**” means any Bond that constitutes an Undelivered Bond under the provisions of the Bond Indenture.

“**United States Government Obligations**” means obligations that are direct, full faith and credit obligations of the United States of America or are obligations with respect to which the United States of America has fully and unconditionally guaranteed the timely payment of all principal or interest or both, but only to the extent of the principal or interest so guaranteed.

“**Written Request**” means with reference to the Authority, a request in writing signed by an Authorized Representative of the Authority and, with reference to the Corporation, means a request in writing signed by an Authorized Representative of the Corporation.

THE BOND INDENTURE

General

The Bond Indenture, among other matters, sets forth the terms of the Bonds, the nature and extent of security, the various rights of the Holders of the Bonds, the rights, duties and immunities of the Bond Trustee and the rights and obligations of the Authority. Certain provisions of the Bond Indenture are summarized below. Other provisions are summarized in the forepart of this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

The following is a summary of certain provisions of the Bond Indenture not described elsewhere in this Official Statement. This summary does not purport to be complete or definitive and reference is made to the Bond Indenture for the complete terms thereof.

Registration, Transfer and Exchange

The Bond Trustee is, pursuant to the Bond Indenture, appointed “bond registrar” for the purpose of registering Bonds and transfers of Bonds as provided in the Bond Indenture. The Bond Trustee shall cause to be kept at its Corporate Trust Office the Registration Books, in which, subject to such reasonable regulations as it may prescribe, the Bond Trustee shall provide for the registration, transfer and exchange of Bonds as provided in the Bond Indenture.

Bonds may be transferred or exchanged only upon the Registration Books maintained by the Bond Trustee as provided in the Bond Indenture. Upon surrender for transfer or exchange of any Bond at the Corporate Trust Office of the Bond Trustee, the Authority shall execute, and the Bond Trustee shall authenticate and deliver, in the name of the designated transferee or transferees, one or more new Bonds of the same maturity and of any Authorized Denominations and of a like aggregate principal amount.

Every Bond presented or surrendered for transfer or exchange shall (if so required by the Bond Trustee, as bond registrar) be duly endorsed, or be accompanied by a written instrument of transfer in form satisfactory to the Bond Trustee, as bond registrar, duly executed by the Owner thereof or his attorney or legal representative duly authorized in writing.

All Bonds issued upon any transfer or exchange of Bonds shall be the valid special limited obligations of the Authority, evidencing the same debt, and entitled to the same security and benefits under the Bond Indenture, as the Bonds surrendered upon such transfer or exchange.

No service charge shall be imposed for any registration, transfer or exchange of Bonds, but the Bond Trustee may require payment of a sum sufficient to cover any tax or other governmental charge that may be imposed in connection with any transfer or exchange of Bonds, and such charge shall be paid before any such new Bond shall be delivered. The fees and charges of the Bond Trustee for making any transfer or exchange and the expense of any bond printing necessary to affect any such transfer or exchange shall be paid by the Corporation. In the event any Registered Owner fails to provide a certified taxpayer identification number to the Bond Trustee, the Bond Trustee may impose a charge against such Registered Owner sufficient to pay any governmental charge required to be paid as a result of such failure. In compliance with Section 3406 of the Code, such amount may be deducted by the Bond Trustee from amounts otherwise payable to such Registered Owner under the Bond Indenture or under the Bonds.

The Bond Trustee shall not be required to (a) transfer or exchange any Bond (other than a Bond tendered for purchase pursuant to the mandatory tender provisions of the Bond Indenture) during a period beginning 15 days before the day of the mailing of a notice of redemption of such Bond and ending at the close of business on the day of such mailing, or (b) transfer or exchange any Bond so selected for redemption in whole or in part, during a period beginning at the opening of business on any Record Date for such Bonds and ending at the close of business on the relevant Interest Payment Date therefor.

The Person in whose name any Bond is registered on the Registration Books shall be deemed and regarded as the absolute Owner thereof for all purposes, except as otherwise provided in the Bond Indenture when a book-entry system is in effect for the Bonds, and payment of or on account of the principal and Redemption Price of and interest on any such Bond shall be made only to or upon the order of the Registered Owner thereof or his legal representative, but such registration may be changed as provided in the Bond Indenture. All such payments shall be valid and effectual to satisfy and discharge the liability upon such Bond to the extent of the sum or sums so paid.

The Bond Trustee will keep the Registration Books on file at its Corporate Trust Office, which shall include a list of the names and addresses of the last known Owners of all Bonds and the serial numbers of such Bonds held by each of such Owners. At reasonable times and under reasonable regulations established by the Bond Trustee, the list may be inspected and copied by the Authority, the Corporation, or the Owners of 10% in Outstanding principal amount of the Bonds or the authorized representative thereof, provided that the ownership of such Owner and the authority of any such designated representative shall be evidenced to the satisfaction of the Bond Trustee.

The transferor of a Bond shall also provide or cause to be provided to the Bond Trustee all information necessary to allow the Bond Trustee to comply with any applicable tax reporting obligations, including without limitation any cost basis reporting obligations under Internal Revenue Code Section 6045. The Bond Trustee may rely on the information provided to it and shall have no responsibility to verify or ensure the accuracy of such information.

Establishment and Application of Costs of Issuance Fund

The Bond Trustee shall establish and maintain with the Bond Trustee in trust a separate fund designated as the "Costs of Issuance Fund" in the name of the Bond Trustee. Moneys in the Costs of Issuance Fund shall be used and withdrawn by the Bond Trustee to pay Costs of Issuance of the Bonds.

Establishment and Application of Project Fund

The Bond Trustee shall establish and maintain with the Bond Trustee in trust a separate fund designated as the “Project Fund” in the name of the Bond Trustee. The moneys in the Project Fund shall be used and withdrawn by the Bond Trustee to pay or reimburse the costs of the Project, in accordance with the terms of the Tax Agreement. No moneys in the Project Fund shall be used to pay Costs of Issuance.

Establishment and Application of Capitalized Interest Fund

The Bond Trustee shall establish and maintain with the Bond Trustee in trust a separate fund designated as the “Capitalized Interest Fund” in the name of the Bond Trustee. Moneys in the Capitalized Interest Fund shall be transferred by the Bond Trustee and deposited in the Interest Fund on the date that deposits into the Interest Fund are required under the Bond Indenture, and shall be applied to pay the interest on the Bonds.

Pledge and Assignment

(a) Subject only to the provisions of the Bond Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Bond Indenture, to secure, the payment of the principal, Redemption Price and Purchase Price of and interest on the Bonds in accordance with their terms and the provisions of the Bond Indenture, the Authority, under the Bond Indenture, pledges to the Trustee, and grants to the Trustee a security interest in and lien on, all of its right, title, and interest, whether now owned or thereafter acquired, in to, and under (i) all of the Revenues, (ii) each fund and each account established pursuant to the Bond Indenture (except the Rebate Fund) and all money, instruments, securities, investment property, and other property (including proceeds of the sale of the Bonds) on deposit in or credited to any fund or account established pursuant to the Bond Indenture (except the Rebate Fund), (iii) the Loan Agreement (excluding (I) the right to receive any Administrative Fees and Expenses to the extent payable to the Authority, (II) any rights of the Authority to be indemnified, held harmless and defended and rights to inspection and to receive notices, certificates and opinions, (III) express rights to give approvals, consents or waivers, and (IV) the obligation of the Corporation to make deposits pursuant to the Tax Agreement), (iv) the Series 2024 Obligation, and (v) all proceeds of the foregoing. Said pledge shall constitute a first lien on and security interest in such assets and shall attach, be perfected and be valid and binding from and after delivery by the Bond Trustee of the Bonds, without any physical delivery thereof or further act.

(b) The Authority, under the Bond Indenture, assigns to the Bond Trustee, for the benefit of the Owners from time to time of the Bonds, all of the right, title and interest of the Authority in the Loan Agreement (excluding (i) the right to receive any Administrative Fees and Expenses to the extent payable to the Authority, (ii) any rights of the Authority to be indemnified, held harmless and defended and rights to inspection and to receive notices, certificates and opinions, (iii) express rights to give approvals, consents or waivers, and (iv) the obligation of the Corporation to make deposits pursuant to the Tax Agreement) and the Series 2024 Obligation. The Authority will also cause the Series 2024 Obligation to be registered in the name of the Bond Trustee. The Bond Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Bond Trustee and shall forthwith be paid by the Authority to the Bond Trustee. The Bond Trustee also shall be entitled to and shall take all steps, actions and proceedings reasonably necessary in its judgment to enforce all of the rights of the Authority (other than those rights specifically retained by the Authority pursuant to the Bond Indenture as described in this paragraph) and all of the obligations of the Corporation under the Loan Agreement and the Series 2024 Obligation.

Revenue Fund

(a) All Revenues (other than the Loan Repayments that constitute the MonteCedro Initial Entrance Fees transferred by the Corporation to the Bond Trustee pursuant to the Loan Agreement as described in the forepart of this Official Statement under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS – MonteCedro Initial Entrance Fees”) shall be promptly deposited by the Bond Trustee upon receipt thereof in a special fund designated as the “Revenue Fund — Episcopal Communities & Services for Seniors — Series 2024,” which the Bond Trustee shall establish, maintain and hold in trust. All Revenues deposited with the Bond Trustee shall be held, disbursed, allocated and applied by the Bond Trustee only as provided in the Bond Indenture.

(b) If, on the date any Loan Repayment or payment upon the Series 2024 Obligation is due, the Bond Trustee does not receive such payment, the Bond Trustee shall request the Master Trustee to give immediate Electronic Notice or telephonic notice promptly confirmed in writing to the Corporation of the nonpayment.

Interest Fund

(a) The Bond Trustee shall establish and maintain with the Bond Trustee so long as any of the Bonds are outstanding a fund to be known as the “Interest Fund — Episcopal Communities & Services for Seniors — Series 2024” (the “Interest Fund”).

(b) On each Interest Payment Date, the Bond Trustee shall deposit in the Interest Fund from the Revenue Fund, moneys in an amount which, together with the amounts already on deposit therein and available to make such payment, is not less than the interest becoming due on the Bonds on such date.

(c) In connection with any partial redemption or defeasance prior to maturity of the Bonds, the Bond Trustee may, at the Written Request of the Corporation, use any amounts on deposit in the Interest Fund in excess of the amount needed to pay the interest on the Bonds remaining outstanding on the first Interest Payment Date occurring on or after the date of such redemption or defeasance to pay or provide for the payment of the principal of and interest on the Bonds to be redeemed or defeased or as otherwise directed by the Corporation if a Favorable Opinion of Bond Counsel has been delivered.

Bond Sinking Fund

(a) The Bond Trustee shall establish and maintain with the Bond Trustee so long as any of the Bonds are outstanding a fund to be known as the “Bond Sinking Fund – Episcopal Communities & Services for Seniors — Series 2024” (the “Bond Sinking Fund”).

(b) On each Sinking Fund Installment date established pursuant to the Bond Indenture and each Maturity Date, after making the deposit required by the Bond Indenture and described in this Appendix E under the section captioned “THE BOND INDENTURE—Interest Fund”, the Bond Trustee shall deposit in the Bond Sinking Fund from the Revenue Fund moneys in an amount which, together with any moneys already on deposit in the Bond Sinking Fund and available to make such payment is not less than the principal becoming due on the Bonds on such dates.

(c) In lieu of any mandatory Bond Sinking Fund redemption, the Bond Trustee shall, at the Written Request of the Corporation, purchase for cancellation an equal principal amount of Bonds of the maturity to be redeemed in the open market identified by the Corporation at prices specified by the Corporation not exceeding the principal amount of the Bonds being purchased plus accrued interest with such interest portion of the purchase price to be paid from the Interest Fund and the principal portion of such purchase price to be paid from the Bond Sinking Fund. In addition, the amount of Bonds to be redeemed on any date pursuant to the mandatory Bond Sinking Fund redemption schedule shall be reduced by the principal amount of Bonds of the maturity required to be redeemed which are acquired by the Corporation or any other Member and delivered to the Bond Trustee for cancellation.

(d) In connection with any partial redemption or defeasance prior to maturity of the Bonds, the Bond Trustee may, at the Written Request of the Corporation, use any amounts on deposit in the Bond Sinking Fund in excess of the amount needed to pay principal on the Bonds remaining outstanding on the first principal or Sinking Fund Installment date occurring on or after the date of such redemption or defeasance to pay or provide for the payment of the principal or Redemption Price of and interest on the Bonds to be redeemed or defeased or as otherwise directed by the Corporation if a Favorable Opinion of Bond Counsel has been delivered.

Optional Redemption Fund

There is established with the Bond Trustee and maintained with the Bond Trustee so long as any of the Bonds are outstanding a separate fund to be known as the “Optional Redemption Fund — Episcopal Communities & Services for Seniors — Series 2024” (the “Optional Redemption Fund”). In the event of (i) prepayment by or on behalf of the Corporation or any other Member of Loan Repayments or amounts payable on the Series 2024 Obligation, including prepayment with condemnation or insurance proceeds or proceeds of a sale consummated under threat of condemnation, or (ii) deposit with the Bond Trustee by the Corporation, any other Member or the Authority of moneys from any other source for redeeming Bonds or purchasing Bonds for cancellation, such moneys shall, except as otherwise provided in the Bond Indenture, be deposited in the Optional Redemption Fund. Moneys on deposit in the Optional Redemption Fund shall be used, first, to make up any deficiencies existing in the Interest Fund and the Bond Sinking Fund (in the order listed) and, second, for the redemption or purchase of Bonds in accordance with the provisions of the Bond Indenture.

Investment of Funds

Upon a Written Request of the Corporation to the Bond Trustee, moneys in the Project Fund, the Capitalized Interest Fund, the Costs of Issuance Fund, the Revenue Fund, the Interest Fund, the Bond Sinking Fund, the Optional Redemption Fund and the Rebate Fund shall be invested in Qualified Investments specified in writing by the Corporation at least two Business Days in advance of the making of such investment, subject to the limitations set forth in the Bond Indenture.

Trust Funds; Establishment of Funds and Accounts

Except in relation to certain tendered Bonds only, as more particularly described in the Bond Indenture, all moneys received by the Bond Trustee under the provisions of the Bond Indenture shall be trust funds under the terms of the Bond Indenture for the benefit of all Bonds outstanding under the Bond Indenture (except as otherwise provided) and shall not be subject to lien or attachment of any creditor of the Authority or the Corporation. Such moneys shall be held in trust and applied in accordance with the provisions of the Bond Indenture. The Bond Trustee is authorized under the Bond Indenture to establish the funds, accounts or subaccounts, or any additional funds, accounts or subaccounts, as are necessary or advisable to carry out its duties thereunder.

Rebate Fund

The Bond Trustee shall establish and maintain with the Bond Trustee a separate account to be known as the “Rebate Fund — Episcopal Communities & Services for Seniors — Series 2024” (the “Rebate Fund”). The Bond Trustee shall make information regarding the Bonds and investments under the Bond Indenture available to the Corporation and shall deposit income from such investments upon receipt thereof in the Rebate Fund and shall maintain records for each investment relating to the purchase price thereof.

If a deposit to the Rebate Fund is required as a result of the computations made by the Corporation pursuant to the Tax Agreement, the Bond Trustee shall, upon receipt of written direction from the Corporation, accept such payment and deposit such payment in the Rebate Fund for the benefit of the Corporation.

Tax Covenants

The Authority shall at all times do and perform all acts and things reasonably within its control which are necessary or desirable in order to assure that interest paid on the Bonds will be excluded from gross income for federal income tax purposes and shall take no action reasonably within its control that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Authority agrees to comply with the provisions of the Tax Agreement. This covenant shall survive payment in full or defeasance of the Bonds.

Amendment of Loan Agreement

(a) Except as provided in paragraph (b) below, the Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination unless the written consent of the Holders of a majority in principal amount of the Bonds then Outstanding to such amendment, modification or termination is filed with the Bond Trustee, provided that no such amendment, modification or termination shall reduce the amount of Loan Repayments to be made to the Authority or the Bond Trustee by the Corporation pursuant to the Loan Agreement, or extend the time for making such payments, without the written consent of all of the Holders of the Bonds then Outstanding.

(b) Notwithstanding the provisions of paragraph (a) above, the terms of the Loan Agreement may also be modified or amended from time to time and at any time by the Authority without the necessity of obtaining the consent of any Bondholders, only to the extent permitted by law and only for any one or more of the following purposes:

(i) to add to the covenants and agreements of the Authority or the Corporation contained in the Loan Agreement and to add other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power therein reserved to or conferred upon the Authority or the Corporation, provided, that no such covenant, agreement, pledge, assignment or surrender shall materially adversely affect the interests of the Holders of the Bonds;

(ii) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Loan Agreement, or in regard to matters or questions arising under the

Loan Agreement, as the Authority may deem necessary or desirable and not inconsistent with the Loan Agreement or the Bond Indenture, and which shall not materially adversely affect the interests of the Holders of the Bonds;

(iii) to maintain the exclusion from gross income for federal income tax purposes of interest payable with respect to the Bonds;

(iv) to make any changes required by any Rating Agency to obtain or maintain a rating on the Bonds and which shall not materially adversely affect the interests of the Holders of the Bonds;

(v) to comply with the provisions of federal or state securities laws;

(vi) to make any modification or amendment to the Loan Agreement which will be effective upon the Conversion and/or remarketing of Bonds following the mandatory tender of the Bonds pursuant to the Bond Indenture; or

(vii) to make any other changes which will not materially adversely affect the interests of the Holders of the Bonds.

Continuing Disclosure

Pursuant to the Loan Agreement, the Corporation has undertaken all responsibility for compliance with continuing disclosure requirements, and the Authority shall have no liability to the Holders of the Bonds or any other Person with respect to Rule 15c2-12. Notwithstanding any other provision of the Bond Indenture, failure of the Corporation or the Dissemination Agent (as defined in the Continuing Disclosure Agreement) to comply with the Continuing Disclosure Agreement shall not be considered an Event of Default; however, the Bond Trustee may (and, at the request of any Participating Underwriter (as defined in the Continuing Disclosure Agreement) or the Holders of at least 25% aggregate principal amount of Outstanding Bonds and being provided indemnification satisfactory to it, shall) or any Bondholder or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the continuing disclosure provisions of the Loan Agreement or to cause the Bond Trustee to comply with its obligations under the provisions of the Bond Indenture summarized in this paragraph.

Events of Default

The following events, among others, shall be Events of Default:

(a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by acceleration or otherwise, or default in the redemption of any Bonds from Sinking Fund Installments in the amount and at the times provided therefor;

(b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(c) failure to pay the Purchase Price of any Bond tendered pursuant to the applicable provisions of the Bond Indenture when such payment is due;

(d) a Loan Default Event;

(e) the Authority shall default in the due and punctual performance of any other of the covenants, conditions, agreements and provisions contained in the Bonds or in the Bond Indenture or any agreement supplemental to the Bond Indenture to be performed on the part of the Authority, and such default shall continue for the period of 60 days after written notice specifying such default and requiring the same to be remedied shall have been given to the Authority and the Corporation by the Bond Trustee which notice the Bond Trustee may give in its discretion and must give at the written request of the owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding under the Bond Indenture exclusive of Bonds then owned by the Authority or the Corporation; provided that, if such default cannot with due diligence and dispatch be cured within 60 days but can be cured, the failure of the Authority to remedy such default within such 60 day period shall not constitute a default under the Bond Indenture if the Bond Trustee is provided with a certification from the Authority or the Corporation, as the case may be, to the effect that such default cannot with due diligence and

dispatch be cured within 60 days but can be cured and the Authority or the Corporation, as the case may be, shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch within 180 days of the delivery of such default notice; or

(f) a declaration by the Master Trustee of the entire principal amount of all Outstanding Obligations (as defined in the Master Indenture) and the interest accrued thereon to be immediately due and payable pursuant to the provisions of the Master Indenture.

Acceleration; Annulment of Acceleration

(a) If an Event of Default, described in paragraphs (a), (b), (c) or (f) of the section above captioned “THE BOND INDENTURE—Events of Default,” shall occur, then the Bond Trustee may and, upon the written request of Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding, shall declare the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately. If the Bond Trustee declares the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be immediately due and payable, the Bond Trustee also, in its capacity as the holder of the Series 2024 Obligation, shall request the Master Trustee to declare the aggregate principal amount of the Series 2024 Obligation and the interest accrued thereon to be immediately due and payable in accordance with the Master Indenture.

(b) If an Event of Default described in paragraph (d) of the section above captioned “THE BOND INDENTURE—Events of Default” shall occur, the Bond Trustee may take whatever action the Authority would be required to take pursuant to the Loan Agreement in order to remedy the Loan Default Event. In addition, if an Event of Default described in paragraph (d) of the section above captioned “THE BOND INDENTURE—Events of Default” shall occur, the Bond Trustee, may and, upon the written request of Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding, shall declare the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately. If the Bond Trustee declares the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be immediately due and payable, the Bond Trustee also, in its capacity as the holder of the Series 2024 Obligation, shall request the Master Trustee to declare the aggregate principal amount of the Series 2024 Obligation and the interest accrued thereon to be immediately due and payable in accordance with the Master Indenture.

(c) If an Event of Default, described in paragraph (e) of the section above captioned “THE BOND INDENTURE—Events of Default,” shall occur, the Bond Trustee may take whatever action at law or in equity is necessary or desirable to enforce the performance, observance or compliance by the Authority with any covenant, agreement or condition by the Authority under the Bond Indenture. In addition, if an Event of Default described in paragraph (e) of the section above captioned “THE BOND INDENTURE—Events of Default,” shall occur, the Bond Trustee may and, upon the written request of Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding, shall declare the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately. If the Bond Trustee declares the principal of all the Bonds then Outstanding, and the interest accrued thereon, to be immediately due and payable, the Bond Trustee also, in its capacity as the holder of the Series 2024 Obligation, shall request the Master Trustee to declare the aggregate principal amount of the Series 2024 Obligation and the interest accrued thereon to be immediately due and payable in accordance with the Master Indenture.

(d) Upon the declaration by the Bond Trustee of the principal of all Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, the principal of all the Bonds then Outstanding, and the interest accrued thereon, shall become and shall be immediately due and payable, anything in the Bond Indenture to the contrary notwithstanding. The Bond Trustee shall give or cause to be given notice of acceleration of the Bonds by first class mail to the Bondholders and of such date for payment upon acceleration at least eight days before such date for payment. Notice of such declaration having been given as aforesaid, anything to the contrary contained in the Bond Indenture or in the Bonds, interest shall cease to accrue on such Bonds from and after the date set forth in such notice (which date shall be no more than eight days from the date of such declaration). The Bond Trustee shall not be required to make payment to any Bondholder until the Bonds shall be presented to the Bond Trustee for appropriate endorsement or for cancellation if fully paid. Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority (but only out of Revenues received from or on behalf of the Corporation) or the Corporation shall deposit with the Bond Trustee a sum sufficient to pay all the principal, Redemption Price and Purchase Price of and installments of interest on the Bonds payment of which is overdue (other than amounts overdue solely as a result of acceleration), with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable charges and expenses of the Bond Trustee, and if the Bond Trustee has received notification from the Master Trustee that the declaration of acceleration of the Series 2024 Obligation has been annulled

pursuant to the Master Indenture and any and all other Events of Default known to the Bond Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Bond Trustee or provision deemed by the Bond Trustee to be adequate shall have been made therefor, then the Bond Trustee shall, by written notice to the Authority, the Corporation and the Bond Trustee, on behalf of the Owners of all of the Bonds, rescind and annul such declaration and its consequences and waive such Event of Default; but no such rescission and annulment shall extend to or shall affect any subsequent Event of Default, or shall impair or exhaust any right or power consequent thereon.

(e) In the event that the Master Trustee has accelerated the Series 2024 Obligation and is pursuing its available remedies under the Master Indenture, the Bond Trustee, without waiving any Event of Default under the Bond Indenture, agrees not to pursue its available remedies under the Bond Indenture or the Loan Agreement in a manner that would hinder or frustrate the pursuit by the Master Trustee of its remedies under the Master Indenture provided that the Bond Trustee may take any action permitted of an Obligation holder under the Master Indenture.

Rights of the Bond Trustee and the Authority Concerning the Series 2024 Obligation

The Bond Trustee, as pledgee and assignee of certain of the right, title and interest of the Authority in and to the Loan Agreement and all of its right, title and interest as assignee of the Series 2024 Obligation shall, upon compliance with applicable requirements of law and except as otherwise set forth in the Bond Indenture, be the real party in interest with standing to enforce each and every right granted to the Authority under the Loan Agreement (other than those rights specifically retained by the Authority pursuant to the Bond Indenture) and under the Series 2024 Obligation which have been assigned to the Bond Trustee by the Bond Indenture. The Authority and the Bond Trustee agree, under the Bond Indenture, without in any way limiting the effect and scope thereof, that the pledge and assignment under the Bond Indenture to the Bond Trustee of rights of the Authority in and to the Series 2024 Obligation and certain rights of the Authority under the Loan Agreement shall constitute an agency appointment coupled with an interest on the part of the Bond Trustee which, for all purposes of the Bond Indenture, shall be irrevocable and shall survive and continue in full force and effect notwithstanding the bankruptcy or insolvency of the Authority or its default under the Bond Indenture or on the Bonds. In exercising such rights and the rights given the Bond Trustee under the Bond Indenture, the Bond Trustee shall take such action as, in the judgment of the Bond Trustee, would best serve the interests of the Bondholders, taking into account the provisions of the Master Indenture, together with the security and remedies afforded to Holders of Obligations thereunder.

Additional Remedies and Enforcement of Remedies

(a) Upon the occurrence and continuance of any Event of Default, the Bond Trustee may, upon the written request of the Holders of a majority in principal amount of the Bonds Outstanding, together with indemnification of the Bond Trustee to its satisfaction therefor, proceed forthwith to protect and enforce its rights and the rights of the Bondholders under the Bond Indenture and under the Act and the Bonds by such suits, actions or proceedings as the Bond Trustee, being advised by counsel, shall deem expedient, including but not limited to: (i) civil action to recover money or damages due and owing; (ii) civil action to enjoin any acts or things, which may be unlawful or in violation of the rights of the Holders of Bonds; (iii) enforcement of any other right of the Authority and the Bondholders conferred by law or by the Bond Indenture; and (iv) enforcement of any other right conferred by the Loan Agreement, the Series 2024 Obligation or the Master Indenture.

(b) Regardless of the happening of an Event of Default, the Bond Trustee, if requested in writing by the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, shall, upon being indemnified to its satisfaction therefor, institute and maintain such suits and proceedings as it may be advised shall be necessary or expedient (i) to prevent any impairment of the security under the Bond Indenture by any acts which may be unlawful or in violation thereof, or (ii) to preserve or protect the interests of the Holders; provided that such request is in accordance with law and the provisions of the Bond Indenture.

Application of Revenues and Other Funds After Default

If an Event of Default shall occur and be continuing, all moneys received by the Bond Trustee pursuant to any right given or action taken under the provisions of the Bond Indenture (subject to the provisions of the Bond Indenture described in this Appendix E under the section captioned “THE BOND INDENTURE—Money Held for Particular Bonds”) shall be applied by the Bond Trustee as follows and in the following order:

(a) To the payment of any expenses necessary in the opinion of the Bond Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees and expenses of the Bond Trustee (including reasonable fees and

disbursements of its counsel) incurred in and about the performance of its powers and duties under the Bond Indenture and the creation of a reasonable reserve for anticipated fees, costs and expenses;

(b) To the payment of Administrative Fees and Expenses to the Authority; and

(c) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Bond Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

FIRST: To the payment to the Persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the Persons entitled thereto, without any discrimination or preference; and

SECOND: To the payment to the Persons entitled thereto of the unpaid principal (including Sinking Fund Installments) or Purchase Price or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption or purchase, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Purchase Price or Redemption Price due on such date to the Persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest, or of interest over principal, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal and interest, to the Persons entitled thereto without any discrimination or preference.

Remedies Not Exclusive

No remedy by the terms of the Bond Indenture conferred upon or reserved to the Bond Trustee or the Bondholders is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to every other remedy given under the Bond Indenture or existing at law or in equity or by statute (including the Act) on or after the date of the Bond Indenture.

Remedies Vested in Bond Trustee

All rights of action (including the right to file proof of claims) under the Bond Indenture or under any of the Bonds may be enforced by the Bond Trustee, without the possession of any of the Bonds or the production thereof in any trial or other proceedings relating thereto. Any such suit or proceeding may be brought without the necessity of joining as plaintiffs or defendants any Holders of the Bonds. Subject to the provisions of the Bond Indenture summarized in this Appendix E under the section captioned “THE BOND INDENTURE—Application of Revenues and Other Funds After Default”, any recovery or judgment shall be for the equal benefit of the Holders of the Outstanding Bonds. Nothing in the Bond Indenture shall be deemed to authorize the Bond Trustee to authorize or consent to or accept or adopt on behalf of any Owner any plan of reorganization, arrangement, adjustment, or composition affecting the Bonds or the rights of any Owner thereof, or to authorize the Bond Trustee to vote in respect of the claim of any Owner in any such proceeding without the approval of the Owner so affected.

Bondholders’ Control of Proceedings

If an Event of Default shall have occurred and be continuing, the Holders of a majority in principal amount of all Bonds then Outstanding shall have the right, at any time, by an instrument or instruments in writing executed and delivered to the Bond Trustee, to direct the method and place of conducting any proceeding to be taken in connection with the enforcement of the terms and conditions of the Bond Indenture, provided that such direction is in accordance with law and

the provisions of the Bond Indenture (including indemnity to the Bond Trustee as provided in the Bond Indenture). Nothing in this paragraph shall impair the right of the Bond Trustee in its discretion to take any other action under the Bond Indenture which it may deem proper and which is not inconsistent with such direction by Bondholders.

Individual Bondholder Action Restricted

(a) No Holder of any Bond shall have any right to institute any suit, action or proceeding in equity or at law for the enforcement of the Bond Indenture or for the execution of any trust under the Bond Indenture or for any remedy thereunder except upon the occurrence of all of the following events:

(i) the Holders of at least a majority in aggregate principal amount of Bonds Outstanding shall have made written request to the Bond Trustee to proceed to exercise the powers granted in the Bond Indenture; and

(ii) such Bondholders shall have offered the Bond Trustee indemnity as provided in the Bond Indenture; and

(iii) the Bond Trustee shall have failed or refused to exercise the duties or powers granted in the Bond Indenture for a period of 60 days after receipt by it of such request and offer of indemnity; and

(iv) during such 60 day period no direction inconsistent with such written request has been delivered to the Bond Trustee by the Holders of a majority in principal amount of Bonds then Outstanding.

(b) No one or more Holders of Bonds shall have any right in any manner whatsoever to affect, disturb or prejudice the security of the Bond Indenture or to enforce any right under the Bond Indenture except in the manner therein provided and for the equal benefit of the Holders of all Bonds Outstanding.

(c) Nothing contained in the Bond Indenture shall affect or impair, or be construed to affect or impair, the right of the Holder of any Bond (i) to receive payment of the principal of or interest on such Bond, as the case may be, on or after the due date thereof or (ii) to institute suit for the enforcement of any such payment on or after such due date; provided, however, no Holder of any Bond may institute or prosecute any such suit or enter judgment therein if, and to the extent that, the judgment therein would, under applicable law, result in the surrender, impairment, waiver or loss of the lien of the Bond Indenture on the money, funds and properties pledged under the Bond Indenture for the equal and ratable benefit of all Holders of Bonds.

Termination of Proceedings

In case any proceedings taken on account of an Event of Default shall have been discontinued or abandoned for any reason or shall have been determined adversely to the Bond Trustee or the Bondholders, then the Authority, the Bond Trustee and the Bondholders shall be restored to their former positions and rights under the Bond Indenture, and all rights and powers of the Bond Trustee and the Bondholders shall continue as if no such proceeding had been taken.

Waiver of Event of Default

(a) No delay or omission of the Bond Trustee or of any Holder of the Bonds to exercise any right or power accruing upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of any such Event of Default or in acquiescence therein.

(b) The Bond Trustee may waive any Event of Default which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under the provisions of the Bond Indenture, on or before the completion of the enforcement of any other remedy thereunder.

(c) The Bond Trustee, upon the written request of the Holders of a majority in principal amount of the Bonds then Outstanding, shall waive any Event of Default under the Bond Indenture and its consequences; provided, however, that a default in the payment of the principal or Purchase Price or Redemption Price of or interest on any Bond, when the same shall become due and payable by the terms thereof or upon call for redemption or tender, may not be waived without the written consent of the Holders of all the Bonds at the time Outstanding, for which payment of the principal or Purchase Price or Redemption Price of or interest on has not been made.

(d) In case of any waiver by the Bond Trustee of an Event of Default under the Bond Indenture, the Authority, the Bond Trustee and the Bondholders shall be restored to their former positions and rights thereunder, respectively, but no such waiver shall extend to any subsequent or other Event of Default or impair any right consequent thereon. The Bond Trustee shall not be responsible to anyone for waiving or refraining from waiving any Event of Default described in this section.

Limitations on Remedies

It is the purpose and intention of the Bond Indenture to provide rights and remedies to the Bond Trustee and Bondholders which may be lawfully granted, but should any right or remedy therein granted be held to be unlawful, the Bond Trustee and the Bondholders shall be entitled, as above set forth, to every other right and remedy provided in the Bond Indenture and by law.

Amendments to Bond Indenture

(a) The Bond Indenture and the rights and obligations of the Authority and of the Holders of the Bonds and of the Bond Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Bond Trustee may enter into with the written consent of the Holders of a majority in aggregate principal amount of the Bonds then Outstanding and the Corporation, which shall have been filed with the Bond Trustee. No such modification or amendment shall (1) extend the Maturity Date of any Bond, or reduce the amount of principal thereof, or extend the time of payment or change the method of computing the rate of interest thereon, or extend the time of payment of interest thereon, or reduce any premium payable upon the redemption thereof, without the consent of the Holder of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds, the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien prior to or on a parity with the lien created by the Bond Indenture, or deprive the Holders of the Bonds of the lien created by the Bond Indenture (except as expressly provided in the Bond Indenture), without the consent of the Holders of all Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Bond Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Bond Trustee of any Supplemental Bond Indenture pursuant to the provisions of the Bond Indenture described in this paragraph (a), the Bond Trustee shall mail a notice, setting forth in general terms the substance of such Supplemental Bond Indenture to the Bondholders at the addresses shown on the Registration Books maintained by the Bond Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Bond Indenture.

(b) The Bond Indenture and the rights and obligations of the Authority, of the Bond Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Bond Trustee may enter into with the consent of the Corporation, but without the necessity of obtaining the consent of any Bondholders, only to the extent permitted by law and only for any one or more of the following purposes:

(i) to add to the covenants and agreements of the Authority contained in the Bond Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power therein reserved to or conferred upon the Authority; provided, that no such covenant, agreement, pledge, assignment or surrender shall materially adversely affect the interests of the Holders of the Bonds, as evidenced by an Opinion of Counsel as described under this heading;

(ii) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Bond Indenture, or in regard to matters or questions arising under the Bond Indenture, including but not limited to reflecting the creation of separate Sub-Series for the Bonds, reflecting the serialization of the Bonds upon their Conversion to a Fixed Mode or reflecting the conversion of serial Bonds to term Bonds or other adjustments to the amortization and payment schedule in connection with their Conversion from a Fixed Mode, as the Authority or the Corporation may deem necessary or desirable and not inconsistent with the Bond Indenture, and which shall not materially adversely affect the interests of the Holders of the Bonds;

(iii) to modify, amend or supplement the Bond Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute thereafter in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which

shall not materially adversely affect the interests of the Holders of the Bonds, as evidenced by an Opinion of Counsel as described under this heading;

(iv) to facilitate and implement any book-entry system (or any termination of a book-entry system) with respect to the Bonds in accordance with the terms of the Bond Indenture;

(v) to maintain the exclusion from gross income of interest payable with respect to the Bonds;

(vi) to make any modification or amendment to the Bond Indenture which will be effective upon the Conversion and/or remarketing of Bonds following the mandatory tender of the Bonds pursuant to the Bond Indenture;

(vii) to provide for the appointment of a successor bond trustee or co-trustee pursuant to the terms of the Bond Indenture; or

(viii) to make any modification or amendment to the Bond Indenture which shall not materially adversely affect the interests of the Holders of the Bonds.

(c) The Bond Trustee may in its discretion, but shall not be obligated to, enter into any such Supplemental Bond Indenture authorized by paragraphs (a) or (b) above which materially adversely affects the Bond Trustee's own rights, duties or immunities under the Bond Indenture or otherwise.

(d) In executing, or accepting the additional trusts created by, any Supplemental Bond Indenture permitted by the Bond Indenture or the modification thereby of the trusts created by the Bond Indenture, the Bond Trustee shall be provided, and shall be fully protected in relying upon, an Opinion of Counsel stating that the execution of such Supplemental Bond Indenture is authorized or permitted by the Bond Indenture and complies with the terms of the Bond Indenture.

Effect of Supplemental Bond Indenture

Upon the execution of any Supplemental Bond Indenture pursuant to the Bond Indenture, the Bond Indenture shall be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under the Bond Indenture of the Authority, the Bond Trustee and all Holders of Bonds Outstanding shall thereafter be determined, exercised and enforced under the Bond Indenture subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Bond Indenture shall be deemed to be part of the terms and conditions of the Bond Indenture for any and all purposes.

Amendment of Particular Bonds

The foregoing provisions shall not prevent any Bondholder from accepting any amendment as to the particular Bonds held by such Bondholder; provided that due notation thereof is made on such Bonds.

Discharge of Bond Indenture

Bonds may be paid in any of the following ways, provided that the Corporation also pays or causes to be paid any other sums payable under the Bond Indenture and related to such Bonds:

(a) by paying or causing to be paid the principal or Redemption Price of and interest on Outstanding Bonds, as and when the same become due and payable;

(b) by depositing with the Bond Trustee, in trust, at or before maturity, money or United States Government Obligations in the amount necessary (as provided in the Bond Indenture and described in this Appendix E under the section captioned "THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee") to pay or redeem all Bonds Outstanding; or

(c) by delivering to the Bond Trustee, for cancellation by it, Outstanding Bonds.

If the Authority, the Corporation or the Bond Trustee shall also pay or cause to be paid all other sums payable under the Bond Indenture by the Authority, and if the Corporation shall have paid all expenses payable to the Authority and the Bond Trustee, and any indemnification owed to the Authority and Bond Trustee, then and in that case, at the election of the Corporation (evidenced by a Certificate of the Corporation, filed with the Bond Trustee, signifying the intention of the Corporation to discharge all such indebtedness and the Bond Indenture), and notwithstanding that any Bonds shall not have been surrendered for payment, the Bond Indenture and the pledge of the Revenues and other assets made under the Bond Indenture and all covenants, agreements and other obligations of the Authority under the Bond Indenture shall cease, terminate, become void and be completely discharged and satisfied (except with respect to the transfer or exchange of Bonds provided for in the Bond Indenture or Bonds, the payment of principal of and interest on the Bonds when due, the redemption of Bonds provided for in the Bond Indenture and the payment of or the provision for any rebate payments then due and payable to the United States Treasury as specified in the Tax Agreement). In such event, upon Written Request of the Corporation, the Bond Trustee shall execute and deliver to the Authority and the Corporation all such instruments as may be necessary or desirable (and prepared by or on behalf of the Authority or the Corporation) to evidence such discharge and satisfaction, and the Bond Trustee shall pay over, transfer, assign or deliver to the Corporation all moneys or securities or other property held by it pursuant to the Bond Indenture which are not required for the payment or redemption of Bonds not theretofore surrendered for such payment or redemption; provided that, prior to the Bond Trustee paying over, transferring, assigning or delivering to the Corporation such moneys, securities or other property, all Administrative Fees and Expenses and any indemnification owed the Authority shall have been paid. The release of the obligations of the Authority under the Bond Indenture shall be without prejudice to the right of the Bond Trustee to be paid reasonable compensation for all services rendered thereunder by it and all reasonable expenses, charges and other disbursements (from any money in its possession under the provisions of the Bond Indenture, subject only to the prior lien of the Bonds for the payment of the principal thereof and the interest thereon) incurred on or about the administration of the trust created by the Bond Indenture and the performance of its duties under the Bond Indenture, nor its right to indemnification thereunder and under the Loan Agreement.

Effect of Defeasance

Upon the deposit with the Bond Trustee, in trust, at or before maturity, of money or securities in the amount necessary (as provided in the Bond Indenture and described in this Appendix E under the section captioned "THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee") to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond) and, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provisions satisfactory to the Bond Trustee shall have been made for the giving of such notice, the Bond Indenture may be released and discharged in accordance with the relevant provisions thereof, but the liability of the Authority in respect of such Bonds shall continue but only to the extent that the Holder thereof shall thereafter be entitled only to payment out of such money or securities deposited with the Bond Trustee as aforesaid for their payment; and, provided, further, that the provisions of the Bond Indenture described in this Appendix E under the section captioned "THE BOND INDENTURE—Payment of Bonds After Discharge of Bond Indenture" shall apply in any event.

Deposit of Money or Securities With Bond Trustee

Whenever in the Bond Indenture it is provided or permitted that there be deposited with or held in trust by the Bond Trustee money or securities in the amount necessary to pay or redeem any Bonds, the money or securities so to be deposited or held may include money or securities held by the Bond Trustee in the funds and accounts established pursuant to the Bond Indenture and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the redemption provisions of the Bond Indenture or provision satisfactory to the Bond Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) United States Government Obligations (not callable by the issuer thereof prior to maturity), the principal of and interest on which when due will provide money sufficient, without regard to any reinvestment thereof, to pay the principal, or Purchase Price for any Bonds tendered for purchase (in which case the tendered Bonds shall be purchased and shall be cancelled) or Redemption Price of and all unpaid interest to maturity or to the Purchase Date or redemption date, as the case may be, on the Bonds to be paid, purchased or redeemed, as such principal or Redemption Price and interest become due; provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption

shall have been given as provided in the redemption provisions of the Bond Indenture or provision satisfactory to the Bond Trustee shall have been made for the giving of such notice; and, provided further, in each case, that the Bond Trustee shall have been irrevocably instructed (by the terms of the Bond Indenture or by Written Request of the Corporation or the Authority) to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

Prior to any defeasance becoming effective as described in this section, the Corporation shall deliver, or caused to be delivered, to the Bond Trustee and the Authority if United States Government Obligations comprise all or part of the defeasance deposit, a copy of a certificate or report of a verification agent or an independent certified public accountant firm indicating the sufficiency of the maturing principal and the interest income on such United States Government Obligations to pay when due the principal or Redemption Price of and interest on such Bonds.

Payment of Bonds After Discharge of Bond Indenture

Notwithstanding the discharge of the lien of the Bond Indenture as provided in the Bond Indenture, the Bond Trustee shall nevertheless retain such rights, powers and duties under the Bond Indenture as may be necessary and convenient for the payment of amounts due or to become due on the Bonds and the registration, transfer, exchange and replacement of Bonds as provided therein. Subject to any applicable escheat law, any money held by the Bond Trustee for the payment of the principal, Redemption Price or Purchase Price of or interest on any Bond remaining unclaimed for three years after the principal or Purchase Price of all Bonds has become due and payable, whether at maturity or proceedings for redemption or tender for purchase or by declaration as provided in the Bond Indenture, shall then be paid to the Corporation (without liability for interest) and the Holders of any Bonds not theretofore presented for payment shall thereafter be entitled to look only to the Corporation for payment thereof and all liability of the Bond Trustee and the Authority with respect to such moneys shall thereupon cease.

Redemption After Satisfaction of Bond Indenture

Notwithstanding anything to the contrary in the Bond Indenture, upon the provision for payment of the Bonds or a portion thereof through a date subsequent to any optional redemption date as specified in sub-paragraph (b) under the section captioned "THE BOND INDENTURE—Discharge of Bond Indenture", the optional redemption provisions of the Bond Indenture allowing such Bonds to be called prior to maturity upon proper notice (notwithstanding provision for the payment of such Bonds having been made through a date subsequent to the first optional redemption date as provided for in the Bond Indenture) shall remain available to the Authority, upon direction of the Corporation, unless, in connection with making such deposit, the Authority, at the direction of the Corporation, shall have irrevocably elected in writing to waive any future right to call the Bonds or portions thereof for redemption prior to maturity. Notwithstanding anything to the contrary in the Bond Indenture, upon the provision for payment of the Bonds or a portion thereof prior to the maturity thereof as specified in sub-paragraph (b) under the section captioned "THE BOND INDENTURE—Discharge of Bond Indenture," the Authority, upon direction of the Corporation, may elect to pay such Bonds on the respective Maturity Dates therefor unless, in connection with making such deposits, the Authority, at the direction of the Corporation, shall have irrevocably elected in writing to waive such right to provide for the payment thereof on the Maturity Date. No such redemption or restructuring shall occur, however, unless the Corporation shall deliver on behalf of the Authority to the Bond Trustee, (a) United States Government Obligations and/or cash sufficient to discharge such Bonds (or portion thereof) on the redemption or Maturity Date or Maturity Dates selected, (b) a copy of a certificate or report of a verification agent or an independent certified public accountant firm indicating that such United States Government Obligations, together with the expected earnings thereon, and/or cash will be sufficient to provide for the payment of such Bonds to the redemption or Maturity Dates, and (c) a Favorable Opinion of Bond Counsel. The Bond Trustee will give written notice of any such redemption or restructuring to the owners of the Bonds affected thereby.

Liability of Authority Limited to Revenues

The Bonds shall not be deemed to constitute a debt or liability of the State of California or of any political subdivision thereof other than the Authority or a pledge of the faith and credit of the State of California or of any political subdivision thereof, but shall be payable solely from the funds provided in the Bond Indenture. Neither the State of California nor the Authority shall be obligated to pay the principal, Purchase Price or Redemption Price of or interest on the Bonds, except from Revenues and the other assets pledged thereunder and neither the faith and credit nor the taxing power of the State of California or of any political subdivision thereof is pledged to the payment of the principal, Purchase Price or Redemption Price of or interest on the Bonds. The issuance of the Bonds shall not directly or indirectly or contingently obligate the State of California or any political subdivision thereof to levy or to pledge any form of taxation whatever therefor or to make any appropriation for their payment. The Authority has no taxing power. Notwithstanding anything in the Bond

Indenture or in the Bonds contained, the Authority shall have no pecuniary liability under the Bond Indenture except that which can be satisfied from Revenues and the other assets pledged thereunder, and the Authority shall not be required to advance any moneys derived from any source other than Revenues and the other assets pledged thereunder for any of the purposes in the Bond Indenture mentioned, whether for the payment of the principal, Purchase Price or Redemption Price of or interest on the Bonds or for any other purpose of the Bond Indenture. Nevertheless, the Authority may, but shall not be required to, advance for any of the purposes under the Bond Indenture any funds of the Authority which may be made available to it for such purposes.

Disqualified Bonds

In determining whether the Holders of the requisite aggregate principal amount of Bonds have concurred in any demand, request, direction, consent or waiver under the Bond Indenture, Bonds which are owned or held by or for the account of the Authority, the Corporation, or by any other obligor on the Bonds, or by any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority, the Corporation or any other obligor on the Bonds, shall be disregarded and deemed not to be Outstanding for the purpose of any such determination; except that in determining whether the Bond Trustee shall be protected in relying upon any such demand, request, direction, consent or waiver of an Owner, only Bonds which a Responsible Officer of the Bond Trustee actually knows to be owned or held by or for the account of the Authority or the Corporation, or by any other obligor on the Bonds, or by any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority or the Corporation or any other obligor on the Bonds, shall be disregarded unless all Bonds are so owned or held, in which case such Bonds shall be considered Outstanding for the purpose of such determination. Bonds so owned which have been pledged in good faith may be regarded as Outstanding for purposes of the Bond Indenture summarized under this caption if the pledgee shall establish to the satisfaction of the Bond Trustee the pledgee's right to vote such Bonds and that the pledgee is not a person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the Authority, the Corporation or any other obligor on the Bonds. In case of a dispute as to such right, any decision by the Bond Trustee taken upon the advice of counsel shall be full protection to the Bond Trustee. Upon request of the Bond Trustee, the Authority and the Corporation shall specify in a certificate to the Bond Trustee those Bonds disqualified pursuant to the provisions of the Bond Indenture summarized under this caption and the Bond Trustee may conclusively rely on any such certificate.

Money Held for Particular Bonds

The money held by the Bond Trustee for the payment of the interest, principal or Redemption Price due on any date with respect to particular Bonds (or portions of Bonds in the case of Bonds redeemed in part only) shall, on and after such date and pending such payment, be set aside on its books and held in trust by it for the Holders of the Bonds entitled thereto, subject, however, to the provisions described under the section captioned "THE BOND INDENTURE—Payment of Bonds After Discharge of Bond Indenture."

THE LOAN AGREEMENT

The Loan Agreement provides the terms of a loan of the proceeds of the Bonds by the Authority to the Corporation and the repayment of such loan by the Corporation.

The following is a summary of certain provisions of the Loan Agreement not described elsewhere in this Official Statement. This summary does not purport to be complete or definitive and reference is made to the Loan Agreement for the complete terms thereof.

Issuance of the Bonds; Application of Proceeds of Bonds; Issuance of the Series 2024 Obligation

(a) Pursuant to the Bond Indenture, the Authority has authorized the issuance of the Bonds. The proceeds of the Bonds shall be applied under the terms and conditions of the Loan Agreement and the Bond Indenture. The Corporation pursuant to the Loan Agreement approves the Bond Indenture and the issuance of the Bonds thereunder by the Authority, and the assignment thereunder to the Bond Trustee of the right, title and interest (but none of the obligations) of the Authority in the Loan Agreement (other than those rights specifically retained by the Authority pursuant to the Bond Indenture) and the Series 2024 Obligation.

(b) In consideration of the issuance of the Bonds by the Authority and the application of the proceeds thereof as provided in the Bond Indenture, the Corporation agrees to cause to be issued, and to cause to be authenticated and delivered to the Authority or its designee, pursuant to the Master Indenture and Supplement No. 3, concurrently with the issuance and delivery of the Bonds, the Series 2024 Obligation in substantially the form set forth in Supplement No. 3. The

Authority agrees that the Series 2024 Obligation shall be registered in the name of the Bond Trustee. The Corporation agrees that the aggregate principal amount of the Series 2024 Obligation shall be limited to the principal amount of the Bonds except for any Obligation authenticated and delivered in lieu of another Obligation as provided in Supplement No. 3 with respect to the mutilation, destruction, loss or theft of the Series 2024 Obligation or, subject to the provisions described in subsection (c) below, upon registration of transfer of the Series 2024 Obligation. Issuance and delivery of the Bonds by the Authority shall be a condition of the issuance and delivery of the Series 2024 Obligation.

(c) The Corporation agrees that, except as described in subsection (d) below, so long as any Bond remains Outstanding, the Series 2024 Obligation shall be issuable only as a single obligation without coupons, registered as to principal and interest in the name of the Bond Trustee, and no transfer of the Series 2024 Obligation shall be registered under the Master Indenture or be recognized by the Corporation except for transfers to a successor Bond Trustee.

(d) Upon the principal of all Obligations Outstanding (within the meaning of that term as used in the Master Indenture) being declared immediately due and payable, the Series 2024 Obligation may be transferred if and to the extent that the Bond Trustee requests that the restrictions described in subsection (c) above on transfers be terminated.

Loan of Bond Proceeds; Loan Repayments

(a) Pursuant to the Bond Indenture, the Authority has authorized the issuance of the Bonds and pursuant to the Loan Agreement loans and advances to the Corporation, and the Corporation pursuant to the Loan Agreement borrows and accepts from the Authority (solely from the proceeds of the sale of such Bonds), the proceeds of the Bonds to be applied under the terms and conditions of the Loan Agreement and the Bond Indenture. In consideration of the loan of such proceeds to the Corporation, the Corporation agrees to pay, or cause to be paid, “Loan Repayments” in an amount sufficient to enable the Bond Trustee to make the transfers and deposits required at the times and in the amounts pursuant to the provisions of the Bond Indenture summarized in this Appendix E under the sections captioned “THE BOND INDENTURE—Interest Fund” and, “—Bond Sinking Fund.” Each Loan Repayment shall be made in immediately available funds. Notwithstanding the foregoing, the Corporation agrees to make payments, or cause payments to be made, at the times and in the amounts required to be paid as principal or Redemption Price of and interest on the Bonds from time to time Outstanding under the Bond Indenture and other amounts required to be paid under the Bond Indenture, as the same shall become due whether at maturity, upon redemption, by declaration of acceleration or otherwise.

(b) Except as otherwise expressly provided in the Loan Agreement, all amounts payable under the Loan Agreement by the Corporation to the Authority shall be paid to the Bond Trustee as assignee of the Authority and the Loan Agreement and all right, title and interest of the Authority in any such payments are pledged and assigned to the Bond Trustee pursuant to the Bond Indenture.

Additional Payments

In addition to Loan Repayments, the Corporation shall also pay to the Authority or to the Bond Trustee, as the case may be, “Additional Payments,” provided in the Loan Agreement and some of which is summarized under this heading. The obligations of the Corporation summarized under this heading shall survive the resignation and removal of the Bond Trustee, payment of the Bonds and discharge of the Bond Indenture.

The Additional Payments to the Authority include:

All taxes and assessments of any type or character charged to the Authority affecting the amount available to the Authority from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated by the Loan Agreement (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments); provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Authority, at the Corporation’s expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Authority and the Corporation has provided the Authority with security and indemnification reasonably deemed adequate by the Authority in respect of such affected rights or interests; (b) all amounts payable to the Authority pursuant to the indemnification provisions of the Loan Agreement; (c) the reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement, the Series 2024 Obligation or the Bond Indenture; (d) the annual fee of the Authority, any and all fees and expenses incurred primarily in connection with the authorization, issuance, sale and delivery of any Bonds and the

reasonable fees and expenses of the Authority or any agency of the State of California selected by the Authority to act on its behalf in connection with the Loan Agreement, the Series 2024 Obligation, the Bonds or the Bond Indenture, including, without limitation, in connection with any litigation, investigation, inquiry or other proceeding which may at any time be instituted involving the Loan Agreement, the Series 2024 Obligation, the Bonds or the Bond Indenture or any of the other documents contemplated thereby, or by the Attorney General of the State of California or such other counsel as the Authority may select in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration (both before and after the execution of the Loan Agreement) of the Loan Agreement or the Bond Indenture; and (e) all other reasonable and necessary fees and expenses attributable to the Bonds, the Loan Agreement, the Series 2024 Obligation or related documents, including without limitation all payments required pursuant to the Tax Agreement.

The Additional Payments to the Bond Trustee include:

All taxes and assessments of any type or character charged to the Bond Trustee affecting the amount available to the Bond Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated by the Loan Agreement (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments); provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Bond Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Bond Trustee and the Corporation has provided the Bond Trustee with security and indemnification reasonably deemed adequate by the Bond Trustee in respect of such affected rights or interests; (b) all reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Bond Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement or the Bond Indenture; (c) all amounts payable to the Bond Trustee pursuant to the indemnification provisions of the Loan Agreement; and (d) all other reasonable and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

Credits for Payments

The Corporation shall receive credit against its payments required to be made under the Loan Agreement, in addition to any credits resulting from payment or repayment from other sources, as follows:

- (a) on installments of interest in an amount equal to moneys deposited in the Interest Fund, which amounts are available to pay interest on the Bonds, to the extent such amounts have not previously been credited against such payments;
- (b) on installments of principal in an amount equal to moneys deposited in the Bond Sinking Fund, which amounts are available to pay principal or Sinking Fund Installments on the Bonds, to the extent such amounts have not previously been credited against such payments;
- (c) on installments of principal and interest in an amount equal to the principal amount of Bonds for the payment at maturity or which have been called by the Bond Trustee for redemption prior to maturity and for the redemption of which sufficient amounts (as determined by the provisions of the Bond Indenture described in this Appendix E under the section captioned "THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee") in cash or United States Government Obligations are on deposit as provided in the provisions of the Bond Indenture described in this Appendix E under the section captioned "THE BOND INDENTURE—Deposit of Money or Securities with Bond Trustee", to the extent such amounts have not previously been credited against such payments, and the interest on such Bonds from and after the date fixed for payment at maturity or redemption thereof. Such credits shall be made against the installments of principal and interest which would have been used, but for such call for redemption, to pay principal of and interest on such Bonds when due or called for redemption; and
- (d) on installments of principal and interest in an amount equal to the principal amount of Bonds acquired by the Corporation and delivered to the Bond Trustee for cancellation or purchased by the Bond Trustee and cancelled, and the interest on such Bonds from and after the date interest thereon has been paid prior to cancellation. Such credits shall be made against the installments of principal and interest which would have been used, but for such cancellation, to pay principal of and interest on such Bonds when due, and with respect to Bonds called for mandatory redemption, against principal installments which would have been used to pay Bonds of the same date.

Prepayment

The Corporation shall have the right at any time or from time to time to prepay all or any part of the Loan Repayments and the Authority agrees that the Bond Trustee shall accept such prepayments when the same are tendered by the Corporation, and the Bond Trustee shall call for redemption of Bonds in accordance with their terms as directed by the Corporation. The Corporation shall be required to prepay Loan Repayments in the amounts and at the times that Bonds are subject to optional or mandatory redemption pursuant to the Bond Indenture. All such prepayments (and the additional payment of any amount necessary to pay the Redemption Price payable upon the redemption of Bonds) shall be deposited upon receipt at the Corporation's direction in (i) the Bond Sinking Fund or (ii) the Optional Redemption Fund (or in such other Bond Trustee escrow account as may be specified by the Corporation) and, at the request of and as determined by the Corporation, credited against payments due under the Loan Agreement or used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Bond Indenture.

Obligations of the Corporation Unconditional; Net Contract

The obligations of the Corporation to make the Loan Repayments, Additional Payments required and other payments under the Loan Agreement and to perform and observe the other agreements on its part contained in the Loan Agreement shall be absolute and unconditional, and shall not be abated, rebated, setoff, reduced, abrogated, terminated, waived, diminished, postponed or otherwise modified in any manner or to any extent whatsoever, while any Bonds remain Outstanding or any Additional Payments or other payments remain unpaid, regardless of any contingency, event or cause whatsoever, including, without limiting the generality of the foregoing, any natural disaster, acts or circumstances that may constitute failure of consideration, eviction or constructive eviction, the taking by eminent domain or destruction of or damage to its facilities, commercial frustration of purpose, any changes in the laws of the United States of America or of the State of California or any political subdivision of either or in the rules or regulations of any governmental authority, or any failure of the Authority or the Bond Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement or the Bond Indenture. The Loan Agreement shall be deemed and construed to be a "net contract," and the Corporation shall pay absolutely net the Loan Repayments, Additional Payments and all other payments required under the Loan Agreement, regardless of any rights of setoff, recoupment, abatement or counterclaim that the Corporation might otherwise have against the Authority or the Bond Trustee or any other party or parties.

Tax Covenant

The Corporation covenants and agrees that it will at all times do and perform all acts and things permitted by law and the Loan Agreement which are necessary in order to assure that interest paid on the Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Corporation agrees to comply with the provisions of the Tax Agreement. This covenant shall survive payment in full or defeasance of the Bonds.

Continuing Disclosure

The Corporation pursuant to the Loan Agreement covenants and agrees to comply with the continuing disclosure requirements under Rule 15c2-12 and that it will enter into, comply with and carry out all of the provisions of the Continuing Disclosure Agreement with respect to the Bonds that complies with the provisions of Rule 15c2-12, in form and substance satisfactory to the Participating Underwriter (as defined in Rule 15c2-12). Notwithstanding any other provision of the Loan Agreement or the Bond Indenture, failure of the Corporation to enter into and comply with such a Continuing Disclosure Agreement shall not be considered a Loan Default Event or an Event of Default; however, the Bond Trustee may, and, at the request of any Participating Underwriter (as defined in such Continuing Disclosure Agreement) or the Holders of at least 25% in aggregate principal amount of Outstanding Bonds after receiving indemnification to its satisfaction, shall or any Bondholder or Beneficial Owner may, take such actions as may be necessary and appropriate, including seeking specific performance by court order, to cause the Corporation to comply with its obligations under this section. The Authority has no obligations with respect to continuing disclosure for the Bonds.

Loan Default Events

The following events shall be "Loan Default Events:"

(a) Failure by the Corporation to pay in full any payment required under the Loan Agreement or under the Series 2024 Obligation when due, whether on an Interest Payment Date at maturity, upon a date fixed for prepayment, by declaration, or otherwise pursuant to the terms of the Loan Agreement or thereof;

(b) Failure by the Corporation to observe and perform any other covenant, condition or agreement on its part to be observed or performed in the Loan Agreement for a period of sixty (60) days after written notice, specifying such failure and requesting that it be remedied, shall have been given to the Corporation by the Authority or the Bond Trustee; provided, however, that if the failure is such that it can be corrected but not within such 60-day period, and corrective action is instituted by the Corporation within such period and diligently pursued until such failure is corrected, then such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy such failure or breach in accordance with and subject to any directions of time established by the Authority or the Bond Trustee;

(c) Any representation made by the Corporation in any document delivered by the Corporation to the Bond Trustee or the Authority in connection with the sale and delivery of the Bonds or the Series 2024 Obligation proves to be untrue when made in any material respect;

(d) An Event of Default under the Bond Indenture or under the Master Indenture; or

(e) The Corporation (i) shall admit in writing its inability to pay its debts generally, (ii) shall make a general assignment for the benefit of creditors, (iii) shall institute any proceeding or voluntary case (A) seeking to adjudicate it a bankrupt or insolvent or (B) seeking liquidation, winding up, reorganization, arrangement, adjustment, protection, relief or composition of it or its debts under any law relating to bankruptcy, insolvency or reorganization or relief or protection of debtors or (C) seeking the entry of an order for relief or the appointment of a receiver, trustee, custodian or other similar official for it or for any substantial part of its property, (iv) shall take any action to authorize any of the actions described above in this subsection (e), or (v) shall have instituted against it any proceeding (A) seeking to adjudicate it a bankrupt or insolvent or (B) seeking liquidation, winding up, reorganization, arrangement, adjustment, protection, relief or composition of it or its debts under any law relating to bankruptcy, insolvency or reorganization or relief or protection of debtors or (C) seeking the entry of an order for relief or the appointment of a receiver, trustee, custodian or other similar official for it or for any substantial part of its property, and, if such proceeding is being contested by the Corporation in good faith, such proceeding shall remain undismissed or unstayed for a period of 60 days.

Upon having notice of the existence of a Loan Default Event, the Bond Trustee shall give written notice thereof to the Corporation unless the Corporation has expressly acknowledged the existence of such Loan Default Event in a writing delivered by the Corporation to the Bond Trustee or filed by the Corporation in any court.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Bond Trustee on behalf of the Authority, subject to the limitations in the Bond Indenture as to the enforcement of remedies, may take such action as it deems necessary or appropriate to collect amounts due under the Loan Agreement, to enforce performance and observance of any obligation or agreement of the Corporation under the Loan Agreement or to protect the interests securing the same, and may, without limiting the generality of the foregoing:

(a) Exercise any or all rights and remedies given thereby or available under the Loan Agreement or given by or available under any other instrument of any kind securing the Corporation's performance under the Loan Agreement (including, without limitation, the Series 2024 Obligation and the Master Indenture);

(b) By written notice to the Corporation, declare an amount equal to all amounts then due and payable on the Bonds, whether by acceleration of maturity or otherwise, to be immediately due and payable under the Loan Agreement, whereupon the same shall become immediately due and payable; and

(c) Take any action at law or in equity to collect the payment required under the Loan Agreement then due, whether on the stated due date or by declaration of acceleration or otherwise, for damages or for specific performance or otherwise to enforce performance and observance of any obligation, agreement or covenant of the Corporation under the Loan Agreement.

Notwithstanding any other provision of the Loan Agreement or any right, power or remedy existing at law or in equity or by statute, the Bond Trustee shall not under any circumstances declare the entire unpaid aggregate amount of the payment due under the Loan Agreement to be immediately due and payable except in accordance with the directions of the

Master Trustee if the Master Trustee shall have declared the aggregate principal amount of the Series 2024 Obligation and all interest thereon immediately due and payable in accordance with the Master Indenture.

Remedies Not Exclusive; No Waiver of Rights

No remedy in the Loan Agreement conferred upon or reserved to the Authority or the Bond Trustee is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under the Loan Agreement or now or thereafter existing at law or in equity or otherwise. In order to entitle the Authority or the Bond Trustee to exercise any remedy, to the extent permitted by law, reserved to it contained in the Loan Agreement, it shall not be necessary to give any notice, other than such notice as may be expressly required in the Loan Agreement. Such rights and remedies as are given to the Authority under the Loan Agreement (other than those rights specifically retained by the Authority pursuant to the Bond Indenture) shall also extend to the Bond Trustee, and the Bond Trustee may exercise any rights of the Authority (other than those rights specifically retained by the Authority pursuant to the Bond Indenture) and its own rights under the Loan Agreement, and the Bond Trustee and the Holders of the Bonds shall be deemed third-party beneficiaries of all covenants and conditions in the Loan Agreement contained.

No delay in exercising or omitting to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver of any such default or an acquiescence therein, and every such right and power may be exercised from time to time and as often as may be deemed expedient.

Expenses on Default

In the event the Corporation should default under any of the provisions of the Loan Agreement and the Authority or the Bond Trustee should employ attorneys or incur other expenses for the collection of the payments due under the Loan Agreement, the Corporation agrees that it will on demand therefor pay to the Authority or the Bond Trustee the reasonable fees of such attorneys and such other expenses so incurred by the Authority or the Bond Trustee.

Notice of Default

The Corporation agrees that, as soon as is practicable, and in any event within ten (10) days of a Loan Default Event of which the Corporation has knowledge, the Corporation will furnish the Bond Trustee notice of any event which is a Loan Default Event pursuant to the Loan Agreement which has occurred and is continuing on the date of such notice, which notice shall set forth the nature of such event and the action which the Corporation proposes to take with respect thereto; provided, however, that with respect to a Loan Default Event pursuant to subsection (a) of the provisions of the Loan Agreement summarized in this Appendix E under the section captioned "THE LOAN AGREEMENT—Loan Default Events", the Bond Trustee shall give the Corporation notice on the date such default occurs. The Corporation shall contemporaneously provide the Authority with a copy of any notice given to the Bond Trustee under the provisions of the Loan Agreement.

Assignment by Authority or Bond Trustee

The Loan Agreement, including the right to receive payments required to be made by the Corporation under the Loan Agreement and to compel or otherwise enforce performance by the Corporation of its other obligations under the Loan Agreement and thereunder, may be assigned and reassigned in whole or in part to one or more assignees or subassignees by the Authority or the Bond Trustee at any time subsequent to its execution without the necessity of obtaining the consent of the Corporation. The Authority expressly acknowledges that all right, title and interest of the Authority in and to the Loan Agreement (other than those rights specifically retained by the Authority pursuant to the Bond Indenture) have been assigned to the Bond Trustee, as security for the Bonds under and as provided in the Bond Indenture, and that if any Loan Default Event shall occur, the Bond Trustee shall be entitled to act under the Loan Agreement in the place and stead of the Authority.

Application of Moneys Collected

Any amounts collected pursuant to action taken under the provisions of the Loan Agreement relating to Loan Default Events and remedies be applied in accordance with the provisions of the Bond Indenture relating to events of defaults and remedies, and to the extent applied to the payment of amounts due on the Bonds shall be credited against amounts due on the Series 2024 Obligation.

Non-Liability of Authority

The Authority shall not be obligated to pay the principal, Purchase Price or Redemption Price of or interest on the Bonds, except from Revenues and other assets pledged under the Bond Indenture. Neither the faith and credit nor the taxing power of the State of California or any political subdivision thereof is pledged to the payment of the principal, Purchase Price or Redemption Price of or interest on the Bonds. The Authority shall not be liable for any costs, expenses, losses, damages, claims or actions, of any conceivable kind or any conceivable theory, under or by reason of or in connection with the Loan Agreement, the Series 2024 Obligation, the Bonds or the Bond Indenture, except only to the extent amounts are received for payment thereof from the Corporation under the Loan Agreement or from Members under the Series 2024 Obligation.

The Corporation acknowledges that the Authority's sole source of moneys to repay the Bonds will be provided by the payments made by the Corporation pursuant to the provisions of the Loan Agreement, the Series 2024 Obligation and other Revenues, together with investment income on certain funds and accounts held by the Bond Trustee under the Bond Indenture, and agrees that if the payments to be made pursuant to the Loan Agreement and under the Series 2024 Obligation shall ever prove insufficient to pay all the principal, Purchase Price or Redemption Price of, or interest on the Bonds as the same shall become due (whether by maturity, redemption, acceleration or otherwise), then upon notice from the Bond Trustee, the Corporation shall pay such amounts as are required from time to time to prevent any deficiency or default in the payment of such principal, Purchase Price or Redemption Price of, or interest on the Bonds, including, but not limited to, any deficiency caused by acts, omissions, nonfeasance or malfeasance on the part of the Bond Trustee, the Master Trustee, the Corporation, the Authority or any third party.

Amendments of Loan Agreement

The Loan Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the Corporation and the Authority in accordance with the provisions of the Bond Indenture as summarized in this Appendix E under the section captioned "THE BOND INDENTURE—Amendment of Loan Agreement," and the concurring written consent of the Bond Trustee.

APPENDIX F

FORM OF OPINION OF BOND COUNSEL

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APPENDIX F

FORM OF OPINION OF BOND COUNSEL

[Closing Date]

California Health Facilities
Financing Authority
Sacramento, California

California Health Facilities Financing Authority
Revenue Bonds (Episcopal Communities & Services),
Series 2024A (Initial Entrance Fees)

California Health Facilities Financing Authority
Revenue Bonds (Episcopal Communities & Services), Series 2024B
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Health Facilities Financing Authority (the “Authority”) in connection with the issuance of \$30,000,000 aggregate principal amount of California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees) (the “Series 2024A Bonds”) and \$75,515,000 aggregate principal amount of California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024B (the “Series 2024B Bonds” and, together with the Series 2024A Bonds, the “Bonds”), issued pursuant to a bond indenture, dated as of January 1, 2024 (the “Bond Indenture”), between the Authority and U.S. Bank Trust Company, National Association, as bond trustee (the “Bond Trustee”). The Bond Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to Episcopal Communities & Services for Seniors (the “Corporation”) pursuant to a loan agreement, dated as of January 1, 2024 (the “Loan Agreement”), between the Authority and the Corporation. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Bond Indenture.

In such connection, we have reviewed the Bond Indenture; the Loan Agreement; the Tax Agreement; opinions of counsel to the Authority, the Bond Trustee and the Corporation; certificates of the Authority, the Bond Trustee, the Corporation and others; and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Hooper, Lundy & Bookman, P.C., counsel to the Corporation regarding, among other matters, the current qualification of the Corporation as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”). We note that the opinion is subject to a number of qualifications and limitations. We have also relied upon representations of the Corporation regarding the use of the facilities financed or refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code. We note that the opinion of counsel to the Corporation does not address Section 513 of the Code. Failure of the Corporation to be organized and operated in accordance with the Internal Revenue

Service's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-financed or refinanced facilities in activities that are considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after original delivery of the Bonds on the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after original delivery of the Bonds on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures provided to us and the due and legal execution and delivery thereof by, and validity against, any parties other than the Authority. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Bond Indenture, the Loan Agreement and the Tax Agreement, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Bond Indenture, the Loan Agreement and the Tax Agreement and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against governmental entities such as the Authority in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the property described in or as subject to the lien of the Bond Indenture, or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no view with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Authority.
2. The Bond Indenture has been duly executed and delivered by, and constitutes the valid and binding agreement of, the Authority. The Bond Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and the other assets pledged therefor under the Bond Indenture, subject to the provisions of the Bond Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Bond Indenture.
3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Authority.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. We observe that interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

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APPENDIX G

FORM OF CONTINUING DISCLOSURE AGREEMENT

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APPENDIX G

FORM OF CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (this “Disclosure Agreement”) is executed and delivered by Episcopal Communities & Services for Seniors (the “Corporation”), as Obligated Group Representative under the Master Indenture (defined below), in connection with the issuance of \$30,000,000 aggregate principal amount of the California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024A (Initial Entrance Fees) (the “Series 2024A Bonds”) and \$75,515,000 aggregate principal amount of the California Health Facilities Financing Authority Revenue Bonds (Episcopal Communities & Services), Series 2024B (the “Series 2024B Bonds” and, collectively, the “Bonds”). The Bonds are being issued pursuant to a Bond Indenture, dated as of January 1, 2024 (the “Bond Indenture”), between the California Health Facilities Financing Authority (the “Authority”) and U.S. Bank Trust Company, National Association, as bond trustee (in such capacity, the “Bond Trustee”). The proceeds of the Bonds are being loaned by the Authority to the Corporation, pursuant to a Loan Agreement, dated as of January 1, 2024 (the “Loan Agreement”), between the Authority and the Corporation.

The Corporation will issue its Series 2024 Obligation (the “Series 2024 Obligation”) to evidence the obligation of the Corporation to make payments sufficient to pay the principal (or redemption price) of and interest on the Bonds, pursuant to the Master Trust Indenture (Amended and Restated), dated as of December 1, 2012 and effective on May 16, 2022, and as amended and supplemented to date (as so amended and supplemented, the “Master Indenture”), between the Corporation, and U.S. Bank Trust Company, National Association, as successor master trustee (the “Master Trustee”), and the Third Supplemental Master Trust Indenture, dated as of January 1, 2024 (“Supplement No. 3”), between the Corporation and the Master Trustee. The Series 2024 Obligation will evidence the obligation of the Corporation with respect to the Corporation’s payment obligation under the Loan Agreement.

Pursuant to the Loan Agreement, the Corporation covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Agreement. This Disclosure Agreement is being executed and delivered by the Corporation for the benefit of the Holders and Beneficial Owners (defined below) of the Bonds and to assist Cain Brothers, a division of KeyBanc Capital Markets Inc., as underwriter (the “Underwriter”) in complying with the Rule (defined below). The Corporation acknowledges that the Authority has undertaken no responsibility with respect to any reports, notices or disclosures provided or required under this Disclosure Agreement, and has no liability to any Person, including any Holder or Beneficial Owner of the Bonds, with respect to the Rule. This Disclosure Agreement shall not be deemed to create any monetary liability on the part of the Authority or the Corporation to any persons, including Holders and Beneficial Owners of the Bonds based on the Rule. The sole remedy in the event of any failure of the Corporation or its Dissemination Agent to comply herewith shall be an action to compel performance of any act required hereunder as detailed in Section 10 hereof.

SECTION 2. Definitions. In addition to the definitions set forth above and in the Bond Indenture, which, as applicable, apply to any capitalized term used in this Disclosure Agreement

unless otherwise defined in this Disclosure Agreement, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the Corporation pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“Beneficial Owner” shall mean any person which (a) has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any of the Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean any Dissemination Agent designated in writing by the Corporation which has filed with the Bond Trustee a written acceptance of such designation, and initially shall mean BLX Group, LLC.

“Financial Obligation” means a (a) debt obligation; (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (c) guarantee of a debt obligation or any such derivative instrument; provided that “Financial Obligation” shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“Fiscal Year” has the meaning given such term in the Master Indenture. As of the date of execution and delivery of this Disclosure Agreement, the Fiscal Year ends each June 30.

“Listed Events” shall mean any of the events listed in Section 7(a) of this Disclosure Agreement.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any other entity designated by the Securities and Exchange Commission to receive reports pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB, currently located at <http://emma.msrb.org>.

“Obligated Group Financial Statements” has the meaning given such term in the Master Indenture.

“Official Statement” shall mean the Official Statement, dated January 17, 2024, related to the Bonds.

“Quarterly Report” shall mean any Quarterly Report provided by the Corporation pursuant to, and as described in, Sections 5 and 6 of this Disclosure Agreement.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The Corporation shall, or shall cause the Dissemination Agent to, not later than 150 days after the end of each Fiscal Year, commencing with the Fiscal Year ending June 30, 2024 (each such date, the “Report Date”), provide to the MSRB an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Agreement. The Annual Report may cross-reference other information as provided in Section 4 of this Disclosure Agreement. Notwithstanding the foregoing, the Corporation may submit the Obligated Group Financial Statements separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if the audited financial statements are not available by that date. If the Fiscal Year changes, it shall give notice of such change in a filing with the MSRB. The Annual Report shall identify the Bonds by name and CUSIP numbers.

(b) Not later than five (5) business days prior to the date specified in subsection (a) of this Section for provision of an Annual Report to the MSRB, the Corporation shall provide the Annual Report to the Dissemination Agent, and the Dissemination Agent shall file the Annual Report with the MSRB by the date specified in subsection (a). If the Corporation fails to provide an Annual Report to the Dissemination Agent so that it may be filed with the MSRB by the date specified in subsection (a), the Corporation shall, in a timely manner, either: i) file the Annual Report with the MSRB by the date specified in subsection (a) and provide the Dissemination Agent with written notice that the Annual Report has been filed with the MSRB; or ii) send (or cause to be sent) to the MSRB a notice in substantially the form attached as Exhibit A, with a copy to the Dissemination Agent.

(c) Whenever it has provided an Annual Report to the MSRB, the Dissemination Agent shall file a written notice with the Corporation certifying that the Annual Report has been provided to the MSRB pursuant to this Disclosure Agreement, and the date it was so provided.

SECTION 4. Content of Annual Reports. The Annual Report shall contain or include by reference the following:

(a) Obligated Group Financial Statements; and

(b) Unless otherwise provided in the Obligated Group Financial Statements, the following information: (1) the approximate number of total employees and total seniors served, (2) a description of any material changes to the organizational structure of the Obligated Group; and (3) the occupancy summary by facility and (4) Days Cash on Hand and Debt Service Coverage Ratio for the most recently completed Fiscal Year (as all such terms are defined in the Master Indenture); and

(c) An officer’s certificate stating that no event which constitutes an Event of Default under the Master Indenture has occurred and is continuing as of the end of such Fiscal Year, or specifying the nature of such event and the actions taken and proposed to be taken by the Obligated Group to cure such Event of Default, as required by Section 3.12(b)(2) of the Master Indenture.

In addition, the Corporation shall host an annual investor call within thirty (30) days of posting each Annual Report.

Any or all of the items listed above may be set forth in one or a set of documents or may be included by specific reference to other documents, including official statements of debt issues of the Obligated Group or related entities, which have been made available to the public on the MSRB's website. The Corporation shall clearly identify each such other document so included by reference.

SECTION 5. Provision of Quarterly Reports.

(a) Not later than 60 days after the end of each fiscal quarter, commencing with the close of the fiscal quarter ending March 31, 2024, the Corporation shall, or shall cause the Dissemination Agent to, provide to the MSRB a Quarterly Report which is consistent with the requirements of Section 6 of this Disclosure Agreement. Each Quarterly Report shall identify the Bonds by name and CUSIP numbers.

(b) Not later than five (5) business days prior to the date specified in subsection (a) of this Section for provision of a Quarterly Report to the MSRB, the Corporation shall provide the Quarterly Report to the Dissemination Agent, and the Dissemination Agent shall provide the Quarterly Report to the MSRB by the date specified in subsection (a). If the Corporation fails to provide a Quarterly Report to the Dissemination Agent so that it may be provided to the MSRB by the date specified in subsection (a), the Corporation shall, in a timely manner, either: i) file the Quarterly Report with the MSRB by the date specified in subsection (a) and provide the Dissemination Agent with written notice that the Quarterly Report has been filed with the MSRB; or ii) send (or cause to be sent) to the MSRB a notice in substantially the form attached as Exhibit A, with a copy to the Dissemination Agent.

(c) Provided that the Dissemination Agent has received the Quarterly Report pursuant to Section 5(b), it shall file a written notice with the Corporation certifying that the Quarterly Report has been provided to the MSRB pursuant to this Disclosure Agreement, and the date it was so provided.

SECTION 6. Content of Quarterly Reports. The Corporation's Quarterly Report shall contain or include by reference the following:

(a) Unaudited financial statements for the Obligated Group for such fiscal quarter, including a combined or combining, if applicable, statement of operations of the Obligated Group during such period, and a combined or combining, if applicable, statement of financial position as of the end of each such fiscal quarter, as well as a combined or combining, if applicable, unaudited schedule of cash flows (similar in format as presented in Appendix A to the Official Statement) for the Obligated Group for such fiscal quarter, setting forth in each case in comparative form the figures for the corresponding periods in the previous fiscal year, all in reasonable detail, prepared in accordance with generally accepted accounting principles applicable to quarterly financial statements generally, and certified by a Senior Financial Officer as fairly presenting, in all material respects, the financial position of the Obligated Group, subject to changes resulting from year-end adjustments; and

(b) A calculation of the Obligated Group's: (i) Days Cash on Hand as of the end of such fiscal quarter, and (ii) Debt Service Coverage Ratio for the trailing 12-month period ending

as of the end of such fiscal quarter (using the definitions of such terms from the Master Indenture); and

(c) For the second and last quarter reports, an officer's certificate relating to the 120 Days Cash on Hand covenant as required by Section 3.10 of the Master Indenture.

Any or all of the items listed above may be set forth in one or a set of documents or may be included by specific reference to other documents, including official statements of debt issues of the Corporation or related entities, which have been made available to the public on the MSRB's website. The Corporation shall clearly identify each such other document so included by reference.

SECTION 7. Reporting of Significant Events.

(a) The Corporation shall give, or cause to be given notice of the occurrence of any of the following events with respect to the Bonds:

1. principal and interest payment delinquencies;
2. non-payment related defaults, if material;
3. unscheduled draws on debt service reserves reflecting financial difficulties;
4. unscheduled draws on credit enhancements reflecting financial difficulties;
5. substitution of credit or liquidity providers, or their failure to perform;
6. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
7. modifications to rights of Bondholders, if material;
8. bond calls, if material, and tender offers;
9. defeasances;
10. release, substitution or sale of property securing repayment of the Bonds, if material;
11. rating changes;
12. bankruptcy, insolvency, receivership, or similar event of the Corporation;
13. the consummation of a merger, consolidation or acquisition involving the Corporation or the sale of all or substantially all the assets of the Corporation, other than in the ordinary course of business, entry of a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

14. appointment of a successor or additional trustee, or the change in the name of the Bond Trustee, if material;

15. incurrence of a Financial Obligation of the Corporation, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the Corporation, any of which affects Holders, if material; and

16. default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the Corporation, any of which reflects financial difficulties.

Note: for the purposes of the event identified in subparagraph (12), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the Corporation in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Corporation, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Corporation.

(b) The Corporation shall file, or cause to be filed, notice of the occurrence of each Listed Event with the MSRB in an electronic format as prescribed by the MSRB, in a timely manner but not in excess of 10 Business Days after the occurrence of such Listed Event. Until otherwise designated by the MSRB or the SEC, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB, currently located at <http://emma.msrb.org>.

SECTION 8. Termination of Reporting Obligation. The Corporation's obligations under this Disclosure Agreement shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds or upon delivery to the Bond Trustee of an opinion of counsel expert in federal securities laws selected by the Corporation to the effect that compliance with this Disclosure Agreement is not required by the Rule. If the Corporation's obligations under this Disclosure Agreement are assumed in full by some other entity, such Person shall be responsible for compliance with this Disclosure Agreement in the same manner as if it were the Corporation and the Corporation shall have no further responsibility hereunder. If such termination or substitution occurs prior to the final maturity of the Bonds, the Corporation shall give, or cause to be given, notice of such termination or substitution in the same manner as for a Listed Event under Section 7.

SECTION 9. Dissemination Agent. From time to time, the Corporation may appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report provided by the Corporation pursuant to this Disclosure Agreement. The Dissemination Agent (if other than the Corporation) may resign by providing 30

days written notice to the Corporation. The Dissemination Agent shall have no duty to prepare any information report, nor shall the Dissemination Agent be responsible for filing any report not provided to it by the Corporation in a timely manner and in a form suitable for filing. If at any time there is not any other designated Dissemination Agent, the Corporation shall be the Dissemination Agent. The initial Dissemination Agent shall be BLX Group, LLC.

SECTION 10. Amendment: Waiver. Notwithstanding any other provision of this Disclosure Agreement, the Corporation may amend this Disclosure Agreement (and the Dissemination Agent, if any, shall agree to any amendment so requested by the Corporation which does not impose any greater duties, nor greater risk of liability, on the Dissemination Agent) and any provision of this Disclosure Agreement may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a), 6 or 7, it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the Corporation with respect to the Bonds or the type of business conducted (including, but not limited to, affiliations, mergers, acquisitions, divestitures or dispositions affecting the Corporation);

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of counsel expert in federal securities laws selected by the Corporation, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver either (i) is approved by Holders of not less than 25% in aggregate principal amount of the Bonds then outstanding, (ii) does not, in the opinion of counsel expert in federal securities laws selected by the Corporation, materially impair the interests of the Holders or Beneficial Owners of the Bonds or (iii) is necessary to comply with a change in legal requirements or other change in law, including any change in the requirements of the Rule.

In the event of any amendment or waiver of a provision of this Disclosure Agreement, the Corporation shall describe such amendment in the next Annual Report. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, the Corporation will file, or caused to be filed, notice of such change in the same manner as for a Listed Event under Section 7.

SECTION 11. Additional Information. Nothing in this Disclosure Agreement shall be deemed to prevent the Corporation from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or including any other information in any Annual Report, quarterly report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Corporation chooses to include any information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is specifically required by this Disclosure Agreement, the Corporation shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 12. Default. The Corporation acknowledges and agrees that this Disclosure Agreement is for the benefit of the Holders and Beneficial Owners of the Bonds and in the event of a failure of the Corporation or the Dissemination Agent, if any, to comply with any provision of this Disclosure Agreement, any Holder or Beneficial Owner of the Bonds may and the Bond Trustee, at the written request of the Underwriter or the Holders of at least 25% aggregate principal amount of Outstanding Bonds to which this Disclosure Agreement then applies, shall (but only to the extent it has been indemnified to its satisfaction from any loss, liability, or expense, including without limitation, reasonable fees and expenses of its attorneys and advisors and additional reasonable fees and expenses of the Bond Trustee), or any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation or the Dissemination Agent, if any and as the case may be, to comply with its respective obligations under this Disclosure Agreement. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Bond Indenture or the Loan Agreement and the sole remedy under this Disclosure Agreement in the event of any failure of the Corporation or the Dissemination Agent, if any, to comply with this Disclosure Agreement shall be an action to compel performance.

SECTION 13. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement, and the Corporation agrees to indemnify and save the Dissemination Agent and its officers, directors, employees and agents, harmless against any loss, expense and liabilities that it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the reasonable out-of-pocket costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding any loss, expense and liabilities due to the Dissemination Agent's own negligence or misconduct. The obligations of the Corporation under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Corporation covenants that if ever it serves as Dissemination Agent, it shall take all actions required of the Dissemination Agent under this Disclosure Agreement. The Dissemination Agent shall be paid compensation by the Corporation for its services provided hereunder as agreed by the Corporation and the Dissemination Agent. The Dissemination Agent shall have no duty or obligation to review any information provided hereunder and is only responsible for the obligations set forth herein.

SECTION 14. Notices. Any notices or communications to the Corporation or to the Bond Trustee and the Dissemination Agent pursuant to this Disclosure Agreement may be given as follows:

To the Corporation:	Episcopal Communities & Services for Seniors 2212 El Molino Avenue Altadena, CA 91001 Attention: Executive Vice President/Chief Financial Officer Telephone: 626-403-5400
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To the Dissemination Agent:

BLX Group, LLC
777 South Figueroa Street, Suite 3200
Los Angeles, California 90017
Attention: Jeffrey R. Higgins
Telephone: 213-612-2209

To the Bond Trustee: U.S. Bank Trust Company, National Association
555 SW Oak Street, PD-OR-P7TD
Portland, Oregon 97204
Attention: Global Corporate Trust Services
Telephone: 503-464-3758

The Corporation may, by written notice to the Dissemination Agent, if any, designate a different address or telephone number(s) to which subsequent notices or communications should be sent.

SECTION 15. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Authority, the Corporation, the Dissemination Agent, if any, the Underwriter, and the Holders and Beneficial Owners from time to time of the Bonds and shall create no rights in any other person or entity.

SECTION 16. Governing Law. This Disclosure Agreement shall be governed by and construed in accordance with the laws of the State of California, provided that to the extent this Disclosure Agreement addresses matters of federal securities laws, including the Rule, this Disclosure Agreement shall be construed in accordance with such federal securities laws and official interpretations thereof.

Dated: January 24, 2024

EPISCOPAL COMMUNITIES & SERVICES FOR
SENIORS

By: _____
Executive Vice President/
Chief Financial Officer

EXHIBIT A

FORM OF NOTICE TO THE MUNICIPAL SECURITIES RULEMAKING BOARD OF
FAILURE TO FILE [ANNUAL REPORT] [AUDITED FINANCIAL STATEMENTS]
[QUARTERLY REPORT]

Name of Issuer: California Health Facilities Financing Authority

Name of Bond Issue: California Health Facilities Financing Authority Revenue Bonds
(Episcopal Communities & Services for Seniors)
Series 2024A (Initial Entrance Fees) and Series 2024B

Name of Borrower: Episcopal Communities & Services for Seniors

Date of Issuance: January _24, 2024

NOTICE IS HEREBY GIVEN that Episcopal Communities & Services for Seniors (the “Obligated Group Representative”) has not provided a[n] [Annual Report] [Audited Financial Statements] [Quarterly Report] with respect to the above-named Bonds as required by Section [3/5] of the Continuing Disclosure Agreement relating to the Bonds, dated January 24, 2024. [The Obligated Group Representative anticipates that the [Annual Report] [Audited Financial Statements] [Quarterly Report] will be filed by _____.]

Dated: _____

_____,
As Dissemination Agent, on behalf of the Obligated
Group Representative

By: _____
Authorized Officer

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APPENDIX H

BOOK-ENTRY ONLY SYSTEM

The information in this APPENDIX concerning The Depository Trust Company (“DTC”), New York, New York, and DTC’s book-entry system has been obtained from DTC. None of the Authority, the Corporation, the Bond Trustee or the Underwriter takes responsibility for the completeness or accuracy thereof and cannot and do not give any assurances that DTC, Direct Participants or Indirect Participants will distribute to the Beneficial Owners (a) payment(s) of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis, or that DTC, Direct Participants or Indirect Participants will act in the manner described in this APPENDIX.

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds of each Series, each in the aggregate principal amount of each such maturity, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934, as amended. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each Bond (“Beneficial Owner”) is in turn to be recorded on the Direct Participants’ and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of

Beneficial Owners. Beneficial Owners will not receive certificates representing their beneficial ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of the Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Bond Trustee and request that copies of the notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within a maturity of a Series are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such Bonds to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (established by DTC and identified in a listing attached to the Omnibus Proxy).

Principal, premium, redemption proceeds, and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the Authority or the Bond Trustee on a payment date in accordance with their respective holdings shown on DTC's records. Payments by Direct Participants or Indirect Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Direct Participants or Indirect Participants and not of DTC (nor its nominee), the Bond Trustee, the Corporation or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, redemption proceeds, and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Corporation, the Authority or the Bond Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of the Direct Participants and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the Authority or the Bond Trustee. Under such circumstances, in

the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The Authority may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this APPENDIX concerning DTC and DTC's book-entry system has been obtained from sources that the Authority and the Corporation believe to be reliable, but neither the Authority nor the Corporation takes responsibility for the accuracy thereof.

None of the Authority, the Corporation, the Underwriter, or the Bond Trustee will have any responsibility or obligation to Direct Participants, to Indirect Participants or to any Beneficial Owner with respect to (i) the accuracy of any records maintained by DTC, any Direct Participant, or any Indirect Participant; (ii) the payment by DTC or any Direct Participant or Indirect Participant of any amount with respect to the principal of or premium, if any, or interest on the Bonds; (iii) any notice that is permitted or required to be given to Holders under the Bond Indenture; (iv) the selection by DTC, any Direct Participant or any Indirect Participant of any person to receive payment in the event of a partial redemption of the Bonds; (v) any consent given or other action taken by DTC as Bondholder; or (vi) any other procedures or obligations of DTC, Direct Participants or Indirect Participants under the book-entry system.

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